

V-Guard Inds. (VGUARD)

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Call: Jun 2023

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June 07 , 2023

The Manager,

Listing Department,

BSE Limited,

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Dalal Street,

Mumbai - 400 001 The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra- Kurla Complex,

Bandra -East,

Mumbai - 400 051

Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and year ended March 31, 2023.

Dear Madam/Sir,

This is with reference to the Company intimation dated May 19, 2023, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the financial results for the quarter and year ended March 31, 2023, scheduled on May 31, 2023. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at <https://www.vguard.in/investor-relations/shareholder-information>

We request you to kindly take the above information on record.

Thanking You,

Yours Sincerely ,

For V-Guard Industries Limited

Vikas Kumar T ak

Company Secretary & Compliance Officer

Membership No. FCS 6618

Encl: As above

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"V-Guard Industries Limited

Q4 FY '23 Earnings Conference Call "

May 31, 2023

MANAGEMENT : V-GUARD INDUSTRIES LIMITED

MR. MITHUN CHITILAPPILLY – MANAGING DIRECTOR

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF OPERATING OFFICER

MR. SUDARSHAN KASTURI – SENIOR VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

MODERATOR :

MR. DEEPAK AGARWAL – PHILLIP CAPITAL INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the V-Guard Industries Limited Q4 FY '23 Results Conference Call, hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing 'star' then 'zero' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from PhillipCapital India Private Limited. Thank you and over to you sir.

Deepak Agarwal: Thank you. Good afternoon, everyone. On behalf of PhillipCapital India Private Limited, I welcome you all to V-Guard Industries Limited Q4 and FY '23 Earnings Conference Call.

Today, we have with us senior management represented by Mr. Mithun Chittilappilly, Managing Director; Mr. Ramachandran V, Director and COO, and Mr. Sudarshan Kasturi, Senior VP and CFO.

Without taking much time, I would like to hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A.

Thank you and over to you, sir.

Mithun Chittilappilly: Thank you, Deepak, and PhillipCapital for hosting this call for us. A very warm welcome to everyone present on today's call. Thank you for joining us today to discuss the operating and financial performance of our company for the fourth quarter and FY '23. I trust a lot of you have had a chance to refer to our Investor Presentation, which was shared yesterday.

We reported consolidated net revenues of INR4,126 crores in FY '23, which is higher by 17.9% on a Y-o-Y basis. Excluding revenues from Sunflame, the underlying revenue growth is 16.3%

on a Y-o-Y basis, ahead of the CAGR of 11.9% over the period from FY '19 to FY '23.

During the year, the South markets grew by 9% y-o-y, while the non-South markets grew by 26.4% Y-o-Y. With continued strong growth from non-South markets, their contribution to overall revenues has crossed 45%, providing the business with a diversified revenue base.

In our Electronics segment, comprising of stabilizers, digital UPS and inverters, we reported revenue growth of 21.9% Y-o-Y.

In the Consumer Durables segment, where we market fans,

water heaters, kitchen appliances and air coolers, we registered a growth of 20% Y-o-Y. The

Consumer Durables segment is achieving meaningful scale in top line, and we are sure that the benefits of operating leverage will soon become visible going ahead.

In the Electricals segment, comprising of wires, pumps, switchgears and modular switches, we

registered a growth of about 11% Y-o-Y. FY '23 has been a difficult year in terms of margins

for our industry. After a few challenging quarters caused by significant input cost challenges,

Q4 margins have shown an improvement over the previous quarter. The benefit of stable commodity prices and the charge out of high-cost inventory are beginning to flow through. We

expect the gross margins to further improve in Q1 FY '24.

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In Q4 FY '23, we have taken a P&L charge of about INR10 crores towards one-time expenses relating to the acquisition of Sunflame and Simon Electric. The advertisement and promotion spends are also higher as they are steadily returning to the normative levels. PAT in FY '23 is INR183 crores compared to PAT of INR228 crores in FY '22. It is pertinent to note that in FY '22, we had a prior year tax credit of INR8 crores as we switched over to the new tax regime. In FY '23, the tax benefit of about INR20 crores arising from the Simon merger has been shown under the other comprehensive income. Adjusting for that one-time expense incurred in FY '23 and the tax benefit in the base year, the profit

after tax is of a fairly similar level in FY '22. As

we had indicated earlier, we are carrying higher inventories to mitigate risk of supply disruption

and would like to revert to normative inventory levels over FY '23. We have made substantial progress in doing so, and we have released close to INR200 crores worth of working capital with

the scope of another INR70 crores to INR80 crores to be released in the following quarters.

During Q4 FY '23, we completed the acquisition of Sunflame and the merger of Simon. In the case of Sunflame, the initial post-transaction work is complete and the business integration is underway. Hiring for key positions is complete and dealership is now in place for Sunflame.

Over the next 6 months to 9 months, we will review the portfolio, strengthen channel presence and undertake interventions in technology and process capabilities.

The Simon merger has been completed with effect from 25th of March 2023. We have started running the business and have identified areas to focus on the near term. These M&As are all good strategic fit to V-Guard and with multiple levers for synergy benefits. The Board of Directors have recommended a final dividend of INR1.3 per equity share on a face value of INR1.

With that, I conclude my opening remarks and would like to thank Deepak Agarwal and their team at PhillipCapital for hosting this call and would like to request the moderator to open the floor for Q&A.

Moderator: The first question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Three questions. Firstly on the South market. It's been underperforming for V-Guard for the

year, for the quarter. What's your reading, Mithun, on this? Is it more due to competition or is it anything else? Especially wires and Durables for fourth quarter looks really low to me.

Mithun Chittilappilly: Okay. Yes, the South market is fairly mature for us. We don't have that much avenues of growth in terms of distribution expansion. So, most of the growth is organically coming and some of the growth is coming by way of introduction of new products. So with the kind of challenging environment as we saw in the last year with huge inflation and softening consumer demand, there has been, there is growth of 9%, what we have achieved. But having said that, even traditionally pre-COVID South was growing at something like 8% to 9% and non-South was growing at something like 22%, and that's how the average was coming to around 15%. So, we're doing ok ay with the South market growth of 9%. It's not very high, but it's probably reflective of the fact that it's a fairly mature market. And sorry, the second question is?

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Rahul Agarwal: No, second question essentially was a reflection of fourth quarter performance also that whilst Durables ' top line look pretty low to me, but the more important question here is that since you said in South, we cannot expand distribution more. So, this performance of 9% Y-o-Y, maybe 15%, 20% non-South, does that continue next year? That's more important to understand.

Mithun Chittilappilly: Yes. I think this was the -- of course, as we grow larger in non-South, the base is getting large, but we still have some white spaces even in non-South. So, we are probably only present in the larger towns and cities in non-South. We've not really explored the upcountry markets much because we are building a new brand. So, we still have lot of levers in non-South to grow. If you ask me non-South market is actually roughly 60% of the total India market and about 35% to 40% is the Southern part of the country. So in that sense, we still have some more way to go in terms of distribution expansion.

Rahul Agarwal: Perfect. Got it. Secondly, on Sunflame, in your press release, you have given consol P&L as well as the ex-Sunflame P&L. I'm just trying to remove the EBITDA difference, that's INR10 crores. Obviously, there is a one-off sitting there, which is INR10 crores, which is including other expense. Is that correct, Sudarshan?

Sudarshan Kasturi: So, you're trying to work out Sunflame EBITDA? Is it? That was INR8 crores for the quarter. That's the difference.

Rahul Agarwal: But the EBIT reported is INR14 crores, so I was bit confused how is that?

Mithun Chittilappilly: No, the Sunflame -- we will recheck that. But what I remember saying was Sunflame revenue...

Sudarshan Kasturi: Sunflame revenue was about INR57 crores something and EBITDA was ...

The other INR10 crores what you mentioned is one-off is in the V-Guard costs.

Mithun Chittilappilly: It's sitting in other expenses of V-Guard.

Rahul Agarwal: Okay. So maybe I'll repeat my question. What I meant is Sunflame difference is INR57 crores on revenue. The EBIT reported in Sunflame is INR8 crores. Is that correct?

Sudarshan Kasturi: Yes. Correct.

Rahul Agarwal: Can I get the EBITDA number for Sunflame?

Sudarshan Kasturi: Just give me a moment. I will tell you.

Mithun Chittilappilly: We will come back on that.

Sudarshan Kasturi: We will come back on that.

Mithun Chittilappilly: We will connect offline on this number.

Rahul Agarwal: Okay. Just last question on the debt side. So, my understanding was we had INR400 crores cash, and we were drawing about INR300 crores for the acquisition. When I see the balance sheet

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right now, it has INR270 crores long term, which I understand is more for Sunflame. But why do we have INR150 crores short term? I just need to get a clarification on that. That's all. That's my last question.

Sudarshan Kasturi: Yes. No, we took a funding mix like that. We took a long-term funding of INR275 crores and then the short-term reflects vendor financing, which is a working capital facility. So, that was the funding which we used.

Mithun Chittilappilly: So V-Guard was not using its working capital facilities and we decided to use a mixture of the working capital facilities to a smaller degree and, of course, long term debt to a larger degree. So it gives us some flexibility to keep the debt down as we go forward.

Rahul Agarwal: Got it. Perfect. All the best for the year. I come back in the queue.

Moderator: We have the next question from the line of Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: Sir, my first question is again regarding Sunflame integration. You did speak about that a little bit in your

opening remarks. But could you throw some more colour as to what are the key steps of integration that you propose to take, both in terms of back-end integration as well as front-end integration? Also, if you could share any milestone revenue or cost synergies that you propose to get out of this integration?

Mithun Chittilappilly: Okay. Ram, you want to take this?

Ramachandran V: Yes, Mithun. I'll do that. I think Sunflame is going to continue as a standalone entity operationally, and it will run independent of V-Guard, so that the 2 brands are able to compete. Again, they also have the different advantages in terms of cost structure and go-to-market s. So, at this stage, we are keeping these two separate. So that's the first part.

In terms of how we will try to create a benefit and impact on Sunflame, would be through some of our central capabilities like maybe trade, procurement like, for example, if you may talk about customer service, so these are areas where we will be bringing our capability and know-how to benefit the Sunflame business. I think that was your question, right? So, there is no direct integration between Sunflame and V-Guard. We are going to operate separately.

Sonali Salgaonkar: Right. But in terms of, say, production, so V-Guard outsources, if I'm correct, about 50% of the production.

Ramachandran V:

No, no. So as far as kitchen is concerned, again, in the short term, they continue to run as separate entities. V-Guard is setting up its own manufacturing facility, which is underway in Vapi and that fundamentally, we are looking at the gas stove and mixer grinders. At this stage, immediately, we don't have any plans to shift our sourcing of gas stoves to Sunflame, but these are things that we will see because we are putting our capacity in place independent of Sunflame.

Sonali Salgaonkar: I understand. What is the capex guidance for FY'24?

Mithun Chittilappilly: Sudarshan?

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Sudarshan Kasturi: Capex will be around INR100 crores.

Sonali Salgaonkar: I understand. Any cost or revenue synergies you would like to quantify that you propose to get from Sunflame, say, in your one-off integration or your two-off integration?

Mithun Chittilappilly: I think at this moment, we won't like to quantify anything. But yes, there are going to be synergies in sourcing, freight, packaging, stuff like that. There may be even synergies by sourcing through Sunflame vendors for V-Guard as well, especially for gas stove and chimneys. So, these are things. At the moment, we are not going to quantify it. But I think for us, the low-hanging fruits for Sunflame today has very little presence in e-commerce, which is usually about 25% to 40% of the kitchen business in India today and Sunflame has very little presence in modern trade. Again, maybe 20% of the business in India today.

So barring GT, we will be aggressively driving the other channels for Sunflame. Sunflame is very strong in canteen and GT, but the other two channels is missing from its portfolio. So, our focus will be on driving revenue growth for Sunflame first and then working on cost reduction and synergies.

Sonali Salgaonkar: I understand. Second part of the question, Mithun, is also about the distribution network. Are there any advantages in terms of cross-selling that you pursue because Sunflame is more non-South? Also, if you could quantify what is the distribution of the retailer footprint of Sunflame versus V-Guard?

Mithun Chittilappilly: Yes. So Sunflame follows a slightly different distribution strategy. Sunflame works with super stockists, super distributors. So in each state, they have 1 or 2 or in some cases, 3 very large distributors, where Sunflame sells its products on a cash-and-carry basis and the distributor then stores and gives credit to the retailers in GT and then they have their own sales people on the ground selling it. So it's a very different system from V-Guard where V-Guard is more, working directly with retailers, and we have a very large sales force and we have lot of smaller sized distributors. So that's slightly different. So immediately, we are not looking to change much. But yes, in South India, Sunflame's presence is very low. They get only 15% to 18% of the revenues from South India. So, we are aggressively going to grow the Sunflame business in South. Now, we are in the process of hiring people for Sunflame in South. They have a very small team, and we will be aggressively driving that. Right now, we are not looking to change the way Sunflame is doing its GTM. There are advantages to the way they're doing it and also, there are some disadvantages. But at the moment, we are not looking to change it. At some point in the future, yes, we will try to see what is the best way to reach customers of Sunflame, whether we should follow their old selling strategy or move more in line with V-Guard's GT.

Sonali Salgaonkar: Sure. Just one last question from my side regarding the core V-Guard business. Is there any pricing action that you have taken in Q4 or Q1 up until now? How do you see the demand scenario and the channel inventory? That's it from that side.

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Mithun Chittilappilly: So, there has been a reduction in commodity prices as we moved from Q3 to Q4, and we are also seeing further reduction in commodity prices as we move from Q4 to Q1 of this year. So, this means that this kind of is not required - that we need to take any more pricing actions. I think if the pricing remains stable and the raw material prices are still where they are. We should, in fact, slowly in the next 4 months, be back to the pre-COVID levels of gross margin. So it does mean that we have finished that super cycle inflation of commodities and we are back to where it was probably pre-COVID.

Sonali Salgaonkar: And on demand and channel inventory?

Mithun Chittilappilly: Demand is weak. As you can see from our numbers and probably our peers, the demand has slowed down quite a bit in the country. I think the all-round inflation of foods, fuel, everything has taken a toll on consumer sentiment and demand. Of course, the constant increase in interest rates also has put some stop in terms of ability for retailers to borrow and all that. Basically, lot of tightening has gone down. So retailers are also not stocking like they used to before this whole thing started. But we think that maybe Q2 onwards, we should start to see some revival in demand because now fuel prices have come off. We are seeing prices of a lot of the other items have also come down. We are hoping that with this kind of reduction in inflation, hopefully, we will probably enter the reduction in interest rate cycle, which should fuel demand. I think that sometime mid of next year, this year that this should happen.

Moderator: We have the next question from Mr. Achal Lohade from JM Financial.

Achal Lohade: Okay. Sir, the first question is with respect to Sunflame. Is it the right understanding that earlier we were talking about acquiring this business and being part of the standalone and now we are talking about running the other independent business, is that understanding right?

Mithun Chittilappilly: Yes. So, yes, Ram can go over that.

Ramachandran V : Yes. Sorry, if I understood your question correctly, you were wondering whether earlier our intent was to merge it and now we are running it separately. Is that what you're saying?

Achal Lohade: Yes.

Ramachandran V : No, no, that's not correct. The reason that we are running this independently is that, fundamentally, each business system has its advantages and therefore, we are keeping them apart. The cost structure and the GTM of the two businesses are very different. That's the reason why, at least in the near-to-midterm, they are going to run as separate entities. This is because there is a risk that there will be dilution in focus for Sunflame, right? So, we would like to focus and grow the Sunflame business.

As Mithun said, we believe there is a fantastic opportunity to grow the Sunflame business. I mean, it's an extremely reputed and well-known brand with very, very high top-of-mind awareness and recall in the kitchen category. There are very strong growth levers like South, modern trade and e-commerce. We think that the value that we can create, by focusing on

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Sunflame is far more than integrating it because integrating it will certainly bring efficiencies, but I think the focus and the ability to grow the business will get impacted. That's the reason why we're going to run these two separately initially.

We also have our own kitchen business and we need to figure how we are going to play the two-brand architecture to grow more aggressively in the kitchen business. I think it's fair enough to say that it was never our intent that we will immediately merge that business into V-Guard. It was always our intent that we would like to run these two businesses separately, so that we can focus parallelly.

Because what has also

been happening is lot of work has happened within V-Guard on the V-Guard kitchen business. As you can see that, we have set up our own manufacturing facility, and we have our own growth plans for, as you know, with all inorganic, right, until it is done, there is always uncertainty, right? So, we had our own plans for the growth of the V-Guard business, and we have made investments for the growth of V-Guard business, right? Bringing them together is detrimental to the growth of both these, right?

Achal Lohade: Understood. The second question I had, sir, is it possible for FY '23 as a whole, if you could give some clarity in terms of the growth in stabilizers, inverters, cables and wires, switches, etcetera?

You may not give the mix, but at least the growth, if it is in percentage?

Mithun Chittilappilly: So, we don't give out the product wise numbers, but I can tell you the stabilizer business has

recorded a pretty strong growth, and that's been primarily responsible for driving the growth in Electronics. The rest are okay, I mean, like the wire business has done a decent job. It was pretty good in the first 6 months, but last 6 months, the growth has slowed down because of reduction in copper prices and destocking by retailers. So that's the broad colour I can give on the various segments.

Of course, Consumer Durables, as you know, is the segment with most number of new product categories. So it's on a low base, growing fast, but of course, margins are a concern. I think we are able to see some significant improvement in margins in CD even in this quarter and going forward because the margins in both water heaters and fans were impacted in this commodity cycle. In fans, at least we are able to see good improvement in margins going forward. I think once the water heater season starts, there also we'll start to see improvement in margins as we consume the new lower cost RM.

Achal Lohade: Understood. Any broad number you would talk about in terms of the growth for FY '24? Would that be in double digit, high single digit? Any colour?

Mithun Chittilappilly: So, we are hoping that we can grow by 14% to 16% in the coming year, that is FY '24.

Achal Lohade: This is including Sunflame you're talking, right?

Mithun Chittilappilly: No, no. This is without Sunflame. Sunflame will be an additional number.

Achal Lohade: Right. On this 14% to 16%, what will drive it, if you could give some more clarity on that, sir?

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Mithun Chittilappilly: So what we can see is the Electronics segment will continue to grow well. I mean, we have had a good start to the year. Last year, we did not have a very good Q1 for electronics, and that impacted at least 6 months growth for Electronics. So electronics segment, it's rebounding back to its pre-COVID kind of growth. It will have like the CD will grow at a high level and followed by Electronics and then Electricals. So that's obviously the growth there.

Moderator: We will proceed with the next question, which will be from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: Yes. Sir, in the Electronics segment, your revenue growth, I am seeing it on a Q-on-Q basis, it has increased sharply. But vis-a-vis, if you see the margins there, that has not really improved. So can you just throw some colour on that as to what is not really driving the margins there? Is it battery?

Mithun Chittilappilly: No. So in the Electronics segment, there are two large categories, that is the stabilizer business and the inverter business. What happens is in every quarter, the product mix is different. So in Q1 and Q4, we sell lot of air conditioner stabilizers and inverters and batteries, whereas in Q2 and Q3, it's mainly the refrigerator and television stabilizers and to a lower extent inverters because it's off-season for inverters. So the margins for the non-air

conditioner stabilizers are

fairly high, and that's why the margins are looking good for Q2 and Q3 for Electronics. Because product mixes are different in different quarters. So maybe it's better to compare them Y-o-Y basis in terms of margins.

Natasha Jain: Understood, sir. The second question I had was particularly in the battery segment. So sir, in quarter 3, the lead prices have increased sharply and we weren't able to pass on the price. But now in quarter 4, we've seen that the prices for lead has kind of softened. So sir, can you just throw some colour on that as well as to how the inventory is? Do we have high-priced inventory?

Or how are we moving there?

Mithun Chittilappilly: So battery is a perishable product. So, we don't carry much inventory in batteries because it's got a finite shelf life. So typically, in the case of batteries, we try to work with as low inventory as possible. Having said that, if you ask me whether the margins are -- so whether batteries are out of the woods? Not yet. But maybe we're getting there. But in Q4, definitely, the battery margins were still less.

Natasha Jain: All right. Sir, last question -- where are we in terms of manufacturing our own chimney versus importing? Have we ramped up the manufacturing facility in quarter 4?

Mithun Chittilappilly: In the case of V-Guard, particularly V-Guard is moving its chimney procurement from China to domestic vendors. V-Guard is not planning to set up a manufacturing for chimney. However, Sunflame is manufacturing chimneys in India. In case of Sunflame, we are seeing some improvement in margins because they have moved from importing to making chimneys in their new manufacturing facility in Faridabad. So in the case of Sunflame, that is happening. At some point in the future, when the manufacturing systems in Sunflame have stabilized, we will see the possibility of supplying chimneys to V-Guard as well. But at the moment, they are concentrating on only supplying for Sunflame brand.

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Natasha Jain: Understood, sir. Sir, that is all from my side.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Yes. Sir, one question regarding the demand outlook that has considerably slowed down. So what is our internal thought process? When do we see the demand recovering back? Any number that you can see maybe 2 quarters, 3 quarters down? What are the 3 key important things that V-Guard is doing to, in a way, for increase the demand? Also, can you indicate any market share gains or losses in past 1 year in the major categories of V-Guard as well as Sunflame? That's it from my side.

Mithun Chittilappilly: Okay. So the demand continues to be certainly weak. But having said that, there was decent sales for stabilizers in March and April. However, after that, we have had some unseasonal rains and it slightly impacted. But, overall, we are still hoping to do a decent Q1 for summer products. The demand for fans is still little bit subdued because of the changeovers to the new star rating regime, and the fact that the channel is still sitting with inventory of older models, which was pushed out by all the brands in Q2 and Q3. So, that's continuing to be slightly a drag on the overall fan demand.

In terms of what we are doing is, we are constantly working on launching new products. We are having some launches for fans in the upcoming quarters, which we think will have some good, positive impact on demand. We are also going to have some launches on water heaters in the upcoming season.

So, some of the product launches that are going to happen will have some positive impact on product demand. The good news is the inflation has peaked and has started to come down, at least since the last 4 months, and is continuing to do so. As there is going to be reduction in prices of a

ll commodities, including food and non-food and fuel and everything, we hope that the confidence will come back for consumers to start again to spend money. So, I think that's probably going to happen in mid of the current financial year – that's somewhere in the festive season when we are expecting to see some revival in demand, and that's what we see.

Aniruddha Joshi: Sure. Sir, and the key market share?

Mithun Chittilappilly: Okay. We don't give out any market share numbers. But I can say that in the last 2 years to 3 years, V-Guard has gained some market share in fans probably and we have also gained some market share in water heaters. We also had a very low presence in e-commerce business, and we have also probably started to add some market share in the e-commerce side, where traditionally V-Guard was probably a late entrant and a slow mover.

Aniruddha Joshi: Okay. Sure, sir. Very helpful.

Moderator: The next question is from the line of Mr. Achal Lohade from JM Financial.

Achal Lohade: What I wanted to understand is in terms of the distribution, where are we, what kind of growth are we looking at in terms of number of dealers and retailers? If you could also quantify, as of March, what is the retail and the dealer count?

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Mithun Chittilappilly: Okay. Ram, you want to take this?

Ramachandran V : Yes. I think we have traditionally been growing our retail base annually by between 5,000 to 10,000, sorry, 5% to 10%. So typically adding between 3,000 to 5,000 retailers every year. We are very much on course with that kind of an addition.

Achal Lohade: If you could help us with the current statistics?

Ramachandran V : I will give you a precise number. Maybe we'll share offline. But it should be in the region of 50,000 to 60,000, which would be our current base. That's why I said 5% to 10% and 3,000 to 5,000.

Achal Lohade: Right. I'm sorry, I missed out in the earlier question. Did you also give some clarity in terms of the Sunflame – what kind of revenues can one look at, given this is the first full year of operation?

Mithun Chittilappilly: You are asking about Sunflame?

Achal Lohade: Yes. Now, I'm asking on Sunflame.

Mithun Chittilappilly: So Sunflame, we are expecting to do close to INR400 crores to INR425 crores, somewhere in between that in the current year, hopefully.

Achal Lohade: The margin what we had in fourth quarter, sir, Sudarshan sir, have you given the EBITDA number like for Sunflame for -- or the EBIT number?

Sudarshan Kasturi: The EBITDA number for Sunflame is INR9 crores. The details are given in the presentation we circulated last night.

Achal Lohade: Okay.

Mithun Chittilappilly: So Sunflame will do between 12% to 13% EBITDA, because we are also going to invest a lot of the moneys backed into A&P and strengthen the brand, and a lot of the other investments will

go in. So maybe the Q4 EBITDA is looking a little high because there is not much activity in terms of A&P and all that in Q4. But in this year, we will be starting to spend again.

Achal Lohade: Understood. Just one more question with respect to the competitive intensity. I remember in the earlier calls, you have talked about the competitive intensity being way too high in Southern market for some of these categories like wires and water heaters and all given our presence. So if you could talk about how the current scenario is? Are you seeing the intensity is broad-based across the pockets, same intensity or is it kind of moderating?

Mithun Chittilappilly: So Ram, you want to take this?

Ramachandran V: Yes. Sure. I think see, in general, I think the growth outlook has been weaker for quite some time now, I mean, over the last few years. That has kind of triggered hyper competitiveness as every company has got into adjacencies. So, these forces are very much there. We are seeing some b

road contours of consolidation because I think continuous years of, what I would say, attempting to break in and not having a healthy outcome is showing in some instances. I think

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companies are looking at how to organize towards that objective. But, for now, the competitive environment stays, what I would say, it continues to stay aggressive. Yes.

But we should see some semblance or sense maybe in a year or 2, maybe 12 to 18 months off the line. See, all incumbents are trying to hold ground, right? So there is not much scope for -- in an environment like today where growth has been significantly lower, right, for the market in the industry compared to historical growth rates which are pre-COVID growth rates. So, I think companies are holding on to that position and that's kind of making it difficult to move forward through strategies, which are hypercompetitive in nature. We should see things getting better, but right now, thing will continue to seem okay.

Achal Lohade: Understood. Any impact on the margins? Like earlier, you had put a 100 bps margin improvement, gross margin improvement every year. So just wanted to understand if that stays.

Sudarshan Kasturi: I think, I mean our primary task this year is to get back to the range that the gross margins were originally. So while in Q4, there is some improvement, some more has to come. We have to first get to where we were and then improve from there.

Moderator: The next question is from the line of Swati Jhunjhunwala from BOB Capital.

Swati Jhunjhunwala: Yes. Just one question on the ad spend. So, you ended this year with ad spend of around 2.1% and normalized ad spends are around 4.5%, if you see pre-COVID level. So do we expect this 2.1% to go to 4.5% exact like for FY'24 itself or do we expect it to go to around 3%, 3.5%?

Sudarshan Kasturi: So historically, our ad spend is -- hovers between 2.5% to 3.5%. When the times are tough and we are not able to spend, it comes down to 2.5%. In a normal year, it's gone to 3.5%. So,

obviously, if our gross margins recovers to a pre-COVID level and the environment remains like

I'm saying this kind of hypercompetitive activities are not too much there and the environment is conducive, yes, we will probably move to 3% of revenue in the A&P and then progressively it will increase from there.

Swati Jhunjhunwala: Got it. When you say pre-COVID gross margins, that's around 33%, if I'm not wrong?

Sudarshan Kasturi: Yes. Around 32% to 33% we used to do, yes.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: Yes. Sir, could you just throw some light on the pumps business? The last time you had mentioned that the water level was good and therefore, the demand was subdued. So what's happening in this quarter?

Mithun Chittilappilly: So the pump business had a very rough FY '23. We have noticed that most companies have had a similar tough time in terms of lack of growth and of course, which also means hyper competition and lower-priced model launches, onslaught and all that. We are seeing some improvement in sales in May, which means that after a long time, it's starting to grow. So, we'll wait and see what happens. Even we have seen material cost come off from their highs. We had very, very good rain. So water table remain very high throughout the year. Although I'm hoping

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that this year will be a little better. Having said that, we'll wait and see. It's still early days. But there are some indications that this year the pump business should do much better than what we did last year.

Natasha Jain: All right. Sir, my next question is more on the broader macro side rather than very company-specific number. So sir, you've been continuously telling in your con calls that you want to protect

t your margins and you do not want to go to a price -cut strategy just to gain market share because that is not sustainable. And you say that everyone else can do it. So after a point, you stop to gain market share really. Sir, I want to know if you are protecting your margins at the cost of your top line, how quickly can you gain back the lost share? Because in this hypercompetitive market, I believe losing market share is more costly than protecting margins. So sir, what's your take on that?

Mithun Chittilappilly: No. As a strategy, we try not to initiate price wars. But if some competitors want to do it, we will match it and we will defend ourselves. For example, we have lost huge amounts of margins in our water heater business by simply trying to defend our market share. And not only defended but also in fact, we have gained by some of the lost share over the last 3 years.

So it's not that we are sitting idle and waiting for others to take our share. So that's what Ram said that all the incumbents are holding on to their share and we are doing the same. So it's not like we are letting anyone take any market share. What I meant to say that we will not initiate price wars or those kind of things to take. Probably, we will not start it. But if someone starts it, we will respond equally back. Natasha Jain: Got it, sir. Got it. That's all.

Moderator: The next question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Yes. Just two questions. Firstly, April, May, I'm getting feedback from the company that the weather has been funny and rain has been there in North and West. We obviously saw the IPL final also disrupted. What's your view in terms of non-South outperformance? How has it been?

Mithun Chittilappilly: Yes. So our numbers in South and East have been pretty good, and North and West has been subdued for summer products. Whatever you have heard and whatever we've been reading is correct. North and West practically did not have much of a summer where every fourth day or fifth day, there was rain and so it has been funny. But having said that, Eastern markets and Southern markets have done well, where there was pretty warm weather. Again, this is not across. It's state specific. So, we have had some mix of good summer and not so warm summer across.

Rahul Agarwal: Does that impact our Electronics because I think AC is quite a large business for us? My sense is AC secondary sales were pretty weak versus primary. Would you have seen any issues there or maybe fans, how that's been?

Mithun Chittilappilly: So fan is continuing to be slow for a bunch of other reasons apart from weather, like the higher level of inventory of old models sitting in the channel because of people, other brands flushing out all the old inventory in Q3. That's continuing to take some impact because the working

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capital of all the retailers are blocked with the old inventory. So, until that sell-out, that's going to be a challenge.

In the case of air conditioner stabilizers, we've had a good start to the year in the month of April, but May has been very weak. So we'll wait and see. It's not yet over. We still have one more, at least June 15th in North, there is -- there used to be summer. So we'll wait and see. But it's not been; we have had a decent performance by the stabilizers division in April, May.

Rahul Agarwal: Got it. And lastly on Sunflame. So, I got the fourth quarter EBITDA. What I wanted to ask is for full-year fiscal '23, could you share revenue, EBITDA and PAT for the company for Sunflame?

Sudarshan Kasturi: The previous periods don't belong to us.

Rahul Agarwal: Yes. I understand. I understand that. I just need the base.

Sudarshan Kasturi: We won't be able to give you the previous -- the full-year number. The 2.5 months is what we consolidate.

Rahul Agarwal: Okay, sir

. No problem.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya : Sir, just want to understand, if I'm not wrong, you mentioned about 15%, kind of 15%, 16% kind of growth for the next full year. So looking at these demand challenges, what will drive this growth, any particular products or particular geography? Would it be back-ended since near-term demand challenges are there? So if you can just dissect this 15%, 16% kind of growth number.

Mithun Chittilappilly: Yes. So that's the kind of target we set ourselves when we had our annual planning meeting, annual AOP in the month of March. But we have also assumed that we will have a pretty normal summer. So some part of the growth could get impacted. Yes, the demand environment is a bit weak. Summer has not been very robust - it's been okay in some places and it's not been okay in some places. So yes, there is a chance that some of this growth will also come in the last 4 months, 5 months as we prepare for the next year summer.

So yes, we will try to grow 14% to 15%. But yes, there are some challenges through what we see in terms of bad weather and demand, both constricting our ability to grow in the first 4 months, 5 months. But I think, going forward, like I said, we are expecting the effect of inflation that is kind of wearing down and as people have more money in their hands because the fuel,

food and other inflations coming down , we are hopeful that consumers will be coming back again.

Keyur Pandya : Okay. Our second question on the fan side. You mentioned about the higher inventory because of stocking, because of the rating change. So now, I mean, we have always considered fan as more of, say, necessity than discretionary. So this issue is because of the higher stocking because there are challenges at the secondary sales also. If you can just throw some light on that.

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Mithun Chittilappilly: What happened is we had abnormal sale in Q3. I think most companies have had reported very good sales growth in Q3. Even we actually ran out of inventory by October end or something like that. We actually did not have inventory to sell for the old models. So, I think whichever company had a lot of stock of the old model, they just gave whatever kind of discount they wanted and then sold them in the market.

Also, there is a price increase from the old model to the new model. So the retailers were very enthused with the delta of buying something at potentially a 20%, 25% discount from what the new model will look like in January. So, that has enthused a lot of these guys to stock up on these products, and that's what's creating the slowness in the market.

Keyur Pandya : Consumer sales is happening or there is lull at that ?

Mithun Chittilappilly: Even there, I think the summer was not as strong, right? So even there, I think, at least in North and West, the summer has been quite weak. Eastern markets and Southern parts – South markets, summer has been good and we are seeing secondary liquidation. So the secondary liquidation has not happened, also to the extent that it could have happened in North and West. So that also is going to play a -- delay the demand for fans, yes, new fans .

Keyur Pandya : Okay. Understood, sir. Just last one question. So on the Sunflame side, so as you mentioned that V-Guard has kitchen appliances portfolio so has Sunflame. So any timeline on how ; any broad thought we would have definitely given before acquiring the company that how we'll navigate through this? What is the medium- term plan for both of these brands and would it be geography - specific or do you layer it one over the other? So what is the thought over medium term?

Mithun Chittilappilly: Yes. Ram, you want to take this?

Ramachandran V : Yes. I think, at this point in time, we would not

like to outline in more detail. I think we are also doing some work because we need to get into the company and the brand and understand the business and the brand and its customer base better, right? So, we are in that stage of the journey.

It has been ; we will be playing a two-brand strategy. So it's not like it's one or the other . It will be V -Guard and Sunflame. The contours of how we are going to play this, I think that's something that we are in the course of exploring and discovering, right?

So, I think that is work in progress. I think whenever that we would be in a shape to share, I'm sure we will share. But at this stage, I think we are still in the discovery phase, right? I think mostly, we've been focused on taking control of the operation. It was a promoter -driven business side. Taking control has been the primary focus for us in the first 6 months and then we will move forward towards, what I would say, how do we compete and how do we grow the combined franchise, right?

But yes, I think what we are clear about is what brands are going to coexist and that we will have a strategy and approach that will allow both brands to, what I would say, play in the marketplace, focusing on different consumer segments, right? So that's going to be our approach.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.

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Natasha Jain: Yes. Sir, my question is more of a follow -up on what the last participant had asked. So sir, in fans, what I understand is the market is very saturated and the demand is mostly a replacement demand, which is usually slower than the first -time demand. Now having that background in mind, just 2 days ago, Atomberg kind of raised good amount of money. Now understanding that their moat was BLDC, which is now replicated across players, so that moat goes away. So sir, then is it true to assume that there is still a very big market, which remains for fans? How do you see it in the long term?

Mithun Chittilappilly: No, fan is a very, very old product. It's not a new category as such. So, you're right in thinking and discovering that most of the demand is replacement. Of course, there is some new demand when our people build new houses, people build new apartments, buy new apartments and furnish it, fans will get sold. But a large part is replacement demand.

What has been happening in the fan space and across broadly with Indian consumers is, as the

value of the houses go up, as the amount of money people are spending into interiors is going up, we'll be spending on interiors like decorative fans, premium interiors and all that. The average price of the fan is going up. So although the number of fans sold may not go up significantly, we believe the average price per fan will continue to go up and even BLDC is going to increase the prices by 20% to 30% per fan.

What will probably happen is that the market growth for fans, a lot of it will come from the value growth of fans. Today, some segment of people are spending money in terms of fans, but there's still large part of the fans business still economy. So once what we believe in the next 10 years will happen, surely, the economy segment will reduce to probably, mainly institutions and those kind of customers buying in and then the retail customers would be starting to spend more and it has already started to happen. So on fans that is the case.

We don't comment on competitors and all this. But yes, Atomberg is a startup and they are running the business like a start-up. We would like to see every company in the business to run a profitable business.

Natasha Jain: Understood, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Mithun Chittilappilly: I would like

to thank Deepak Agarwal: and PhillipCapital for hosting this call, and thank you all for your patient listening. That's all from my side. Thank you.

Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: Aug 2023

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August 18, 2023

The Manager,

Listing Department,

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Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001 The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra- Kurla Complex,

Bandra- East,

Mumbai - 400 051

Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Financial Results for the quarter ended June 30, 2023 .

This is with reference to the intimation dated July 29, 2023, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding the earnings call to discuss the Financial Results for the quarter ended June 30, 2023, scheduled on August 10, 2023. The audio recording was duly filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q1-Transcripts.pdf

We request you to kindly take the above information on record.

Thanking You,

Yours Sincerely,

For V -Guard Industries Limited

Vikas Kumar Tak

Company Secretary & Compliance Officer

Membership No. FCS 6618

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Encl: As above

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"V-Guard Industries Limited

Q1 FY '24 Results Conference Call "

August 10, 2023

MANAGEMENT : MR. MITHUN K CHITILAPPILLY –
MANAGING DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V. –
DIRECTOR & CHIEF OPERATING OFFICER – V-GUARD
INDUSTRIES LIMITED

MR. SUDARSHAN KASTURI –
SENIOR VICE PRESIDENT AND CHIEF FINANCIAL
OFFICER – V-GUARD INDUSTRIES LIMITED

M

MODERATOR : MR. ACHAL LOHADE – JM FINANCIAL

V-Guard Industries Limited

August 10, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the V-Guard Industries Limited ("V-Guard") Q1 FY '24 Results Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Achal Lohade from JM Financial. Thank you, and over to you, sir.

Achal Lohade: Yes. Thank you, Zico. Good afternoon, everyone. On behalf of JM Financial Institutional Securities, I welcome you all to Q1 FY '24 earnings conference call of V-Guard Industries Limited. Today, we have with us Senior Management, represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and COO; and Mr. Sudarshan Kasturi, Senior Vice President and CFO.

Without taking much time, I would like to hand over the floor to the management for their opening remarks. Post which, we will open the floor for Q&A. Thank you, and over to you, Mr.

Mithun.

Mithun K Chittilappilly: Thank you, Achal. A very warm welcome to everyone present on today's call. Thank you for joining us today to discuss the operating and financial performance of our Company for the first quarter of financial year 2023-24. I trust all of you have had a chance to refer to our investor presentation which was shared yesterday.

We reported consolidated net revenues of Rs. 1,215 crore in Q1FY24, higher by 19.3% on a YoY basis. Excluding the revenues from Sunflame, the underlying growth is 13.1% YoY. This strong topline growth has been broad-based across all three segments.

In Q1, the South market grew by 9.9% YoY while the Non-South markets grew by 16.7% YoY despite the North market being impacted by adverse weather conditions. Growth in non-South markets has been strong. Our non-South revenues are approaching 50% contribution of the total sales, thereby strengthening the business.

In our Electronics segment, comprising of Stabilizers, UPS and Inverters, we reported revenue growth of 20% YoY. In the Consumer Durables segment, where we market Fans, Water Heaters, Kitchen Appliances and Air Coolers, we registered YoY growth of 10.7%. We continue to make progress towards achieving scale in key Durable categories. In the Electricals segment, which remains our largest revenue contributor comprising Wires, Pumps, Switchgears and Modular Switches, we registered growth of 10% YoY in revenues over Q1FY23.

Gross margins improved to 32.5% this quarter from 30.0% in Q1 last year. Sequentially, there is an improvement by 120 basis points compared to 31.3% in the last quarter. The impact of V-Guard Industries Limited

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softening commodity prices has started to reflect in the gross margin with gradual improvement over the last few quarters. We expect further improvement to reflect in the coming quarters as well.

Consolidated EBITDA excluding other income was Rs. 105 crore in Q1, an increase of 27.7% on a YoY basis. Consolidated PBT was at Rs. 86 crore, grew by 19.9% YoY. This includes a fair value gain of Rs. 7 crore on the Gigadyne investment, which is a one-off item. Profit after tax in Q1FY24 was Rs. 64.2 crore and increase of 20% on a YoY basis.

The strong financial performance that we reported in Q1 has been accompanied by a robust cash generation. As indicated a few quarters ago, we would revert to normative inventory levels as COVID-related supply disruptions diminish. Inventory levels have come down by Rs. 120 crore as compared to a year ago.

During Q1, we completed the integration of Simon Electric Private Limited, with most of the backen

d processes now aligned with the mainstream. The go-to-market approach continues in its original model for the present and we are working on growth strategies to drive, from the combination of both entities.

In the case of Sunflame Enterprises Private Limited ("Sunflame"), business integration is underway at an accelerated pace. The management team is in place enabling first level alignment. We have prioritised the integration of e-commerce, Canteen Stores Department

(CSD) channels teams and initiated expansion in the Southern market where Sunflame did not traditionally have a strong presence. The finance and IT integration for Sunflame has also started. We are working on renewing the portfolio, aligning the distribution channels and will undertake technology interventions wherever required in Sunflame.

With these acquisitions being streamlined, inventories normalised and upward momentum in topline and margin, the business is well placed to execute on plans for growth. We look forward to the upcoming festive season and are hopeful to sustain the growth momentum during the quarters ahead.

With that, I conclude my opening remarks. I would like to thank Achal Lohade and the team at J M Financial for hosting this call and would like to request the moderator to open the floor for Q&A.

Moderator: The first question is from the line of Shubham Aggarwal from Axis Capital.

Shubham Aggarwal: Thanks for the opportunity. Just on the first question on Sunflame, we noted that Q4 only had a part of the revenue. The whole Q4 revenue did not get consolidated. The Q1 revenue has also been weaker for Sunflame. However, we were guiding for INR400 crores or so, but it's weaker, so I just wanted to get a sense. Is it significantly lower or is it lower than our expectations for Sunflame? What should we expect for Sunflame going forward this year?

Ramachandran V. : I think, as far as Sunflame is concerned, it is trending similar to other kitchen companies. There is some stress on kitchen revenues, and that's also reflected for Sunflame. Yes, we had hoped

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that Sunflame – the kitchen category would recover from Q1 this year, but it is still continuing to be weak; you have seen with other kitchen companies who have announced it themselves.

Shubham Aggarwal: I'm saying, is there any change in guidance given the weaker sentiment for kitchen appliances on Sunflame?

Mithun K Chittilappilly: Yes, Sunflame, Q3 is the main quarter. In fact, Q3 is a very large quarter for a company like Sunflame, which has primarily its revenues coming from the non-South market, where Diwali is the main selling season. So we'll wait and see. Some of it, we are expecting it to recover. There are also some one-off issues in terms of, there were some issues with stockouts and there were some issues with CSD ordering system and all that.

So some of those things are being streamlined and we are expecting it to come back. So I think once we finish Q3, we can give a better picture. But, yes, kitchen companies across are reporting muted numbers. In fact, for most companies, either it's flat or negative growth.

Shubham Aggarwal: Moving on to the second question, just wanted to get a sense that the electrical margin seems a bit low, it is on the lower side. Last year, we had inventory losses in the same quarter in the first half. So why is that; can you give some more colour on why the electrical margins are so low right now, in this quarter?

Mithun K Chittilappilly: Yes, Electrical segment is primarily, the margin impact has been primarily on account of A&P. We had a campaign for wires that started in Q1 of this year, so the A&P cost in this quarter is much higher than what it was the previous year. So that's the primary reason for the margin compression. The gross margins are almost comparable.

Shubham Aggarwal: I see that there was only 20 bps inc

rease in the A&P spend on an overall company level. So, the higher allocation has gone towards electrical this year, is that the right way to understand and that's what's led to a lower margin? Can you quantify that how much should I add back to -- how much extra, something that gives you?

Mithun K Chittilappilly: So, the way to look at A&P is, depending on the need, then depending upon our strategic priorities, we spend money on different categories, so this year, because this year we decided to support wires and cables category in Q1 as a part of strengthening our presence in that segment across the country. Last year, there was no campaign for wires in the same quarter. So that's the reason.

In terms of the exact value, we will come back to it.

Sudarshan Kasturi: It had an impact of about 1.8%.

Mithun K Chittilappilly: About 1.8% for the quarter would be impact for electricals for the quarter, because of A&P.

Shubham Aggarwal: Got it, sir. Sir, a very nice set of growth in Electronics that's been continuing even in this quarter.

What is leading to this growth and how do you see this going forward in Electronic s?

Mithun K Chittilappilly: For the past few years, both stabilizer and inverter sales has been impacted due to one reason or the other. I mean, we had multiple COVID waves during summer, due to which our categories

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were impacted. This year, there was strong support of sales from Southern and Eastern markets, whereas in the North, like many other companies, we also faced a lot of headwinds because there was not much of a summer season in the Northern markets. So, I think this year is a good year.

I think it looks like this momentum should continue going forward, and Electronics should do well for the entire year as well.

Shubham Aggarwal: Okay. So, any Electronics EBIT, how should we look at it, the margins going forward?

Mithun K Chittilappilly: Like we had mentioned, there are some commodity prices that has come off and some of it has started to flow. I think we probably will see a little more, maybe a slightly more expansion in margins, but that's not only for Electronics, maybe in other categories, we are expecting some

expansion in gross margins as the quarters go ahead.

Moderator: Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital.

Venkatesh B.: Yes. Again, going back to what Shubham was asking you on Sunflame, now, this is the first full year of operations for Sunflame. What we are trying to understand is, is this like a INR 300 crores business, top line revenue business? Is it like a INR350 crores? Is it a INR400 crores or is it like a INR450 crores? Some kind of ballpark indication for the current year would be very helpful to us in terms of modeling the business, what is the starting point for this business? Is it INR 300 crores? Is it INR450 crores? Or is it like somewhere in between?

Mithun K Chittilappilly: I think we have to understand this that Sunflame is an asset where we have been engaging with the promoters for sale for some time, at least for many years, even at least a couple of years before COVID started. During COVID, what happened is, we had suspended the negotiations, and actually there was a small boom in kitchen appliances across categories. Companies grew very fast and so did Sunflame.

But our original investment philosophy and whatever acquisition costs we had negotiated, we did not change it. So we ended up still buying Sunflame at a reasonable valuation. So, obviously what has happened now is, after that, there was an abnormal boom in the kitchen appliances business during COVID.

Now, across companies, you will start to see, and some of them are already announced, and then you'll start to see in most cases, there is either a flattish kind of a number or some people have degrown, depending on what kind of product mix

each company has. So, I think incase of

Sunflame, we are looking at something like INR 330 crores to INR 350 crores of revenue in the current year.

The good thing to note is that, margins are intact in Sunflame. In fact, we are expecting some margin improvements coming in as the commodity prices are going down. We first want to fix

the basics of the business. For example, the aftersale service for the entity, the quality of aftersales is not as great as what V-Guard customers are used to. So we are first fixing the basics and we are putting boots on the ground to ensure that Sunflame has better reach and sound.

There are some levers that we have activated and some of this may take time to show. But, yes, we are looking at between INR 300 crores to INR 350 crores of revenue in the current year. We V-Guard Industries Limited

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are still hopeful because the decline in kitchen appliances sales started towards the H2 of last year. So to that extent, the basis are going to be low once we start entering post Diwali period.

Venkatesh B.: What about EBIT margins? Is it like a 9% to 10% kind of EBIT margin business? Is that a reasonable assumption?

Mithun K Chittilappilly: Sunflame is between 11% to 12% EBIT margins. Sunflame's margins are higher than that of V-Guard's margins.

Venkatesh B.: Understood. Now, going back to that Electronics' question which was asked, now, obviously, I mean, the quality and quantity of power, which is available from the grid, has improved significantly over the last 10 to 15 years. Now, while we are seeing a jump of 20% in FY '23, we're also seeing a jump of 20% growth Y-o-Y . Is this like normal growth or it is just that it is just a catch up? I mean, is this a category which can go at 10% going forward from next year onwards, or it again trends back to like 4%, 5% kind of level of growth?

Mithun K Chittilappilly: See, it's a heavily dependent category, both inverters and stabilizers are primarily sold in Q4 and Q1. So, what happens is, in a year, if there is not good summer, it affects the category growth for the entire year. If you look at last 4, 5 years at least, the CAGR has been extremely low for Electronics, practically not grown. We do expect it to come back to its original CAGR of about 8% to 9%. This year, we may grow faster than that because in the last few years, there was no growth.

Venkatesh B.: Understood. Another thing, on the segmental numbers, if I see your segmental numbers, consolidated segmental numbers, there's an item called unallocable. Now that unallocable number usually is a negative number, it's around anywhere between INR 2 crores to INR 5 crores kind of a negative number. In this quarter, you have seen a positive number of around INR 2.6 crores. So why is that, that you have a positive number? Is this like a forex gain or is there something else at play here in the first quarter?

Sudarshan Kasturi: These are very small numbers, so they can move from a slight negative to slight positive depending on what items they are. Basically what is unallocated are some financial costs and financial income and some depreciation with non-factory. Sometimes if the finance cost is higher and income is lower, it can go into negative .

Venkatesh B.: One last one from my side – last year, obviously our margins were impacted. Overall consolidated margins were at around 7.8% kind of levels. What is kind of a reasonable level for EBITDA margins in the current year FY '24 and when can we get back to double- digits? Is it

like, we can get back to double-digits in FY '25 or, and what can be achieved in the current year

in terms of EBITDA margin?

Mithun K Chittilappilly: We want the EBITDA margins to basically land somewhere between 9% to 9.5%. As of now, the trend of commodities, barring copper, almost all commodities are trending down. Even in the month of July, I think there has been some slight softening in certain commodities. So, I think the 9% to 9.5% is possible. We will start to see this progressively happening over the quarter as we go ahead.

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Moderator: Our next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi : Yes. Sir, thanks for the opportunity. Consumer Durable margin continues to remain weaker. I understand there is an angle of depreciation of plant. So, if you can indicate what was the EBITDA margin in this quarter versus the previous quarter, or please also suggest how should we think about the EBIT margin improvement over the next 2 years. That is the first question. Secondly, what we understand, the trade margins of Sunflame, they're materially higher than that of V-Guard. So, how are you able to merge the two distribution networks? And what are the likely synergy benefits, whether we will continue with higher trade margins for Sunflame or we will cut them down to V-Guard level? It might be 1, 2 -quarter impact on sales? That's it from my side.

Mithun K Chittilappilly: First of all, our consumer durable (CD), this is the segment where V-Guard has launched the maximum number of new products if you look at the last 7, 8 years. The two large categories in this is fan and water heater. In the case of water heaters, the company is still sitting with a lot of high cost inventory from last year's season, which is not fully sold out, because the season was not as good as we expected. So we expect the high cost inventories to get sold out sometime by October of this financial year.

Partly in Q3 and then in Q4, we should see CD margins going back. It used to be something like 4%, 5% EBIT margin, before we had this kind of huge inflation and commodity pricing and that's also being the category that has been mostly impacted.

Sudarshan Kasturi: If you look at the last two quarters of the previous year, it was in negative territory. At least it's now come to positive 0.3. There's still some more margin recovery to happen in water heaters and fans.

Mithun K Chittilappilly: Yes. Regarding Sunflame, I'll ask Ram to answer .

Ramachandran V.: As far as Sunflame is concerned, these two will run as independent go-to-market systems. There is no plan to merge them. They presently are separate legal entities with independent teams which go to market independently. At this stage, we have just landed the management team in the last quarter. They've just been in the company for 2 to 2.5 months and we will evolve the strategy, going- forward. But there is no plan to integrate Sunflame and V-Guard into the existing system. That's going to remain independent.

Presently, we are maintaining the Sunflame practices till we understand the Sunflame business and what drives it before we move forward in terms of what we can do with the business.

Aniruddha Joshi: Understood. But unless and until both the brands come together as one single entity, how do we see the synergy benefits? Basically what are the synergy benefits that we are building in?

Ramachandran V.: Fundamentally, there are some growth levers and there are some profit levers, right? As far as growth levers are concerned, the entire Southern market, they are absent and that presents a good opportunity. I think e-commerce is again an area where we have a strong business system and V-Guard added with Sunflame, can leverage. I think these are the two key areas.

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The other critical area, fundamentally in terms of, I think, over a period of time, sourcing or, what I would say, supply chain are some areas where we can get the better benefits like, sourcing is like whether it's raw material or packaging material. So these kind of opportunities are there and we are working on some of those kinds.

Mithun K Chittilappilly: If you ask us, our priority is going

to be to integrate the back-end. For example, customer service, sourcing, logistics, these are the areas that we will integrate first. Probably the sales system will be the last because, like you know and you have said, Sunflame has got a very different GTM. There are some advantages and there are some disadvantages with that, but at the moment, we don't want to make any knee-jerk reactions, because there are ; it is a brand that has been there for almost 35, 40 years. So, it has some certain practices and it will take us some time to change those practices.

Moderator: Our next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: Yes. My first question is, can you provide some input on the cables and wire segment performance in terms of the volume growth and what kind of capacity utilization are we working on currently in this segment?

Mithun K Chittilappilly: So, our cables and wires is primarily house wiring cables. We don't make underground cables and cables that are going to infra and stuff like that. I think, our growth in cable, the house wiring cable segment was around close to 13% and I think that its value growth. On the volume growth; it has come back with the volume growth of about 13%, because there has not been much of a price difference.

Renu Baid: Sure. Approximately what capacity utilization are our manufacturing facilities running today in this segment?

Mithun K Chittilappilly: So we have spare capacity. I think, our capacity utilization is not more than 65% to 70% in terms of cables and wires. But we have to understand that the sales are volatile. Like for example, there is a practice of upstocking and destocking depending on how the copper price is going. So, certain months, it can go higher, but on average it is 65% to 70%.

Renu Baid: Sure. Second, while we understand that there is no clear plan as of now for modular or Sunflame, this is a completely different portfolio. But how should we look at the deleveraging plan against finance, which was raised for funding the acquisition?

Mithun K Chittilappilly: On deleveraging, we have already paid down the working capital debt, which we had started to avail once we acquired Sunflame, that is something like INR80 crores, INR 90 crores of working capital.

Sudarshan Kasturi: Yes, INR100 crores, we have been retired already.

Mithun K Chittilappilly: Yes. Of the total INR 400-odd crores of debt, already INR 100 crores has been repaid . V-Guard is already sitting with a cash of close to INR 100-odd crores even after retiring the debt. I think, from April of 2024, V-Guard will start repaying the debt which we have taken for Sunflame. I think, looking at the current cash flow generation of both the entities put together, they are both

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very healthy. So, in about 18 to 24 months' time, we should be probably completing the repayment of most of the debt.

Renu Baid: Sure. Secondly, sir, broadly if you look at the demand environment, what is your reading in terms of the consumption? Where do you see the pockets of consumption being far more weaker than expected and any timelines on recovery?

Mithun K Chittilappilly: Like I said earlier, the kitchen part seems to be a bit stressed. We are hoping that H2 should be better. We started noticing stress on the kitchen business even last year after Diwali. I think that has also got to do with the fact that there was a huge increase in sales in the previous year prior to; that's 2 years back.

The other area where we are worried, there is some soreness we are seeing in the switchgear space, Switches and switchgear also not grown as well as we had hoped, although cables and wires is doing better. So, we'll have to wait and see, it's been a mixed bag. But the good thing is, once we have a good start for the year for any summer -based products, we tend to at least do well in the following quarters, because there is very little inventory in the channels for a product like stabilizers or inverters. Last year and all, we were struggling with a huge channel inventory, and thereby our numbers were muted in the Q2, Q3 for these categories. Overall it looks okay. I think, Onam will also give us some indication on how the consumer spend is going to be for this year.

Renu Baid: On the new products segment, because for the last couple of years, we have been trying to refocus on new segments categories where we can improve the profitability. But despite that, as you mentioned, even performance of some of the segments like switches and all have not been as expected, still a bit softer.

So in your view, it is just that the overall demand environment is weak or somewhere the acceptance of V -Guard brand in some of these new categories have been softer than expected in the Southern markets. And aligned with this, what is the kind of penetration that you're looking for some of these new categories for non-South markets as well?

Ramachandran V. : The newer categories are growing. They're growing faster than market and faster than competition. There is a general softness in the market, and I think you would have seen this from the results that have come. Probably if you are able to separate the B2B outcomes from B2C outcomes, you will have a more broader understanding of the extent of softening.

Last quarter, we have been able to do stronger relatively, in spite of the slowdown. We will have to wait and see as we are entering the festive season, whether it's going to shift the mood. I think some of it has also had to do with heavy rains in certain parts of the country and stuff like that. But there is a larger slowdown in consumption.

Now, in terms of, what I would say, the newer categories, entering into non-South, I think selectively depending on the category, we are moving them into non-South. In fact, the non-South business has by and large been growing. This last quarter has been bad for North and, therefore, North has pulled

down our non-South business for this last quarter, fundamentally because of weather. But otherwise, I think, we are on track.
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We are adding retail partners by category in most new categories, wherever we have taken them to non-South, but primarily, that is switches and switchgears. In the kitchen, we still remain in South. So, primarily the new categories are switches and switchgear-oriented, and these are growing in these markets. And air cooler to some degree which is also growing here.

Renu Baid: My last question is, if you look at the broader framework of the expansion across segment categories, diversification from South to non-South, which now has been over a decade in journey, from the current levels where we ended last year, in your view, how many more years it should take for you to double the revenue from the current level? Would it be like a 3-year journey, a 4-year -plus journey or how are you looking at the market from a slightly longer-term perspective?

Mithun K Chittilappilly: We have always said that, our goal is to hit 50% of revenues from non-South. In some quarters, we are already hitting. If you actually combine the Sunflame's business, it should even go to something like 50% to 53%. I think we have not set a target, in how many years we have to do X number and all that. I think broadly if we get like about 60-odd-percent of revenues from non-South, that would say that we are reasonably mapped to the overall market sizes of both these zones.

Ramachandran V. : So, in our category, South is typically about 38% -- 37%, 38% of the market is South, and 60% to 63% is non-South. Presently, we are hovering between 48% to 50% non-South contribution, not including Sunflame. I think, we should be able to grow this by 2% every year, given the higher growth rate typically, non-

South is enjoying over South.

But I think the last, 2, 3, 4 percentages are going to be harder to come by because it will require more deeper penetration from a channel standpoint. It will also require higher extraction, which will typically come with more maturity of the brands present in those markets. We should be able to see 2% increase in non-South contribution every year over the next 4 to 5 years.

Moderator: Our next question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Yes. Sir, my question is on Electronics. I understood what you explained, but was the mix very different? My understanding is that AC contributes about 70% to stabilizer sales mix and my sense was Q1 was not a great sum for North and non-South, let's say, for V-Guard. So, was the mix very different or you saw growth between stabilizers was pretty equal?

Mithun K Chittilappilly: Yes, AC stabilizers is the main driver for the stabilizer business, in Q1 especially and the other components for Electronics which is inverters and batteries. Yes, North business was impacted.

In North, in fact, there was a degrowth for the stabilizer category. But our business in South and business in East grew very well.

Some of this growth overshadowed degrowth in the Northern market. So that's why overall we have grown well. So I hope this answers. The Eastern, for example, West Bengal, Orissa and Bihar had extremely good summer season, so did Kerala and Tamil Nadu and parts of Andhra.

So, all this kind of compensated for the degrowth in North.

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Rahul Agarwal: Got it. Understand. Secondly, on gross margin, obviously good to see the recovery to 32.5%. Is there more to go here?

Mithun K Chittilappilly: Some of the increases in gross margin have come due to the product mix also. So, there has been a better mix of products because stabilizer contribution has grown faster than the company average. Some of it is due to that. But even other than that, we are expecting some more improvement as the quarters go by. Like I said, we are still having some high cost inventory for certain categories that should go out by October. So, I think in the following orders also, we are hoping to see some improvement in gross margin.

Rahul Agarwal: So, stabilizer obviously won't sustain 20% growth in my understanding. So, obviously that will come down over the course of the year, and water heater might be better in second half. Net-net should be the same or you're saying net wise on a consol level the margin should go up?

Mithun K Chittilappilly: No, I think, even from this level, I think gross margin should improve. Because see, for example, some large categories like water heaters and fans, we have still not got to the levels of gross margin which we should have, what was there before the commodities started shooting up. And there has been some good news on that front in the sense that for some of the commodities like steel and aluminum, prices have softened in the last 2 months. So, some of it should benefit. In water heaters especially, we are still having high cost inventory. I think only by October, we

should be coming back to; so water heaters still whatever we are selling is high cost inventory.

Till that goes out from the system, it's going to impact the overall number in terms of gross margin. That's why we are still expecting a further improvement from this. Another, I think, 1.5% improvement is what we think we should get over the next 3 quarters.

Rahul Agarwal: Mithun, why not in fans, like what is really wrong with fans? I thought the entire old inventory thing is in the past now and prices have gone up.

Mithun K Chittilappilly: Fan does not see an inventory issue. It is just that the North is a big market for fans. So what happens is, when there is a very bad summer season, what happens is some of the price increases that were taken up

by brands in April, finally they resorted to giving discounts in the month of May and June because of heavy rains. So, fans does not have the issue of old cost inventory. Fans see an issue of extra discounts being given by brands because there are very poor sales in the Northern markets.

Rahul Agarwal: Yes. Last question is on non-South, could you help us with more color on what are the gaps here now? Are we like present across states, which states are contributing better and what's the strategy in terms of your sales channel development into non-South markets, please?

Mithun K Chittilappilly: In non-South, maybe 4, 5 years back, we had a huge lag of contribution from Western markets, but that's now largely solved. I think the gap for us will be Delhi, Bombay and Calcutta, the metro cities where our presence is limited, but we are okay with that because those are the toughest markets to break. But otherwise, we are pretty much happy with where we are in terms of our presence. There is, I would say, a pretty strong presence; West was a lagger, but even today, I can say that West is also having very strong presence for V-Guard from what it was five years back.

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Rahul Agarwal: Got it. The last one, small one for Sudarshan, could you help us with the capex needs for this year and next year?

Sudarshan Kasturi: Capex for this year is around INR100 crores; INR100 crores to INR 110 crores. Similar amounts for next year also.

Moderator: Our next question is from the line of Rahul Gajare from Haitong Securities India Private Limited.

Rahul Gajare: Yes. Mithun, some of the questions have been answered, but I just wanted to dwell a little more on the gross margin. Obviously, the product mix has aided the gross margin, but is there any price hike also which have been taken by the company? And if yes, how much is that?

Mithun K Chittilappilly: See, the only price hike that has happened was probably for wires where there was actually; first there was a price decrease because copper was falling and then towards the month of June there was an increase in copper price, so there was an increase in prices. But other than that, I think we are largely done with the regime for price hikes. I think only in fans, I think there is maybe a little bit of gap in pricing that is remaining.

I think most categories are fine. When we look at the replacement costs what we have today, and so we understand where the margins will be in the next 2 to 3 months. Most of them seem to be largely okay. So, price hikes may not be required. We just need the high cost inventory to move out. Maybe in fans, maybe a little bit of pricing action is still required in fans.

Rahul Gajare: With respect to your own manufacturing, now over a period of time, there is a lot of in-house manufacturing that you'll have done. How is it stacked today in terms of your total in-house manufacturing and what is the long-term view as far as manufacturing is concerned?

Mithun K Chittilappilly: Yes. Today I think it's about 60-odd-percent overall. And this number was something like 35-odd-percent if you look at maybe 8, 9 years back. I think, we expected to go to close to 75-odd-percent in the next 3 years. We have 2, 3 more plants that are coming up from various categories.

Once they start contributing meaningfully, we'll probably go to 75%, 76% of the basket being manufactured in our own factory.

Rahul Gajare: My last question is, in your opening remarks, you did highlight there was an exceptional item sitting in other income. I have actually missed that. Can you please give us the details of that?

Mithun K Chittilappilly: Yes. Sudarshan?

Sudarshan Kasturi: Yes. So that one-off item is relating to the investment we made in Gegadyne. There was a INR 33 crores of investment that we made. There was a reassessment or a fair valuation done this quarter; as per

the Accounting Standards, we had to do a fair value adjustment once in a few quarters or so. Thus, coming out of that, there is a gain of INR 7 crores that we recognized, which is part of other income.

Moderator: Our next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Yes. Just had a couple of quick clarifications. Mithun, you mentioned that we can look at another 150 basis points kind of a gross margin improvement over next 3 quarters as our high cost

inventory gets liquidated and raw material costs get softer. But at the same time, you also indicated the gross margin -- the EBITDA margins could be between 9% to 9.5%.

So, what I'm trying to figure out is that, are we planning for substantial investments in terms of employee or A&P or other expenses, which is pulling this, otherwise this should cost 10% in this year itself?

Mithun K Chittilappilly: So, I think, gross margins will increase progressively. So it will not happen that, all the 150 bps will come in the second quarter. Some of it will come in second, some of it will come in third and fourth. So, that's why I said, it will be a mix of, an average of all this, in terms of gross margin. Yes, I think A&P spends are still at least 1% lower than what we would like it to be. We are still at about 2% to 2.2-odd-percent. We would probably like it to go up by another 1 percentage point more once gross margins reverts back to normal. So, yes, so some of it will go back to A&P.

Achal Lohade: Got it. Secondly, with respect to the in-house manufacturing, you said the mix will go up to 74% -- 75-odd-percent over next 3 years. What kind of gross margin improvement can we look at because of that, and as well as EBITDA level margin improvement, purely because of the in-house manufacturing?

Mithun K Chittilappilly: So these are going to be very directional because what will happen is, as we start a new factory, for the first 18 months, we are actually going to probably have a decline in margins because the startup costs, the factory won't be running at full capacity and so on and so forth. So, a lot of the benefits will start to flow in only after the first 18 months. So these factories are not all starting at the same time.

For example, we had one factory that started last year in January. We have one starting this year in January, and then we have some things. So what will happen is, maybe it's too early for us to start talking about margin improvements because some of these will get masked by additional cost of the new factory startup. So, I think once we have completed all the factories and once we start production and majority of the new factories, at that time, maybe it'd be better to come back with this number.

Achal Lohade: Understood. One more question. With respect to distribution, is it fair to say that we've kind of reached a level where we can say that we are fairly present across the country? Or is there a substantial white space which is still remaining, which we can look at over the next couple of years? So, A, in terms of distribution tally, in terms of dealer and retail touchpoint, and how do you see it from a 3-year perspective?

Ramachandran V. : There is room for the depth of distribution to increase, which means that within the markets that we are present in, maybe we can address more outlets or get into smaller towns that we are not servicing. So that the opportunity is there. Second thing is, within our portfolio, the reach may not be uniform across all categories, categories that are recent, right? There is an opportunity to increase the penetration of categories.

The category access is going to be one key access for us to improve the overall market presence of the company. The recent categories will have opportunity to go through that route. I think,

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particularly in non-South, there may be opportunity within the markets we are present and to get into some adjacent markets. So I think that is there. But overall, structurally, in terms of addressing major states and major clusters, we are there already in most of these markets.

Achal Lohade: The count, Ram sir, if you can highlight, what is the count?

Ramachandran V.: We will be adding about 3,000 to 4,000 retailers every year, and that's what we've been saying and we continue to do that.

Moderator: Our next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: Most of my questions have been answered. Just will delve a little deeper segment-wise. Sir, in your Electronics segment, since this has been mostly a quarter for AC stabilizers, can you tell me how the growth in the battery and inverter segment were and have we been able to take a price hike in that segment?

Mithun K Chittilappilly: So we don't give out category-wise numbers, but both stabilizers and inverter battery. Inverters and battery, we don't think of them at two different categories, it's sold as a bundle product. People buy inverter and batteries, and sometimes people buy batteries as replacement also. But both of them have demonstrated healthy growth, and that's contributed to the 20%- odd growth for Electronics.

Natasha Jain: Okay. On price hikes, were you able to take there or not simply because of cross-market expansion or everything?

Mithun K Chittilappilly: No, I think in terms of prices, like I said, was only in the case of fans, I wouldn't say it's even in pricing. I think pricing has improved. But discounts have increased after the summer season in certain parts of the country were not supporting, brands have resorted to additional discounts being given maybe from May 15th onwards.

So, I think that's the only case where maybe real-life pricing has to improve. In other cases, I think, we are today in an environment where most of the categories, except for copper, is in a deflationary trend. Copper being, it's also range -bound, it's not increasing much. So, we don't foresee the requirement for further increases in prices.

Natasha Jain: Understood, sir. Sir, then next to your Electrical segment, I know you're talking about 20% of your revenue is coming from pump. So, how has that segment been specifically taken like that?

Mithun K Chittilappilly: So, pump business has been impacted; it is the second largest category after wires and Electricals. The pump business was impacted in the first 45 days of the quarter, but I think in the month of June, we saw a little improvement. This business has not taken off to the level that some of the other summer category products have done.

So, there still seems to be some challenges. I think this is more of a rural product. So, it could be that there is more stress, but yes, we've come to understand that across brands. Pump business, so it's not degrowing or anything, it's growing at very low single-digit kind of numbers. So, this V-Guard Industries Limited

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is not very encouraging, but we are hoping that the situation will reverse when we have better -
- probably better environment in the rural market.

Natasha Jain: Understood, sir. Sir, considering the results that we posted this quarter, and we still have two seasonal quarters that remain, so are we still maintaining our top line growth of 14% to 16% or do you see a bump up there?

Mithun K Chittilappilly: No, I think, at the moment, we don't like to change anything. And let's see, let's finish a couple more quarters and then we'll come back.

Natasha Jain: All right. And sir, lastly, can you just throw some light as to how the e-commerce and MP segment did both for Sunflame and V-Guard?

Mithun K Chittilappilly: Okay. Ram?

Ramachandran V.: I think, the e-commerce segment for us would have grown at about 20-odd-perce

nt, muted

compared to what typically we have been enjoying. This is to some degree led by just competitiveness, but the growth on the platform has slowed down. I think, Sunflame, we are in the process of integrating the Sunflame e-com business on V-Guard platforms, and V-Guard e-commerce systems. That's going to take some time, maybe another 1 month or 1.5 months before we will start to see the Sunflame business operational for scale up. So, I think, otherwise the Sunflame business continues the old way. I think they do typically about 6% to 7% of the revenue, or maybe 7% to 8% of the revenue that typically comes from e-commerce.

Natasha Jain: Okay. All right. And sir, last question, I could not hear clearly. What was your capex number for FY '24 and '25? If you can just repeat that.

Mithun K Chittilappilly: Capex number?

Natasha Jain: Yes, capex number.

Mithun K Chittilappilly: INR100 crores each.

Natasha Jain: INR100 crores each, all right.

Moderator: Our next question is from the line of Khadija Mantri from Sharekhan.

Khadija Mantri: Yes. I just wanted to know if it is possible for you to provide volume growth on consolidated basis, excluding Sunflame.

Mithun K Chittilappilly: See, I think there is a problem by giving that because we have products like modular switches where the average price of the product is INR 30. And then, we have products like solar water heater where the average price is INR 20,000. So, I think, it may not make much sense. What I'm saying is that when you give out the volume numbers, consolidated-wise, these things could distort.

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Sudarshan Kasturi: But for this quarter, you can assume that pricing has been flat. There's not been much of a pricing action as compared to last year.

Mithun K Chittilappilly: Yes. So from Q4 of last year to Q1 of this year, there is not much of a pricing action.

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of our question-and-answer session.

I would now like to hand the conference over to the management for closing comments.

Mithun K Chittilappilly: Thank you all for participating on this call. I would like to thank Achal Lohade and the team at

JM Financial for hosting this call. Thank you.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and half year ended September 30, 2023.

This is with reference to the information dated October 23, 2023, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding the earnings call to discuss the financial results for the quarter and half year ended September 30, 2023, scheduled on November 01, 2023. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q2-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limited

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618

Encl: As above

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"V-Guard Industries Limited
Q2 FY2024 Earnings Conference Call"

November 01, 2023

ANALYST : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

MANAGEMENT : MR. MITHUN K CHITILAPPILLY – MANAGING
DIRECTOR - V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR & CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

MR. SUDARSHAN KASTURI – SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES
LIMITED
V -Guard Industries Limited
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Page 2 of 13 Moderator: Ladies and gentlemen, good day and welcome to V -Guard Industries Limited ("V-Guard ") Q2 FY2024 earnings conference call hosted by ICICI Securities . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that the conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi , thank you and over to you.

Aniruddha Joshi : Thanks Akshay. On behalf of ICICI Securities we welcome you all to Q 2 FY2024 results conference call of V -Guard . We have with us senior management represented Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior VP and Chief Financial Officer. Now, I hand over the call to the management for the initial comments on the quarterly performance and then we will open the floor for question-and -answer session . Thank you and over to you Sir!

Mithun K Chittilappilly: Thank you, Aniruddha and ICICI Securities for hosting this call. A very warm welcome to everyone present on today's call. Thank you for joining us today to discuss the operating and financial performance of our Company for the second quarter and first half of financial year 2023- 24. I trust all of you have had a chance to refer to our investor presentation which was shared yesterday.

The second quarter witnessed subdued consumer demand especially in the discretionary categories like consumer durables thereby impacting topline growth. We have reported a consolidated Net revenues of Rs. 1,134 crore in Q2, it is higher by almost 15% on a YoY basis. Excluding the revenues from Sunflame, like -for-like comparison, revenue growth is 8.7% YoY. In Q2, the South market grew by 6.7% YoY while the Non -South markets grew by 11.3% YoY. As Non -South markets continue to grow in double digits, their contribution to revenues has increased to 43.8%, indicating the enhanced scale for V -Guard across all regions of the country. In our Electronics segment, comprising of Stabilizers and Inverters, we reported revenue growth of 12.1% YoY. In the Electricals segment, which remains our largest revenue contributor comprising Wires, Pumps, Switchgears and Switches, we registered growth of 9.6% YoY in Q2FY24. In the Consumer Durables segment, where we market Fans, Water Heaters, Kitchen Appliances and Air Coolers, the growth has slowed to 5.1% YoY. The effect of sluggish consumer demand and tepid weather conditions has impacted topline growth particularly in the Consumer Durable segment.

We have reported an improvement in the gross margin to 33.8% in this quarter from 29.3% in Q2 last year, an increase of 450 basis points YoY. Further, the gross margin is also higher by 130 V -Guard Industries Limited
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Page 3 of 13 basis points compared to 32.5% which we reported in first quarter. Softening of commodity prices is reflecting in the gross margin and we are now moving closer towards the pre-covid levels. We believe we can further drive a further 100 basis points improvement to reach the pre-COVID level's gross margin.
EBITDA excluding other income was

Rs. 93 crore in Q2, an increase of 26.5% YoY . In Q2 we have recognised a fair valuation gain of Rs. 10 crore on the Gegadyne investment. Gegadyne is making good progress towards meeting technical and commercial milestones. The V -Guard 's Board has also approved a further investment of Rs. 20 crore in Gegadyne in order to fund scaling up of the pilot plant, product specification improvement and preparatory work required for series B funding.

Excluding other income, EBITDA margin is 8.2% is 80 basis points higher compared to the margin of 7.4% of Q2 of last year. Profit after tax in Q2FY24 was Rs. 59 crore compared with PAT of Rs. 43.7 crore in Q2 of last year, an increase of 35% on a YoY basis. Cash flows have remained strong. Cash from operating activities are at about Rs. 300 Crores during the first six months and it has helped us to fund CAPEX and capacity expansion. We have

also fully repaid the working capital borrowing of Rs. 100 Crores that existed at the beginning of the year.

In V-Guard Consumer Products Limited ("VCPL"), our wholly owned manufacturing subsidiary, we are progressing well as the manufacturing units are coming up as scheduled. The first plant at Pant Nagar has reached its planned output. The battery and kitchen products unit will be commissioned in Q3 and will be scaled up in Q4.

In the case of Sunflame Enterprises Private Limited ("Sunflame"), there is a decline in topline growth although the margins are healthy. The entire kitchen appliances industry at large is currently witnessing sluggish demand. There are also some internal gaps that we have identified and have undertaken actions to arrest the decline. We are also working on initiatives to start realising the synergies between both V-Guard and Sunflame.

Consumer response for our recent launches, like fans and mixer-grinders, has been positive and starting with the upcoming festive season, we expect a strong topline growth in the second half of the year.

With that, I conclude my opening comments. I would like to thank Aniruddha and his team at ICICI Securities for hosting this call. I would like to now request the moderator to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

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Page 4 of 13 Natasha Jain : Good afternoon, gentlemen. My first question is on the electrical side - so our product category consists of wires, switches, and switch gears and all these are ancillaries to real estate which is doing well. What could be the reason for us to not post a stronger double-digit kind of growth here, compared to all our peers so first question is that. In the same segment can you also throw some light as to how the pumps segment is like; are we beginning to see some strength building there or is the market still stressed?

Mithun K Chittilappilly: Okay so regarding electricals V-Guard sells lot of its product on B2C basis - which means we sell through distributors to our retailers, which then goes into individual housing or small projects. V-Guard's presence in very large projects is limited but apart from that most of our peers have also mentioned that demand for house wiring cables has been muted for last quarter so what we have come to know is that even in B2B segment, in house wiring cables. The demand has been muted. The only segment that is doing well is the large infrastructure projects run by central and state governments which are using industrial and underground cables that is the only segment that seems to be doing well within the cable and where V-Guard does not have any presence.

Regarding pumps, yes, so we have now completed almost three-to-four quarters of decline and I think in last quarter onwards we have started

to see an increase in sales. However, it is not enough. The largest contributor in electrical is wires so with the wires sales not growing very fast the entire electrical segment growth has come down to something like 9-10%.

Natasha Jain : Understood Sir, that is helpful. Sir, my second question is on the consumer durables portfolio so our channel checks indicate a slowdown for fans demand and also a possible price cut. Did we at V-Guard experience something similar for fans?

Mithun K Chittilappilly: See we have not cut any prices but I think there were unusual rains in the North and some companies, I think even us, we were forced to offer some discounts in those parts, the northern region, because North was completely washed out. This has also meant that in fans and water heaters especially the price increases that were required to be taken for offsetting the raw material prices increase has not been fully taken. We hope in the next 6 months some of that will get corrected as we enter the season for water heaters and as we will be entering season for fans in March.

Natasha Jain : And Sir how is air coolers?

Mithun K Chittilappilly: I think for us coolers have done well but still coolers on annualized run rate will be close to Rs. 90-100 odd Crores so it is not enough to really pull up the entire consumer durable basket. The larger products like water heaters and fans contribute most. This quarter especially we have seen softening of demand for water heaters which is better last year and that has pulled down the overall performance.

Natasha Jain : Understood Sir. Thank you I have more questions but I will get back in the queue.

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Page 5 of 13 Moderator: Thank you. The next question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Hi good evening thanks for the opportunity, so first question on ECD margins where do you see this number by March 2024?

Mithun K Chittilappilly: So I think we used to be something around 5- 6% EBIT margins for ECD and I think we have indicated that we would like to increase our margins by at least one percentage and most of that increase would come at least 2 -3% of that should come from consumer durable segment . So, we are hopeful that starting with water heater 's season . I think we are also a little unfortunate in the sense we are sitting still with some old inventory of water heaters which were produced last season . I think once that starts getting offloaded we are hopeful of the increase, but we have to also understand the demand is extremely sluggish . So, market leaders , major market brands are refusing to take timely price increases or like someone mentioned earlier , some of them are resorting to price discounts which will mean that it is going to be difficult for us to recover these margins , it will get delayed .

Apart from water heaters, in fans we are seeing some traction so we have some new launches that is gaining good traction and they are also on the premium side so we are hopeful that in fans at least we should see a better performance this year . For water heaters we have to wait and see as the season is yet to start . We are hoping that the winter does kick in soon and that should drive the demand for water heater.

Rahul Agarwal: Got it, second ly on Sunflame - given how the first half has been would you still think that Rs. 330- 350 Crores of top line with 11 -12% operating margin is possible for the full year ?

Mithun K Chittilappilly: So I think we have to also see Sunflame in relation with the performance of the entire kitchen industry . As you would have noticed few of the players have already announced results. The larger players are talking about 15 to 16% YoY revenue decline . Sunflame's decline has been slightly higher because , like we mentioned in the opening

remarks , there were some product gaps

and there were some issues in terms of after sales which have all got resolved .

The new team has settled down well . They came on board only in April and May so they needed 3-4 months to take over the management of Sunflame. I think H2 we should post much better numbers , but we have to also keep in mind that the entire kitchen industry is de growing, sharply . So, our hope is that in relation with the industry we should do better .

I do not think we will be able to post full year increase in sales but I think in H2 we are hoping to at least look at the numbers we did last year , so at least arrest the decline. We will wait and see . I think let us see how the demand goes because we have to also keep in mind that post Diwali , the sales have been very muted for kitchen appliances in last year . So, the base is also low for Sunflame for last year in H2.

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Page 6 of 13 Rahul Agarwal: Got it and lastly on Gegadyne just your 11% equity valuation I think is bit not clear – what is it right now , how will Gegadyne benefit from this investment apart from the monetary upside on the financial side of it and what is the business goal here?

Ramachandran V.: I heard the question Mithun , I will answer . I think there were two parts to the question one was you were trying to understand the source of gain . So, fundamentally what has happened is , there was a valuation on the basis of which we had invested into Gegadyne . Two years had passed , so the accountants , annually they look at these investments and they mark-to-market , so they felt that the technology development agenda has progressed further . With the pilot plant the technology has also been commercialized at a pilot plant scale what was otherwise very basic and getting done at a lab scale. So, I think they wanted to reflect the improved valuation consequent to the progress on technology development and technology commercialization. We have got the valuation done of the entity and we are just reflecting the incremental valuation and accounting it has gained. It is notional so it is remaining on the books and will be the case so on, so it is basically an accounting requirement .

Coming to the second part on how V -Guard will gain from Gegadyne . Gegadyne is not a financial investment for V -Guard, it is a strategic investment for V -Guard . With that investment we are making investment in what I would say in the deep tech space which has high risk also . I mean not every initiative in that space succeeds and we must keep that in mind . But fundamentally we believe that this technology is the best fit for our application in inverter and battery and which is the reason why we have decided to back this technology development . We believe that in the next 18 to 24 months they should be able to move from pilot scale to manufacturing . Once the manufacturing activity commences I think V -Guard should be able to place these products in the market as a V -Guard offering . That should be able to drive our revenues and maybe in time profitability, once the initial investment towards building this concept in the market is through .

Rahul Agarwal: What is the value of Gegadyne today ?

Sudarshan Kasturi : The valuation is now at Rs. 293 Crores.

Rahul Agarwal: Okay Sir. Okay thank you. I will come back in the queue to understand further . Thanks .

Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead .

Bhavin Vithlani : Good evening , gentlemen . My first question is on the electrical segment – if you could just help us understand what percentage of the segment is wires and what was the YoY growth in the

wires segment in the quarter or the first half ?

Mithun K Chittilappilly: See we do not give out these figures so we will discuss this offline ,

but wires is very large part of

electrical . I mean wires is the largest constituent of that sub-category .

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Page 7 of 13 Bhavin Vithlani : So actually the question because you mentioned pumps has been de growing and in that . Ramachandran V.: If I may answer that . I think the wire growth is bringing down the electrical growth . The pump growth is moderate and not recovered to long-term growth levels . Typically pump we would grow between 8 to 12% and I think it is much below that . However we have not degrown for the first half. So the other categories have posted strong growth and cable growth has been lower than the electrical category growth.

Bhavin Vithlani : Because I was little surprised because the KEI results today which they list out the wires '

segment that that segment grew like 22% . So I was a little disappointed looking at single digit

number . Is it something that the competition has got aggressively into class five and which V -

Guard is not in and given the quality standards that you have and that is hampering the growth?

Mithun K Chittilappilly: No I think it is a question of choice . Many years back V-Guard made a choice to be in the B2 C

space so we exited whatever we used to have businesses that was supplying UK system to bank

ATM s which we shut down . We had businesses that were supplying large underground cables to

big EPC contractors which we shut down. These were all conscious choices that were taken from

2009 to 2016 -2017 and for many years EPC business in India struggled but now there seems to a

cycle. So we believe it is a cycle so maybe there is a infrastructure boom that is happening in the

country, probably also it is going to happen before the election and they want to show case some

growth, some investments in the country before the election.

So, all these things will happen but I think in the long term still the consumer business will do

well. Many players like KEI and Polycab are heavily indexed towards projects business whereas

brands like us are more into the retail part of the business . But even in house wiring cables, many

of our larger peers have indicated that there has been slow growth. So, I do not think it is a V-

Guard only issue . KEI I am not sure. I mean again it is a projects company , it is there in retail ,

but it is more of a projects' company . But I can tell you that the retail consumer , B2C part of

wires' business has been slow.

Bhavin Vithlani : The second thing that I want to understand the margins on the consumer durable segment which

has been negative in most quarters even in this quarter . Prior quarters , you highlighted that the

newly commissioned fans facility which was underutilized and it was ramping up and then there

were issues related to the TPW fans which were imported and you had to pivot to the local and

had some cost issues . So if you could just help us understand the negative margins in the

consumer durable segment and the efforts taken by the management to kind of turn these around

and when could we see the 5 -7% margin bracket as you alluded to earlier ?

Ramachandran V.: So I think we need to look at it in two parts , one is gross margin and one is EBITDA. I think

EBITDA is fundamentally , I think the consumer durable growth has been weaker first half of this

year compared to the kind of growth rates that we have been enjoying last two years and

compared to what we had planned. So I think some amount of stress is coming because of that

because the growth has not been adequate to cover the investments that we have been making to

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Page 8 of 13 scale up this business . That is one part of it . I think the other part of it is fundamentally related to the margin recovery . I think while margins on electricals and margins on the electronics have by

and large recovered - gross margin , and we have an intervention in terms of manufacturing

facility coming up for battery and we had commenced factory for inverter and stabilizer , which I

think some more benefits we expect in the next 6 months to one year . So the margin recovery

journey on electronics and electricals is by and large complete right . However , I think because of

the slowness in the market actually the market has been slow from I think September , October of

last year . I think it was more strongly seen in the fan category and kitchen and lately it has also

been seen in water heaters , fundamentally because part of it seasonal . Also because I think the

summers have extended in East and South, so this year the water heater season is slower to come

by. These factors are affecting the top line growth and that is kind of affecting the conversion of

gross margin to EBITDA.

Second thing is the pricing transmission . Because of the slowness in the market there is a lot of

competition , so the pricing transmission has also been impacted . Although our gross margins

have improved in this category, from last year , if you look at a half-year basis we have improved

our gross margin by about two odd percent and probably the exit gross margin maybe even 2.5%

and 3% higher, but I think there is another 3-4% of recovery which has to happen . We have some

interventions in this area - we have product launches in fans and I think that should change the product

mix and support the margin improvement even if the growth is tapered.

Thankfully for us fan growth has been all right. Fan growth has been all right and even air cooler growth has been all right. So, in kitchen again we are setting up a factory, which will help our competitiveness and help us to recover our gross margins in this area. Water heaters and fans are the two categories where we are expecting that it will take some more time. Hopefully in the next 3 to 9 months I think fan should come back, water heater should partly come back towards this upcoming quarter and I think some recovery will happen only next year again when the season starts – because of the lower uptick in water heaters; the inventories are stretching later into the season and that is affecting our ability to benefit from the easing commodity environment. Also because of slower growth, the pricing transition is also getting impacted.

There are no fundamental issues here that come to my mind. Some of the categories will roll over. I think a bit of challenge on water heater synergy, the commodity transition happens for us that part of it is bit of a problem for us compared to the market; but I think to the extent that growth is slower in water heater. So there is some pricing pressure also which can develop.

Keeping all that in mind I would say that it will take slightly longer for water heater to fully recover to pre-COVID levels but you will see some recovery further in the upcoming quarter.

Bhavin Vithlani: Last question from my side if you take out the Sunflame acquisition, while the growth is high single digit 9% thereabouts but the employee cost increase is closer to the 20% mark so could you just help us understand this?

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Page 9 of 13 Sudarshan Kasturi: There are some swings in employee cost when you compare with last year. It basically comes

from one, variable pay provision and second, the addition of some of the subsidiaries. Last year we had reversed the variable pay provision because at the end of H1 it was clear that a payout is not going to happen. This year we have provided in full so there is about a Rs. 20 Crores swing in that alone.

Ramachandran V.: The underlying payroll increase is about 15-16%.

Mithun K Chittilappilly: About 15 to 16% is the like-to-like increase if you remove all the things. Bhav

in Vithlani: Okay so this looks like much higher than the underlying growth in the industry and so is it that are we seeing growth in the other sectors and had pressure on them?

Ramachandran V.: You also need to see this together with our transition from what I would say sourcing to manufacturing right. If you look at it last year we had one new factory come up which was in Pantnagar which was stabilizer and inverter. We have the battery plant and the kitchen plant which is likely to come by end of December. I think staffing cost related to that are also sitting there.

Sudarshan Kasturi: If you take out Sunflame also, Simon Electric Private Limited addition itself has brought in like 120 odd head count plus establishing VCPL and manufacturing unit. So there are some hefty increases which takes the payroll increase to about 15 to 16%.

Bhavin Vithlani: Understand it is just a lag impact.

Ramachandran V.: I think also what needs to happen is that our gross margin improvement has to be more because when we were sourcing, the gross margin was including the manufacturing cost, right, but here that is being accounted below.

Bhavin Vithlani: Thank you so much for taking up my questions.

Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead.

Sonali Salgaonkar: Sir thank you for the opportunity. So my question is an extension to Bhavin's earlier question.

We have seen about 450 bps rise in the gross margin and just about 70 to 80 bps rise in the EBITDA margin. Of course one of that you explained as employee cost but there has been a sharp rise in the other expenses as well wherein we maintain that we have retained our promotion spend about 2.2% of sales. So could you please throw more color as to where we are seeing this increase and how sustainable is this going from?

Mithun K Chittilappilly: I think apart from employee cost and A&P. Of course A&P has not gone up significantly. The other thing that has gone up much more than last year was travel cost. So, the frequency of

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Page 10 of 13 traveling and all that has increased much more because there is no restriction on travel as such so sales team traveling that also includes local and outstation travel that has significantly gone up and also some of it is due to the increases in hotel prices and all that which we have been reading about in the paper. There has been a rebound in tourism. So, some places the hotel prices have gone up significantly so all these things are adding to the other expenditure.

One major item in other expenditure is, what Ram mentioned, outsourced manpower cost – bulk of it is sitting in the factory, they come in other expenditure. Like Ram said the increase in gross

margin had to be more than this to offset that. Some of the increases are due to reduction in commodity prices but some of the increases in V-Guard is also because of a change from outsourcing to in sourcing and once these factories gain scale we will have further increases in gross margin.

Sudarshan Kasturi: The other expenses line has elements relating to factory and during this transition when we are moving from outsourcing to in house the base year and the current year are not really comparable just wait for another two, three quarters then the base also becomes on the same basis.

Sonali Salgaonkar: Sir what percentage of our manufacturing is in house this quarter versus same quarter last year?

Sudarshan Kasturi: Currently it is about 65%.

Mithun K Chittilappilly: There is 65%, last year would have been.

Sudarshan Kasturi: 7-8% less.

Mithun K Chittilappilly: About 8% less.

Ramachandran V.: But also Mithun what happens it is not a matter of sales percentage. Like the factories which are coming up, the manpower there, because they

are all going to get the commissioned in

November, right, people would have been hired before, trained and all those things.

Sudarshan Kasturi: Sonali if you see the movement also it is not really that significant. You look at first half other expenses has gone from Rs. 293 crore to Rs. 370 crore, Rs. 293 crore did not include Sunflame.

Sunflame is Rs. 23 crore, so 293 plus 23 is 316, so Rs. 316 crore has become Rs. 370 crore. It is not really a huge movement.

Sonali Salgaonkar: Understand Sir. Sir my second question is about the festive demand with Navratri behind us what kind of a consumer sentiment did you see especially in your appliances portfolio during the festive season? What are the indications you are getting for the upcoming Diwali season?

Mithun K Chittilappilly: So see like Ram said in fans we are getting traction also because we have some new launches that are doing well. We have recently launched a new range of fans that is getting good traction.

Water heaters like I said more than Diwali, that season is yet to start, Although because of 'big

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Page 11 of 13 billion days' and those kind of pre-Diwali sales, e-commerce seems to be some sales to be happening but general trade sales have not really started. So we will wait and see how it plays out. Typically for us, once we complete the full month of Diwali, only then we can comment but we can say that in water heaters we are still seeing some stress but the others are largely doing okay.

Sonali Salgaonkar: Understand Sir and Sir my last question any significant pricing action if you have taken during Q2 or any planned pricing actions in Q3 either way upwards or downward?

Mithun K Chittilappilly: See there is hardly any pricing actions. At the best, almost entirely it is volume growth, whatever sales growth you are seeing is volume growth. There is no pricing increase happening. Like I said there is still pricing gaps existing in fans, especially ceiling fans and electric water heaters and that we are hoping to take in the next 6-9 months' time. Ceiling fans we believe that the industry has still not fully passed on everything primarily because there was also a major shift from the traditional fans to BLDC fans. So the older models are not finding takers and that is also one of the reasons why some companies have not fully passed it on.

Sonali Salgaonkar: Sir how much of your fans portfolio is premium and how do you define the premium price point?

Ramachandran V.: I think I would say now about 40-45% would be premium products and that would be like closer to Rs. 3,000 plus kind of price contraction.

Sonali Salgaonkar: Understand Sir. Thank you very much for answering my questions.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Sir, we have a fan's facility at Roorkee I guess under a separate subsidiary with a lower tax rate, effective tax rate. But we are still not seeing any reduction in the consolidated tax rate so how should we see the overall profitability happening at the new plant? Any tax rate guidance that you would like to give? That is question one. Secondly, I guess three to four quarters ago I guess we had introduced water purifiers through the e-commerce channel, so any update on that and regarding the general trade launch any update on that?

Sudarshan Kasturi: Roorkee plant is under V-Guard so that will not impact the ETR. The plants which are coming up under the new subsidiary, the only one which has reached scale as of now is Pantnagar. So for the effect to be seen we just need to wait for a few other plant also to come up.

Mithun K Chittilappilly: So the new manufacturing entity, the only plant that is running today is the Pantnagar plant. That is giving us some tax benefit but it

is still small in relation with the overall tax outgo of V-Guard.

We will start to see, maybe end of next year, some reduction in ETRs because as the new manufacturing entity will be under about 17% tax vis-à-vis 25% for the company.

Aniruddha Joshi: And regarding water purifiers?

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Page 12 of 13 Ramachandran V.: Water purifiers are doing well . One of the reasons that we decided to limit to e-commerce is ease

of development of offering and we had very good success with the offerings that we have brought to the market and the e-commerce is doing well. It is today the second largest category after water heaters and even ahead of stabilizers and that is the good part . We will get to mature the product portfolio so that we address consumer needs and we are confident that these products will have constant run. We have a good installed base to get good feedback . I think post that we will get it into general trade. Even there , our focus will be on organized retail because it is easier to reach and better to manage because you being a late entrant in the category , educating the consumers about V-Guard and the benefits of our products will be key for us to break into the market . At this stage we will remain at least for another year on e-com before we plan to market but it is going on course and we are quite satisfied with the kind of traction that we are getting .
Aniruddha Joshi : Okay Sure . Thank you.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Yes, thanks for the followup. The question essentially is on the working capital cycle , the 68 days we have done is quite a bit of an improvement over the last three quarters should we stabilize here or there is more to improve here.

Sudarshan Kasturi : It will be more or less around this some incremental opportunities may be there but it is largely in the right place.

Rahul Agarwal: Okay and secondly on Gegadyne , so obviously it is a strategic investment and there is some business to be done on the inventor battery side of V-Guard . But are we looking for an exit from this company let us say three years down the line where there is a larger fund raise which will happen eventually to get the product to the market .

Sudarshan Kasturi: See we are there as a strategic investor so that means we are interested in that product getting developed and how we can deploy it in our business . When series B investor comes in the ticket size will be much larger so we will hold a small stake. At this point we have not decided whether we will exit or sell. We are interested in the product capability .

Mithun K Chittilappilly: See V-Guard is not in the business of private equity so our current focus is on making sure that this idea moves from lab to pilot plant and from pilot plant to the mother plant , that is the next stage and we are working very closely . We have a couple of people from V-Guard who are working very closely with Gegadyne on that and we will see. I think we can not comment on what we will do after 3 years and 5 years . We will see at that point of time but I mean like I said we have not bought into this company to sell out so to speak .

Rahul Agarwal: That explains. Thank you so much and have a good Diwali, thank you .

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November 01, 2023

Page 13 of 13 Moderator: As there are no further questions , I will now like to hand a conference over to management for closing comments .

Mithun K Chittilappilly: We would like to thank Aniruddha and ICICI Securities for hosting this call. Thank you all for listening and have a Happy Diwali .

Moderator: Thank you. On behalf of ICICI Securities that concludes the conference. Thank you for joining us and you may now disconnect your lines .

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The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: Feb 2024

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and nine months ended December 31, 2023.

This is with reference to the information dated January 23, 2024, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding the earnings call to discuss the financial results for the quarter and nine months ended December 31, 2023, scheduled on February 02, 2024. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q3-2024-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V-Guard Industries Limited

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618

Encl: As above

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"V-Guard Industries Limited
Q3 FY '24 Earnings Conference Call "
February 02, 2024

MANAGEMENT : M R. MITHUN K. CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR & CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

M
R. SUDARSHAN KASTURI – SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES LIMITED
M
MODERATOR : MR. MANOJ GORI - EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of V-Guard Industries Limited ("V -Guard") hosted by Equirus Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Gori from Equirus Securities. Thank you and over to you, Mr. Manoj Gori .

Manoj Gori: Thank you, Zico. Good afternoon, everyone. Welcome to the 3Q Earnings Call of V -Guard Industries Ltd. We have the management being represented today by Mr. Mithun K Chittilappilly, Managing Director; Mr . Ramachandran V, COO, and Mr. Sudarshan Kasturi, CFO.

At this point, I will hand over the floor to Mr. Mithun K Chittilappilly for his initial remarks, post which we can open the floor for Q&A. Over to you, sir.

Mithun K Chittilappilly: Thank you, Manoj. A very warm welcome to everyone present on today's call. Thank you for joining us today to discuss the operating and financial performance of our company for the third quarter of the financial year, 2023-2024. I trust all of you have had a chance to refer to our investor presentation, which was shared yesterday.

Consumer demand remained soft for most of the quarter, presenting a challenging backdrop, though we saw some revival towards the end of the quarter. In this context, we had delivered a resilient performance as we reported a consolidated net revenue of INR 1,165 crores in Q3, higher by 18.6% on a Y -o-Y basis. Excluding revenues from Sunflame, the like -to-like revenue growth was 10.9% Y -o-Y.

In Q3, we saw balanced growth on a geographical basis as the South market grew by 10.6% Y -o-Y, while the non -South market grew 11.2% Y -o-Y. We continue to progress well on our strategy to scale contribution from non-South market, ensuring better diversification for V -Guard across all regions of the country.

The Electronics segment comprising of stabilizers, inverters and batteries delivered good traction with revenue growth of 16.7% Y -o-Y. In the Electricals segment, which remains our large revenue contributor, comprising of wires, pumps, switchgears and modular switches, we registered a growth of 8.3% Y -o-Y in Q3.

In the Consumer Durables segment where we market fans, water heaters, kitchen appliances and air coolers, the revenue growth was 10.9% Y -o-Y. In the case of Sunflame, we had grown revenues by 2% during the quarter, successfully arresting the decline witnessed in the first half of the year. This gives us the confidence that the actions we have undertaken are yielding results, and we are hopeful of accelerating the business in the coming quarters.

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We have reported an improvement in gross margin to 33.9% this quarter from 29.7% in Q3 last year, an increase of 420 basis points Y -o-Y. Gross margin has continuously improved over the last few quarters and we have substantially closed the gap that existed at the beginning of the year.

EBITDA, excluding other income was INR 102 crores in Q3, an increase of 52% on a Y-o-Y basis. The EBITDA margin stands at 8.7%, 190 basis points higher when compared with 6.8% reported in Q3 of last year.

Some one-offs have contributed to cost increases under the other expenditure. There was a write-back of bad debt provision of around INR 11 crores in Q3 of last financial year, which makes it a low base. We have also made a provision of INR 4.5 crores for end-of-life product recycling, as required by a recent legislation. We have also accrued INR 4.5 crores towards the strategic

projects in the Electronics department.

Profit after tax in Q3 was INR 58 crores compared with PAT of INR 39 crores last year, an increase of 48% on a Y -o-Y basis.

The stable working capital has meant that the cash flow remained strong. We intend to repay the term loan taken for the Sunflame acquisition over the next 4 to 6 quarters.

In V-Guard Consumer Products Limited, our wholly owned subsidiary, we are progressing well as the manufacturing units are coming up as scheduled. The electronics plant at Pantnagar is performing well. The battery plant at Hyderabad and the kitchen plant at Vapi will commence

production in Q4 of this financial year.

With the upcoming summer season and indications of demand revival, we remain hopeful of a stronger top line growth in the coming quarter.

With that, I conclude my opening remarks and I would like to thank Manoj and the team at Equirus Securities for hosting this call.

I would like to request the moderator to open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Rahul Agarwal from Incred Equities.

Rahul Agarwal: Thank you so much for the opportunity. My question is on a bit of the longer term, Mithun. So just wanted to understand a few things. Firstly, on the V-Guard standalone business, between the three revenue segments, I think, more or less, we have different product classifications. My sense is ECDs will see the maximum growth followed by Electricals and followed by Electronics going into the next 3 to 5 years. The ranges could be 12% to 15% for ECD, 10% to 12% Electricals and 7% to 8% for Electronics on top line growth is what my understanding is on a CAGR basis. Which products within this could surprise? Because what I understand is 11% to 12% is what we target on a CAGR basis for the overall company. It would help me understand which could surprise and what is the way forward. That would be really helpful. That's my first question.

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Mithun K Chittilappilly: So I think we have different categories of different maturities. If you look at wires, stabilizers and electrical water heaters, these were traditionally large categories for V-Guard and where we are having a substantial market share. And our opportunity to grow organically in these segments are limited.

So I wouldn't say that there is any surprise, but we can say that we internally look at categories as matured and emerging. And so the categories like modular switches, switchgears, kitchen, including Sunflame, fans, although fan is an old category generally, but for V-Guard, it's relatively a new category and is growing fast.

So these are some of the categories that will tend to grow faster. I wouldn't say that any one category will suddenly surprise us or something like that. But the opportunities to grow in some of these categories mentioned later are more than the earlier categories, which are older categories, and V-Guard has covered a significant part of the market already.

Rahul Agarwal: So these categories fall into Electricals and ECDs largely, right?

Mithun K Chittilappilly: Yes. So in Electronics, there is a category like inverter and battery, which is growing fast, but stabilizers is a very old category for us it is the largest category. We are the largest player, so we can't possibly grow much faster than the industry is growing. So we need to probably track the industry growth, yes. So you're right, ECDs will grow the fastest, followed by Electricals and the Electronics space.

Rahul Agarwal: On the margins, would 9.5%, 10% range over the next 2 to 3 years, is that a fair assumption?

And what could surprise there? Because I think a lot of ground has been recovered now.

Mithun K Chittilappilly: Lot of ground has been recovered, but we would like to improve margins in the ECD segment. ECD margins, as you can see,

are the lowest. So we still have a lot of work to do in that area.

We have initiated certain actions in terms of margin improvement projects. So for example, the kitchen factory in Vapi, to a large degree, will address a lot of the margin issues happening in the kitchen appliances space, which is housed there in ECD. We have initiated a lot of new launches and product revamp, followed by interventions in manufacturing for fans, which is also showing good results.

So I agree, if you take these two largely, the margin issues in ECD should also start to look much more healthy than what it is today, even though we are investing more in ECD because a lot of new categories we are incubating.

Rahul Agarwal: So the range of 9.5% to 10%, it is sustainable in the long-term, is that fair to say?

Mithun K Chittilappilly: Yes. Even this year, I think we will be closing somewhere between 9% to 9.5% in EBITDA margins in the current year. So yes, that is sustainable.

We had a very adverse raw material price inflation environment. And as you can see in the last 3 quarters, sequentially, gross margins have been moving up, and they will continue to go up, even through next year.

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Rahul Agarwal: Got it. Second question was on Sunflame. It's been almost a year, I think, we are reaching in terms of acquisition. Wanted to get your sense on three things. Channel, you've discussed that you want to move more offline, sorry, more online, modern trade e-com. But on geography and

product, North and West is 80% of sales. One question here was, are we growing offline for white spaces here?

On the channel, obviously, the intention is to increase modern trade e-com. That's where the industry is. But are the margins similar offline, versus GT and online?

And thirdly, on the product, I think cooktops, chimneys and hobs and hoods are about 50%, 60%

bulk of the top line. What could be the top 3 products to be sold going into next 2 years? What's your plan for the same?

Mithun K Chittilappilly: Okay. So I'll ask Ram to answer this. I think it's a very long-ish question, so as much as we could have understood, we will answer, and then we'll come back to you. Ram?

Ramachandran V : As far as Sunflame is concerned, I think you talked about 25% to 30% of the kitchen business is coming from e-commerce. And the organized retail is also a significant player in this space and some of the categories are also driven by own channel, particularly the built-in cooktops and stuff like that, yes, so hoods and all.

So I think from a channel perspective, we will have to develop these areas. I think we are at the course of, what I would say, supporting the transition. So I think we have strong teams in V -

Guard to address emerging channels, and these teams are working together. They should be helping Sunflame to penetrate in these 2 channels.

The preparatory work is complete as far as e-commerce is concerned, which was basically making sure that the team could transition, get hold of pricing, get the supply chain in place and all of those things. From the upcoming quarter, the current quarter that we are in, I think we should start to see gradual traction as far as kitchen is concerned. It takes 2 to 3 months.

Our GTM for kitchen is very different from Sunflame. Sunflame has, what I would say, an intermediary through whom they go-to market, whereas we are directly present on the platform as a company, and that requires different preparation. So that's why it's taken some time. I think that the preparatory work is out of the way and it takes about 2 to 3 months, maybe even 4 months before products take online traction, that's as far as e-commerce is concerned.

I think the MTRSS's conversations are ongoing, and the teams are in place. And you should see quick traction in that area also, modern trade and RSS (MTRSS). Geo

graphically, I think we

have set up a new team for South for Sunflame. Sunflame has been absent in the South or rather lacking presence in the South, primarily some strong presence in Andhra, but very weak presence in other parts of the market.

The team is on the ground from around the month of August, September. And we should see traction happening on that also. That is as far as the channel and the geography part that you were asking about.

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In terms of the category part, gas, hoods and built-in, these are going to be the 3 primary revenue drivers as we go forward. Built-in, of course, will require investments in terms of shop-in-shop and probably exclusive stores where relevant. So that's something that you can expect to see going forward over the next 12 to 18 months.

So that's covering the channel and the product dimension. What were the other questions? Sorry, the first part of your question?

Rahul Agarwal: So basically, the only part left is a bit more specific on the product side, like top 3 products sold into next 2 to 3 years. Will the mix be largely same or it will change?

Ramachandran V : No, I think, it will be largely the same. I think the contribution of hoods will go up. But otherwise, the contribution in the near term will be the same. But maybe, probably over a 5-year horizon, built-in will also become significant, but may be less significant in a 3-year horizon.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Hi Good afternoon Sir. My first question is on the provisioning that you spoke about, could you just repeat that, about what are the provisions that have been created in this quarter? And what was the strategic project that you spoke about?

Sudarshan Kasturi : Yes. So there are 2 one-offs, which Mithun mentioned. The first one is related to the recent legislation. It's called the Extended Producer Responsibility. It says that these products have to be collected back at the end of their life and recycled. So we have provided some amount for that. That was one of the one-off items.

The second one is relating to some strategic intervention in the inverter's business. So that's a project we accrued at some point across this quarter. So these are the two one-offs.

Aditya Bhartia: Okay. And this Extended Producer Responsibility bit that you did, that was in respect of sales that have been made in the past? Have these provisions been created on a retrospective basis?

Sudarshan Kasturi : Yes. It pertains to sales made in the past. The collection responsibility happens now.

Aditya Bhartia: Understood. And that amount also is roughly INR 4-odd crores, right?

Sudarshan Kasturi : Yes. So both are INR 4.5 crores, each.

Aditya Bhartia: Understood. And what's the strategic intervention in stabilizers that you're speaking about?

Sudarshan Kasturi : No, it is in inverters.

Mithun K Chittilappilly: It's basically that we had some margin issues in inverters and battery businesses. And we also wanted an accelerated sales program done. In fact, this topic was discussed before COVID, but due to COVID, we couldn't start the project. So we are doing it post COVID once the market has stabilized.

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So it is basically, working on margin improvement and sales acceleration in the area of inverters and batteries. Now we have put up 2 world-class plants for manufacturing inverters and 1 for manufacturing batteries. We wanted to make sure that those capacities are used up quickly and profitably.

Aditya Bhartia: Understood. So this is a cost that you'll continue to incur in the subsequent quarters as well, correct?

Mithun K Chittilappilly: Ram, you want to comment? I think they may not be phased equally. So phasing it, in some quarters it will be

more and every quarter, we may not incur this.

Ram, do you want to comment on this?

Ramachandran V : Yes, you are correct. There is a phasing issue also here. So it's likely that 1 or 2 quarters, the initial phasing and the design phase, the deal size is large so the loading will be high and then it will take, at least as far as the consulting is concerned. The EPR responsibility is the past provisioning, right? And the ongoing provisioning is thin and limited, right?

Aditya Bhartia: Sure. Understood. My second question is on the demand scenario that you spoke about, wherein you said that you have started seeing some green shoots towards the end of the quarter. If you could just elaborate a bit on that. What are the changes that you have started to see? Which are the verticals wherein you are seeing stronger growth? And specifically on something like fans, which is a market which I think has gone through a prolonged slowdown, what's the demand scenario looking like?

Mithun K Chittilappilly: So I think to put it in context, last year was the year when we had to cease selling new non-star rated fans. And what we saw in the fan industry was that there was significant amount of discounting and dumping by almost all players of the old type of fans. But I think the fact was known to everyone at least for 12 months.

So for V-Guard, at least, we stopped selling of these fans in November itself. So from December onwards, our sales is primarily for the star rated fans. So in that sense, we did not have this huge overhang of discounted and obsolete products in the market bearing V-Guard's branding for a long period of time.

But I think that is probably the reason that for us, at least in Q3, fans had grown well because our last year's Q3 was not a bumper quarter. It was a normal quarter for us. And because of that, our sales have recovered faster, and we are having pressure inventories in the market.

So I think for us, at least, in Q3, fans have done well because our base last year was not that high. Even in this quarter, I think it will do well because we have some new launches, and there is some good traction we're getting in the market.

Overall, we saw improvement in December. I think barring water heaters where the weather was not that cold at least until the third week of December. There was a slowness in offtake, except for electric water heaters, for the rest of the products, we saw improved sentiment in the month of December. And January also has been decent.

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Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Funds.

Bhavin Vithlani: Thank You Mithun, looks like the good performance is now starting and, hopefully, it continues.

So I have a couple of questions. If you could just maybe give us an understanding on the fans, as a category, because what we have seen from the other peers is that after they reach INR 300 crores, INR 400 crores kind of a range, then they kind of stagnate.

So for V-Guard, we understand now it's closer to USD 100 million plus. So how kind of you can go to INR 1,000-plus crore category and then grow also? That's the question one.

The second part is if you could just help us with what are the management changes you would have done at Sunflame and the other changes that you are doing. Maybe if you could talk about it qualitatively that we could see some acceleration in the growth after that.

And the last bit of the question is on the margins. So within the ECD as a category, if you could just give us a flavour in terms of which is the category that is under indexed in terms of the margins. And what are you working to get the margins to the double-digit category? These are

my questions.

Mithun K Chittilappilly: Okay. So I'll answer the margins part first, and then I will give the rest to Ram. See, in ECD, we have f

ans, water heaters and kitchen appliances. These are the 3 large contributors to the ECD business. We also have air coolers, but that's smaller in size.

In that, both fans and kitchen, we are under indexed in terms of margins. In case of fans, it's also an issue of scale where Fans is a very large market. So even at USD 100 million, we are getting better, but the scale cannot be matched to some of the larger players in the industry.

But in all these places, what we've done is two things. One is we have gone for a backward integration. That means from ; if you look at us 6 years back from almost outsourcing 100% of fans and kitchen appliances, at least in the case of fans, now almost 50%, 60% of the ceiling fans are made by us, which gives us a lot of advantage, one - in terms of finish and quality; two - in terms of the ability to differentiate and three – there is also a cost advantage.

So that is one access, and we will be pursuing the same thing for TPW fans as well as kitchen appliances. The kitchen factory will come in this quarter, and TPW factory is supposed to come up in the next financial year. So with these things, we believe that the margins can be better.

Even in the case of electric water heaters, we are not really happy with the margins because we are slightly under-indexed in the premium part of the electric water heater market. So our sale is primarily coming from the mix segment and the lower end, where the margins are not that great.

So we are undertaking actions to have a better lineup of products. And just like we've done in fans that we have consistently launched premium models in the last 36 months. We will continue to do the activity and will start the activity in water heaters. So all those should significantly improve the health of the Consumer Durables segment.

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One more thing we have to keep in mind is that we are also investing in A & P, we are investing in disproportionate manpower, we are investing in a lot of other promotional activities because ECD houses a lot of the new categories. So that's also one of the reasons why our combined basket in ECD looks slightly lower margin, but we have gotten a lot better this quarter. And I think they will start to see continuous improvement. So this as far as the margin profile and all that regarding ECD is concerned.

Ram, do you want to take the other thing?

Bhavin Vithlani: Yes. I have a just follow up, sorry, on your response. Are the gross margins in the ECD comparable, so it's more to do with, as you said, scale and greater A&P, so as that revenue or the size comes up; that's the whole answer to the margins?

Mithun K Chittilappilly: Yes. It was to a large degree, yes. But like I said, even in fans today, 50% of the fans are still outsourced. So purely on a gross margin basis, we may not be fully comparable because when you are in the outsourcing model, your gross margins are going to be low. Your ability to differentiate is very low because you're getting supplied from ; but yes, to a large degree, yes. So our gross margins are healthy. I think if you look at kitchen appliances business, our gross margins are probably comparable. In the case of fans, we still have maybe a few percentage points to go as far as gross margin is concerned.

But I think we are getting better. I think our presence in the segment of premium fans is improving, much better than what it was 5 years back. And that is definitely; so it's also a mix

issue, right? It's not only that it's only good enough to sell INR 600 crores, INR 800 crores of fans. We need to also sell the right type of fans to ensure that the business remains profitable.

And that's where we are doing work, and we'll continue to do work.

Bhavin Vithlani: Sure, sure.

Ramachandran V : Yes. Just one more point to add to that – if you take something like

fans, I think the throughput

also matters, right? At different output scale from the factory, conversion cost can significantly come down making these.

So it's not only the cost below gross margin. Sometimes, it is even the manufacturing conversion costs, right? It's not only the front line sales overheads, but also manufacturing conversion cost can also be a load. But fundamentally, yes, our businesses are competitive and mostly issue is of scale.

Mithun K Chittilappilly: Ram, do you want to take the other two?

Ramachandran V : Yes. I'll go with the second one. The first question, I forgot, and maybe you can remind me.

So coming to Sunflame, what changes we are making – fundamentally, in Sunflame, we have onboarded 4 key talents. One, we have brought in a CEO for the business, we have brought in a CFO for the business, we have brought in a person to look after the supply side of the business

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and one for HR. So these are the 4 people we have brought into Sunflame to manage and support the Sunflame business. That was the first part.

The second part, the business of e-commerce, the business of modern retail and regional specialty stores and the business of the CPC and CSD canteens. So these we are trying to support through V-Guard's operating teams because, surely, we have deeper and longer relationships. And we have some unique advantages in terms of our business systems, particularly in e-commerce or our relationships in the organized retail space, which should benefit Sunflame. So there, these parts are being managed more recently from the V-Guard teams, particularly in the last, 3 to 4 months.

Second thing, what we have done is we have moved one of our customer service people to support and redesign the service operations of Sunflame, so that we are able to achieve good turnaround time and get the first time right when it comes to complaints. So I think that should lead to a positive word of mouth and should support the brand with the trade and consumer. So these are areas that we have moved on.

We have also tried to move fast and quick in terms of trying to get some efficiencies going. And we have been able to observe significant opportunities for efficiency in the area of transportation management, in the area of packaging. I think these are early quick wins. We are now working on the sourcing side, and we will see what comes up.

We have also initiated a project, which is working on the new operating model, which will be an integrated operating model, where we will clarify sharply what operations will be jointly handled, mostly the back-end ones and which operations will run uniquely, which is the go-to-market part of it, so that we get agility at the end and we get quality and efficiency also.

We have a project going, which is fundamentally working on the operating model. It will also be working on the growth strategy for Sunflame. So I think this, we expect to have an output in place by maybe June or July of this year. And the second half of this year, we should be able to initiate action and start the rollout.

Also we have commenced the integration operation, and we have put SAP in place in Sunflame, so that we have a stronger controls over the transactional side and we have the ability to have faster reporting of MIS.

So now we are able to get the complaint results on the second day or third day, so that we can make quick, better and faster decisions. So these are some of the things that we have put in place.

The first question, if you may just repeat.

Bhavin Vithlani: Sure. So that was on the fans as a category, I mean, if you look back last 20, 25 years. So I think most have kind of struggled with a smaller ones.

Ramachandran V : Yes, now, I remember the question that was on fans. Fundamentally, your question was how will we be able to get beyond

this and not get stagnated like others, right? We are receiving good

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traction and we do believe that we will be able to build out our business beyond INR 1,000 crores revenue in the next couple of years.

That's fundamentally going to happen on the back of improved competitiveness and improved offerings, particularly in the premium segment, right? So I think these are the major drivers.

There are some favourable factors out there in the market. So there are some changes that are happening in the market. I think the BLDC itself is a significant change. And in this situation, the segmentation and the established offerings, right, are getting disturbed. And the new platforms are getting established in the market, right?

And that presents a very good opportunity for someone to be able to enter and establish new offerings in the market because everybody is on an even footing then. So I think that should help and that should favour and support someone like us and make it easier for us to establish, right?

And fundamentally, the other thing that we are doing is we are working to improve our visibility and presence in the retail, so that we can improve the ability for our fans to get into the consideration set of the shoppers.

We are bringing in a lot of focus in improving the displays of our offerings because we have some great offerings and they would merit significantly higher throughput, but many-a-times are constrained either because of reach or because of visibility.

There is a lot of focus around making sure that our offerings are visible to shoppers and so that we are able to get better traction. So these are the primary drivers, which will support the growth of our fans business.

Moderator: The next question is from the line of Shubham Aggarwal from Axis Capital.

Shubham Aggarwal : Thank you for the opportunity. Just a few questions. First one is on the Electronics segment. Can you give what's the current breakup of stabilizer, inverters and battery? That's one.

And we've seen healthy double -digit growth in this segment in this quarter and in the last quarter as well. Stabilizer is a reasonably big part of this portfolio. What's leading to this growth? And what do you see going forward?

Mithun K Chittilappilly: So we don't give out product's separate numbers. So sorry, what is the second part of the question?

Shubham Aggarwal : The growth has been good in this segment. How do you see it shaping up going forward because we understand that stabilizers is a large part of this business?

Mithun K Chittilappilly: Yes. See what happens is the stabilizer business is largely dependent on; almost 15% of the revenue comes from the air conditioner stabilizer segment, which is the stabilizer, and most of it is in summer. And same thing with the inverters. It's also a seasonal business, where a high summer is required for a good sale.

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What has happened is from 2021 - FY '21, FY '22 and FY '23, we had disruptions, either due to COVID or due to cold summer and stuff like that. So some of this is also that the growth is reverting back towards long-term growth. And last year, for example , sorry, this financial year, we had a very good summer in South and East, and we had very intermittent rains in North and West.

So it's primarily weather dependent. In the case of inverters, I think probably next year, we will start to see some improvement in sales because, like we said, we are doing an intervention for sales activation. So some of that, we are expecting to bear fruits next year.

Shubham Aggarwal : Fair enough, sir. So this intervention, which you've done, I believe this is INR 4 crores this quarter. And this will continue for how many quarters, in 2 years, 3 years or whatever, can you give some sense?

Mithun K

Chittilappilly: Like I said, the project is running for between 12 to 14 months, but the charge on P&L may not be equal in every quarter. I think this quarter, we have booked INR 4.5 crores, but we are not expecting every quarter to be like that. Maybe next quarter, it will be 60%, 70% of that. And then following quarter, it maybe 10%, 20%, lower than that. So it won't be an equal charge across all quarters.

Shubham Aggarwal : Now second, would you be able to give some understanding of where do we see all these categories growing ? Category -wise, you already highlighted earlier that some products are mature, some products are not mature. But at the category level, would you be able to guide on the growth that you see over the next 2, 3 years?

Mithun K Chittilappilly: On a blended basis, we should be looking at 12.5% to 15% growth. If you look at the current year, barring wires where there is some slowdown in the B2C segment, and we are largely present in the B2C space in wires. Whereas the B2B part of cables and underground cables seem to be growing very well. The B2C part is slightly impacted due to various issues, inflation and poor rural demand and fluctuations in copper prices and so on and so forth.

So even in the current year, we are looking at that kind of a growth. And we typically try to grow our top line by 15% every year, and that's something we'll try to do. We don't give out revenue guidance by category. It may be difficult also to do because various things happen. 40%, 50% of our products are heavily dependent on summer. And it's very tough for us to give the long-term guidance on how it will grow each year. So we don't typically do that.

Shubham Aggarwal : I just have one last question. This is on Sunflame . We saw good margin expansion Q -o-Q in Sunflame. Do you expect this to sustain or improve? How do we see this, since you've also talked about a lot of efficiency and the things you're doing in Sunflame, the growth will pick up, we understand ; where do we see the margins?

Mithun K Chittilappilly: Yes. I think like Ram mentioned, I think we have had some margin improvements , quick -wins, like transportation, packaging and all that. And there are more interventions being planned.

I think as far as gross margin is concerned, we are very happy with where Sunflame is. And I think our focus will be more on accelerating the sales. If you look at the Sunflame margins today,

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they are at par or better than many of the industry players because of its superior product mix and price realization in the market. So our focus will be on improving the sales acceleration going forward.

Shubham Aggarwal : Right. So it is good to understand that the margins at 10.8% will inch towards that 14.5%, which

was where Sunflame was earlier on in Q4 last year.

Mithun K Chittilappilly: Yes. I think with the right kind of volume, we should hit that. But we will also see ; we will also try to invest more back in the brand. So I don't want to give out any margin guidance, so I'm just saying that we're happy with the gross margin improvement.

A lot of the EBIT margins will also depend on how much we plough back into A&P and all that.

And we will be significantly investing back in the brand because we would like to scale it up much larger than what it is today. So our focus may not be to increase EBIT from this level, but more to increase sales.

Shubham Aggarwal : Okay. So broadly, I understand that the margins will be better than what they were this quarter, though they might not inch too much, that's what my understanding is.

Mithun K Chittilappilly: Yes. Correct.

Moderator: Our next question is from the line of Mukesh Patil who is an investor.

Mukesh Patil : Thank You Sir. Just one question regarding the wires business. So what is the percentage of wire business in our business and how is it growing?

Mithun K Chittilappilly: Yes. Regarding wire, I think we mentioned that wire is our largest category. But for V-Guard, almost 95% of our sales comes from retail trade for house wiring cables. We are not present in industrial cables and LT cables and underground cables. In that sense, the wire business has been under pressure this year. I think our growth has been muted, not only us, it is across the industry. Primarily, we see that there has been huge inflation across building product segments. And if you not only look at us, but if you look at sanitary tiles and those kind of companies are also reporting muted numbers.

We also think that it can be a timing issue. So a lot of people are speculating that as there is a lot of push for housing coming in, 12 months down the line, the demand for electrification for those houses should pick up and then improve the sales of wires.

Mukesh Patil : And what is the capacity utilization we are in for this business?

Mithun K Chittilappilly: One second. It is about 68% to 70% is the capacity utilization for the wire factory.

Mukesh Patil : And what is the percentage of total revenue is the wires business?

Mithun K Chittilappilly: It is about 27%, 28% of total revenues.

Mukesh Patil : Okay. And what kind of capex are we looking at for next 2 years?

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Mithun K Chittilappilly: No, in the wire business, we just raised a large capex in the last 18 months, we had expanded capacity. We are having spare capacity and even with a small investment, we can further expand the capacity. So today, I don't think we'll have any huge capex over the next 36 months for wires.

Mukesh Patil : It is the overall business that I'm talking about, not the wires business.

Mithun K Chittilappilly: Overall business, capex will be roughly INR 80 crores. I think this year also, it is about INR80 crores, INR90 crores. Next year also will be about INR80 crores, INR 90 crores.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Mithun K Chittilappilly: We would like to thank Manoj and the Equirus team for hosting this call and thank you all for your participation.

Moderator: Thank You. On behalf of V-Guard Industries Ltd, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: May 2024

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CIN: L31200KL1996PLC010010

May 24, 2024

The Manager,

Listing Department,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001 The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra- Kurla Complex,

Bandra- East,

Mumbai - 400 051

Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and year ended March 31, 2024.

This is with reference to the intimation dated May 06, 2024, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding the earnings call to discuss the financial results for the quarter and year ended March 31, 2024, scheduled on May 17, 2024. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q4-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,

Yours Sincerely,

For V-Guard Industries Limited

Vikas Kumar Tak

Company Secretary & Compliance Officer

Membership No. FCS 6618

Encl: As above

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"V-Guard Industries Limited

Q4 FY '24 Results Conference Call "

May 17, 2024

MANAGEMENT : MR. MITHUN K CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

MR. SUDARSHAN KASTURI – SENIOR VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – V-GUARD
INDUSTRIES LIMITED

M

MODERATOR : MR. ANIRUDDHA JOSHI - ICICI SECURITIES

V-Guard Industries Limited

May 17, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the V -Guard Industries Limited Q4 FY '24 Earnings Conference Call Results hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.

Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Aniruddha Joshi: Thanks, Zico. On behalf of ICICI Securities, we welcome you all to Q4 FY '24 Results Conference Call of V -Guard Industries Limited. We have with us today the senior management represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V., Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Now I hand over the call to the management for initial comments on the quarterly as well as annual performance, and then we will open the floor for a question- and-answer session. Thanks, and over to you, sir.

Mithun K Chittilappilly: Thank you, Aniruddha and to ICICI Securities team for hosting this call. A very warm welcome to everyone present at today's call. Thank you for joining us today to discuss the operating and financial performance of our company for the fourth quarter and for the financial year ended '23, '24. I trust all of you had a chance to refer our investor presentation, which was shared yesterday. The fourth quarter witnessed a good start to the summer season with revival in demand. As a result, we reported consolidated net revenues of INR 1,343 crores in Q4 FY '24, higher by 17.9% on a Y -o-Y basis. Revenues for the full year FY '24 were INR 4,857 crores, higher by 17.7% over the prior year.

All our segments delivered double -digit growth in top line on a year -on-year basis. Growth was led by consumer durable segment, where we market fans, water heaters, kitchen appliances and air coolers, which reported a top line growth of 27.9% in Q4 on a Y -o-Y basis. The Electronics segment comprising of stabilizers, inverters and batteries delivered a good traction with revenue growth of 18.9% Y -o-Y. In the Electrical segment comprising wires, pumps, switchgears and modular switches, we registered a growth of 10.7% Y -o-Y over Q4 FY '23.

Sunflame also delivered robust growth in top line of 28.3% on a Y -o-Y basis in Q4 leveraging on our various strategic initiatives implemented over the last year. We are pleased with the initial signs of turnaround and performance as we continue to progress on the integration process with Sunflame.

In terms of geographies, we witnessed a top line growth of 18.6% Y -o-Y in Q4 in the South market, while the non -South market grew by 15.8% Y -o-Y. It has been some time since we have seen the South markets registering a higher growth than non- South markets indicating a very strong start to the summer months in southern part of the country. Gross margins continue to improve. In this quarter, we have reported an improvement of 310 basis points Y -o-Y and 40

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basis points Q -on-Q. We have substantially now covered the gross margin gap as we have progressed through the year. Plans to increase in -house manufacturing are also progressing well. The battery and kitchen appliances factories, which recently commenced commercial production are expected to deliver benefits during the coming year. We are evaluating pricing actions in some products, which combined with some further initiatives should aid us in bringing EBITDA margins back to the range of 10% to 10.5% that we have indicated earlier. On an o

verall basis, FY '24 has been a gratifying year with a strong double -digit top line growth and improved margin trajectory. We also had a healthy cash generation aided by an improvement in working capital. The Board of Directors have recommended a final dividend of INR 1.4 per equity share of INR 1 each for financial year '24.

With that, I conclude my opening comments, and I would like to thank Aniruddha and the team at ICICI Securities for hosting this call, and would like to request the moderator to open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Natasha Jain from Nirmal Bang

Equities. Please go ahead.

Natasha Jain: Congratulations on a good set of numbers. So I have 3 questions on fans. First, can you tell us how the performance was in fourth quarter? And if you can break that down into premium versus non-premium? Now 1Q FY '25 has also started on a very strong footing in terms of good summer. So how are you seeing fan growth in 1Q? And at an industry level, has there been any meaningful price hikes? Or are we still seeing sharp discounting happen?

My second question is, like you've mentioned earlier that you are making efforts in terms of improving visibility for fans at MT channel. So if you could throw some colour on that and if you've been able to break any deals with bigger retail channels? And lastly, sir, what is the update on TPW fans? And I also wanted to understand a little bit about the kind of penetration that TPW has and what is the kind of industry growth that this part of fans can deliver in the medium term?

Mithun K Chittilappilly: Thank You Natasha, a lot of questions. We'll try to answer them as best as we can. As far as Q4 is concerned, we have had a very strong growth in fans, but as a policy, we don't give out the numbers product-wise. We've also had a new launch, which happened in Q3, which is in the premium BLDC segment in the range of around INR 5,000 consumer pricing, which has done extremely well. So both these put together, we have had a very strong growth for fans in Q4. But as fans, there are other products also like air coolers and stabilizers and inverters, they also have grown because the summer has been benefiting all the categories. As far as the first quarter is concerned, we finished April. April also has been quite decent for fans.

However, I have to say that the growth in certain other categories like air coolers and voltage stabilizers has been stronger than fans because the summer has been very, very harsh at least in Southern and East part, which had prompted people to buying air conditioners, which helped us in stabilizers and air coolers. Fans also did well in the first month of the year. As far as price hikes are concerned, I will ask Ram to takeover.

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Ramachandran V: Yes. I think we are attempting to transmit pricing action. I think we have initiated some pricing action in April, and we plan to take some pricing action again in May. But this will also be driven by how the industry plays out. April pricing action, we have been able to realize. May, we will have to watch, and we should know in maybe the next 30- 60 days, how it goes.

Mithun K Chittilappilly: So regarding TPW, TPW fans are roughly 25% to 30% of the entire fan industry. And it's a similar kind of revenue for us from TPW fans. TPW fans used to be imported from China and Vietnam earlier. Now most of the TPW is getting manufactured within the country. All the companies have set up their own supply chain. And I think starting September or October of this financial year, almost entirely, including premium TPW fans will be made in India. Now, only the premium part is imported.

The TPW fans went through some rough patch a few years back when there was a sudden ban on import of fans. So companies like us, which were heavily relying

on imports, got into some

trouble with TPW, but now we are strongly back with a strong local i.e., domestic

manufacturing. And we are also in the process of setting up our own factory for TPW for making the premium end of TPW fans in Hyderabad, which should get completed in the next 18 to 24

months. So I hope I have answered all the questions.

Natasha Jain: Sir, just on the visibility part in terms of fans for us, have we been able to make any deals with retail chains?

Ramachandran V: Yes, we are placing our fans into retail chains. But we don't do dealing or strike big numbers that way. We are placing our product into stores and we are replenishing them based on uptick, because that's the only way that we can protect our price positioning, right? Otherwise, dealing has its challenges because if we pressurize the retailer to take a lot, they also tend to sometimes discount if the velocity of movement is not to their plan. So no, I think we've not been doing deals.

Mithun K Chittilappilly: So let me put it in another way for us. At least the growth of fan has been broad-based, both in modern trade as well as GT and e-com. All the 3 segments have done well. And for fans, especially we have worked a lot on the point-of-sale kind of display system, which is not only for MT, but also for GT.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: Sir thank you for the opportunity and congratulations on a great set of numbers. Sir, my first question is regarding the Sunflame integration. Obviously, we have been able to deliver very strong top line growth even despite and amid demand softness that we have been seeing across the past 3, 4 quarters. Even your margins have been quite strong, anywhere between 8% to 10%.

So could you elaborate on what are the steps that we have taken for integrating Sunflame across revenue and cost initiatives?

Mithun K Chittilappilly: Okay. Ram, you want to take this?

Ramachandran V: Yes. So Sunflame continues to operate as an independent entity as it was operating before. I think our initial effort at integration is fundamentally focused on control systems and an accounting system so that we are able to report and integrate results.

We have started the work on operational integration and that work is underway. I think it's underway since the last 3 to 4 months. I think the design is complete and I think the execution will take maybe some time, maybe 12 to 15 months. But I think we've figured out what Sunflame will run and what we will run commonly ; where Sunflame will leverage V -Guard, and where Sunflame will operate independently.

So I think the design is out of the way. I think the planning for execution and the execution is the next step, which is progressing. Some areas, which we have some areas like e-commerce, I think we have already started the integration work and that is significantly under progress. E-commerce and South are the 2 major opportunities, I think, it's nearly almost 55% to 60% of the kitchen revenue, overlaps with this universe. And these are areas where Sunflame is presently weak.

So our focus is to build these 2 opportunities, and we are bringing to Sunflame our network with the retail chains in South, which are significant players and bringing our entire organizational capability, which we have built for e-commerce to play for Sun flame. I think with these 2 areas we should see good results going forward.

Sonali Salgaonkar: Sure. Sir, what about manufacturing footprint, are there any synergies over there? And secondly, the last bit on cross-selling. So have we started utilizing our channels for cross-selling each other's products?

Ramachandran V: Two things. So let me answer the second first. So as you know, V -Guard has its own kitchen business and Sunflame has its kitchen business

. I think when it comes to going to market, there is mainly a GT question. I think that we will stay separate there. MT/RSS, we have an entire organization to drive sell-out to MT/RSS. The sellout organization may be common, but the sell-in organization will be separate so that there is a focus for both brands. E-commerce will be managed in a combined manner because it's the customer who makes the choice and, therefore, we are good with that. As far as the first question, the first question was...

Mithun K Chittilappilly: Manufacturing.

Ramachandran V: Yes, on manufacturing. V -Guard has its own facility in Vapi and Sunflame has its facility in NCR. I think at this point, we are not planning to cross source, but I think over a period of time, such opportunities will arise. It's possible that the mixer grinder part of the business of Sunflame maybe fed by the Vapi factory. It's possible that our hoods and hobs requirement may come out of the Sunflame factory. So I think these are things that are underway.

In manufacturing, mainly the big piece of work has been that the hoods line . Sunflame had set up a hoods line just before the merger. We are happy to say that the line has scaled up, and that allows for local manufacturing of hoods. And that will be an important margin driver for Sunflame because there is a 7% to 10% advantage to make within Sunflame as opposed to either

locally sourcing or importing from China. So , that is well underway, and the output has stabilized. So this year, we could spot benefit there, yes.

Sonali Salgaonkar: Understood, sir, helpful. Sir, my second question is on pricing actions. You did mention some taken in April, some in May. Could you elaborate which segment and what was the quantum of pricing action?

Ramachandran V: No, I think the way the industry works, right, so we initiate actions, but I think, ultimately, how much and how fast it lands is a function of market also. But I think we are taking pricing action across some of our summer categories. And I think maybe in a month from now, we would be in a better position to tell how much of it will land. But yes, but we do expect to land pricing changes at least to make sure that we recover our long-term margins, so that our business comes back to our long-term margin of double-digit EBITDA, right?

Sonali Salgaonkar: Understood, sir. And lastly, on capex , any guidance? And secondly, how much of our manufacturing is own versus outsourcing now versus 5 years back?

Mithun K Chittilappilly: Sudarshan, do you want to take this?

Sudarshan Kasturi: Capex , there's no change in the guidance, whatever we said last time. We probably see about INR100 crores of capex in the coming year. And own manufacturing was your question, we are at about 65% now.

Sonali Salgaonkar: And 5 years back, it was about 45%, 50%?

Sudarshan Kasturi: It was around 40%, 45% range, maybe 45%.

Moderator: The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Sir, if I look at the electronics growth, 19% growth which is a very strong growth across stabilizers, inverters, et cetera. Usually, in the past, we have seen the margins actually expand given the operating leverage. But this time around, we have not seen that. Would you be able to give us some clarity because 1Q FY '24, if I look at margin had touched 16%, while it kind of stagnated at 12.5%. In fact, Q -o-Q, it's down 40 basis points. So can you help us understand?

Sudarshan Kasturi: There's also a mix of the UPS and stabilizer and the EPR.

Mithun K Chittilappilly: Ya I think as far as the margins are concerned, I think, it will be good to compare fourth quarter with the previous year fourth quarter. Sequentially there is a dip because of product mix. For example, in Q3, we sell more of smaller, lower KVA that are refrigerator and

television

stabilizers. Whereas in fourth quarter, it will be largely air conditioner, stabilizers. So, there is a mix impact there.

I think there's also an EPR impact coming in fourth quarter. So the inverter and batteries are part of the Electronics segment as they are sold together. The battery has an EPR charge happening in the fourth quarter, which has also impacted margin.

Achal Lohade: Would you be able to quantify, sir, how much is the charge, especially for the Q4?

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Mithun K Chittilappilly: We'll come back on that.

Achal Lohade: Okay. Sure. The second question I have is that, we have seen recently in the last 3 months, the raw material prices have flared up. Copper is back to \$10,500 a ton. If I were to look at your cost basket, how much has it moved up? How much of a price hike is required to maintain the current margins given the cost inflation you would have seen, as we speak?

Mithun K Chittilappilly: First of all, this is an evolving situation. But definitely, one thing that we can say for certain, and we can definitely feel is that commodities have bottomed out. So the bottom levels have been reached some time in maybe November, December period and after that, it has started to move up.

The good news is the flare-up is not as fast as it was last time when there was the Russia/Ukraine war when almost all commodities started flaring up at a very fast pace. So this time, the flare-up is happening in certain commodities. Copper is going to raise prices to some extent in fans and pumps. Mostly these 2 categories because in most of the other categories, we also use a lot of aluminium, which has not gone up that much.

Also, I think both in fans and pumps, now we are also having aluminium motors for the economy segment. So the impact may be not as high as it happened last time. Having said that, like Ram mentioned this before, that we have taken some pricing action. I think we'll have to see where the commodities settle. But definitely, commodity price increase will have an impact on the margins. The only product where this is a positive is wires. So when copper prices go up, there is a tendency by retailers to upstock wires, which is driving sales for wires more than the sellout. And in the case of wires, there is an immediate increase or decrease in prices as and when the copper moves.

So yes, so in that sense, there would be more pricing action required. But it is still evolving, like, for example, copper has even moved up of in the last 5, 6 days. So we'll have to see where the average price for the month settles. But definitely, I think, as of now, maybe a 1% or 2% impact is there. But having said that, we have already taken some pricing increases in categories like fan and pumps because of this. We'll wait and see. We are hoping that the shocks of the increase won't be as fast and as steep as like last time.

Achal Lohade: And if you could quantify how much is the price action, which has got absorbed, which you had initiated in April? How much or what was the quantum?

Ramachandran V: Maybe about 2% has flown through in maybe fan. And maybe in May, we expect in pump.

Achal Lohade: Okay. So April hike was only in fans, you're saying?

Ramachandran V: Yes, fans and pumps.

Achal Lohade: And May '24 is in pumps?

Ramachandran V: Yes.

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Achal Lohade: Okay. One more question I had in mind is in terms of demand scenario, while I understand that the summer products are doing well. But are you seeing the green shoots even for the non-summer categories? Or that's too early to call out? And secondly, has there been any impact of

the unseasonal rains because we tend to hear, read about unseasonal rains across the country?

Mithun K Chittilappilly: No. Definitely, the weather is much more supportive than last year. Because

because last year, we had a

lot of unseasonal rains except in South India. So this year, for example, Southern and Eastern part of India has been extremely warm in March and April. The only place where it has not been that warm was the Northern part, which I'm told that now it is beginning to get there.

The unseasonal rain is happening right now mostly in the Southern markets and in some of the Eastern markets, which we are okay with because they already had a very good 45 days starting from March and all the way through April. So, I think as long as the northern part of the country does not receive much unseasonal rain, I think, the whole of summer has been pretty good, I would say, for the entire industry. And yes, so that's our call on the weather.

Achal Lohade: Right. And in terms of the demand for non-summer products, are you seeing?

Mithun K Chittilappilly: Yes. For non-summer products, I think, right now see, like I mentioned, only wires, we are seeing an uptick because of the increase in copper prices. So it may be too early to call it out; so far, we are not seeing much of a change in demand for non-summer categories. It's probably a situation as usual as it was in the earlier quarter.

Achal Lohade: Understood. Just one more question. Sunflame was acquired in the fourth quarter of last year and I remember, this was not a full quarter revenue that we had. So is it possible to know like - to-like what is the growth in case of Sunflame in terms of the revenue growth?

Sudarshan Kasturi: The Sunflame was not there only for the first 10 days of Q4 last year.

Achal Lohade: Okay. So it was almost there for the full quarter then?

Sudarshan Kasturi: So it was almost there for 80 days.

Achal Lohade: Understood. Just one more last question – with respect to pumps, are we participating in the solar pumps, if yes, how is the situation? And if no, why not?

Mithun K Chittilappilly: I think Generally, we don't do the tendering business. So, the Government tendering business is something that we don't do. We are present on the Government's GeM platform, that is e-procurement marketplace. But usually, we don't participate in tenders because of uncertainty on payment, lack of margin and practices.

Moderator: Thank You The next question is from the line of Vidit Trivedi from Asian Market Securities. Please Go ahead.

Vidit Trivedi: Thank you for the opportunity. My question is on the housing wire segment. Could you please elaborate what's the growth in this particular domain? And what is the guidance going forward?

And what are the EBITDA margins?

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Mithun K Chittilappilly : We don't give out product-wise numbers for any segment and neither do we give margins for any product segment. But I can say that house wiring cable is the largest part of the electrical segment, it carries the most weight. The gross margins are around 20% to 22% in the electrical wiring business. We don't give out EBITDA numbers.

Moderator: Thank You. The next question is from the line of NV Chandrachoodamani from Prime Investor.

NV Chandrachoodamani: Thank You for the opportunity. My question is with respect to your stake in Gegadyne Energy Labs – in terms of the benefits to V-Guard, will it accrue in the form of any new product launch or increasing your competitive advantage in any of your existing segments? So can you give some light on how and by when it would happen?

Ramachandran V: So Gegadyne Energy Labs is a technology company working on next-generation battery technology. They are in the phase of product development and pilot production, right? So that's the stage that they are in. I think our ability to commercialize the technology will come up when they will set up manufacturing facility to produce batteries and supply to us.

And fundamentally, we have made the investment to protect our interest

in the inverter battery

business, and that's our primary objective for investing in this because this technology has certain advantages in terms of life cycle and in terms of effective cost for consumers. So that's the reason why, and also performance. So that's the reason why we have invested in this company. I think maybe it's at least another 24 to 30 months away before we can be able to derive meaningful revenue out of the technology.

NV Chandrachoodamani: Okay. Sir, as a follow-up to that. This is a segment where your market share is in single digits or where you have very strong competitors. So eventually, over a period of time, your own manufacturing combined with the benefits from Gegadyne and all will help to significantly improve your market share in this segment. Is that understanding correct?

Ramachandran V: That is the objective for the investment that we would be able to bring some technology, which can disrupt this space, right? So that's the objective.

Moderator: The next question is from the line of Rahul Agarwal, an individual investor. Please go ahead.

Rahul Agarwal: Hi very good evening . My first question is on the south market. It's grown 18% Y -o-Y as you alluded that it's been some time we've seen such strong growth. Should we think this is a sustainable way forward for South markets now? Does it have an effect of base also because we had seen 2 quarters of degrowth last year? Some comments on that will be helpful.

Mithun K Chittilappilly: No. South is a more mature market where our ability to increase penetration is limited. I think we are very well entrenched in most of the markets in South. So by that context, non-South should grow faster. But what happened in Q4 is, starting mid of February until end of March, both in Kerala and Karnataka, there was an extremely strong summer. There was also a strong summer in the Eastern part of the country.

But the weight of Kerala and Karnataka is very large to the overall business. So on that base, there was a good growth in most of the summer categories. I probably don't think it is

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sustainable. I think non-South will still continue to grow faster. It's just that for this particular quarter, yes, South had an extremely favourable tailwind from this summer.

Rahul Agarwal: Got it. Next question was on the capex, which is the battery and the kitchen factory, both have started. We're expecting some benefits. I wanted to know these benefits are going to be more at the gross margin level? Or we are also expecting EBITDA to be better purely because the gross margin flow through or the opex is more managed? Any comments on that, please?

Mithun K Chittilappilly: No, both the battery as well as kitchen appliances, we were in the outsourcing model. And when we did a lot of analysis on make versus buy, we found that we are not very competitive. And one of the reasons our battery business has also stagnated in the last few years is because we are not competitive. So I think both these factories have been set up to improve competitiveness, which means that some part of the gross margin will flow through the EBITDA and some part will be used for making our product pricing more competitive in the market.

Rahul Agarwal: Okay. So that means that essentially we will be more cost competitive, which doesn't mean that we'll pass through that benefit and it's more to become a level playing field versus peers. Is that correct?

Mithun K Chittilappilly: Like I said, some part of it will be passed back to the market to make it more competitive. But we still believe that there can be an overall improvement in gross and EBITDA margins.

Rahul Agarwal: Okay. Got it. And lastly, ECD growth obviously has been pretty widespread, as what you mentioned, across channels and across products. I just wanted some more underlying trends, whatever you could share

quantitatively in terms of products? In ECD, what has done well and what has not and the outlook for the same over the next 6 months?

Mithun K Chittilappilly: So I think in ECD, we have fans and air cooler, which has got a lot of the tailwind because of the summer. And we have products like water heaters, which is nonseasonal during Q4 and is primarily in season from Q2 and Q3. So that has been the mix. I think for kitchen also, it is a nonseasonal quarter. I mean, for kitchen appliances typically sales happen in Q2 and Q3 during the festive quarter. So it's primarily fans, air coolers, which has driven the sales for growth for Consumer Durables.

Rahul Agarwal: So what has driven the Sunflame top line so hard? I mean, for the quarter Y -o-Y basis because it's a non-season quarter. Could you elaborate a bit on that?

Ramachandran V: Yes. See, Q1 was the first quarter post transition, right? So in some part of it, there was some low base initially, and in some part of it is recovery. That's how we should read it. Sunflame business is coming on track. I think our GT business and modern trade business this has come back on track. There is some work to be done on e-commerce. There is work to be done on setting up our network in South. So those are areas that we are working on.

Mithun K Chittilappilly: Some of it is happening through a new ; see, for example, in the case of Sunflame, just before the transaction, they were in the process of moving their manufacturing from imports to own manufacturing. So they did lose a few months because of that because there was some supply shortage and stuff like that. So we have corrected all that. And there were some teething

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problems with their service system, which we have now kind of moved to the V-Guard type of service. So a lot of it is because of the little bits of work that we have done. And I think a lot more work is left to be done. So Sunflame because we are expecting quarter-on-quarter growth. So we probably are not really comparing with the previous year, but more on to grow quarter-on-quarter.

Rahul Agarwal: Right. So just to conclude this discussion, it looks like Sunflame next year, which is fiscal '25,

obviously, will have a higher top line growth because most of it is basically readjustment to what was really happening last year. And second, also the margin for Sunflame should be like moving to 11%, 12% because of operating leverage. Is that understanding correct?

Ramachandran V: I think the first part is correct. So the second part, I think, we may also make some investment in the business, right? I think we might step up ATL and we are strengthening these systems, right? So the business was managed for cash by the promoter, before us and by manage for cash, what I mean is that they had a pretty strong and robust model, which was generating cash year-on-year. We might make investments in the business and our systems and ways of working will also involve focus on many areas, which may not have been focused on earlier. So there may be some investment in people and some investment in technology that we'll have to factor. And there will be some investment on ATL, right? So these are things that we will step up.

Moderator: The next question is from the line of Aniruddha Joshi ICICI Securities.

Aniruddha Joshi: Sir, generally, at least at the industry level, we have seen that whenever the summer is very strong, for the rest of the quarter, the sale of summer products tend to be a bit slower. We have seen it in the room air conditioners also as well as, in a way, coolers also. So do you see a similar phenomenon can happen in fans also? And from your earlier experiences, do you see similar situation panning out? That is question number one.

And secondly, in terms of the manufacturing which will now be, in a way, increased from the company's side – what is the current share of own manufacturing and outsourced products? And how do you see that changing, let's say, in a period of next 2 to 3 years? That is question number two.

And then question number three is that with your own manufacturing, do you see more investments in R&D? And what are the possible innovations that you can share? Yes. That's it from my side, sir. Thanks.

Mithun K Chittilappilly: What we have observed is that when V-Guard has a strong summer, our following quarters are actually quite strong because what happens is; if you ask me today, the situation is that we are also running with low inventory, our distributors are having very low inventory and our retailers are also not having inventory.

When such a situation happens, even after summer is over, for at least for 30 to 40 days, we will keep feeding to at least keep some basic level of inventory. So typically, for us, at least what we have experienced is when there is a strong start for the year, it kind of carries through for the

rest of the year, even for air conditioner stabilizers, which is very closely linked with the sale of V-Guard Industries Limited

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air conditioners. So this has been our experience. We also expect this year is going to be like that.

On the current manufacturing status, in-house is about 65%. With all the new factories that are coming online, we probably expect it to go to about 75-odd percent in the next 18 months or so because the factories will scale up, it'll take about 8 to 9 months to scale up because from month one onwards, we won't be producing at full capacity. So about 75% is what we can expect in the next 12 to 18 months from own manufacturing as well as the in-house manufacturing itself.

Aniruddha Joshi: Sure, sir. And in terms of innovation?

Mithun K Chittilappilly: Innovation, we have done and we have invested a lot; we have expanded our product development and R&D teams in the last many years. So I don't foresee us having a lot of more investments in product development, I mean, significant investments. But I think definitely, our capex towards new moulds will go up. The rate of product refresh is becoming much faster than before. So in that sense, you will see some elevated level of capex in moulds, which basically we are already seeing and it's already being part of our base in the last 2 years.

Aniruddha Joshi: Okay. Sure, sir. Sir, last question, how do you see the margins playing out considering now in-house manufacturing will also increase. So compared to outsourcing, definitely, the margins should be better. So do you see the margins moving up significantly over the next, let's say, 3 to 4 years? So how should we build in terms of the margins?

Mithun K Chittilappilly: Like I mentioned before, some of the manufacturing is to address competitiveness issue, so we may not see a huge increase in margins. But in some cases, yes, there will be some efficiencies.

So wherever we have set up a factory, we have found that in about 2 to 3 years' time, we are squeezing out more margins than before. But we also have a more strategic objective of setting up plants. We want to address a segment of the market, which is mid-premium and premium

segment, which cannot be addressed by products from vendors. So we have a more important reason to set up these plants because we want to make sure that we are able to offer products in the higher range as well. And those products typically come with higher prices and higher margins.

Moderator: The next question is from the line of Shubham Aggarwal from Axis Capital.

Shubham Aggarwal: Just one question, this is on the inverters and battery side. We're investing in the manufacturing

capacity. If you can just remind us on what is the revenue share in this segment from inverters and battery on a full year basis? And given the investments and you sa

id that you'll become more

cost competitive after this investment, what kind of growth do you expect from inverters and batteries over the next 3 years, let's say?

Mithun K Chittilappilly: We don't give out individual product -wise revenues, but we can tell you that inverters and batteries and solar inverters put together is a pretty large product category for V -Guard. So it's one of the top 5 product categories for us – it's pretty large. It is also a very large market. The market size of inverters and batteries is more than INR 14,000 crores. We already have a manufacturing facility for inverters, we set up in Pantnagar along with stabilizers, about 18 to V-Guard Industries Limited

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24 months back. So this is to address the competitiveness of the battery pricing. So we are not competitive right now in outsourcing it. So to some extent, it is to address that.

Shubham Aggarwal: Okay. Sir, any ballpark number on what kind of growth will you see after you become competitive on the battery side, 15%- plus or 10%, 12%, broad range?

Mithun K Chittilappilly: I think inverter and battery, we are already growing at 12 -odd-percent. So definitely 15% plus is possible. I think it's too early for us. Once we cross that bridge, we will report.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang Equities. Please go ahead.

Natasha Jain: Thank You for the opportunity once again Sir, you mentioned that your battery and kitchen appliance factory has commenced production. So taking that into account, what kind of improvement can we see in electronics as well as ECD margins for immediate term? And at a consol level, what would be then your guidance for EBITDA? My first question is that .

Mithun K Chittilappilly: Okay. So I think battery is not sitting in ECD, it's sitting in electronics, so the factory will not have an impact on that segment. Regarding ECD, I think our ECD margins have improved comparing with previous year, but we are still not where we would like to be, which is what was the case 3, 4 years back before the last spike in commodity prices. So I think we still have some pricing action to land in fans and water heaters. These are the 2 large categories in ECD.

Of course, there is also a kitchen business, which is sitting inside ECD. But I think the larger part of the drag in margins has come from fans and water heaters, which we hope to correct in the next few quarters. In the case of kitchen, yes, so we have just set up the plant. We have some hypothesis. But like I said, our product offerings are not competitive. So we may initially use the reduced cost to penetrate more in the market than get more profit to that extent.

Natasha Jain: Sir, then would our consol , with that guidance, would it be in the range of 10% to 10.5% for now?

Mithun K Chittilappilly: Yes, of course, if you look at Q4, we are already at about 9% to 9.5% in EBITDA margin. So definitely, it's possible. And we have demonstrated in the last 12 months, subsequent quarters of improvement in gross margin. So that will continue. But I think in the case of consumer durables, I think there is some more work to be done in terms of margin improvement. I think in the next 6 to 8 months, we should start seeing better margins.

Natasha Jain: Understood. And sir, in terms of Sunflame, can you throw some light as to how did it grow in the South markets given that we have lower presence there?

Ramachandran V: I think it's early days. I think typically, what happens is when you get into a market like South, you probably would start with chain stores and all that. So it's taking some time. What I can tell you now is we have a team on board and we have signed up some retail accounts, and we have started business. By the time we put the team in place, it was only in Q3 of last year, which was last quarter, right, the early part of Q3, somewhere arou

nd October, November is when the team

has come in place. So it's going to be some time. I think you will start to see some significant V-Guard Industries Limited

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traction in the current financial year and probably better visibility to impact in the year following that, right?

Natasha Jain: Understood. And sir, lastly, in terms of water heaters, while I know that the product will not be that stronger traction in the summer season. But just want to understand that what's the update in terms of introduction of premium products because last time , I think, we were on that

commentary that we'll try and introduce premium products so that our margin gets uplifted. So what's the update on that?

Mithun K Chittilappilly: So I think in case of water heaters, we have launched a face lifted version of our premium range call Pebble. It's called Pebble Neo , it's a digital model. So that has just got launched at the fag -

end of last financial year. It's getting good traction, both on modern trade as well as e-commerce. But yes, like you said, this quarter is not the right quarter to sense this demand trend because we are not in season, but I think the early indications are good. But we are also hopeful that in the next 18 months, the next set of premium models that we are working on should get launched and that should solve the problem. But I think for the time being the refreshed Pebble model, it's getting good acceptance.

Moderator: The next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Sir, if you could help us with the channel mix for the stand-alone and for Sunflame in terms of GT, modern trade and e-com for FY '24, a ballpark number?

Mithun K Chittilappilly: We won't be giving out any Sunflame specific numbers as of now. I think maybe once the business scales up after that we will be giving out those numbers.

Achal Lohade: Sure. How about the stand-alone?

Mithun K Chittilappilly: Standalone, I think for us, maybe GT is...

Ramachandran V: Yes, I think it's good for you to see it this way. See, there are businesses like wires, switches, switchgear, pump, okay? The other channels are not relevant. It's mostly general trade, right?

These categories are close to about 40-odd-percent of the 42%, 45% of our business, right?

Because wire is about 30% and the remaining will be another 15%.

I think for the remainder part of the business, where this question is relevant, I think, close to 20-odd-percent of our business may be coming through these channels, maybe as opposed to, let's say, maybe a market structure of 30% or something like that for that blended portfolio. So I think that's how I would put it.

So we are under-indexed in these channels variably. But we have significantly grown the indexation levels in these channels.

Achal Lohade: Okay. So if I understand correctly, what you're saying is for the 60% of our business, 20% is e-com, store, modern trade, 80% is...

Ramachandran V: No, no, it will be more because there is also indirect. We are not measuring that. So there are like some chains who are serviced by our distributors. So directly, what we do is about 22%, right?

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Achal Lohade: Okay. Directly is about 22%.

Ramachandran V: Yes, 22%. But there are indirect ones. We have some large chains, which are serviced through our distributors, which is for legacy reasons, which we have not yet transitioned. But to give you a sense, compared to market, we'll be under-indexed by about 20%, yes. 20%-25%, we will be under-indexed in these channels.

Achal Lohade: 20, 25 percentage point or 20%, 25% in absolute terms, sir?

Ramachandran V: Yes, 20%, 25% percent in absolute terms, right? So if the market index is 100, we will be at 70% to...

Mithun K Chittilappilly: So for example, if you assume that modern trade and e-com as 35%, we will

be at 35% minus 25%.

Ramachandran V: So that is 75% of 35%. What I'm saying is we'll be at about 25%, right? If the market is at 35%, we'll be at 25%. So that gives you some sense, right?

But we are growing year-on-year and we have focused on that. We have made some significant gains. I think, it will get better if we shift some of our indirect business also to direct.

Achal Lohade: Understood. Just one more question. From a full year perspective, FY '24, is it possible to get some sense where we would have gained market share where we would have just maintained or where we would have lost market share? Just qualitatively if you could comment?

Mithun K Chittilappilly: I think the issue with our industry is we are not verified and all that. But we have a sense of where we have gained and lost, but we will not like to talk about it at this time.

And you can look at the numbers. See, I think the best way to do it is you can compare the annual numbers for the last 3, 4 years for various companies and you can come to a conclusion where people have done well and people have not.

Achal Lohade: Yes. But that's more on the aggregate number and I mean if you've added categories, then it's very hard to kind of call out. But that's fine. I mean that's the best we could do.

Mithun K Chittilappilly: But your channel checks also will give you some idea about who is gaining share.

Ramachandran V: It's speculative, so that's why we are not saying anything because it's not something that's measured.

Mithun K Chittilappilly: Unlike FMCG, there is no GFK data where it's measured monthly and all that. And it's all claims by one company versus other companies. Then we also have unlisted companies in some of these spaces who are not listed. So, it is difficult to measure. Even for us it's difficult to measure.

Achal Lohade: Understood. Any comment on the switches, switchgear piece, how is it doing? What are the plans? What growth have you seen? Like has it been slow? Has it picked up? Anything on that front in terms of manufacturing versus outsourcing?

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Ramachandran V: Yes, I think we are very positive about the outlook for the switches and switchgear business, and we have intent to grow this business aggressively. With the acquisition of Simon, we have access to Simon's manufacturing capability. And we have in-sourced a good part of our switches business into that factory, and we have gained some benefit from that. We have a road map for distribution expansion as well as new platform investments, which together should drive future growth of these businesses. I think these businesses will obviously grow faster than the company growth rate.

Achal Lohade: Understood. Just last question, if I may, with respect to the dealer-retailer touch point counts as of March 24, would you be able to give out that? And what kind of addition are we looking at?

Ramachandran V: So yes, I think we used to typically say that we are present in about 50,000 to 55,000 outlets, rather 40,000 to 50,000 outlets, yes. But so we have now in the last 1 year have completed scan of the number of outlets we are present in, and I think it's now touching almost 1 lakh as we speak.

Achal Lohade: Okay. And what was it in March '23, would you have that number by any chance?

Ramachandran V: No, I think that's what I was telling you that we were believing that we are in about 50,000 outlets okay? But subsequently, we have taken a lot of effort to identify so that we can monitor where we are and who is dropping and where we can add more categories into a store. So we have set up a system now to know where we are and we were pleasantly happy to discover that.

Mithun K Chittilappilly: So today, we have a distribution management system where we are able to see the secondary data, which was not possible previously. So this number, what we've

got right now is more

accurate. I think the earlier number, that we had was more of an estimate because there are both retailers and distributors, we sell directly to, and there are also certain wholesalers we sell to.

We are not very sure about the Tier 2 numbers, what is being furnished by them in terms of the number of retailers and the list and all that. So this is a more accurate, it's close to 100,000 now, which I think is probably 60% of the universe, if you want to call it that there.

Achal Lohade: And the direct dealers, dealer count?

Mithun K Chittilappilly: See, the total direct partners, what we have is about 3,500-odd people. That includes 10% to 15% of that are distributors and about 80%, 85% are direct dealers. There would be direct dealers and wholesalers, okay? It's both. It will be a mix of both.

Achal Lohade: And you are seeing that the distributor as well as direct dealers, their retail invoices we have access to? Have I understood right?

Ramachandran V: No, not the entire retail invoices. We have access to relevant information, which helps us to understand our reach. And this is verified because now we know who they are. We know their GST number and stuff like that. So I mean, it's more reliable. See, earlier, we used to be conservative because we did not have visibility to how far we are reaching, right? But then we had some high-level estimation. But now we have data and we have like unique identifiers. So we can say that this is where we are now.

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Achal Lohade: Understood. Any number you could gather for the EPR provision?

Sudarshan Kasturi: Yes, Achal. It's not major. It's only about INR 70 lakhs for battery. So that's not a big factor. The major factor is the product mix, which Mithun spoke about.

Achal Lohade: It had such a large impact?

Mithun K Chittilappilly: No, battery will have a large impact because for battery, it's based on weight, right? I mean, so battery is 70-kilo product. So it's based on the weight and the average number of years, useful years. So that is how it's calculated.

Achal Lohade: Understood. Okay. So if I understand right, we are talking about 10%, 10.5% margins in the current year. Have I understood right, EBITDA margin?

Mithun K Chittilappilly: We said we will work towards 10% -10.5%. But I think as you've seen with the trajectory, it is possible, and we are hopeful there.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today's conference call. It's from the line of Manoj Gori from Equirus Securities. Please go ahead.

Manoj Gori: Thank you for the opportunity. You have given a very detailed explanation on the top line front, just wanted to understand on the margin side. So if you look at the electronics business, probably from FY '20 to FY '22, we were somewhere between 16% to 18%, 19% range. Over the last 2 years, we have seen that 13% to 14% probably in FY '23, we were impacted because of the high-priced batteries and which we believe have been depleted by somewhere around 2Q or 3Q of FY '24.

So probably, how should we look at the margin trajectory for electronics business? And

secondly, on the consumer durables as well. Over the last 2 years, we believe like you would have done exceptionally well versus the industry standard in terms of growth. But when you look at the margin, probably we have fallen from FY '22 levels during FY '23 and '24. So where do we see for next 2 years? This would be very helpful.

Mithun K Chittilappilly: Okay. We have to understand that FY '20 onwards, we have had various types of disruptions where 1 year, there was a deep drop in commodity prices, which aided a lot of margins, but revenue was limited. And then after that, we had a huge spike in commodity prices, which went over and above the pre-COVID era, which kind of eroded margins. So when I look at FY '19, which i

s here before all of this started, I think, in Consumer Durables, we still have at least 3% to 4% improvement to do. I think we are at about 1.5-odd percent in Q4 as far as EBIT in Consumer Durables margin is concerned.

Sudarshan Kasturi: EBITDA was 3%.

Mithun K Chittilappilly: So I think this was something like 7% or 6% pre-COVID. That's where the main drop has happened. The other places, we are largely in line. I don't think in electronics, I think we have had; I mean, we have had some margin issues in batteries and with this plant and some other

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work we are doing, it should get largely solved. But Consumer Durables, yes, we have some work to do.

Like I said, there have been huge pricing pressures in the fan business. All that has grown, but we have found it extremely difficult to pass prices because some of the competitors are not very proactive about increasing prices. But I think with this kind of demand environment and this

kind of a summer hopefully, this should be through. Water heaters are another place where we are having some margin challenges. We have taken steps to address that. And I think in the next few quarters, we should improve. So as you've seen CD, Consumer Durable, has gone through a very, very tough margin environment and it's coming back. And I think you will find that going forward, we should come back.

Manoj Gori: What I understand is that Consumer Durable margins on a Y-o-Y basis during FY '25, '26 and gradually, we should see an improvement. While electronics margin should be somewhere between around the current range of 13%, 14%? Is that understanding correct?

Mithun K Chittilappilly: Yes. Correct.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for closing comments.

Mithun K Chittilappilly: Yes. Thank you, Aniruddha and ICICI Securities for hosting this call, and thank you all for patiently listening.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: Jul 2024

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July 30, 2024

The Manager,

Listing Department,

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Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001 The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1,

G Block, Bandra- Kurla Complex,

Bandra- East,

Mumbai - 400 051

Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2024.

This is with reference to the intimation dated July 13, 2024, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the Unaudited Financial Results for the quarter ended June 30, 2024, scheduled on July 25, 2024. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q1-Transcript-q1-2024.pdf

We request you to kindly take the above information on record.

Thanking You,

Yours Sincerely,

For V -Guard Industries Limited

Vikas Kumar Tak

Company Secretary & Compliance Officer

Membership No. FCS 6618

E

encl: As above

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"V-Guard Industries Limited

Q1 FY '25 Earnings Conference Call "

July 25, 2024

MANAGEMENT : MR. MITHUN K CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

M

R. SUDARSHAN KASTURI – SENIOR VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – V-GUARD
INDUSTRIES LIMITED

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MODERATOR : MS. NATASHA JAIN – NIRMAL BANG INSTITUTIONAL
EQUITIES PRIVATE LIMITED

V-Guard Industries Limited

July 25, 2024

Moderator: Ladies and gentlemen, good day and welcome to the V-Guard Industries Q1 FY '25 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Private Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" and "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Institutional Equities Private Limited. Thank you, and over to you, ma'am.

Natasha Jain: Thanks, Steve. On behalf of Nirmal Bang Institutional Equities, we welcome all of you to the first quarter FY '25 Results Conference Call of V-Guard Industries Limited. We would like to thank the management for giving us an opportunity to host this call. We have with us today the senior management, represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Now, I will hand over the call to the management for initial comments on the quarterly performance and then we will open the floor for the question-and-answer session. Thank you, and over to you, sir.

Mithun K Chittilappilly: Thank you, Natasha and Nirmal Bang team for hosting this call. A very warm welcome to everyone present on today's call. Thank you for joining today to discuss the operating and financial performance of our company for the first quarter of financial year 2024-'25. I trust all of you have had a chance to refer our Investor Presentation, which was shared yesterday. It has been a positive start to the fiscal year with a strong performance in the first quarter. We have reported a consolidated net revenue of INR1,477 crores in Q1, FY '25, higher by 21.6% on a Y-o-Y basis. It has been an all-round performance aided by a very good summer. The Electronics segment comprising majorly of stabilizers and digital UPS, led the growth with the revenue growth of 41% Y-o-Y. In this segment we also have solar power systems, which are seeing good traction and is a category for the future.

The Consumer Durable segment where we market fans, water heaters, kitchen appliances and air-coolers, also reported a strong performance with the top line growth of 26% on a Y-o-Y basis. In the Electrical segment comprising of wires, pumps, switchgears and modular switches, we registered growth of 7% in revenue on a Y-o-Y basis. Wires, which is the largest category under the Electrical segment was impacted by trade de-stocking due to decline in copper prices in June.

Sunflame reported de-growth in the top line of 7% on a Y-o-Y basis. Also, the top line was soft. It was largely in line with our forecasts and plan. The overall kitchen industry has been facing subdued demand in the recent quarters. We recognize there is a task ahead of us to get the business on the growth path and there are several actions in progress in terms of functional integration and sales acceleration. Gross margins in Sunflame business remain good. EBIT

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margins have been lowered due to higher A&P spends and filling up of critical vacancies, which will yield results going forward.

In terms of geographies, all regions have done well. The non-South markets delivered a top line growth of 30% Y-o-Y, with revenues in South market growing 17% Y-o-Y. The contribution from non-South markets have crossed 50% in total revenues for this quarter. Gross margins continue to improve with the benefit of softening commodity prices and various pricing actions and cost effectiveness initiatives flowing

through.

We reported a gross margin of 36.3% in this quarter, an improvement of 380 basis points Y-o-Y. This is due to a combination of pricing action, softening input prices and better product mix. The recovery in margin is now largely complete. We expect to continue the margin improvement through benefits of manufacturing, premiumization and scale benefits from the Consumer Durable segment.

Of late, we are also seeing some firming up of commodity prices and will be taking pricing actions wherever necessary to preserve margins. Effective management of working capital has enabled us to deliver robust cash flows. We paid one-fourth of the loans raised for Sunflame acquisition this April. Another one-fourth will be repaid at the end of July and we are on track to repay this loan as per plan. It has been a good start to the year and we are optimistic of delivering a good performance in the coming quarters as well.

With that, I conclude my comment. I would like to thank Natasha and the team at Nirmal Bang

for hosting this call and would like to request the moderator to open the floor for Q&A. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is on the line of Natasha Jain from Nirmal Bang Institutional Equities. Please go ahead.

Natasha Jain: Thank you. Firstly, congratulations on a good set of numbers. My first question is on the Consumer Durable s Segment. Firstly, can you call out the growth in fans particularly, and if there was any meaningful price hike? And if there was a price hike, can you please break it between commodity cost pass-through versus an organic price hike?

Mithun K Chittilappilly: Okay, first of all, we don't give out product-wise numbers for various reasons, but we can say that the fans category has done reasonably well. Regarding price hikes, I'll ask Ram to comment.

Ram?

Ramachandran V: Yes, I will. See on price hikes, price hikes have been taken and they are also ongoing because there has been some subsequent increase in prices of copper and aluminium. So, prices hikes are ongoing, including we wish to land some prices hikes this month if possible. So, it's ongoing.

We had improved our margins through the realization of input cost benefits towards the last quarter of last year and we had taken some price increase, I think, it was about 2-odd percent in quarter four of last year. We have also taken 2-odd percent in quarter one of this year.

But there have been sharper increases in copper and aluminium prices and it may warrant some more corrections. Depending on the market situation we will land a competitive situation and

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we will progressively go ahead. The increase that we have taken in March quarter was to compensate for absence of price transmission in the previous year, but subsequent increases have been responding to input cost.

Mithun K Chittilappilly: And one more thing. Fans remains an extremely competitive category. We have a very, very aggressive market leader and we have a startup who's also very aggressive. So, most of the price hikes are in relation with the increasing commodity prices. So, I would not say that there are any organic price hikes. Most of them have been to offset increases in commodity prices.

Natasha Jain: Understood. That's very clear. Sir, my next question is on the electronic side. Now, while we are on a consistent trajectory, upward trajectory in terms of EBIT margin improvement, are we where we were broadly targeting to be or is there still a scope of improvement? And on a related note, sir, gross margin improvement has also happened because of cost reduction initiatives, specifically in the Electronics Segment. So, given that second and third quarter are now going to be comparatively leaner for us, what kind of an overall gross margin can we expect in

FY '25?

Mithun K Chittilappilly: So one thing is, regarding gross margins, there is also an element of mix. For example, in the first quarter, the summer-based products have done extremely well, much more than; and wires, which is almost 30% of our revenues, has grown only by a smaller percentage. So, there is some effect of product mix, which will change in the next few quarters. But largely when we look at it on a normalized level also, I think we are largely okay with gross margins. As Ram pointed out, there have still been some increases in aluminium and crude derivatives and all that. Copper went up, but it also did come down little bit in June. So, in that sense, there may be some more increases that may be required.

Natasha Jain: Understood, sir. Thank you. I'll get back in the queue.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.

Rahul Agarwal: Good afternoon and thank you for the opportunity. Firstly, Mithun, I wanted to understand what really drove ECD (Electrical Consumer Durables) as well as Electronics' margins. So basically, I understand that input pricing was weak and that the summer was strong and hence is it more to do with operating leverage here; that a 20% EBIT margin for Electronics and a 5% ECD is more seasonal and one-off and hence it might obviously taper down going into the following year? Is that correct?

Mithun K Chittilappilly: See, if you look at the previous year, also, the Electronics margin was around 18%. So yes, you can attribute that maybe 1% or 2% is due to operating leverage, but you see the Electronics margins are always on the higher side comparing with the other segment. In the case of Consumer Durables, our margins used to be 5% to 6% and it had crashed with the increases in

prices and the lack of further increases companies were able to do towards the market for various reasons; there were competitive pressures. The quantum of increases were probably unheard of in the earlier years, so there was some resistance from trade in consumers and all that.

So now, I think we are largely back. In the case of Consumer Durables, we probably will see a little more or probably should see a little more improvement in margins. And after that, we will

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go for it . But I think this is sustainable. There is an impact of operating leverage. But it is probably 1% or 2%.

Rahul Agarwal: Okay, get it. Secondly, on the working capital, broadly, it is maintained at 50 days of sale, but I wanted to understand what is driving the receivable days coming sharply down to 35 and what is driving the creditors increase to 75 days. What are the reasons here?

Mithun K Chittilappilly: Okay. Sudarshan, regarding the working capital ?

Sudarshan Kasturi: So debtors have come down, they are lower than our normative levels because it was a strong season, so customers pay on time. Otherwise, similarly, even on the payable side, even May and June, both were big months. So therefore , it is a point -in-time measure and the volume of buying that was done in May and June is higher than usual.

Rahul Agarwal: So, where should we see these numbers back in terms of, let's say if we see your March balance sheet for 2025, where should we sustain?

Sudarshan Kasturi: We should work on the normative levels of about 60, 62 days. That's our standard. Currently, it is a bit on the lower side because of the factors I mentioned.

Rahul Agarwal: Perfect. Lastly, where are we on the factory capex? If you could just update us across the manufacturing plants. What is the status update? That will be helpful. Thank you.

Sudarshan Kasturi: Factory capex, except for one project, which is the fans plant, other ones are complete.

Rahul Agarwal: And when does the fans plant get complete d?

Sudarshan Kasturi: That building has just started.

ted.

Mithun K Chittilappilly: Maybe 18 months.

Sudarshan Kasturi: Yes, maybe 18 months.

Mithun K Chittilappilly: 18 months more.

Rahul Agarwal: Okay, so we should work with like, INR 100-120 crores of capex for this year and next year? Is that fair enough?

Sudarshan Kasturi: Yes, that's fine. INR100 -120 crores is okay.

Mithun K Chittilappilly: INR100 -120 crores of capex. Basically what will happen is as we get into next year, there are also investments in moulds and dies that are going on. And they are also going to come up. So, there will be a normative capex of around INR100 crores to INR120 crores for the next two years also.

Rahul Agarwal: Perfect. Thank you so much for answering my questions. All the best and congratulations for a good quarter.

Mithun K Chittilappilly: Thank you.

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Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Hi, sir. Thanks for taking my question and congrats on a good set of numbers. My first question is with respect to the stabilizer business. I know that this quarter would have seen a fabulous growth because of the strong traction in air -conditioning sales. But say to think over a slightly more normalized manner and over a longer time period, like two to three years, what kind of growth rate should we think of for this particular sub -segment , given the fact that AC sales might still end up doing well because of the improved penetration level etcetera? In the presentation, we had mentioned that the industry would be growing at a double -digit. Can it separate positively by growing at much, much higher number?

Mithun K Chittilappilly: See, for stabilizers, we are expecting, if you look at a very, very long term, that is about 10 years CAGR, It is somewhere around 8% to 9%. And that should be the growth that we also will be working with. But there are years when it goes up substantially higher because of the kind of weather we have . We have to also understand that we may not get this kind of weather every year. There are years where rains do kind of happen a lot within summer and then summer does not really take off, so this year was good on all the fronts.

It was also good on all the geographies as well. So, sometimes you have a very warm summer in South, but then the entire non -South gets washed out. Sometimes we have a very warm summer in non -South and South India gets washed out. So, these kind of things happen. This is one of the rare years which we have had. So 8% to 9% has been our very, very long term CAGR and that I think is the right number to work with.

Ravi Swaminathan: Understood, sir. What is driving growth in the digital UPS products. So, I mean, what are the factors of growth which is driving that particular product?

Mithun K Chittilappilly: Digital UPS is also dependent on summer, because what happens is, as the summer gets really warm, power cuts tend to start and the usage of inverters goes up, especially in Tier 2 and rural areas. So that has been one of the main drivers. But apart from that, we also have a new division, which started two to three years back, which is a solar rooftop solutions product, so that is also

driving good growth within the inverter and battery segment.

Ravi Swaminathan: Okay. And the solar rooftop, what percentage of the overall Electronics would it be a contributor to and how fast is it growing? Is it like a high -teen s kind of a growth segment?

Mithun K Chittilappilly: Solar rooftop is growing very fast. It is very small as of now and we do not give out product - wise number s.

Ravi Swaminathan: Understood, sir. M y second question is say the real estate-link ed products like wires, switches, switchgears, etcetera, are you seeing any signs of major uptick in terms of real estate demand, which can actually

kind of improve the growth from a single -digit or a high single -digit to a much higher number ?

Mithun K Chittilappilly: So, V -Guard's wires and E lectrical s business is largely retail. It means that almost 90% to 95% of the sales come from the trade. That is retail shops. We do not have a big business supplying

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to very large builders and infrastructure players and so on and so forth. So for us, these are more normal sales, but yes, our partners do supply to medium sized builders and all that.

So, we have to understand that there is a lot of real estate activity happening, but what we are seeing is that it is probably getting more formalized. So earlier also, i t was going on, but it was probably split among a lot more smaller and larger number of builders, where now, what we are seeing is a few builders are enjoying majority of the sales.

So I think for us, that is when we will see our peers also ; we are not seeing that much of an improvement in that sense. But retail sale is more stable and for example, when the interest rates were low, we did see some uptick, because when interest rates are low, people tend to make investments in real estate and stuff like that. So, we cannot say that there has been a huge tailwind for us, specifically, but companies which are focusing on projects will probably get some of that. One of the reasons we do not do projects is that the margins in projects are 10% to 15% lower in a product category with very small gross margins . So, it does not make sense for us to supply to projects.

Moderator: Thank you. The next participant is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Hi. Good afternoon, Mithun, Ram and Sudarshan. My first question is on other expenses, which saw clearly a sharp increase in first quarter. I understand that A&P is one part of it. But even if you strip off A&P, it appears that other expenses have actually risen quite sharply. Is there any one-off in this quarter? Or if there's nothing, then what is this on acc ount?

Mithun K Chittilappilly: Yes. I'll ask Sudarshan to take this.

Sudarshan Kasturi: There are some, few different parts to it. One is A&P, as you mentioned, so that's one factor. Certain factory -related costs also appear in other expenses. And compared to one year ago, manufacturing expenses have gone up. There are some one- offs, yes, because there were some releases in the previous year. Nothing unusual really. There's a big jump in freight and warranty, which is for this quarter, because for Electronics and Durables, which were the high growth categories, these tend to be higher than average, largely done.

Aditya Bhartia: Understood. So, you're saying in the preceding quarters, there were some releases of provisions and in this quarter, given that there are no releases, optically, we are kind of seeing a sharp jump?

Sudarshan Kasturi: Yes. And this quarter, also, the mix was like that. So, freight and warranty is higher.

Aditya Bhartia: Understood. And how should we kind of then think about it going forward? Freight and warranty is something that we can normalize a bit depending on mix, but rest everything appears to be in a similar kind of a range?

Sudarshan Kasturi: Yes, it's better to look at it as a 12 -month number, not by quarter. So, if we have our cost progress in the previous year, it will take the same thing.

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Aditya Bhartia: Sure, because if I just look at last year, the quarterly average works out to be closer to INR200-odd crores, while this quarter we have spent almost like INR260 crores.

Sudarshan Kasturi: Better to look at it as a percentage of turnover for the other expenses for FY ' 24.

Mithun K Chittilappilly: Some of the expenditures sitting in other expenses are also volume related, like as

you sell more

– more transportation, more warranty, provisioning, as we manufacture more and more i n our factories, more outsourced manpower cost. All these are sitting in other expenses.

Aditya Bhartia: Sure. My second question was on the growth that you have seen in Electronics S egment. While I understand that you do not break up the segment, just wanted to understand, is it getting largely

driven by stabilizers or would digital UPS have also seen a big improvement? And a related question to that we used to struggle with profitability on the digital UPS side. Have we seen a significant improvement around that?

Mithun K Chittilappilly: I think both have grown well. Like I mentioned, both, stabilizers has grown well and inverter battery has grown well. So, it is not like it is one that is driving. Both of them have grown well. You asked about profitability of digital UPS?

Aditya Bhartia: Yes.

Mithun K Chittilappilly: Okay. Ram, you want to take this, regarding margins?

Ramachandran V: Yes. Digital UPS has two components, the inverters and batteries. Inverter gross margin and profitability has significantly improved over time with the investment that we made in manufacturing and having moved inverter manufacturing in-house. What I would say, the battery margins, of course, continued to be under pressure. We have already taken action there in terms of setting up our own facility. I think the benefits from that probably should be visible towards later part of the year or maybe next year to be more precise. So that should give you a picture on inverter batteries.

Aditya Bhartia: Perfect. That's helpful, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: Thanks for the opportunity and congratulations on a strong set of numbers. You mentioned in your earlier remarks that largely the price increases that you have taken in your fans portfolio was to transfer the increase in commodity prices, would that be correct?

Mithun K Chittilappilly: Yes, that would be correct. Like see, pre-2020 we had a gross margin structure for fans and it was completely destroyed after the Russia-Ukraine war, significant increases in aluminium and lack of increases done by the industry. There are two reasons. One is hyper competitiveness. Second is the kind of increases we had to do, it was not possible to do it in one shot. So, the industry took two to three years to actually do this over time. And then, of course, prices also cooled off a little bit in between. So, yes, it's largely to accommodate the RM increases.

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Hardik Rawat: So there was a bit of pressure on the input prices as a result of change in the regulatory requirements.

Mithun K Chittilappilly: Yes, correct. So, there were two shocks. One was the shock given by the Russia-Ukraine war. The second shock was given by BEE, which meant that there were almost 7% to 10% price increases in the entry level products and may be 5% increase in the premium level products. So, this is also largely meant that if you wanted to buy a branded product, it was getting too expensive, especially for a value conscious consumer.

Hardik Rawat: Got it. So, could you please share with us the quantum of price increases you have taken in the category?

Mithun K Chittilappilly: So, you are talking about from 2021?

Hardik Rawat: No, not 2021, this quarter and in the last three months.

Mithun K Chittilappilly: So, I think as Ram mentioned earlier, we have taken around 2% in Q4 and another 2% in Q1.

Hardik Rawat: Okay. That helps. And lastly, with regards to the debt repayment that you mentioned, one-fourth by July. Could you please repeat that? The debt repayment for the Sunflame, i.e., the loan that you have taken for the Sunflame acquisition?

Mithun K Chittilappilly

: Sudarshan, you want to take this?

Sudarshan Kasturi: Yes. So in April, we repaid one-fourth of the term loan we had taken. It is about INR70 crores that we have repaid and a similar amount will get repaid by end of this month.

Hardik Rawat: And for the entire year, FY '25, we should expect the entire loan to be repaid?

Sudarshan Kasturi: Yes, that is what we are aiming to do that either by end of this year or by end of Q1 next year we should have paid in full.

Hardik Rawat: All right. Got it. Thank you so much. I'll get back in the queue.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Thanks for the opportunity. Sir, just wanted to understand the stabilizers and UPS market. So, is the market growth itself is so strong or have we gained the market share? With improving quality as well as quantity, both for electricity in India, how do we model this? Because these are considered to be sunset categories in India, but we still see V-Guard continues to do extremely well in both the categories quarter after quarter. How should we see growth rate in medium term for both the categories?

And again, where are the uses? For air-conditioner is one which I can understand, but apart from that what are the others where these products are used? If you can elaborate more on whether these products are getting used in urban markets or rural markets? Essentially, what is the TAM

(Total Addressable Market) for these products?
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Mithun K Chittilappilly: Yes, I will make a couple of comments and then I will pass it on to Ram. See, in 2008, it is almost 16 years back, when we went for an IPO, all the analysts told me that you will go out of business in three years. Now it has been 14 years or 16 years, and we are still growing. So, I do not have an answer for this. I can give you the same answer what I told them that the mess in the power distribution system in India is very, very large. So, they are sitting in Bombay and Delhi, you cannot assume that the entire country will have privatized clean power. So, I think it is going to be very difficult because power is a state subject. There is politics involved. There is union of the State Electricity Boards involved, there is all kinds of stuff happening. So, it is going to be very difficult to privatize power for the entire country. So, what we are expecting is that the largest cities will get privatized first and then it will move on. But even there, I think after a point, the Central Government has not been able to really push for privatization of power barring the big metros in the country. This is my answer. I mean, this is my comment and Ram, if you want to take the rest of the question.

Ramachandran V: I think what we have observed is stabilizer usage continues to grow and as also inverter battery. I think what also happens is while the power situation improves, it is not necessarily 100% and there are interruptions. Maybe the length of interruption is short or getting shorter, but it is there and the people want to have reliable power at home. So, they want to have an alternate means so that they can continue with life uninterrupted, right? Even in large metro cities, particularly in peak summers like this, even in Central Delhi, sometimes power is going out because the load is very high, so load shedding continues to happen in larger cities also. But this is what we are observing and this is why the category is going up.

For inverter battery as a category, rooftop is also developing as a segment and that is fast-growing with incentive and support from government. I think that is an area also which is going to be a significant driver of growth for that segment. Stabilizer, yes, as Mithun already said, you will have a good year or a bad year.

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In four years we have always witnessed very strong summer and we find then that on a CAGR basis, we end up at a long-term growth when we look at a four to five-year average which is no different from what it was five to ten years back. So, we still continue to believe that 8% to 9% growth long term growth will come on a four or five year cycle. Maybe some years it will be like 6% to 7% and some years it will be like 11% to 12%.

Aniruddha Joshi: Okay. Sure, sir. Understood. And just last question. In terms of kitchen appliances as well as Sunflame, kitchen appliances under V-Guard brand itself. I guess overall, in this portfolio is the restructuring largely over? Should we see revival in growth rates, let us say from H2 onwards or do you think that some amount of restructuring of the portfolio as well as the slowdown then in the market may continue for some more period of time? Yes, that is it from my side. Thanks for the questions.

Mithun K Chittilappilly: Yes. Ram, you want to take this?

Ramachandran V: So, you must have seen some results have already started to come out in the different states, right? I think the kitchen demand continues to be under stress. And it has been I think almost

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seven quarters that we are continuously witnessing a stress in this segment. So, I think that's the first observation.

At our end, on the V-Guard side, we had invested in setting up our own manufacturing facility. The main challenge with V-Guard was to improve the competitiveness of the V-Guard offering and to that end, we had set up facility in Vapi. The facility has come up and it is still maturing and by October or November, I think we should start to get output in line with what we need so that we are able to derive 100% of output from that factory.

Once we have our own manufacturing facility, besides supply competitiveness, it is also giving us a lot of flexibility to improve our offerings in the market in terms of these competitive value proposition. So, I think this is fundamentally going to be the main piece that is going to drive our business. And towards that end, we are already seeing traction in some of the categories like e-commerce where we, in anticipation of the manufacturing facility coming up, we have tried to be competitive with our offerings.

We are seeing good and encouraging signs. We do believe that with the facility in full stream by around November or December and with some newer launches that are coming, I think the V -

Guard kitchen business should start to do well.

Regarding the Sunflame business, it was in Q1 last year that progressively we could assemble our team to manage Sunflame, although Q4 was when we did the transaction. But Q1 was when actually, we could put the management team on board in Sunflame. The team is about the three quarters into the company. I think they have settled down well. They have a clear idea of how to play and how to win.

There is still work happening in terms of developing our long-term strategy for Sunflame and that is going to take another three to six months, right. I think the G T markets are doing better for Sunflame compared to organized retail where Sunflame is looking to leverage V-Guard's business systems. These processes are taking a bit of time, but for example, e-commerce and even organized trade; from the coming quarter, I think our systems should be able to better support the requirement of Sunflame.

That is broadly to give you an idea on Sunflame. The fundamentals are strong and positive and the margins are intact. Growth is a challenge for the industry and for Sunflame. The growth levers are yet to get stressed, right? That is why we are not seeing the result coming in. Because there is preparatory work which has been happening at our end to facilitate the scale up of Sunflame business through leveraging V

-Guard's infrastructure and business systems.

Aniruddha Joshi: Okay. Sure, sir. Very helpful. Many thanks.

Ramachandran V: Thank you.

Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama. Please go ahead.

Achal Lohade: Yes. Greeting, gentlemen. Thank you for the opportunity. Congratulations for the great set of numbers. Sir, just wanted to clarify, you said the summer season was good, but ex of summer

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season, would you be able to quantify if the growth was in single-digit or double-digits? Because I think wires, you said had very slow growth and also in kitchen, you said things are under pressure. So, if you could just clarify on non-summer products, how the momentum was in fourth quarter and how it is playing out in first quarter?

Mithun K Chittilappilly: So, Achal, I think it is slightly difficult to do that. Because, yes, definitely summer. So, I think if you look at Q4 and Q1, we definitely got a few percentage points boost in sales because of summer. I am very sure about that. So, let us see. I think it is going to be very difficult to say that if summer was not good what would have been? So, I think the way you look at it, it is like this. So, if you look at last four years we have been struggling in the Electronics category. Our CAGR was very low, stabilizer – the growth rates were in low single digits and now it has caught up with a long term CAGR of 8% to 9% or 10%. So, I think one has to look at it like that rather than saying that ex of summer, what would have been the growth.

One more thing to notice, see a lot of our channels which sells Consumer Durables, especially kitchen, is the same channel, the same distributor and same retailers who sell stabilizers and air-conditioners. So, when you have this kind of a summer, the working capital deployment of retailers and distributors will move to the summer categories and the others will get tightened.

And that's been a phenomenon that we see every time. So that is also there as an added reason for some of the slowness in the non-summer category.

Achal Lohade: Sorry. Maybe, I was not that clear. In terms of the categories which are not summer driven, like wires, kitchen appliances, etcetera, if the growth was weak or are you seeing an improvement on that count?

Ramachandran V: Mithun, can I take that?

Mithun K Chittilappilly: Yes, Ram.

Ramachandran V: So, I think, see wire business responds to copper. If copper prices go up or go down, it influences sentiment for wire purchase and that will influence the sales of wires because they stock up or stock down. So, if you take out the wires and if you take out the summer categories, you are really looking at about some 20% or 25% of our revenue and a large portion of that is water heaters. Because for switches and switchgears, they are fine, I think we have double-digit growth. We do not have an issue there. Our penetration is low. These are growing categories and they are doing well.

Then the other part there is really water heaters. Water heaters see, winter is to yet to start and we will get a better picture; because whatever happens with water heater pre-season, it is basically trade up stocking. I think with water heaters, the growth has been lower than typically what you would expect for reasons that Mithun talked about, because the entire working capital of trade partners is focused on summer categories, whether it is AC, whether it is air-coolers because these categories have seen abnormal growth, right 40, 50%, 70% kind of growth and they have had to purchase these, stock these, and sell these, right? So, they are really focused their working capital there. I think clear picture on water heaters will be visible in the upcoming four or five months. I think last year was a challenging year for water heater as the weather did

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not support the category. So, we do hope that consequently the current year should be favourable as far as water heaters are concerned.

Kitchen, I think kitchen is an industry-wide problem. For us, our indexation to kitchen for at least the V -Guard kitchen business is very small, although V -Guard and Sunflame are strong. As far as Sunflame is concerned, I think broadly our performance is closer to plan. Our business systems and practices are traveling to Sunflame, there are some challenges in terms of timing of accounting and all of those things and therefore, although broadly, performance of Sunflame is close to the annual plan, what is reflecting has been maybe a little lower.

We had the forecasted that our Q1 would be lower in February itself than we have made the forecast for this year. But we are getting into festive season. Quarter two and quarter three are the strongest quarter for kitchen. Given that kitchen as a category has been under stress for now almost six to seven quarters, we are hoping that festive season will really see some sales uplift. But, yes, that is the part which is a bit uncertain as we see for us and for the industry.

Moderator: Thank you. The next question is from the line of Kawal from Samar Wealth . Please go ahead.

Kawal: Okay. Sir, my question is, could you provide any guidance on expected top line and margin improvement?

Mithun K Chittilappilly: You are asking about expected top line and expected margins?

Kawal: Yes, sir.

Mithun K Chittilappilly: We do not give a guidance as such, but we always said that we should grow around 13% to 15% in revenues. And margins, we have largely come back. I think we should hover around between 9% to 10% EBITDA margins for the year.

Kawal: Okay, sir. My next question is, are you planning to expand in a new segment or any product category as of now?

Mithun K Chittilappilly: I think we do look at new categories, but we are not ready to talk about it publicly.

Kawal: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi, this is Priyank Chheda from Vallum. Sir, my question is on the rationale for you to keep the two kitchen businesses in a separate entity. One, kitchen appliance business in V -Guard, another one is Sunflame. And when you are investing further into the kitchen appliance in V -Guard, while Sunflame is operating at 50% utilization. So, how do we see these two businesses under the same parent group operating in a two different companies?

Mithun K Chittilappilly: Okay, got it. Ram you want to take this?

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Ramachandran V: Yes. I think two things. Firstly, when we set up our manufacturing capacity in Vapi, this project had commenced even the Sunflame transaction could be firmed up, right? And the transaction process is always uncertain and after waiting for a long time, we could wait no more. And so we decided to go ahead and make investment in the interest of growing our kitchen business, this is the first part. Secondly, the 65% to 70% of the output of Vapi plant is basically going to be towards mixer - grinder s for which the capacity is not existing in Sunflame. So, I think this factory will be producing mixer -grinder s for V -Guard and should in the future, also be able to support the mixer -grinder s and the food processor requirement of Sunflame. So, that is as far as our investment separately in these two places is concerned.

The Sunflame plants have been operating in festival period at least close to full capacity utilization. Recently, we have reorganized the manufacturing layout and the manufacturing system to increase the capacity in Sunflame factories to support the future growth. So, that's on the manufacturing side.

On the s

strategy side, we are going to retain both the businesses. Today, the V -Guard kitchen portfolio is approximately INR200-odd crores annual. Maybe a bit more this year. And Sunflame is expected to do about INR325 crores to INR350 crores. So, I think the businesses are significant. We are in the course of doing is that we are engaged in a consulting engagement to deliver a long -term strategy for V -Guard 's play in the kitchen business. And how the two brands will coexist and how they will operate, right.

Over the midterm, obviously, the back end will be integrated, whereas the front -end will be focused to drive the two brands. So that is how the efficiency will play out. The front -end will

be; so even at the front -end, front -end for categories like, some of the channels will be common, like e -commerce and all, one-third of the business is common, whereas GT infrastructure, right, front -end infrastructure that will be independent of the two brands.

Priyank Chheda: Then on a broader kitchen appliance system, you did mention that the category is under a stress for multiple quarters now. Can you specify any particular categories? Kitchen appliance as a segment is very broad. Any particular categories which you would like to call out which are working well? And any particular categories which are yet under stress and which you do not see any issues?

Ramachandran V: Yes, look we may not be significant player in every part of the kitchen portfolio, but from my understanding, certainly gas stove, mixer -grinder and induction cooktop. Till last quarter, hoods was doing well, but I understand even kitchen hoods and hobs have come under stress. This is what I understand. So, small domestic appliances, not so sure. But what I understand is even the platforms, the e-commerce platforms are under stress on kitchen portfolio, implying even small domestic appliances may also be under pressure.

Priyank Chheda: Do you see any changing in this as a broader category now when government focuses back on to the rural spending socialist reforms ? Do you see anything changing for this category after so many quarters of loss?

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Ramachandran V: I think that there may be two factors. So one is, people spent a lot of time at home during COVID period. And while most categories compressed during the COVID period, I think the kitchen as a category did exceedingly well. And it is quite possible that this has been one factor which has contributed. As the category came out of COVID, I think the pressure has come down, right, that the consumer demand has come down.

The other thing is see, typically, when you look at the overall Consumer Durable space, right, the most widely penetrated category is kitchen . Because when you take a product category like gas stove or you look at a mixer -grinder, these are highly penetrated categories. Maybe hoods and built -ins are still sitting with premium or let us say, higher income households. So, it is quite possible that during the COVID phase and the post COVID phase, the household balance sheets have come down, and they have been under stress and particularly for I would say middle class and lower middle class, the stress may have been aggressive and it is quite possible that the households are busy repairing their balance sheet and they are only making essential replacements, right? And that is reflected in the consumption data also.

Yes, there are some positive signs. Monsoon is extremely favourable . This year, monsoon progress has been on time and it is progressing well which should augur well for the rural markets, right? That is one part of it. The other part of it is also that the budget has talked about bringing a lot of focus on developing the farm and agri sector. That is a very, very positive and prominent thing. That kind of focus has been seen after some time and it is p

robably responding

to the challenges and stress that this sector is facing.

This will have positive implications on the midterm demand over a three to five-year horizon.

So, these are favourable factors. The fiscal deficit is also forecasted to be lower and that should probably keep inflation on the lower side and which might be a positive for consumption. So, this is how it is playing out. Yes, when you look at a midterm horizon, things are looking good, right? Things are looking better for consumption and hopefully, it should reflect in kitchen category demand.

Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang Institutional Equities. Please go ahead.

Natasha Jain: Yes. Thank you for the follow up. If Mithun sir can address my question. I had recently concluded exhaustive channel checks pan-India and the feedback I got from the ground was, while products of V-Guard is probably one of the best in terms of quality, we do lack in terms of visibility, especially as we move from down South to Northern India. So, can you throw some light as to what is our advertisement strategy?

Are we doing anything specific in terms of addressing the Western and Northern market?

Specific meaning, onboarding some kind of a bigger or a larger -than -life iconic celebrities to improve visibility or target the influencer management space. What is our broader strategy here?

Mithun K Chittilappilly: I will answer your question and then maybe I will ask Ram to pitch in after I do. So as of now, we do not have any plans to get in a celebrity. What one has to understand is that we are in a multi-product category. So, we have seven to eight large categories. So, the problem of getting V-Guard Industries Limited

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a celebrity is you can only do it for one category usually because they are usually tied up; so they will not, because different companies are there getting them. Only you can get a celebrity for a single category, getting it for multi-category, is usually difficult and that is what we have faced in the past and that is one of the reasons.

Second is we really believe that our product work should speak for itself. For example, we have made significant strides in the fans business without having any celebrity, without having any advertisement – solely on the basis of our product work. So, I think we are doing similar works in other categories and they will also; because we believe that you can advertise, but if the product is also not up to the mark, then there is no point in advertising. That is something we have realized and that is why we set up close to five to six plants for various categories because it all starts from the manufacturing side. We need the flexibility to do the refresh of products faster. We need better quality, which we can only do in our own plants because vendors have a limit. We need fit-finish, design has to be outstanding. Again, this cannot be made with vendors. So, those are the reasons why we have invested. And we are now starting to see the fruits of that. Regarding advertisement I think till 2020, we were spending between 2.5% to 3% on A&P, and during COVID, FY 2021 and FY 2022 we had cut our A&P. FY 2023 was, we really got impacted through margins. If you look at the current year, our A&P for Q1 has gone up by some 30% to 40% in revenue. It has gone up faster than the revenue. So, we are pressing the foot on the accelerator for A&P.

But I think you have to keep in mind that India is a very large country and we have diverse markets and languages. So, I can say for sure that we are having very strong recall, following and preference in Southern and Eastern markets. Northern and Western markets are yet to have that similar kind of acceptance, again do your channel checks. But then, having said that, if you look at Q1, North has grown by about 2

5%. Western markets have grown by about 27% and

East has grown by 30%, so they are not that largely different, just to answer your question.

Ram, do you want to add anything?

Ramachandran V: Yes, I will, Mithun. So, if you look at V-Guard business last year, or if you look at our current business, we are trending at about INR2,500 crores revenues in non-South and today, under the V-Guard franchise. I am talking about, INR2,500 crores to INR3,000 crores will be our non-South business this year, trending on V-Guard franchise. So obviously, we can not build this kind of business, without brand awareness. That is the first point.

Yes, when people talk about brand awareness, people talk basically about top-of-mind recall, right? With top of the mind recall, there people instantaneously say, yes, I know this brand. So, we are really talking about top-of-mind recall, okay? I am sure aided recall will be good. The problem with top-of-mind recall is that it takes time to build. So, let me just go back. If you go back to our non-South business, it is not more than fifteen years old. And if you really look at our presence in non-South, considering that we have staggered our entries into different markets at a state level or even at a district level. And if you also look at the fact that we have staggered our entry across different categories, broadly, we are a seven to eight-year old brand in most markets, right? In some markets, we are two to three years old. Some markets we are ten to

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twelve years old, that is our, actually, the breadth and depth of our presence. It is not, actually fifteen years also. It is like seven to eight-year old brand and now for that size, our awareness is quite decent. Right. But we lack top of mind recall.

Top of mind recall building, right. It really takes time. Of course, you can get a good celebrity and you can pump it up. But sustaining it will mean also sustaining the spending over a long period of time. Now, as a business, right, we have number of imperatives when it comes to building business. The most important thing that you have to invest is actually to build your capability. So that's what we have done, right?

We are investing along the path of doing business. We are investing to strengthen our quality. We are investing to strengthen our fit and finish, as Mithun talked about, right? The investments, we are making, we are actually making very deep investments and I think, unfortunately, most of our investments are not visible. They are not visible because they are all driven towards capability.

We believe that we will reap the best fruit when we are really capable and equipped so that when we invest significantly in advertising, we are able to reap the fruits of it. So, I think there is a lot of investment that is happening – investment in service, investment in quality, investment in design and we are doing that. And today, if you look at V-Guard, we are far, far stronger than who or what we were five years back. We are investing in talent and we are investing in talent for the future of the business also, not only to run the current business. So, investments are

happening in many areas, huge investment is happening on technology and digitization. Yes, of course, we could do more on the front -end. The problem with front -end investing is also that we have to sustain that investing to build the brand. It is not a one year effort, but you need to do it over a three to four year horizon. Unfortunately, we have been passing through a lot of uncertain times with the demon etisation , GST, COVID and then the commodity shock , right? So, I think that has been a bit harder for us to make land investment. Because we are also investing on internal capabilities simultaneously as the business is under stress. So, internal investments have continue

d very, very strongly, even during the most difficult phases that most businesses have gone through. So that is how I would put it. I think we are very much committed to investing in the future of the V -Guard brand. It is just not visible in the way that you typically expect to see because it is directed in different directions.

The other final point I want to make is you should correlate the brand. The brand, whatever you may be sensing, fundamentally coming from a top of mind awareness issue, right? We can not build a INR2,500 crores business in twelve to fourteen years, right? We can not build this kind of a business, right, without brand awareness. I do hope you understand it. It is not the absence of brand awareness, it is the absence of top of mind awareness in newer markets where on an average you would be not more than seven to eight years old.

Natasha Jain: That is extremely helpful. Thank you for that. And definitely on the ground, we have seen improvement in terms of quality as well as design. That is all from my side, sir. Thank you and all the best.

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Ramachandran V: Thank you.

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.

Naushad Chaudhary : Hi. Thanks for the opportunity and congrats on a decent set of numbers. First thing I wanted to check on our outsourcing model. In last three, four years, as a percentage of revenue, it has come down from 40% to roughly 33% last year. In the next two to three years, how do you think this number should move?

Mithun K Chittilappilly: Yes. We are hoping that in the next two to three years we should move to 25% of outsourcing and 75% of in- house manufacturing.

Naushad Chaudhary : And eventually, in the long term do you plan to make it zero?

Mithun K Chittilappilly: No, I think we are always going to have categories where it is not going to make sense for us to manufacture. For example, we will always incubate categories by working with the best partners in manufacturing that category and then once we gain scale, we will slowly insource the product, because if you want to make everything in your plant, you need to have a minimum order quantity and many of the categories are seasonal. So, you can not have a plant which is only working a few months of the year. So, we are always going to have and we are also, what we probably do is our mid segment and premium segment.

If you look at fans, we are manufacturing only the mid and premium segment. The economic segment, we are largely outsourcing because it does not make sense for us to make the plain vanilla fan in our factory. Because our factories are more expensive, we have to pay, we have to comply with all rules and regulations. We have to pay all the benefits and all the legally required wages and overtime and all that. So, when you do all that ; but our vendors need not follow all this because they are all under the radar and they are not listed companies and stuff like that. So typically, what we do is, we , in our own plant, we actually manufacture the hero products and the mid segment and premium segment products .

Naushad Chaudhary : Understood. Second question on stabilizer, if I heard it correctly, you mentioned this category, which was struggling with low single -digit CAGR growth and has now come back to 8% or 9%.

So, is this something just a beginning? And you see, this kind of run rate should at least continue for next couple of quarters?

Mithun K Chittilappilly: Yes. I think typically, when we have a good first quarter, the following quarters also tend to be good, because our distributors do not have much inventory. Our trade partners also do not have much inventory. So, they actually buy throughout the year. When you have a very bad summer, the reverse is also true. You have a very sluggish market. Your

inventory goes up, your receivables go up and so forth.

Naushad Chaudhary : And the long term CAGR for this category is 8% to 9% or lower than this?

Mithun K Chittilappilly: It's about 8% to 9% if you look at last, 15 to 18 years.

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Naushad Chaudhary : So if it is coming back for low CAGR, ideally, it should have been higher. 8% to 9% from a low CAGR, should not be disappointing number ?

Mithun K Chittilappilly: No, see, if you look at stabilizer was having a, let us look at pre -COVID it was having a CAGR for around 7% to 9%. Now, post -COVID, it has dropped to 4% to 5% and if you actually look at last five years, it will be 15% to 16%. But the thing is, it may not repeat every year because we are sitting on a high base for next year. I am talking about a long term CAGR, it will be about 9% to 10%.

Naushad Chaudhary : Understood, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset Management . Please go ahead.

Rahul Agarwal: Thanks for the follow up. Just one question. I was going through the website it talks about few contests being run for business plan and tech designs. Just curious to know over the past years, since you have run these, how fruitful has this been in terms of incorporating certain ideas and designs into products? If you can cite some examples and what would you expect going forward? Thank you.

Mithun K Chittilappilly: Okay. Ram, you want to take this regarding Big Idea?

Ramachandran V: Yes. See, this Big Idea contest was started around 2009-2010 fundamentally as an engagement platform with the student community. I think it has been now running since then, right? So, the primary objective of this is to engage the student community. So, I think it should be seen from that perspective. It gives us the opportunity to meet some bright students and we do hire some students into our system as management trainee and we have done that in the last four or five years. We have taken some of them on board. As far as the idea part is concerned, yes, I think there are a lot of ideas which gets shared at that kind of a platform. Of course, what we do with our business sometimes or many times it may not look like it how it is presented, but definitely, the thoughts inspire, let us say exploration at our end in terms of the possibilities on how to go forward.

Rahul Agarwal: Thank you so much. All the best.

Ramachandran V: Thanks.

Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Just a very small follow up. Are we seeing signs of restocking in wires market in July?

Mithun K Chittilappilly: See, I think we do not like to talk about an ongoing quarter, but I will just say that today also, I think copper has corrected by about 2% to 3% or something like that. So, the typical behaviour is the trade will try to see if we have reached a bottom. So unless we have sustained 2% to 3% increases in copper prices happening over a few weeks, restocking does not start. Normalized sale is going on like Ram mentioned earlier also.

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The destocking had started at some time in May and so the destocking towards normalized sale will be happening, but the restocking will happen only when the retailers will see, that okay, the tide has turned. It does not even have to be a very strong uptrend, but even in the medium term, a small uptrend also helps them to rebuy. Because they will be sitting with less than desirable inventory.

Aditya Bhartia: Understood. That's helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, this will be the final question for today. It is from the line of Hardik Rawat from IIFL Securities. Please go ahead.

Hardik Rawat: Thanks for the follow up. I wanted to

understand, based on how the first quarter has been, what is your outlook for demand across segments, especially Consumer Durables? How do you see that evolving for the fiscal year?

Mithun K Chittilappilly: No, we do not give out any segment -specific guidance, but as a blended basis, on an overall basis, we should be doing well. Typically, when we have a strong first quarter, it typically translates into decent numbers going forward, but I have to say that the Kitchen segment demand is soft, but Q2 and Q3 are the festive seasons. So, we are eagerly waiting for that. Wire is another item which is not summer based. So, in case of wire, it is really depending on copper price. I think we are less worried, because it typically does bounce back quickly. So, let us wait and see. I think we typically look to grow between 13% to 15% in sales annually, and I think that should be possible.

Hardik Rawat: Thank you so much.

Moderator: Thank you. Ladies and Gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to Ms. Natasha Jain for the closing comments.

Natasha Jain: Thank you, Steve. I will request the management to give their final remarks.

Mithun K Chittilappilly: Thank you, Natasha and Nirmal Bang for hosting this call and thank you all for your patient listening.
Natasha Jain: Thank you so much, sir. This concludes the conference. We thank all the participants and you may disconnect your line now. Thank you.

Call: Nov 2024

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November 06, 2024

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Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2024.

This is with reference to the intimation dated October 15, 2024, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the financial results for the quarter and half year ended September 30, 2024, scheduled on October 30, 2024. The audio recording was filed with the stock exchange on October 30, 2024.

We are enclosing herewith the transcript of the Earnings call. The same is also being uploaded on the website of the Company at [https://www.vguard.in/uploads/](https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q2-FY25-Transcript.pdf)

investor_relations/V-Guard-Industries-Q2-FY25-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,

Yours Sincerely,

For V-Guard Industries Limited

Vikas Kumar Tak

Company Secretary & Compliance Officer

Membership No. FCS 6618

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Encl: As above

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Q2 FY '25 Earnings Conference Call "

October 30, 2024

MANAGEMENT :MR. MITHUN K CHITILAPPILLY – MANAGING

DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF

OPERATING OFFICER – V-GUARD INDUSTRIES

LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF

FINANCIAL OFFICER – V-GUARD INDUSTRIES

LIMITED

MO

DERATOR : MR. DEEPAK AGARWAL – JM FINANCIAL

■ JJM FINANCIAL 83

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presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal. Thank you, and over to you, sir.

Deepak Agarwal : Thank you. Good afternoon and Happy Diwali to everyone. On behalf of JM Financial, I welcome you all to V-Guard Industries Limited Q2 FY '25 Earnings Conference Call. We have with us senior management represented by Mr. Mithun Chittilappilly, Managing Director, Mr. Ramachandran V., Director and Chief Operating Officer and Mr. Sudarshan Kasturi, Senior VP and Chief Financial Officer.

Now I hand over the call to the management for initial comments on quarterly performance, and then we'll open the floor for question and answer. Thank you, and over to you, sir.

Mithun K Chittilappilly: Yes. Thank you, Deepak and to the JM Financial team for hosting this call. A very warm welcome to everyone present and thank you for joining us today to discuss the operating and financial performance of our company for the second quarter of financial year '25.

I trust all of you have had a chance to refer to our investor presentation, which was shared yesterday. The business delivered a healthy top line growth this quarter, despite some severe weather conditions in some parts of the country. We reported consolidated net revenues of INR1,294 crores in Q2 FY '25, which is higher by 14.1% on a Y-o-Y basis.

The Electronics segment, comprising of Stabilizers, UPS, Inverters and Batteries, led the growth with revenues increasing by 18.8% Y-o-Y. The strong performance of summer products in Q1 carried its momentum into the second quarter as well. We are particularly pleased with the performance of the solar power system, which is a category for the future.

In the Electricals segment, our largest revenue contributor comprising of Wires, Pumps, Switchgears and Modular Switches, we registered a growth of 16.3% Y-o-Y. While we witnessed a significant growth, the volatility in prices, copper prices caused a margin impact of 0.6% at a company level.

In the Consumer Durables segment, we reported a top line growth of 10.6% on a Y-o-Y basis.

The Kitchen Appliances business has been facing a slowdown, which has impacted both V-Guard as well as Sunflame. Sunflame reported a degrowth in top line of 1.1% Y-o-Y in Q2.

Given the actions we had undertaken, there has been a growth in the general trade of the business. ■

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But the reduction of orders from the CSD segment has resulted in an overall decline in top line.

We believe that the fundamentals of the business are strong. We continue to focus on completing the functional integration and pressing ahead with the growth strategy interventions.

In terms of geographies, most regions have done well. We did witness some impact of inclement weather in Eastern markets, which is a very strong market for us. The non-south market reported

a top line growth of 16.9% Y-o-Y in Q2, while revenues from southern markets grew by 13.6%

Y-o-Y. With the strong growth, the non-south markets contributed 44.5% of the total revenues in Q2.

Gross margin continues to improve, aided by a higher share of in-house manufacturing and cost-saving initiatives and gradual shift to our premium portfolio. We have reported a gross margin of 35.8% in this quarter as compared to 33.8% in Q2 last year, an increase of 200 basis points.

EBITDA, excluding other income, was INR110 crores in Q2, an increase of 19.2% on a Y-o-Y basis. The EBITDA margin of 8.5% is 30 basis points higher compared to 8.2% in Q2 of last year.

Major cost heads such as advertising, travel and other overheads have largely returned to normative levels. In Q2 FY '25, other income was INR 4 crores compared with INR14 crores in

Q2 last year. This is because there was a one-off item related to the fair valuation gain on the Gegadyne investment in the previous financial year. Continued effective management of working capital has enabled us to deliver robust cash flows.

Cash flow from operations remained strong for H1 FY '25 as we generated INR 336 crores, which has helped us to progressively repay the debt taken for the Sunflame acquisition. We expect to repay the loan in full by the end of the current financial year. It has been a fairly decent quarter marked with revenue growth, margin improvement, continued effective working capital, healthy

cash flow generation and further repayment of the debt. We expect to continue the momentum and deliver a strong performance in the second half of the year.

With that, I conclude my opening remarks. I would like to thank Deepak and the team at JM Financial for hosting this call and would like to request the moderator to open the floor for Q&A.

Thank you.

Moderator: The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Thank you for the opportunity and congratulations on a very good set of numbers, sir. My first question is on the Electronics side. So firstly, can you please bifurcate the growth between

Stabilizers and Batteries separately? And if Batteries as a category has picked up?

Mithun K Chittilappilly: We don't give out product-wise numbers. But in the Electronics segment, Stabilizers, Inverters

and

and Batteries and the solar UPS, all 3 have grown. All 3 have contributed. ■

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Natasha Jain: Understood, sir. Because in the past con call, you've said that Batteries has been under pressure.

So, I was just wondering if there is any change in that particular category.

Mithun K Chittilappilly: No, we have had a decent growth in Batteries, both in Q1 and Q2. Like we said before, the summer season was very strong in most parts of the country, and we got some benefit of that in the first half of the Q2.

Natasha Jain: Understood, sir. And sir, in the same segment in terms of margin, I mean, the margin growth has been impressive until now. I just want to understand how much more scale-up is possible here in terms of backward integration? And in the medium term, say, in 2 years' time frame, what kind of expansion can we expect from here as well, given that even Batteries facility will get commissioned in the offing?

Mithun K Chittilappilly: So, I think as far as margin improvement is concerned, we are still in the process; so when we in-source manufacturing, in some cases, we are seeing margin improvement. But in some of the cases, we are not doing it for margin improvement. In fact, we are going to do it for the case of competitiveness for example, for Batteries and for Kitchen Appliances. The primary reason for setting up the plant is that we were not competitive in the market.

So, some part of that improvement is going to be passed back into the market. So, we are right now almost still 1% to 1.5% behind in terms of gross margin from our earlier pre-COVID days.

And that's the gap we are looking to bridge. So, you may not see an increase in margin, but you will see an increase in price competitiveness and a better acceleration in sales.

Natasha Jain: Understood, sir. And sir, you mentioned in-sourcing, outsourcing. So, can you please call out the current manufacturing versus outsourcing percentage?

Mithun K Chittilappilly: I think we're at around 65% which is the current in-sourced manufacturing and outsourced is 35%.

Natasha Jain: Great. And sir, if I may just squeeze one more question. In terms of Consumer Durables, there has been strong margin improvement. So, can you call out what led to this improvement? And how has Water Heaters done this quarter?

Mithun K Chittilappilly: So, Ram, you want to take this, for CD?

Ramachandran V: Yes, so I think as far as the Durables is concerned, there is a moderate improvement in margins, but we're still to come up to our long-term margin level, which used to be pre-COVID. The margin lag is fundamentally because of slower pricing pass-through, yes. So, I think that's the background in context.

Water Heaters growth has been muted fundamentally because of the delayed, what I would say, delayed summer progress and the extension of summer has resulted in delayed onset of the winter season, so the selling has not happened yet. That is the context to that. ■

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Natasha Jain: Okay. Sir, because I was under the impression that Water Heaters in the industry has done well because peers have reported comparatively stronger numbers on Water Heaters.

Ramachandran V: The geography mix of business is different from company to company. And maybe in case some of the peers have reported the strong growth in Water Heaters, then it may be the case because we don't have access to segments or product performance of peers. My sense is that because of the delay in summer onset; because we are seeing much stronger growth in summer categories that what we would typically expect, and we have had a moderate growth in Water Heaters.

And just one more point. Just to say that some of the other anecdotal evidence of slowness in the market is the kind of pricing that also we are witnessing, the competitive pricing that we are

witnessing. So, it's not only summer sale being strong in the early part of this quarter, but it is

also the kind of pricing that's witnessed in the category. So, these are indicative of the pressures that the winter products are facing.

Natasha Jain: Thank so much sir. Understood. I will get back in queue.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.

Rahul Agarwal: Hi very good afternoon and wish you all very happy Diwali. Firstly, just in your view, Mithun,

versus expectations and how Q 2 has actually panned out, it looks like it's obviously a very strong quarter. But when I see growth, it's basically segment 1 is higher than 2 and then segment 2 is higher than 3. Ideally, we would want that to reverse, right? We want D urables to do better and followed by Electricals, followed by Electronics.

Any thoughts in terms of how do you look at growth going forward? Electronics and Durables, you explained what really happened in the quarter. Any colour on Electrical demand and supply, that will be helpful.

Ramachandran V : Yes. Mithun, can I take this?

Mithun K Chittilappilly: Yes, take it.

Ramachandran V : Yes. Let me take up the D urable s part first. So fundamentally, there is some pressure on Water Heaters . And there is some pressure on, if I may say, Kitchen , right? So , Kitchen continues to grow slower than the rest of the categories, right? So , I think these 2 categories have depressed our growth in this segment.

I think one more thing is that certain regions like East, for example, for us was flat last quarter because some of the sales came tail ended and because of the cash flow issues because the visit s/ walk -ins into the market were slow, mainly because of the weather. So , some sales may have slid forward also , and we will have to take it into the next quarter. So fundamentally no concern on Consumer Durables. ■

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Consumer Durable s' demand is healthy. I think for Water Heater s, we feel that the demand is weak. Maybe some companies are getting better business than some others. Right now , September quarter is all about sellin g and it is all about sentiment.

But in South, what happens by September is that we start to see some offtake because it's a tail end of monsoon and the weather is starting to get cold there. So not evidencing that is indicative to us of some challenges with the winter, but we expect a delayed winter , and long winter may be running later into January also. So that's the background and context on this.

The second part of the colour on Electrical s. Mithun was talking about 1% to 1.5% gross margin improvement progress that we have to do. Some part of it is also connected with the margin erosion, which is happening because commodity prices have been fluctuating in Wires .

We had copper prices dropping at some stage in the second quarter, and that we have had to pass through. And we had to take some inventory, et cetera, right? so there is a bit of margin pressure on Wires in the last quarter. But this will disappear fundamentally because the pricing pass - through is far more efficient in E lectrical categories as compared to Consumer Durables. So, no concern on that, but just to paint that colo ur that you are looking for.

Obviously, whenever there is a price reduction, there is a bit of, what I would say, down stocking that happens in trade. So naturally, the W ire sales will be softer. I'm sure you would have had this commentary from other W ire and Cable companies. Otherwise, I think it is a business as usual as far as the Electrical Products segment is concerned.

Rahul Agarwal: Anything on the Pump s, Switch es, Switch gears, anything on that, any specific trends?

Mithun K Chittilappilly: Ram, do you want to take it?

Ramac

handran V : Yes. In Switches and Switchgear s, we continue to get double -digit growth broadly on the Switches and S witchgear s portfolio , as a whole. I think we are witnessing reasonably normal demand, maybe one of them is higher in one quarter versus the other. But directionally, no challenges there.

As far as the P ump is concerned, we have had good growth for some time. But I think we'll have to wait and see. The monsoon has been strong and water tables would have risen up and how that will affect demand, both in terms of type of P umps and the geographies and how it will impact business. T hat is something that we will have to wait and see. Because once the water table goes up, maybe the P ump needs or the replacement needs can be lower sometime in the short -term.

Rahul Agarwal: Got it and secondly, on Sunflame, how was the quarter versus your own internal expectations?

And what is the outlook on this business? It's been about 7, 8 quarters. Just wanted to understand when do we see growth?

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Ramachandran V : Just to give you the background and context, it took us about 4, 5 months or maybe 6 months to put a new operating team into Sunflame. Sunflame when we acquired was very thinly staffed as an entity and it took us about to 5-6 months to put a management team on ground . The

management team is well settled, and operational control is something that we have established well and the critical financial control systems, including SAP and adjacent systems to SAP and all the implementation is out of the way.

Now coming to the revenue and the margin side of the business, the gross margins are well intact as far as Sunflame is concerned. Coming to the top line part of it, there are a couple of challenges there. The modern trade and RSS business and even e-commerce business, they have some long preparation time. The way we run our e-commerce business, we run it directly with inventory from our warehouses and as opposed to the way Sunflame does it where they would do it through an intermediary. So, we have transitioned the Sunflame e-commerce system into V-Guard. It

has taken quite some time for us because there are a number of technology solutions, which were required to be put in place. We also needed to have the platforms to be able to make

modifications to control. Some of it requires to be done overseas. So, we have lost some time in that transition. This is now in place and operational, including new warehouses. Again, all the warehouses have to be registered for operations. So, I think that business has been under a bit of stress until this transition could be executed. But now this is out of the way, and we do hope in the upcoming 3 to 4 quarters, the business will progressively pick up and move forward.

Similarly, for modern trade and RSS, the portfolio required a product refresh. Cycle times for refresh are long, takes close to 12 months to 15 months, and these actions are out of the way. And that again should help us going forward into the future. GT business has seen a decent

growth and better growth than what we have witnessed for the Kitchen industry as a whole. So,

GT is getting better and is growing. CSD and CPC, some challenges are there. In the CPC transition, the benefits that CSD customers enjoy have now been extended to the CPC consumers. They have had the transition period for the implementing technology changes, and that's impacted our business partly or significantly last quarter and to some degree this quarter also. But that will again recover going forward. There have been some changes in CSD in terms

of classification and way of doing business for some of our categories. So, CSD orders have been slow this quarter, and that is reflecting in the overall number also. So that is broadly to give you a channel-wise picture.

The fundamentals are intact and gross margins

are good. Work has happened on strengthening

our product offerings, and we have initiated work in terms of building, developing and delivering a new long-term strategy for Kitchen for Sunflame and V-Guard. We remain hopeful and

confident about the future of the business. But fundamentally, the challenges that impact the overall Kitchen market, they are also touching Sunflame. Sunflame traditionally, if you look at the long-term growth, it used to grow at about 4% compared to the industry growth of 11% to 12%. And this context may also be kept in mind.

Rahul Agarwal: Should we see growth in second half on Sunflame, on top line? ■

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Ramachandran V: I think, yes, the business should start to grow. I think the GT will definitely continue to grow, right? The other 3 channels, there are actions which have landed, which are in flight, and some are externally driven like CSD and CPC, which is externally driven by the channel.

So, I think predicting what's happening in those 3 areas may be a bit of a challenge. Probably even e-commerce, I think, should be okay because we have completed what needs to be done, and we should start to see results there.

So, I would say GT and e-commerce, yes. I think the other 2 pieces, there is some uncertainty and in some time, we will know. Maybe by end of next quarter, for sure, we will be able to give a better colour on the upward trajectory. But the CSD business, there are years, it corrects; and there are years, it goes. So, it's dependent on some of the system changes and other things that happen internally or somewhere. Fundamentally, no issue on the overall demand side.

Rahul Agarwal: Thank you so much sir for answering my questions. Have a great Diwali.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Sir, on the Electronics' side, we have seen margin improvement and earlier you have talked about some initiatives to improve the margin as well. So, in that backdrop, should we see current year's margin as one-off because of the exceptional growth? Or this is more of a steady-state margin on an annual basis, bearing the quarterly anomalies? That is first question on Electronics. And the related question is, I mean, with your lower share of Batteries and the plant coming up for Battery as well as this ramp-up in the solar rooftops, how should we think about growth of this category in near to medium term? That is the first question.

Mithun K Chittilappilly: See, Electronics margin has grown, I would say, both because of volume as well as manufacturing. So, for example, for Stabilizers, Inverters and for Batteries. So, for these 3 categories, we have put up factories. The Stabilizer and Inverter factory has been online for the

last 15 to 18 months, whereas the Battery factory is new.

So, some of the increases we are seeing because of the in-sourcing into manufacturing. Some of the increases, we are also seeing because of better season. So, if the summer season is good, in a year when summer is very strong, we will be giving out lesser discounts and all that for those kind of products. So that is also one of the reasons margins are improved in Electronics.

Electronics as a category should grow something like 12% to 14% because Electronics has Stabilizers, which is slightly slower growing, whereas both Inverters and solar products are fast growing. Solar products, the base is a little small, but they are growing into a large part of Electronics.

Keyur Pandya : Ok. Sir, second question is on the overall general demand side. There are mixed trends about demand. Some are talking about consumer slowdown, whereas your growth as well as some ■

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other consumer categories are growing

decent enough growth. So how has been the demand

situation for our categories? And in context of V-Guard, so basically on a low base, we can grow faster. Just how you see your growth trajectory, say, next 1, 1.5 years?

Mithun Chittilappilly: So, V-Guard is fortunate to have a very diversified portfolio. So, we are straddling across 3 different parts. So here, you can really see there is stress in the Consumer Durable side.

Consumer Durable sales growth has been only about 10%. The growth in sales in Electronics is primarily driven by weather, and that is an external factor. So that is probably not indicative of the general consumer demand.

There is definitely slowness in the market. This quarter was one of the slowest quarters we experienced for many categories.

So, although as a portfolio, V-Guard has done well, there are definitely pockets of slowness. We did face a lot of slowness in the market, and we are also feeling whatever the sentiment echoed by the general CPG industry in India. So there seems to be a lack of spending.

All these things are true. But the Electronics segment is not really dependent on that, and it is more dependent on weather. Electronics has done reasonably well, primarily because there has been some price growth in especially Wires and Cables. So that's another reason it has done well. But generally, we are also cautious about the environment and when we go forward into the next quarter.

Keyur Pandya : Understood. Sir, just last question. So, on the employee cost trajectory, we have seen 20% growth in H1 on relatively higher base on previous year as well. Where do you see it settling?

Are there some more gaps to be filled? So just your thoughts on employee cost? Thank You and best of luck.

Mithun K Chittilappilly: Sudarshan, do you want to take this?

Sudarshan Kasturi: Yes. So, some of that increase is explained by expansion of the manufacturing subsidiary. So as new plants are coming in, that team is getting larger. There have also been mining additions in Sunflame during the last 12 months. So, a significant amount of management team has come in.

So, like-to-like, it would be a 13%, 14% kind of increase, which is pretty much the annual increment and some normal headcount additions that happen.

Keyur Pandya : So that should normalize when all plants are commissioned probably by end of this year?

Sudarshan Kasturi: Yes. I mean the next year, we will have this one as the base. So, then the increase will be there.

Mithun K Chittilappilly: Yes, 13% to 14% should be the normal growth of employee cost.

Keyur Pandya : Noted sir. Thanks a lot. All the best. ■

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Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life Asset Management. Please go ahead.

Naushad Chaudhary: Hi. Thanks for the opportunity and Apologies if I'm asking any repetitive questions. I've missed some of the part. Just wanted a clarification again on the Sunflame margin. What specific reason was for the dip in the margin? Are we done with the restructuring in this business or is there more impact yet to come in the coming quarters? And on outlook also?

Mithun K Chittilappilly: Ram, you want to take the outlook also?

Ramachandran V : Yes. So, as I said in the call earlier, right, the gross margin is the same, okay? There the margin that you are referring to is the EBITDA margin, which in this quarter is looking lower than previous quarters. There are a couple of reasons for that – one component in that is the lower Sunflame sales because of the lack of top line growth; naturally, the flow of that will reflect on the bottom line, right?

The CSD channel and some of the e-commerce and MT, RSS channels, where our actions are yet to fully fall in place, the growth impact of that is also reflecting at the EBITDA level, right? The

gross margin is the same. But since the top line growth is not there, it is not reflecting in the EBITDA. That is one part.

The other part is that we are doing strategic interventions in Sunflame, consulting interventions in Sunflame and those costs are also booked in that head. That is the second part of it. Naturally, that will affect the variance in EBITDA compared to same period last year. Third part is we have been adding people and the incremental cost because of that is also reflecting here.

Coming to the progress on the integration, I think the financial integration and integration of financial systems is already complete. Work is underway for defining the road map for operational integration. I think in 3 to 6 months' time, both long-term strategy and the operational integration road map will be in place. I do not expect negative impact on the financials of Sunflame consequent to any recommendation that may come from these 2 interventions, which are underway. We should be able to maintain that, or we should be able to find fuel for growth coming from those interventions.

Naushad Chaudhary: What was the consulting fee in this quarter and was this in lumpsum for the entire year, or will we see that cost in the coming quarters as well? On the margin of this quarter, should we expect to remain similar in coming quarters? What is your outlook?

Ramachandran V : I do not have data on that readily on hand. But I think it would have maybe a 1% to 2% impact, incremental impact in this quarter. Some impact will come from each of those 3 or 4 factors that I talked about. Yes, the consulting impact may be there for another quarter or two. That is one part of it. Second is, hopefully, margins for next quarter should be better than the current quarter.

Naushad Chaudhary: This was the first quarter for the consulting cost, right? ■

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Ramachandran V : Maybe, maybe not. I think some things on financial integration were done even earlier. So may not exactly be the case. What I am saying is that we have an incremental cost for this quarter compared to same period last year. I think it is important for you to focus on gross margin. Our gross margins are maintained. These are one-off actions; the project gets over, cost gets over and booking for that gets over and after that it will stop.

Naushad Chaudhary: The double-digit growth you expect to come back in coming quarters, right, for this piece of business?

Ramachandran V : I think it is a function of how the industry will also grow. The industry growth also has to recover.

As I was telling you, if you take a 7-8 year view of Sunflame, when the industry used to grow at 11% to 12%, Sunflame used to grow at about 4%, right? So yes, Sunflame growth should recover, but most importantly, the industry growth has to recover. From whatever we are seeing in the market, industry growth is flat to negative now at least for almost 2 years now.

Naushad Chaudhary: Sir, past growth comparison of industry versus Sunflame, are you indicating any inherent issue with that?

Ramachandran V : It is not an issue with the brand. It is how the business was managed for value, okay? So, it is a very strong brand with a very high profitability and strong cash flows, right? That is what was prioritized, right? So now when we are driving growth, we are adding people, we are supporting investment in products, in customer service and all of that, that is going to have some consequence. That is one part of it, right? That is on the margin side.

On the growth side, I am just saying that the overall industry has to grow, right? If the industry is not growing, even if we grow at 10% to 12% in a flat industry, it is like growing at 15% to 20%. So that is the point I am making. I think for us to get the kind of growth rate you are talking about, the Kitchen industry

has to start to grow.

Naushad Chaudhary: Yes. Second question is on the Wires' business outlook, sir - what did we experience here? A few of your peers have experienced very good double-digit growth and they have been quite excited on this revival of the Wires business growth. What is your view and outlook on this business, sir?

Mithun K Chittilappilly: So, Wires even I think we have had decent growth. We have had a double-digit healthy growth. But see, in Wires, you have to look at a 4-quarter period because you may have a lot of fluctuations in prices and stuff like that. For example, this quarter, I think there has also been a price growth. So, although there has been a healthy growth, it is partly because of price and partly because of volume.

Naushad Chaudhary : Right. I will come back in queue. I have few more. Thank you so much and all the best for future.

Moderator: Thank You. The next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead. ■

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Sonali Salgaonkar: Sir Thank you for the opportunity and firstly wish you and your team a very happy Diwali. Sir, my question is pertaining a little bit to the industry scenario right now. Now that we are nearing Diwali and past Navratri, how in your experience has been the festive season? How has it panned out so far? What are the channel inventory levels across most of your product categories? And has there been any significant pricing action in the last 6 months or H1 of FY '25?

Mithun K Chittilappilly: So, regarding the Diwali sentiment and the sales leading up to Diwali, we have actually seen pretty strong traction in the month of October. But there is a huge caveat because last year, Diwali was in November. And this year, it is in the last day of October. So, it is possible that some of the sales could have got preponed.

So, we will have to wait for the quarter to be over to give you a full picture, but initial indications are encouraging. But again, like I said, it could be that last year, September was low because the some of last year 's Diwali sales happened in November as well. Regarding pricing action, Ram or Sudarshan, you want to take this?

Sudarshan Kasturi: Yes. I mean, pricing actions have been there first half. There has been some small movements in input costs, and then we have covered them through prices. It is across categories, across various categories, ranging from 1% to 3% in various cases. I am talking about how much has landed. We may have announced more, but this is what has landed in the first half. It is just about to cover some input cost movement.

Sonali Salgaonkar: Understood, sir, and channel inventories?

Mithun K Chittilappilly: We are not sitting with any huge inventories in the channel, nothing abnormal. Like I said, we had a very good Q1. So, we ended Q1 with a very low inventory, both on the company side as well as the channel. And even now, it is not ballooned to any unreasonable degree. It is fairly normal.

Sonali Salgaonkar: Understood. Sir, my second question is a bit strategic in nature. Now your gross margins. This is, I think, the seventh consecutive quarter wherein we are observing that your gross margin has improved year -on-year. Now it is almost nearing 36%. Sir, you did mention some of the reasons behind this in your earnings presentation, but a bit more clarity on that. And secondly, where do you expect the gross margins to settle down, say, in the near term?

Mithun K Chittilappilly: So, I think one thing you have to understand is earlier, V -Guard had a manufacturing and outsourcing mix. And today, we are at a different mix. So , what happens when you manufacture is that actually your gross margins appear higher because some of the costs , the factory costs like outsourced manpower, freight, some of these things are sitting in the indirect, wher

eas when we outsource the n everything is sitting in COGS. So , there is some 1% to 1.5% difference from how we were looking at gross margin.

Sudarshan Kasturi: Sonali, it i s like this. Even if we adjust for that, about 1% to 1.5% is not real improvement. It is shifting from one line to the other. You will still see that the gross margin has improved in the ■

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last 2, 3 years. But then also recognize we are coming out of a low point. While gross margins have been improving, we are happy with that. But like Mithun said earlier, there is still another 1% gap in margins we need to fix.

Mithun K Chittilappilly: Yes. So , if I look at FY '19 and where we would like to be, we are still around 1% lower than like-to-like basis because like I said, today, some of the costs are sitting in indirect.

Sonali Salgaonkar: Understood. Sir, last question from my side regarding your non-South versus South mix. Sir, we see that your non- South is growing handsomely as compared to your South yet again this quarter.

Could you help us understand the margin profiles of non-South ver sus South? Have the gross margins converged? Or is South still higher than non-South?

Mithun K Chittilappilly: So, I think margin -wise, today, there is no difference between South and non-South. We are following a pretty much pan-Indian pricing policy. If you look at the gross margin, because of this more and more sale coming from non -South, my guess is there will be absolutely no change because the gross margins are almost identical. So , there is no real difference in terms of pricing and gross margin.

Of course, in South India, with like 7 or 8 branches, we are doing INR 2,600- odd crores, with an average revenue of INR300 crores to INR 400 crores per branch. Whereas in non-South, we have another 17 branches doing the similar kind of a number. So, in that sense, the overhead cost is still high. The throughput is not as efficient as South. So , in that way, you will see some changes in terms of bottom line, like EBITDA margins. But gross margins are all the same.

Sonali Salgaonkar: Sure. Sorry, sir, one last question. Sir, any particular product category, which you would like to highlight wherein you are seeing a little excessive competition as compared to the other categories?

Mithun K Chittilappilly: No, I think, competition and hyper -competition is something that is part and parcel of this industry. It has been going on at least for the last 7 to 8 years, and now we are kind of used to it. So, I wouldn't like to say; it doesn't matter. I mean, like, for example, like Ram mentioned,

Kitchen is going through a very tough environment for the last 18 to 24 months. So, we have significant competition both in online ; especially online. So , if you look at our e - commerce business, there is significant price competition happening in K itchen, Water Heater s. So that means that brands are desperate to get sales , and they are ready to go to any extent in terms of discount. T hese are the signs when certain categories are weak. But having said that, there is competition in almost everything. If you take any category today, there are 15 to 20 brands in any of these categories. Of course, not everyone is active in everything, but it is a biased market.

Sonali Salgaonkar: Understood sir. Thank you and all the best. ■

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Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life Asset Management. Please go ahead.

Naushad Chaudhary: Hi and thanks for the opportunity again. On our investment in Gegadyne, what is the rationale of this investment and what kind of tech support that we get from them? W hat do we expect in the future?

Mithun K Chittilappilly: Okay. Ram, do you want to take this?

Ramachandran V : Yes. So fundame

ntally, our investment in Gegadyne, it is a deep tech company, and we were attracted by the potential of that technology in terms of its ability to create disruptive value . Fundamentally, we have been supporting them to enable technology development . So, which is to convert a potential technology idea into a viable product.

So mainly, our support has been towards setting up the pilot plant and putting in place systems, processes, helping them put in place systems and processes to convert what would be, what I would say, an idea into a large -scale product, right? So , this is the objective of our support and this is what we have been working on with Gegadyne.

Naushad Chaudhary: Any technological support, which we have outsourced from them, which is helping us?

Ramachandran V : No, I think this is the next -generation technology product, right? W hen they get into commercial production, at that stage, we should be able to source b atteries from them, which we would be able to launch in the market. But that will require a commercial plant to be put in place. Right now, they are engaged in building what I would say, products through pilot plant to establish proof of concept and to supply to customers for customer validation and certification before they can go ahead for mass production. So , at this stage, no, no support. We have not received any support from them. We are supporting them.

Naushad Chaudhary: All right sir. Thank you so much. That's it.

Moderator: The next question is from the line of Mukesh, who is an individual investor. Please go ahead.

Mukesh: Thank you for the opportunity. Just one question. What is our capacity utilization on various product segments and what is our Cape x plan for next 2 years?

Mithun K Chittilappilly: Sudarshan, do you want to take this?

Sudarshan Kasturi: Yes. Our Cap ex plans will be in the region of about INR 100 crores a year, roughly. In terms of capacity utilization, yes, it varies plant to plant and some of them are seasonal, some of them are around the year, so difficult to put a number. But just to say that we will sort of invest in Cape x and capacity utilization before it becomes a bottleneck.

Mukesh: Ok. Thank You. ■

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Moderator: The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Hi Sir. Thanks for the opportunity once again. Sir, if you could just give us a newer guidance or any guidance on K itchen Appliances in K itchen Appliances as a category and bifurcation in terms of what V -Guard is expected to do versus Sunflame?

Sudarshan Kasturi: See, I mean, it's like this. Sunflame is doing about INR 60-odd crores run rate in a year, and this is with depressed orders from CSD.

Mithun K Chittilappilly: INR60-odd crores per quarter.

Sudarshan Kasturi: Yes, per quarter. And this is at a time when CSD has cut down orders significantly. We would have expected to make about INR 75 -80 crores if the CSD orders were in the normal shape. So that sort of gives you a sense of size. And V -Guard 's Kitchen business, we are running at about INR 200- 220 crores. And we would have expected that to become bigger this year, but we know that Kitchen has been facing some severe headwinds.

Natasha Jain: All right. So just to iterate the number, you said INR 220 crores per quarter for V -Guard, right?

Mithun K Chittilappilly : No. I think INR 220 crores for V -Guard , per year, last year, and Sunflame was about INR 240

crores for the full year. This year, it is looking like both of them are flat. That means there is not much of growth because of the challenges in the kitchen environment.

Natasha Jain: Understood Sir. Thank you so much, that's helpful and Happy Diwali.

Moderator: The next question is from the line of Vaibhav Jain, who is a

an individual investor. Please go ahead.

Vaibhav Jain : Hello. Ya, am I audible.

Mithun K Chittilappilly: Yes , please go ahead.

Vaibhav Jain: Hi. Congrats on a good set of numbers and Diwali wishes to you. My question is slightly on the strategy side and long-term oriented. Just wanted to understand the next 5 years, in which of our categories are we trying to enhance our competence? Are there any new categories that we are planning to enter into new geographies, channels, et cetera? Just wanted some information on that.

Mithun K Chittilappilly: Okay. Regarding new entry, we would not be commenting because it is confidential information . Ram, do you want to take the other one ?

Ramachandran V : Yes. I think fundamentally, the growth trajectory across different product categories will remain. Obviously, Consumer Durable categories will continue to grow, and our focus there will be to improve scale and improve EBITDA margin . Gross margins are reasonably decent. So , there is ■

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some scope to improve there. But I think scale up of the Consumer Durable business will be key to also the EBITDA margin 's objective realization, right?

We will also be trying to drive to improve our presence in the Electrical segment, particularly categories like Switches and Switchgears where we have a lot of headroom to grow. So , these are going to be our growth categories.

Inverter and Battery, here again, with the inroads that we have made in manufacturing, we believe it should be able to bring required competitiveness to this category for stronger growth . That is how we would see that . Stabilizers and Wires & Cables will move ; Wires will move more or less in line with the market . So strong growth is going to basically come from Consumer Durables, Switches and Switchgear s and Inverter -Battery .

Vaibhav Jain : Sure, sir. So , I just wanted to understand from an end-use case standpoint, where do we see ourselves in segments like data centers and solar generation, solar rooftop, some of the new up-and-coming use cases in the power sector?

Ramachandran V : No, I think as far as rooftops are concerned, I think we are participating in that. We will see how this evolves and grows , because the numbers outside are quite ambitious, and we will have to see how they pan out. I think the trajectory is good, and we have called that out in our report. We have, as of now, not developed a very strong point of view on how far we will reach with some of these. As far as data centers are concerned, we are not into it.

Mithun K Chittilappilly: We are into only the B2C part of this, not the B2B part.

Vaibhav Jain : Ok. Sure sir. Thank You.

Moderator: Thank You. As there are no further questions, we have reached the end of our Q&A session. I would now like to hand the conference over to the management for closing comments.

Mithun K Chittilappilly: Thank you, all, for taking out time to join our earnings call. I would like to thank Deepak Agarwal and the team at JM Financial for hosting this call. On behalf of the V -Guard family, I would like to wish all of you a very Happy Diwali and a Prosperous New Year. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

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Call: Feb 2025

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 2024.
This is with reference to the intimation dated January 20, 2025, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the financial results for the quarter and nine months ended December 31, 2024, scheduled on January 29, 2025. The audio recording was filed with the stock exchange.

We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at [https://www.vguard.in/uploads/investor_relations/V -Guard - Industries -Q3-FY25 -Transcript.pdf](https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q3-FY25-Transcript.pdf)

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V -Guard Industries Limited

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above
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"V-Guard Industries Limited
Q3 FY25 Earnings Conference Call"
January 29, 2025

MANAGEMENT:MR. MITHUN K CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF

OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES
LIMITED

MODERATOR: MR. ADITYA BHARTIA – INVESTEC CAPITAL
SERVICES LIMITED

■ -Investec C H O R L L"
V-Guard Industries Limited
January 29, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the V-Guard Industries Q3 FY '25 Earnings Conference Call hosted by Investec Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aditya Bhartia from Investec Capital Services Limited. Thank you, and over to you, sir.

Aditya Bhartia: Thank you, Sejal. Good afternoon, everyone. A warm welcome on behalf of Investec India to the Q3 FY '25 Earnings Call of V-Guard. We have with us the senior management team represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer and Mr. Sudarshan Kasturi, Senior VP & Chief Financial Officer. Now I hand over the call to the management for initial comments, post which we'll open the floor for Q&A. Thank you, and over to you, sir.

Mithun K Chittilappilly: Thank you, Aditya and Investec team for hosting today's call. A warm welcome to everyone joining us today to discuss our company's operating and financial performance for the third quarter of FY '25. I trust all of you had the opportunity to review the investor presentation that we had shared earlier.

In Q3 FY '25, we reported consolidated net revenues of INR1,269 crores reflecting a Y-o-Y growth of 8.9%. Overall consumer demand remained moderate during the quarter.

Our

Electronics segment continued its strong performance with a revenue growth of almost 28% Y-o-Y, building on a robust first half. This segment maintained the momentum well into Q3. In the Electricals segment, we registered a growth of 1.2%. Demand for wires, which is the largest category under the Electricals segment was impacted due to commodity price fluctuations. The Consumer Durables segment grew by 8.1% Y-o-Y during the quarter. Demand for kitchen appliances continues to be muted, while water heaters also were impacted by a late onset of winter. Sunflame reported a top line growth of 4% Y-o-Y in Q3. General trade business registered a healthy growth while the orders from CSD continued to be lower. In Q3 FY '25, the Non-South market demonstrated a strong performance with 15.8% Y-o-Y revenue growth, contributing now 48.4% of total revenues, while the South market grew by 3.7% Y-o-Y. Gross margin improvement is sustaining on back of higher share of in-house manufacturing, cost-saving initiatives and gradual shift to premium portfolio. We have reported a gross margin of 36.2% in this quarter compared to 33.7% in Q3 last year, an increase of almost 250 bps. EBITDA, excluding other income was INR104 crores in Q3, an increase of 2.5% on a Y-o-Y basis. ■

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Higher A&P spends, particularly in Sunflame, led to an EBITDA margin of 8.2%, which is 50 basis points below 8.7% in the previous year. Employee costs rose significantly Y-o-Y due to significant reversals in the previous year's third quarter.

Working capital remains steady, ensuring strong cash flow generation. The repayment of long-term debt relating to the Sunflame acquisition is progressing as planned. We are on track to fully repay the loans by the end of the financial year.

Our Board has approved around INR100 crores investment in VCPL (V-Guard Consumer Products Limited) facility at H

Hyderabad, which will produce both TPW and ceiling fans. It will be funded in phases through internal accruals.

Overall, our performance for the 9 months is in line with our annual plan. We look forward to the upcoming summer season with the expectation to deliver a robust performance.

With that, I conclude my opening remarks. And I would like to thank Aditya and the team at Investec for hosting this call and would like to request the moderator to open the floor for Q&A.

Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nattasha Jain from Phillip Capital. Please go ahead.

Nattasha Jain: Thank you for the opportunity and Good afternoon, sir and Congratulations on a good set of numbers. Sir, my first question is on your Southern region growth. Now the growth has considerably moderated compared to the past quarter run rate. So, any particular reason why such a low growth here in the Southern region?

Mithun K Chittilappilly: So the South market has a larger contribution from the wire segment. So a lot of our categories, especially the well-established and older categories, we have a very decent share of revenues coming from non-South. But in the case of wires, due to the way the market is structured, the price competitiveness, our inability to offer differential pricing, et cetera, our revenue, a lot of it still comes from South. So the decline in wire has impacted South market more adversely than non-South.

Nattasha Jain: Understood, Sir, our channel checks also suggest that I think barring Andhra Pradesh, central government has curtailed certain spending, which has led to a slowdown in broader southern markets. So is that also any is there a phenomenon that you are also observing on the ground?

Mithun K Chittilappilly: Ram, do you want to take this?

Ramachandran V: Yes. So fundamentally, what we are observing is like the wire performance is more linked to commodity volatility and

typically, whenever there is a commodity increase or decrease, there is up-stocking or down stocking that happens. And this is related to that. If you look at our broader portfolio, which is a non-wire portfolio, we've had the challenges mainly in water heater because the winter has been not as expected, particularly October and November. It was a delayed winter. ■

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So the summer category sales have been good and winter category sales have been weak, okay?

The only area where we have observed underlying consumer demand challenges is in kitchen.

Kitchen as a category now I think is the third consecutive year, we are seeing some challenges in growth.

Also, I think if you look at the three Southern states, yes, AP and Telangana seems to have a bit more challenge in terms of demand compared to the other 3 states. That's what we have witnessed over the last 3-4 months.

Nattasha Jain: Got it sir thank you so much. My second question, so just in continuation to that, so fourth quarter, you mentioned about wires that's a high contributor in your southern region. So fourth quarter, are we seeing some kind of up-stocking happening in terms of wires as a category?

Mithun K Chittilappilly: So yes, I think there has been an increase in copper prices in January. And there has been a round of price increases that has been announced in the market, and that has restarted the up-stocking for wires, at least in January. So we are only 1 month finished in the quarter. So it's very difficult to talk what's going to happen in the quarter, but January looks good.

Nattasha Jain: Got it. And sir, my second question is on your Electronics segment. Sir, a very good set of numbers. Congratulations once again for that. Can you throw some light as to what was the growth between batteries and stabilizers? And in terms of margins, are we done in terms of getting there where we wanted to or we can still see some kind of expansion going forward in margins?

Mithun K Chittilappilly: So the first part is we don't give out product-wise numbers due to confidentiality. The second part, I'll give a qualitative answer. Yes, we have invested in manufacturing batteries at our new factory near Hyderabad. And it's completely now online. All the equipments have been installed, and they have started to produce in good quantity. So definitely, that is also helping us.

So the margins in batteries have improved considerably because that was our hypothesis to set up the factory. So in that sense, yes, it is helping us in the Electronics segment. But we have noticed that sales have happened across categories with maybe a slightly higher growth happening in our solar rooftop solutions business, which is a very new business. It is small, but it's growing very fast. So apart from that, there has been growth across other Electronic categories.

Nattasha Jain: Got it. And sir, in terms of margin expansion, are we there or we can still expect some more expansion here on?

Mithun K Chittilappilly: So I think we have had continuous improvement in gross margin. I'm talking about a company-wide gross margin. And last 2 years, we have significantly taken up and improved our margins.

I think most of our investments are over as far as manufacturing is concerned. There is one more plant that is coming up to manufacture TPW fans and ceiling fans where already work has

started, and we hope to commission in the next 18 months.

So with that, a little more, maybe there could be some more improvement. But I think largely, I think our gross margins, we have increased. As we go forward, definitely, we will work on ■

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increasing it. But a lot of the initial reasons for us setting up the plant, they've all kind of; a lot of it has come through. Some is yet to come through because like I said, as these factories mature, t

hey will start producing more benefits for the company.

Nattasha Jain: Got it. And sir, at least in qualitative sense, can we say that room air conditioner was one of the stronger drivers for our electronics segment?

Mithun K Chittilappilly: Yes. So, Q1 and Q2, RACs were a very strong driver for the stabilizer business. But our other businesses like inverters and batteries have also done well. Our, like I said, solar rooftop solutions have also done well. So these are the 3 broad categories within Electronics, and all of them have done well.

Nattasha Jain: Sir, inverters and batteries, I just want to understand, is it a more Tier 2, Tier 3 led demand because metro cities, I have not seen a lot of people picking up batteries. So is the demand completely coming from rural and Tier 3 below?

Mithun K Chittilappilly: Yes. Inverters have a higher skew towards; it is not only rural. Rural, like if you look at NCR, there are suburbs of NCR where there are power issues. Delhi, there is no problem, but I'm saying suburbs like Ghaziabad and all those, there are power issues there. So I think I wouldn't call it rural, but yes, it is more rural than or skewed than other categories. That product and pumps, these are the 2 products that are more rural skewed.

Nattasha Jain: Got it. And sir, one last question, if I may. In terms of kitchen appliances, you did mention that we're seeing a continuous slowdown. So I just want to understand at an industry level, sir, what is happening? Are we just over-penetrated because of COVID? Can we expect some growth in

the next year? Because this year, the commentary was same that we would expect growth, but none of the listed players really have registered growth. So what's happening in that category?

Mithun K Chittilappilly: Yes. Ram, do you want to take this?

Ramachandran V: Yes. So I think, see, our hypothesis is that probably in the COVID period, people spent a significant amount of time at home. I think that is also the period when the growth in kitchen was very, very strong. And possibly post-COVID and as the country came out of it, I think that we are seeing a moderation in demand.

The other thing is, see, particularly small kitchen appliances and all that, these are the highest penetrated items among all, what I would say, durable purchases. It may be a reflection of some amount of stress in the lower income segment. Probably as they came out of COVID, some of the household balance sheets may have been damaged and probably their priority is to restore that to good shape and probably the pace at which, in the past, either they would replace, so the replacement cycles have become longer.

And probably also impulse addition of, let's say, newer appliances, newer categories of appliances, which they are not in, have slowed down. I think these two can probably be the only major explanation. In fact, I think last 10 - 12 months, even large kitchen appliances are seeing slowdown. ■

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So I think probably these are the 2 reasons that I could attribute to why we are seeing this phenomena. Otherwise, fundamentally, other consumption categories are growing. And what we have witnessed is it's only when the weather is not favorable. In our case, at least we are

having a challenge in water heater because October and November were still warm. So I think that's what I would feel. And probably, I think it should get better. It stayed down long, yes.

Nattasha Jain: Sir, do you think that the competition from the unlisted space has increased in the kitchen appliance side?

Ramachandran V: No, not really, not in the kitchen appliances space because the kitchen appliance space is already hypercompetitive, right? So I don't think so. Definitely, I don't think so because it is a fairly secular slowdown. So it's hitting everybody. So it's not like stronger brands and weaker brands; that phenomenon is not there. And i

t's broad – it's on small, it's on large. So I'm not so sure. I don't think so.

Nattasha Jain: Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.

Rahul Agarwal: Hi, good evening and thanks for the opportunity. I was looking for some qualitative comments on specific products. Wires, I think you already spoke about. Could you talk about a bit more on switchgear, switches and fans, please? How was the quarter and what are the trends?

Mithun K Chittilappilly: So switches and switchgear, in that particular category, it has been a decent growth. I think switches, there is some amount of slowdown, some amount of, what you call, sluggishness. But switchgear, we have done well because I think now V-Guard is being seen as one of the go-to options.

We have started to become large in many of the states. We have spent almost 10 years, I don't know. I mean we have spent enough time for the trade and consumers to start recognizing us as a brand to be picked up. Fans, we have done well. We also had some launches in ceiling fans in the last three, four quarters, which has been well accepted.

So it has been decent. I think overall, these 3 have been decent. On the Electricals side, if you remove wires, the growth has been decent. Switches, there has been a little bit of sluggishness, but switchgear has done well. But in the case of fans, fan also has done decently well for us. But we are, of course, smaller in terms of size when you compare with the market leaders.

Rahul Agarwal: And the new factory for fans, should I assume that the Roorkee facility is fully utilized?

Mithun K Chittilappilly: Yes. I think by the time we start manufacturing ceiling fans in Hyderabad, we expect the Roorkee facility to be fully breaching its maximum in terms of capacity. So Roorkee is making two types of products – one is the liquid painted and one is the powder coated. In liquid painted, we are having a capacity constraint. That is why we are building a second plant. Powder coating, we have spare capacity. So that's just to be clear. ■

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Moderator: Mr. Rahul, does that answer your question?

Rahul Agarwal: Yes. Just one more question on Sunflame. I just wanted to know any specific defined goals in terms of top line EBITDA over the next 2-3 years? Obviously, the current numbers are much below par. Any thoughts, please?

Mithun K Chittilappilly: So we won't be able to give out any figures in terms of what we are planning to do with Sunflame because it's kind of forward-looking. We still believe the brand, the strength, it's very much intact. And whatever we are facing is a result of an industry-wide issue and a channel-wide issue

because in Sunflame also, we have still managed to grow well in the GT business, especially during the Diwali quarter, except the Canteen Stores Department part is really having issues because for a prior period over ordering, a significant number of new brands and new SKUs getting approved and then there has been overstocking of some things, and they are trying to correct their inventory. So we don't think that there is anything fundamentally wrong with Sunflame. It's just an industry-wide issue. Ram, do you want to take the other part?

Ramachandran V: Yes, I think, we've been more or less in line with what you said. I think we are growing well in the other 3 channels, which is GT, e-commerce and this one. There is a bit of sluggishness coming out of the CSD, CPC, but we believe it's temporary and it should move forward going forward.

Yes, we have a clear plan in terms of how to build and grow Sunflame. And I think it will be well helped also if the category starts to grow. Particularly, it is difficult to introduce the category to new markets or a brand to new markets in a period of slowdown or de-growth.

So there is t

hat bit of a challenge. The headwinds are strong. So that's a bit of challenge. But I think it's a transient phase and I do hope as things recover, I think we should be able to do better with Sunflame.

Rahul Agarwal: Got it, Ram. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Ya good afternoon everyone and thanks for the opportunity, Sir, first question is if you could give a sense in terms of in-sourcing across our key categories? That would be my first question.

Mithun K Chittilappilly: So we don't give out the category-wise split, but I think as a company, we are at about 65% odd percent as a company. 65% of V-Guard's sales are sales coming from products manufactured in our own plants. And we believe in the next 3 years or 4 years, it should hit 70% to 75%.

Achal Lohade: Okay. But is it fair to say that; so wires is 100%, stabilizer, I presume we are moving closer to full in-sourcing. Is that understanding right?

Mithun K Chittilappilly: No, I don't think so. I think this wire is the only one, which we can manufacture 100%. The balance all has a mix of outsourcing, including stabilizers, even today. Just let me elaborate.

These categories are highly seasonal. So there are obviously merits in also having some amount ■

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of production coming from outsourcing because otherwise; we are able to vary the production in plants to some degree, but we can't shut down the plants fully in offseason. So there are those kind of reasons why we will continue to have a mix of both.

Achal Lohade: Fair point. The second question I had with respect to Sunflame. So obviously, in terms of margins, we are seeing for the last three, four quarters, the margins have been low. Can you help us understand in terms of how do you see this margin playing out if one were to assume normalized growth playing out? And first of all, what will be that normalized growth?

Mithun K Chittilappilly: See, Sunflame, there are a few reasons why this has happened. One is that, see, once V-Guard has taken over the brand, we were aware of this when we did our DD that a large part of the NPD work, a large part of the design, product development, et cetera, was done by the promoter himself. So obviously, we needed to staff it with more professionals than what Sunflame had.

Of course, we also staffed it with a view that the Sunflame team will also contribute for V-Guard. In certain categories, Sunflame will be the lead category even for V-Guard in terms of like whether it's a chimney or whether it's a gas-stove, et cetera. So some of the staffing has been done to ensure that we are looking at the very long term. We are not very worried about what's going to happen in the next 1 or 2 years. We believe that kitchen will continue to grow.

The second is Sunflame had a very thinly staffed sales team because Sunflame was working only with super stockists for every state. So they had very few people on the ground. And we wanted to slowly introduce Sunflame to the V-Guard model where we are staffing it with more people and we directly approach retailers and we also work with modern trade where Sunflame was very weak.

So some of these staff costs have started to come in and hit and some of it is showing results also, but I think the decline in CSD is kind of negating a lot of those growths. So Ram, you want to add anything.

Ramachandran V: Yes. I think there are other expenses like consulting expenses because we are doing a lot of projects, right, to align the systems and also to develop the going-forward strategy and for the integration. So some of these costs are also sitting there. The overall, the way Sunflame was managed before and the way it's being managed now, there is some of that cost also, which is sitting.

So some of this is transient. I

mean it's not permanent and will go away. Some costs will go away with the integration in the future. And yes, some costs will remain. There have also been some delays in price increases. We've also had to clear out what I would say, some of the older platforms, which were slower to move and replace them with newer platforms so that sales growth can start.

So some of those kind of expenses are also one-off kind of expenses. So it's a mixed bag. And things will definitely get better, much better compared to what you may have seen in the last one or two quarters. ■

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Achal Lohade: And in terms of the growth, first of all, ex CSD, would this have grown in high single digit or double digit?

Ramachandran V: Yes, it would have grown. It would have grown, yes.

Achal Lohade: Okay. So is it fair to say that we can hit back to double digit in starting for next year?

Ramachandran V: Obviously, we have to see, I think, it's very hard to predict, right? See, none of us anticipated that the slowdown will hit. In fact, the slowdown in kitchen started probably in the quarter of our acquisition there. So none of us anticipated that. I think it's a forward-looking statement to be able to say what we will do. Yes, of course, our endeavor is to grow the business in, say, mid-teens to high teens.

That's our endeavor. But I think realizing that endeavor will also require external support, right, more favorable, what I would say, demand environment, which will certainly make our job easier to achieve this kind of growth. We have to grow this business because we have made investment in the business, but I think it is hard to say how it will take shape because it's also a function of the external environment.

Achal Lohade: Understood. Okay. And just last 1 question, if I may, with respect to solar rooftop. Is it fair to say that over the next, let's say, 3 to 5 years, could this be a INR500 - INR700 crores category?

Is that a road map one could imagine or it could be much higher than this?

Mithun K Chittilappilly: See, we are very cagey about giving out any numbers about our products because it is something that we don't want to give out. But I can say that we entered this business 36 months back in a serious way. We got one of our

existing team members to head up this division and build a team around it.

And the results have been phenomenal. I think there is a huge demand for a brand, which is giving not only a product, but impeccable service. I think where we found a huge gap in the market is that many people are selling this product, but very few of them are actually providing good after-sales support. So we got impeccable reputation for this particular quality.

We think that South India has definitely accepted this and we are growing very fast. I don't want to give out any numbers. So once it gets a certain size, we will tell you how big it is.

Achal Lohade: Understood. Thank you. I will fall back in the queue for follow up. Thank you.

Moderator: Thank you. The next question is from the line of Nattasha Jain from PhillipCapital. Please go ahead.

Nattasha Jain: Sir, I missed your commentary on the TPW and ceiling fans. If you can just elaborate in a little detail as to what's the timeline in terms of when this plant is going to come alive and what's the capex that we've incurred for this?

Mithun K Chittilappilly: So the capex of INR100 crores will be spent over 3 financial years. It will be like INR50 crores in year 1, that is next financial year, and then in phases in the following two financial years. The initial part of the plant will produce table, pedestal and wall fans and some part of ceiling fans ■

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and the rest will be to scale up the production. We expect the first phase of the plant to be open in the next 18 months. We have started work, so there is a timeline

required. The ground-breaking just happened a few weeks back. So 18 months, we expect commercial production to start, and this plant will be near Hyderabad.

Nattasha Jain: Okay. All right. And sir, in terms of margin improvement, how we have seen your margins improve in Electronics because of backward integration. Likewise, do you have any numbers that you can share in terms of where Consumer Durable margins are expected to then move in the medium to long term because of the backward integration plan?

Mithun K Chittilappilly: Yes. So I think in Electronics, there has been a substantial work that was done and our hypothesis to set up the factories were also to actually substantially get the improvement in margins, especially inverter battery space. Stabilizer already, we had decent margins. But in the case of fan, the issue is that pre-2000, I mean, till last financial year, we were importing a bulk of our ceiling fans from Vietnam and China.

First, it was China and when China got the anti-dump duty, people moved to Vietnam. But I think we are now very clear on how this will go. So this is roughly 25%- 30% of our business, and we want to have supply security. We don't want to keep importing stuff because we do believe the government will bring in BIS and then they will eventually block out Vietnam as well. And a lot of the fans are today getting made in India. We have a lot of vendors which are making table, pedestal and wall fans for us. But we are still not very comfortable this way because these are not exclusive vendors. They supply to everyone in the industry. So we want to have our own plant so that we can come out with better products, innovative products, differentiated products offering better quality.

So that is the reason. So some of this is not done only for margin improvement. It is also done for our own long-term growth of the category.

Nattasha Jain: Got it, sir. And I know this is too early to ask, but any mix you can share in terms of our manufacturing into premium and non-premium products here from this new factory?

Mithun K Chittilappilly: I think it's too early to say that. I think what we can tell you is that after we set up our first ceiling fan factory in Roorkee about 3- 4 years back, our share of premium products in fans substantially increased. And we have one of the best product mixes in the industry today, and we hope to replicate that with this factory as well.

Nattasha Jain: Got it. Sir, I'll just leave the queue with the feedback we got for V-Guard fans on the ground. So we've got feedback in terms of the quality and the aesthetic appeal of your premium fans that you've recently rolled out. So yes, the distributors are quite happy. Thank You so much Sir.

Mithun K Chittilappilly: Thank you.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited. Please go ahead. ■

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Keyur Pandya: So first on the margin side, so we have been investing in many of the aspects, whether it is manufacturing or branding. And because of that the gross margin has not say trickled down to EBITDA margin. So I just want to understand that whatever gains we have seen in terms of

higher gross margin or in terms of higher Electronics EBIT margin as well.

I mean when do you see Electrical and Consumer Durable margins improving? And what would be the drivers? If you can just throw some light on those 2 segments' margin and then the overall margins?

Mithun K Chittilappilly: So I would like to take a different view. If you look at 5 years back, the difference between V-Guard and market leaders in terms of EBITDA was 4%- 5%. V-Guard's margin was 9% and market leaders were at about 14-odd percent. Today, the gap has come down to 1% or 2%, not even 2%, I think 1% or something like that.

So we will also see this in the light of what has happened in the industry

post-COVID, how more

competitive it has become, how harder it has become for us to take price hikes and all that. So some of these things are also happening because the entire environment has changed. And if you

look at many of our peers, you will see a sharp decline over the last 5 years in terms of EBITDA.

So on one hand, yes, we are improving margins. But there is also additional costs related to that in terms of setting up the manufacturing, and there is a journey for maturing the plant and all that. In our view, I think this year, I think when we see actually the improvement in gross margin is 1.5%, net of all the additional costs in the factory.

But even that has not happened to trickle down. That is primarily because of some one-off write-backs we had last year in Q3. So I just want you to put in perspective that if you look at last 5 years, we are not seeing us improving margins, but the gap with the market leaders is very, very narrow today.

Keyur Pandya: And just one follow-up. So then is it fair to believe that the margins would stay here only for you? Our aspiration for near term is to remain here only or...?

Mithun K Chittilappilly: We have always said we would like to get to 10% odd EBITDA margins, and we are working on it. But many things are there, many headwinds are there. But I think this quarter, especially it was that there was a lack of operating leverage. One of the largest category, which is wires

has degrown in this quarter, which has pulled down the overall growth. So some of it is due to operating leverage as well.

We do believe that next financial year, we should probably come out of most of these issues unless we have some crazy inflation again happening, which I don't see any high inflation happening from here on.

Keyur Pandya: Okay. Sir, second question is on the demand side. So we are seeing this stocking and destocking and restocking based on the copper prices. But just want to understand how is the end user wire demand? I mean, just anecdotally, based on increased real estate activity, are you seeing a steady demand or improving trends or the negative growth also indicates similar growth in the end user market as well. Just some color on how the end user demand is? ■

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Mithun K Chittilappilly: See, I think V-Guard is primarily a consumer retail company, so our project sales are less than 5% of our wire sales. But of course, the real estate demand affects the entire market because when real estate does not do well, the brands which are active, they are also coming into the retail and they create some kind of competition.

So as far as the end consumer is concerned, if you look at the individual home guys who build individual houses, not like multiple units, they don't seem to time with. They come and buy whenever they want to buy, so the end user really does not; they don't track us like the retailers do.

But if you're looking at a large developer like building like 2,000- 3,000 apartments in a year or whatever. And those kind of guys, definitely, they will also see how the commodity is moving. And just like us, they will also time their purchases. So, it depends also on whether they're able to like just to reduce; just to wait for a 2%- 3% reduction in wire prices.

They may not delay their purchase by 4 months- 5 months because the projects will also get delayed. So I think that usually, the retailers are the most sensitive with this, price changes in copper and then followed by developers and then probably the last person to bother about it would be the individual consumer.

Keyur Pandya: So do you mean end user demand continues to be healthy?

Mithun K Chittilappilly: End user demand, see, I think whatever slowdown we are talking about, I mean, this is not a slowdown only for kitchen. So there is a slowdown in FMCG, there is slowdown. So what is happening is, yes, organized real estate is

growing. But if you look at real estate as the entire

pie, you are not seeing any crazy demand for cement and all that.

Cement demand is weak, so what does that tell you? If cement and steel demand is weak, that what means is that the entire market is not growing. It's just that existing guys, existing small builders who used to make 20 -30 flats in a project, they have all folded up and now it is only big builders. So that's basically the market that is consolidating. And probably the earlier guys, they were not doing business in an organized way, so it was never tracked.

Keyur Pandya: Okay. Thanks a lot. We will get back in the queue.

Moderator: Thank you. The next question is from the line of Archit Shah from B &K Securities. Please go ahead.

Archit Shah: Thank you for the opportunity. Sir, first question is regarding margins. So you said 65% of your sales is now from in-house manufacturing. Now let's say, once your TPW in-house comes online and you start utilizing fully and once you reach 75%, what kind of margins on a blended basis overall can we expect going forward, let's say, in FY '27 onwards, assuming that, that will be the time when all your 75% will be fully from manufacture or in -house manufacturing?

Mithun K Chittilappilly: So I think every time when V-Guard decides to set up or ask this question internally whether to make or to buy, we do a complete detailed working on the IRR of the projects. So we do only ■

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projects that are IRR and ROCE accretive. That's all I can say. I cannot give you a guidance on how much our margins will go up or improve.

I think a lot of our journey is already done. But I think that many of our plants are not working 100% capacity. So we really hope that in the next 2 to 3 years, what you get to see is the operating leverage of plants kicking in, and there could be some benefit. But like I said, we are not targeting margins more than; today, we are only targeting the margins for our goal which is to hit 10% EBITDA margins because we find that most of our market leaders are also not able to go beyond that.

So we have to understand the environment is also competitive. So our first phase would be to target a 10% margin, and that's where we are at.

Archit Shah: Okay. So directionally, at least it will improve from FY '24, FY '25 levels, but 10% is what you are currently targeting?

Mithun K Chittilappilly: Yes.

Archit Shah: Okay. And sir, second question is a bookkeeping question. Sir, since 4Q FY '24, we have seen this unallocated corporate expense increase multi-fold. Like on a consol basis, it was at around INR5 crores in 3Q, then INR30 crores, and it has been at this level since in last 4 quarters. So can you explain like what has led to this increase?

Sudarshan Kasturi: Fine. So there were some one-offs in that. The revaluation gain of Gegadyne came in during that quarter. So that's probably why.

Mithun K Chittilappilly: So last year, the other expenditures were,; it was artificially kept lower by a revaluation gain in one of the investments in our subsidiary, of about INR14 crores.

Sudarshan Kasturi: INR17 crores.

Mithun K Chittilappilly: INR17 crores. So yes, you'll probably have to add INR17 crores for the previous year to get the like-to-like comparison.

Archit Shah: And sir, even in these three quarters of FY '25 also, it has been at around INR36 crores, INR33 crores and INR34 crores for each quarter. So is this the new normal like these are going to be our unallocated expenses, corporate expenses?

Sudarshan Kasturi: That is the normative level.

Archit Shah: Okay. That's it sir. Thank you so much.

Moderator: Thank you. The next follow-up question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited. Please go ahead.

Keyur Pandya: Thanks for the opportunity again. Sir, 2 questions on 2 line items, first is employee cost and sec

ond is A&P. So significant increase in both the line items. So just want to understand strategy ■

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or thoughts on how we should see these line items growing from here on? And specifically to employee cost, was it for specific SBU or headquarter or I mean, where it is being targeted?

Mithun K Chittilappilly: Okay. So on A&P cost, we had done activity in Sunflame for Diwali. I think the previous year, that is last financial year, things continue to be rough for kitchen. But last financial year, we had not done any much activity because we were focusing on the integration part and product refresh and all that.

So this year, there was some activity that was done. And not only in Sunflame, there is a 10%-15% increase in V-Guard's own A&P spend, V-Guard brand's A&P spend. So this is as far as the A&P is concerned.

As far as the employee expenditure is concerned, last year, I think, there was almost INR25 crores worth of reversals in Q3. There are primarily the 2 things. One is that in last financial year for Q1 and Q2, we have provided for variable pay for employee costs for employees, and that was reversed in Q3 because by 30th September or by Q3, we realized that we are not going to hit the parameters to achieve

variable pay. Whereas this year, I think for the first 9 months, we are on track to achieve the AOP and try to pay out the variable pay. So that is one. That's bulk of it, the difference. The other thing is, this year is again the first year of new ESOP grant. Last year, it was not there, so I think INR6 -INR7 crores of this INR25 crores is belonging to that.

Sudarshan Kasturi: Plus. INR25 crores plus INR7 crores.

Mithun K Chittilappilly: So INR25 crores plus INR7 crores. INR7 crores is ESOP grant expenditure that has come. That is not going to remain INR7 crores every year. It is only the first year it's going to be elevated and it tapers down in year 2 and year 3. And in last year, the variable pay was reversed in Q3. So what you're seeing is employee cost almost as of INR30 to INR32 crores worth of expenditure sitting in this year which is more than last year and this is one-off.

Keyur Pandya: And from here on?

Mithun K Chittilappilly: It is a one-off think only variable pay will be happening. Yes, it's a one-off. We may not see because the previous year's quarters will also probably have some of this.

Keyur Pandya: Okay, noted. Thanks a lot. Thank you.

Moderator: Thank you. The next follow-up question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Sir, just to clarify on Keyur's question. ESOP charge, INR7 crores, is it per quarter or for the full year, you mentioned?

Mithun K Chittilappilly: Yes, Sudarshan.

Sudarshan Kasturi: It is for INR7 crores is for the quarter.

Achal Lohade: Sorry, INR7 crores is for the quarter, so INR21 crores for the 3 quarters. Is that sir? ■

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Sudarshan Kasturi: Right.

Mithun K Chittilappilly: So the ESOP grant issue only happened. So like our ESOP cycle for bulk of the people who are under ESOP starts, that cycle happens in Q3 for whatever reason because it's the third round of something like that. So it happened.

Sudarshan Kasturi: Okay. Achal, let me explain in detail. The cost for the quarter this year versus last year, difference is INR7 crores.

Mithun K Chittilappilly: Yes, for ESOP.

Sudarshan Kasturi: It's not that the cost itself is INR7 crores.

Mithun K Chittilappilly: The delta itself is INR7 crores.

Achal Lohade: Right. In the base quarter, I see somewhere around INR83 crores of employee cost. That had some reversal you mentioned?

Mithun K Chittilappilly: Achal, last year, in ESOP, there was a reversal. This year, there is an additional cost. So the total delta is INR7 crores.

Achal Lohade: Okay. Understood. That's all

. Thank you so much.

Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec Capital Services. Please go ahead.

Aditya Bhartia: Hi Sir . you spoke about competitive intensity in the sector going up and thereby margins for the entire industry is pretty much coming down. How are you seeing this shaping up going forward? Would you anticipate margins to be moving up to 10% to 11% kind of a range that you used to speak about without considering other income?

Mithun K Chittilappilly: Yes. Ram, do you want to take this?

Ramachandran V: Yes. We will continue to endeavor to expand our margins, maybe 0.5% every year. But on the other side, this is also competitive, and that's the point that Mithun was making, which is basically the profitability for the industry overall has been under stress. The margins, overall margins have come down for our competitors also, mainly because partly growth has been muted and partly commodity inflation, the pricing transmission has been weak.

So these are two factors, which have caused this situation. Yes, we have plans and we continue to grow. And that's the reason why, because we have these plants, we have been able to hold out our EBITDA margin, although the general environment has been one where over 4 - 5 years, there has been erosion.

So I think we continue to remain optimistic to be able to; we would like to grow 0.25%, 0.5% every year. I think that still remains our objective. But as I said, it has to be seen in an external context also. There are some efficiencies, which will come through from our manufacturing ■

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programs and all because there is some operating leverage, which is likely as we go forward because many of these plants are still stabilizing.

That's there, but I think that we will also have to improve premiumization and we will also have

to do a better job with the pricing transmission . And both these are competitive also.

Aditya Bhartia: Sure, sir. And sir, like earlier, we used to speak about there being a scope of increasing margins in categories like batteries. But now you mentioned that a part of that benefit has already been extracted. Do you see further scope of expansion in certain specific categories or it is now going to be; I mean, we have categories broadly at normal levels, and it's going to be broad-based expansion?

Mithun K Chittilappilly: So okay. So let me answer like this. The benefits in Electronics has largely come through. I think because the battery plant is online and it's delivering and the Panthnagar plant for Electronic products is also online and delivering. So this has come through. What has not achieved the scale and benefit transmission is the kitchen plant in Vapi.

So obviously, the plant is yet to be inaugurated. We are inaugurating it next month. So kitchen plant will take some time to stabilize. And of course, the second factory for fans that is TPW and fans is also yet to be commissioned. So these are the items where I think there is some operating leverage possibility happening.

So maybe Electronics, margins may not be there, but in kitchen appliances, which is in Consumer Durables; and fans, again, I think it's in Consumer Durables. Both these, there is scope for some improvement in margins. So with this, I think, CD, the Consumer Durables segment margins, we also hope to take it back to pre-COVID levels.

Aditya Bhartia: Great, sir. And one last question. The manufacturing facilities, which we had started in the last 2 years or 3 years, roughly at what utilization would they be operating? And do you see a big scope of operating leverage benefit coming through as utilization keeps improving or largely, this is now in the base?

Mithun K Chittilappilly: So like I said, in the Electronics segment, which is the stabilizer and inverter plant and the battery plant, all of them are sitting in

Electronics. A lot of the benefits have already started to come in, and that's what we have seen in the last 18 months. Some more benefit could be there in the battery because the battery plant is still new and there could be some optimization, some work could be done.

But I think it's largely, I think, come through with some more benefit yet to flow through.

Whereas in Consumer Durables, I think there is still scope for this to happen.

Aditya Bhartia: Understood, sir. That's very helpful. Thank you so much.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Aditya Bhartia from Investec Capital Services Limited for closing comments. ■

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Aditya Bhartia: I would just like to thank the management team of V-Guard for giving us a chance to host this call. It was a very interesting and informative call. Thank you so much, sir. And thank you, everyone for joining us. Sir, do you have any closing comments?

Mithun K Chittilappilly: Yes. Thank you all for taking out time to join our earnings call. I would like to thank Aditya Bhartia and team at Investec for hosting this call. On behalf of the V-Guard family, I would like to wish all of you a very wonderful year ahead. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: On behalf of Investec Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

■

Call: May 2025

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May 20, 2025

The Manager,

Listing Department,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001 The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra -Kurla Complex,

Bandra -East,

Mumbai - 400 051

Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Audited Financial Results for the quarter and year ended March 31, 2025 .

This is with reference to the intimation dated May 06, 2025 , filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015, regarding the earnings call to discuss the audited financial results for the quarter and year ended March 31, 2025 , held on May 15, 2025. The audio recording was already filed with the stock exchange. We are enclosing herewith the transcript of the Earnings call. The same is also being uploaded on the website of the Company at

[https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q4-FY-25-](https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q4-FY-25-Transcript.pdf)

Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,

Yours Sincerely,

For V -Guard Industries Limited

Vikas Kumar Tak

Company Secretary &

Compliance Officer

Membership No. FCS 6618

Encl: As above

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"V-Guard Industries Limited Q4 & FY '2025 Earnings
Conference Call"

May 15, 2025

MANAGEMENT :MR. MITHUN K CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES
LIMITED

MODERATOR : MS. NATASHA JAIN-PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

"/ VGUARD, PhillipCapital
PhillipCapital
V-Guard Industries Limited
May 15, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the V-Guard Industries' Q4 FY '25 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will remain in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touch tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from PhillipCapital (India) Private Limited.

Thank you and over to you.

Natasha Jain: Thank you, Ryan. I, Natasha Jain, on behalf of PhillipCapital, welcome all of you to the 4th Quarter FY '25 Earnings Conference Call of V-Guard Industries Limited.

From the Management today we have Mr. Mithun K Chittilappilly – Managing Director; Mr.

Ramachandran V – Director and Chief Operating Officer; and Mr. Sudarshan Kasturi – Senior VP and Chief Financial Officer.

I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you and over to you.

Mithun K. Chittilappilly: Thank you, Natasha and PhillipCapital for hosting today's call. A very warm welcome to everyone joining us today to discuss our Company's operating and financial performance for the 4th Quarter of FY '24-'25. I trust that all of you have had the opportunity to review the investor presentation shared earlier.

We have delivered a robust performance in Q4, marked by strong growth in both revenue and profitability. Consolidated revenues for Q4 FY '25 stood at ₹ 1,538 crores, a year-on-year increase of 14.5%, representing the highest ever quarterly revenue in our history.

The Electronics segment comprising of stabilizers, UPS systems and inverters continued its strong momentum, recording a growth of 26.3% Y-o-Y. The performance builds on the solid start the segment saw earlier in the year.

The Electricals segment, which remains our largest revenue contributor and includes wires, pumps, switch gears and modular switches, registered a Y-o-Y growth of 14.6%. In the Consumer Durables segment covering fans, water heaters, kitchen appliances and air coolers, we reported a 11.9% Y-o-Y revenue growth, supported by a good start to the summer season and healthy demand for cooling products. P PhillipCapital
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Sunflame reported a Y-o-Y top-line degrowth of 24% in Q4. While the kitchen appliance industry continues to face headwinds, this decline also reflects the high base effect from Q4 of the previous financial year. Additionally, the business has been impacted by continuous slowdown in the CSD channel. Integration efforts for the Sunflame business are already underway. Once completed, we expect improved momentum in the general trade, modern trade

and E-commerce channels. While recovering, the CSD channel could take time. We have a clear road map of the strategic steps to get the business back on a stronger growth trajectory.

In Q4 FY '25, revenue from non-South market grew by 18.6% Y-o-Y, while the South market grew at 15.3% Y-o-Y. For the full year, the non-South market contribution reached 47.5%, excluding Sunflame.

We have report

ed a gross margin of 35.5% this quarter compared to 34.5% in Q4 of last year, an increase of 100 basis points. We have driven a meaningful improvement in gross margin through the year and believe that the margin recovery is largely complete. This recovery has been driven by increasing share of in-house manufacturing, cost efficiency initiatives, and gradual shift towards a more premium product portfolio. We will continue to pursue further incremental gains in the gross margin going ahead.

EBITDA, excluding other income, for Q4 stood at ₹ 143 crores, reflecting a Y-o-Y growth of 11.9%. For the full year, we reported an EBITDA of ₹ 513 crores, an increase of 20%, while EBITDA margin was 9.2% compared to 8.8% in the previous year. Consolidated PAT for the quarter was ₹ 91 crores, up 20% Y-o-Y, compared to PAT of ₹ 76.2 crores in Q4 of FY '24. For

the full year, consolidated PAT was ₹ 314 crores, higher by 21.8% Y-o- Y. In recognition of this strong performance, the Board of Directors recommended a final dividend of 150% equating to ₹ 1.5 per equity share. Working capital remains efficient, ensuring strong cash flow generation. We have repaid, ahead of time, the entire term loan related to the Sunflame acquisition and are back to being a debt free Company. Overall, it has been a satisfying quarter and a strong year, marked by strong double-digit growth in both revenues and profitability. This growth has been broad based with meaningful contribution from all key segments. We are also progressing on initiatives aimed at structurally enhancing the performance of the Sunflame business.

With that, I conclude my opening comments, and I would like to thank Natasha and the team at PhillipCapital for hosting this call. I would request the moderator to open the floor for Q&A. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Rahul Agarwal from Ikigai Asset. Please go ahead. P PhillipCapital
V-Guard Industries Limited
May 15, 2025

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Rahul Agarwal: Yes, hi. Very good afternoon to all of you. And congratulations for another good quarter. Mr. Mithun, two questions, essentially one is, there are a lot of highest-ers for V-Guard I think this year, I am looking at two things, gross margins and working capital. I think in the history of V-Guard's, both these numbers look like best ever. Just wanted some outlook on gross margin as well as working capital cycle, how will this shape up over the next two, three years? Obviously, you mentioned that we will continue to improve this, but my sense is further improvements on gross margins will really need a lot of internal efforts, as well as on working capital. I think we are very tight on receivables now, so just some outlook on this. That's my first question.

Mithun K. Chittilappilly: Yes. I think as far as gross margins are concerned, as I mentioned in the opening remarks, we are largely back to the pre-COVID levels. I think, of course, some more small improvements in gross margins are possible, I think we will be working on it. But I think largely it has recovered from all the commodity inflation and all that. So as far as working capital is concerned, we may not see a very huge improvement. But some more possibilities are there, like we had mentioned that we are working on a more premium portfolio in each category, so which also should kind of give the gross margin a slightly improved trajectory. As far as working capital is concerned, I think, yes, we are at a very good place. I think as far as debtors are concerned, yes, I do not think it can go much lower than this. But inventory wise, I think we still have a little bit of more inventory than we would like to. So, maybe from the inventory side some more small improvements are possible. But I think even working capital wise, we are largely in line with whatever has been our steady

state.

Rahul Agarwal: Got it. Fair point. And the second question was on alternate energy business across, I mean, you have announced a battery manufacturing CAPEX, so just a bit on that, why this decision and what do you see going forward? Something on Gegadyne, if you can explain as in what's really happening there; and solar rooftops, which is essentially part of Electronics – how do you look at these businesses? And any single segment which you think can be like ₹ 500 crore top-line annually, if you could highlight what could be your potential opportunity across these? That's all from my side. Thanks.

Mithun K. Chittilappilly: So the solar rooftop business is growing very strong. It's housed within Electronics. We have had very, very strong growth, although we do not give out product wise numbers. I think in about four to five years' time, we should hit really good numbers. And I think once it's large enough, we will start disclosing the numbers. So a solar rooftop is something that's doing very well for us. We have always been in the inverter business, but solar rooftop is something that was carved out about four years back, and I think we were right on time to take advantage of all the incentives given by the Government. The Government is giving a lot of incentives for individual houses moving to rooftops and that's driving a lot of demand. I think we still have a lot of headroom because this entire demand is from some seven or eight different states out of these 35 states. On the second thing, sorry, what was the second part, on Gegadyne, right?

Rahul Agarwal: Right. P PhillipCapital
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Mithun K. Chittilappilly: Okay, Ram, you want to take this question on Gegadyne?

Ramachandran V.: Yes. I think we had invested in Gegadyne to help them to support and establish the technology. And on where Gegadyne is today, I think about 18, 24 months back they had put up a pilot plant based on the funding that we had extended. They have kind of stabilized to achieve their technology goals and we have validated it; it's working well. So now they are in course of figuring out how to scale up and how to move forward, and how to prepare for a commercial launch, but that will be at least another couple of years away because they will have to establish

a capacity for that. But yes, I think the progress on technology development has been good and they have met the development objectives for which they were funded.

Rahul Agarwal: Got it. Anything on the battery expansion for V-Guard?

Ramachandran V.: Yes. Mithun, would you want to or shall I?.

Mithun K. Chittilappilly: No, you can. Please go ahead.

Ramachandran V.: So, about three years back we had initiated a project for setting up a battery capacity in Hyderabad. And about 18 months back, this capacity was commercialized. And as we sit today, the factory is operating on full capacity utilization there. The business has been growing in high double digits and that is warranting further increase in capacity, together with what I would say some shortfall or scope for us to feed some of our outsourced revenues through the factory. So I think this plant is expected to come up in the next 18 to 24 months. And we expect to be able to feed our growth from this plant. This plant may take about another six to nine months to fully stabilize beyond the commercialization date. So we are looking at this capacity coming up two and a half years from now, I mean, getting fully stabilized two and a half years from now.

Rahul Agarwal: Yes, and the ₹ 50 crores can make how much amount of sales, like what's the asset turn here?

Ramachandran V.: See, this investment is purely on machinery, okay. And we are looking at the possibility to install this machinery around our existing facility. In terms of throughput, I think this should give about ₹ 300 - 400 crores of throughput, it should support this investment in

net sales terms.

Rahul Agarwal: Got it. Thank you so much for answering all the questions. All the best.

Moderator: Thank you. The next question comes from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.

Naushad Chaudhary: Hi, thanks for the opportunity. Two questions. First on Sunflame sir. I think last quarter also we indicated that the cleanup has been done and sequentially we should experience improvement. But this quarter also we have seen sequential decline in the margin and also on the top-line. Any sort of clarity what exactly are we doing here? How should we look at this piece of business? P PhillipCapital

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Ramachandran V.: Yes. Firstly, Q3 is a high quarter compared to Q4, because Q3 is when you have the festival season. And generally, Q3 sales are higher than Q4, so you may not make a sequential comparison. However, that being said, I think compared to last year, our results have already been published, and it is challenged. So notwithstanding that, I mean, the business is under stress. We are okay as far as emerging channels are concerned. We are okay as far as even GT is concerned, it is in line with the market. I think that we have a bit of stress. I think last year base was high, as Mithun has already explained, and also we have some stress in CSD, CPC channel. Now, fundamentally in terms of what we are going to do going forward, I think we are working on business integration of Sunflame with V-Guard, right. So this is a journey, and I think it will take some more time before the integration is complete. We are also, as we had indicated last quarter, we are working on a project and more or less we are at a stage of closure on defining the way forward in terms of the strategy and pathway that we will take to grow the business again. I think that business integration has taken a bit more time because we had a few challenges. We have had to refresh the product portfolio. Typically the cycle for product refresh is about, I think we had explained last time also, the cycle for refresh is about 18 months. And we also had the team on board seven or eight months after the integration had happened. So I think some of those are some of our set up delays which are impacting us. We remain hopeful that we will be able to get the business back on growth path on the back of improved product offerings and the integration of some of our capabilities into Sunflame, particularly in the area of customer service, logistics and quality management, these areas we expect that by September or October we should be able to fully integrate and extend similar delivery as what one witnesses in V-Guard. So this is a journey. It's taking time and it's taking longer than what we had anticipated.

Naushad Chaudhary: So for FY '26, on a low base of '25, should we expect growth in this business and margin improvement or should that remain?

Ramachandran V.: Sudarshan?

Mithun K. Chittilappilly: You are talking about Sunflame, right?

Naushad Chaudhary: Yes, Sunflame, should we expect growth and margin improvement or should it remain a pain point for us?

Sudarshan Kasturi: On the GT and E-commerce side, we are confident that we will see growth. However, on the CSD front, we really cannot predict how long, whether that slowdown is going to continue or not. But as Ram was saying, most of the business integration efforts are towards strengthening the product back end as well as selling capability, and primarily in the GT and E-com channels. So, yes, short answer, growth will depend on how CSD sort of turns up, but on the GT we are more confident. P PhillipCapital

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Naushad Chaudhary: And GT and E-com would be 50% plus of the overall revenue?

Sudarshan Kasturi: Yes, about 60%.

Naushad Chaudhary: Okay. And last question on the Gegadyne. How would the

success of Gegadyne help our base

business? If you can run us through what exactly we are thinking. And if this goes well, how will it help in our base business?

Ramachandran V.: So, Mithun, I will take this. So I think the investment in Gegadyne has been anticipating a shift in battery technology which we expect to happen. I think over a period of time, alternate energy battery costs are coming down, and at the TCO level already I think alternate chemistry batteries are having a better TCO compared to lead acid batteries. I think as the unit price of the alternate chemistry batteries starts to come down, there will be a shift in the market towards the alternate energy batteries, right? And that's the play in which we are invested in as far as Gegadyne is concerned. I think as I already explained earlier, I think it will take a couple of years for the benefit of Gegadyne to materialize because these batteries are to be commercially produced for which a capacity has to be set up. I think the technology targets are met and we have given them a go ahead to figure out how to, what I would say, commercialize the battery output, right. So I think that work on that is underway.

Naushad Chaudhary: And suppose, it goes well three, four years down the line, would this kind of change/help the industry to consolidate further? And the guys who are ready with the technology and integration should benefit more? How would you be positioned from a three to four-years point of view? If you succeed in this, would you have better advantage versus what you are today?

Ramachandran V.: Yes. So two, three things. So one is that Gegadyne has its own journey, okay? And our business is a small part of Gegadyne's journey and future, right, because basically we have invested in this fundamentally to support our inverter battery business, and also, wherever there is a

possibility to have energy storage integrated with our existing products and categories. So that's our scope. Our scope is a narrow part of the overall Gegadyne journey, which has far more significant potential, multiple times. But as far as V-Guard is concerned, our objective is fundamentally centered around growth for our battery business. It will help us to obviously grow, because this is a differentiated product, it doesn't have lithium, it gives a far longer life than even lithium-based batteries, and it is far more stable and safe as a technology. It has the benefits to help us to be able to price and probably earn a better margin, right, compared to other alternate chemistries. So I think that's how it will benefit V-Guard. And probably, we will have the comfort of having a more stable and reliable battery which we can launch in the market.

Naushad Chaudhary: Any plan, increasing the stake in this Company, if you are to come up with the commercial plant, how much minimum CAPEX would be required? P PhillipCapital

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Ramachandran V.: I think that depends on the size of the CAPEX and that also depends on the plans of the promoters of Gegadyne. I think the shareholders of Gegadyne will make that call in terms of what is the size and what the investment will be.

Naushad Chaudhary: Do you have any exclusive rights with this Company?

Ramachandran V.: Yes, we have exclusive rights for our categories, which is for the inverter battery space, and for any potential application for our categories.

Naushad Chaudhary: Thank you, sir. All the best.

Ramachandran V.: Thank you.

Moderator: Thank you. The next question comes from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you. Congratulations to the team for the great results. Sir, I just want to understand from the Electronics segment perspective, so stabilizer as a category of Electronics segment has grown for the last two, three years in high double digits. In the backdrop of such a high base

, and the

recent news of relatively weaker summers, how do you see performance of Electronics as well as CD that is fans and coolers performance in FY '26? Some thoughts would be useful.

Mithun K. Chittilappilly: Yes. So, I think this year in April we had intermittent showers in the South and eastern part of the country, and summer here has been less warm when we compare with last year. So definitely the sales of cooling products will get impacted like air conditioners, stabilizers, air coolers, fans, pumps, and to some degree inverters as well. But we have not yet completed, so we still have 45 days to go. I think till June 30th we have summer in many parts of the country, so we will wait and see. But yes, it depends on what will happen in the next 45 days. But some parts of North etc. are warm. But yes, we have a bigger skew towards South, so there could be some challenge in terms of these categories for South India.

Keyur Pandya: Okay. In your earlier remarks when you talked about margin, I mean, in the longer journey of stable margin or improving margin, do you see this year's margin getting impacted because of either mix change or negative operating leverage, if the season is bad?

Mithun K. Chittilappilly: No, I do not think...

Keyur Pandya: Basically or you have lever options in South or some other levers say on manufacturing which would offset the margin?

Mithun K. Chittilappilly: So, I think we are not only dependent on; last year we had a tailwind in 1st Quarter definitely, but the following quarters we did not have any support from the summer categories. Definitely 1st Quarter of last year, we had a very good tailwind from that perspective. So, to some degree, we could expect a muted 1st Quarter. But I think for the full year, we do not expect a huge impact P PhillipCapital V-Guard Industries Limited

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because we are also having other categories. And like you said, we also have summer, there is a chance of summer still being warm in the northern part and the other western part of the country, which should support some demand. So, I do not think it will have a huge impact. We are quite confident as far as margins are concerned, I do not think we will have problem.

Keyur Pandya: Understood. Sir, just a last question, some thoughts on how the demand has been for the house wires segment or other categories related to real estate? And your non-South initiatives, any specific regions, focused regions in previous years or say in FY '26? I mean, more details or specifics of the non-South initiatives and wires demand?

Mithun K. Chittilappilly: So wires, has it grown by about 10%-odd in the 4th Quarter. There were some challenges for the growth because there was some fluctuation and reduction in copper prices. But in April, we have seen that there has been an improvement and increase in copper prices. So, I think this quarter we should do better than previous quarter. The second question is on certain regions. I think today V-Guard is fairly well diversified with almost every part of the non-South market almost contributing equally, of course, the Western markets; East has a slightly higher weightage when you compare it in the non-South. But otherwise, it's pretty much well spread. Barring the small states, from almost all the large states we are getting good contributions.

Keyur Pandya: Noted sir. Thanks a lot and all the best.

Moderator: Thank you. The next question comes from the line of Aniruddha Joshi from ICICI Securities.

Please go ahead.

Aniruddha Joshi: Yes. Thanks for the opportunity. Sir, now considering the steep impact on the business of Sunflame, and if I look at the goodwill as well as the intangibles, let's say, between the standalone and consol balance sheet, so I guess there is ₹ 700 crores of intangibles. I guess, it is primarily linked to Sunflame. So has the, in a way, management thought about almost ₹ 700 crores intangibles? Any

like write-off or any revaluation of at least these intangibles?

Sudarshan Kasturi: We are required to review the carrying value of intangibles on an annual basis. So we have done that and we have sort of concluded this for impairment. That is something we will review again next year. So, at that time, we will see.

Aniruddha Joshi: Okay. Sure, sir. Understood. And in a way, what are the other ways we are looking at Sunflame? Because the V-Guard part of the business is doing phenomenally well. If we exclude Sunflame part of the business, V-Guard has done wonderfully well. So what are the triggers that we are looking at to, in a way, improve the Sunflame business? Or what can be the potential?

Because I guess the way Sunflame was doing the business earlier, it was high on trade margins and even debtor days etc. were materially higher to the trade. So now since we have changed that proposition, I guess, the value proposition for the trade may not be working out the way it was working out earlier. So what can be the potential here or like rebranding under it V-Guard, P PhillipCapital V-Guard Industries Limited

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Sunflame or something like that? So what can be the potential change that we can do, or increasing the share of voice materially in that, something like that?

Mithun K. Chittilappilly: So just a couple of things. One is, the GT part of Sunflame is growing. Sunflame has two main channels, I mean, three, which is CSD, canteen stores department and defence canteens which contribute about 35% to 40% of Sunflame's revenues. What happened is about one and a half years back they had added many brands, and even V-Guard was added. For example, V-Guard

which was doing ₹ 10 crores of business between CPC and CSD, today does close to ₹ 140 crores of revenue. The same Sunflame team only sells the V-Guard products into CSD. So we have a single team managing it. So in that sense, it has not been a complete issue.

So one of the reasons that Sunflame's CSD business has come under pressure is, CSD which used to have four or five brands, today is having 12 to 15 brands in each category. So they have added a lot of brands and that has created a lot of problems for them in the sense of a lot of

overstocking has happened. Now they are in a course correction mode and they are only ordering whatever is selling and stuff like that. That is one of the reasons why Sunflame business has got into trouble. GT has not had any issue. We have not changed much. We are continuing with whatever the earlier promoters were doing. Most of the distributors are continuing for Sunflame. So the GT business has not been much impacted. And CSD margins for Sunflame were higher because the overhead cost for Sunflame for doing CSD was lower. So when there was a drop in the CSD business, it has impacted margins. Ram, you want to add on to this?

Ramachandran V.: Yes, I think we have not changed much. And fundamentally what has happened, see, it's a small entity. I think they lost about two and a half years in COVID, and then as they came out of COVID, we did the transaction. So three, three and a half years, not much activity and product refresh has happened, right? And after that our team came on board about eight months later and they took some time to settle down. And then they had initiated interventions on refreshing the product portfolio. In the last three, four months, and in the upcoming three, four months I think most of these SKUs are coming to market. So this is the first issue.

Second issue is I think that the service infrastructure has also been a challenge. And we are working on the integration of services with V-Guard. I mean, V-Guard service or V-Guard quality management systems and V-Guard logistics systems, these are far, far more efficient.

And I think those are the areas which will witness the changes in the next three to six months and which are beneficial changes. I think

the product refresh is an ongoing exercise and it will happen. Also what had happened is, in E-commerce I think V-Guard goes to E-commerce directly as a Company, Sunflame is to go through intermediaries. So we are transitioning this. It

has taken us some time to set up the required infrastructure and systems, and also to build the recommendations before, what I would say, growth can be triggered.

So I think fundamentally now, these areas of organized retail, which is e-commerce plus modern trade, it's already integrated now with V-Guard. And as we make the differentiated offerings, our approach is to have differentiated SKUs. So even in e-commerce we are not pushing the P PhillipCapital V-Guard Industries Limited

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button aggressively because the pricing dynamics in e-commerce is very different from general trade. So a lot of the challenges are fundamentally related to resetting our product portfolio and offerings, right. In the meanwhile, the market had significantly refreshed the portfolio. So, the issue is not one of business system or brand, the issue is one of the competitiveness of offerings because of limited product refresh before we took over the business.

Aniruddha Joshi: Okay. Thanks for that elaborate answer. In a way, this CSD and CPC issue is a kind of structural, I guess, it is with many consumer brands including Sunflame. So now with so much new brands coming in, plus they are going for inventory correction also, so do we see the growth rates coming back? In a way, I mean, the business recovering back to, let's say, FY '23-'24' levels immediately, or will it be a course correction for next two, three years?

Ramachandran V.: No, I think our business across the other channels will grow. I think CSD and CPC, we do not have a view at this stage. But I would think that whatever damage has to happen has happened.

It should probably be better going forward because I am sure that they have taken aggressive action. I think it's but natural; the market is limited, so when more brands get in, so rediscovery will happen and some things will move and some things will not move and they will correct it.

So, we do hope that this is what we have to do. And we will do better than where we are today, but this is something that we cannot control so we do not want to give a point of view on that subject, right, because we do not know how it will evolve. But as Mithun said, look, one side we have been hurt, another side we have been a beneficiary also, right. Because we have been able to significantly grow our business because more SKUs we could launch. So on an aggregate, the Company has done well, but one side has benefited, the other side is a bit stressed.

Aniruddha Joshi: Sir, this is very helpful. Just last question, if we divide the market as per the channels, general trade, modern trade, E-commerce, MFI and this CSD-CPC, what will be the share of all the channels for the market or for V-Guard per say? Yes, that's it from my side. Thank you.

Mithun K. Chittilappilly: Ram, you want to take this?

Ramachandran V.: Yes. I think, I mean, it's hard to answer this because the portfolio of every Company is different, i.e., the product portfolio of every Company is different. And the share of different channels is also different. But for example, right, if you were to look at the portfolio or the bundle that V-Guard is, in terms of categories, right, I think it would be fair to say that, let's say, if we exclude wires so maybe about 40% to 45% of the business may come from non GT, which is modern trade, RSS, E-commerce and CSD-CPC, and MFI and all these things. So GT is now about 55% to 60%, right. So, I think in Electricals' categories like the wires, switches and switchgears, I mean, these channels are not that significant in any way. So it's more or less GT oriented. Even pumps, right, so I would say wires, switches, switchgears and pumps, it is more or

less 98% GT.

Aniruddha Joshi: Okay. Sure, sir. Many thanks. P PhillipCapital
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Moderator: Thank you. We take the next question from the line of Natasha Jain from PhillipCapital (India) Private Limited. Please go ahead.

Natasha Jain: Yes. Thank you, sir. I have two questions. One, in terms of other expenses, there is a very sharp increase this quarter, so can you highlight what is that about?

Mithun K. Chittilappilly: Yes, one second. Sudarshan, you want to take this?

Sudarshan Kasturi: So, other expense has gone up by about 16% compared to a turnover growth of about 14%. But some portion of it is related to factory expenses, and some manufacturing expenses also get captured under this line. And as new factories come in and they scale up, so that cost goes up.

The routine overheads are pretty much normal, so much of it is contributed by factory related costs and some increase in A&P and volume related stuff.

Natasha Jain: Understood. Sir my next question is on the stabilizer business. So when I was on the ground, I saw certain of your peers, especially Voltas has also come out with AC stabilizers, and even

Everest, pricing of Everest is way cheaper than V-Guard. While V-Guard still remains the leader, I just want to understand from your perspective how you are seeing this competition coming up, especially Voltas? Because what I saw later on in the season was Voltas even started giving its stabilizer along with its ACs. So any comment on that, sir?

Mithun K. Chittilappilly: Ram, you want to take this?

Ramachandran V.: Yes See, these competitors have been around. I mean, they are not new competitors, they have been around for many, many years. Everest pricing vis-à-vis V-Guard has always remained the way it is presently, it has not got adverse. I think that there have been some challenges in the air conditioning industry, and it may be that some of these kind of measures may have been taken up tactically maybe by Voltas or something like that. But generally, yes we are around 55%,

60% of the market, there's a remaining 40%. This keeps changing. Brands come and brands go, brands become active, and brands become slow, I mean, they taper off. But that's what I would like to say. Mithun, do you want to add anything more.

Mithun K. Chittilappilly: Yes, I think a lot of air conditioner companies have stabilizers like an accessory. And when I guess maybe the season is slow this year, instead of discounting the product they may give free accessories. And this is not a new thing, it has been going on for some time. I mean, at least till last 10- 15 years, starting with Godrej and all that we have seen companies launching, like Ram said, they will launch and they will sometimes discontinue, sometimes continue. But anyways, we do not hope to own 100% of the market, like Ram said, we will be at 40%- 45% of the organized market, and that's comfortable for us.

Natasha Jain: Understood, sir. Thank you so much. P PhillipCapital

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Moderator: Thank you. We take the next question from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good afternoon, sir. Thank you for the opportunity. Congratulations for good numbers. My first question is pertaining to wires. You did mention about 10% growth, is that the volume growth you talked about 10% Y-o-Y in Q4?

Mithun K. Chittilappilly: Okay, we need to come back on that. We talked about a 10% value growth, sales growth.

Achal Lohade: In Q4?

Mithun K. Chittilappilly: Yes, in Q4, yes.

Achal Lohade: Does that mean the volume was pretty much flat given the average copper prices were about 10%-12% up Y-o-Y?

Sudarshan Kasturi: I think price growth was about 8% and volume growth was 2%, something like that.

Mithun K. Chittilappilly: Volume growth was about 2%, 3%.

Achal Lohade: Okay. And you are

saying that Q1 it is improving, have I understood right the volume growth?

Mithun K. Chittilappilly: Yes, 1st Quarter sequentially we are seeing an improvement because there was an uptick in copper prices in April.

Achal Lohade: Understood. The second question I had was with respect to pumps business, right?

Ramachandran V.: That is towards the end of March.

Sudarshan Kasturi: We were talking full year numbers until now. Q4 volume growth is 5%, price growth of 12%.

Mithun K. Chittilappilly: Okay, sorry, that was a full year number. Q4 growth is 17%, 5% volume growth and 12% value growth.

Achal Lohade: So 17% revenue growth in cables and wires, have I understood right, for Q4?

Mithun K. Chittilappilly: Yes.

Achal Lohade: Okay, understood. The second question I had was with respect to the pumps business, do we have any exposure in terms of solar pumps the way we have gotten to solar rooftop? Is there any

case for solar pumps as well? P PhillipCapital
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Mithun K. Chittilappilly: So, it is something that we looked at it, but the go to market is through the agricultural department of various states. So we typically do not like dealing with these kind of customers. We have not got into it, no, we do not do solar pumps.

Ramachandran V.: Actually the problem is, the channel is very different. See, most of this is agricultural pumps, the channel is very, very different from our remaining part of the business, right? We do not have a pathway and this space is also highly volatile. Agriculture as a business is very much dependent upon the rains and also the size and type of pumps varies also across, right.

Mithun K. Chittilappilly: Sorry Ram, you are talking about solar pumps.

Ramachandran V.: No, no, I am just saying that basically it's for agricultural application and a lot of it either travels through similar channel or it is through Government business, right. And the skills required there, we do not have teams which are focusing on this kind of business, right.

Mithun K. Chittilappilly: It's primarily Government tenders, so we are not present in that.

Achal Lohade: Fair point, sir. And just the last question with respect to CAPEX, how do we see current year, and over next couple of years do we see any substantial step up and the outsourcing mix?

Mithun K. Chittilappilly: We were around ₹ 100 crores per annum. I think we do not expect any major increase from this. In fact, a lot of our plants are up and running and there are a couple of more factories that are to come. And there is, of course, going to be more active investment in moulds and investments in moulds have gone up in the last five-six years and that will continue and that's going to be a major part of the CAPEX.

Achal Lohade: Got it. Thank you. I wish you all the best, sir. I will fall back in the queue. Thank you.

Moderator: Thank you. The next question comes from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Hi Mithun, Hi Ram. My first question is on employee expenses and Op Ex which have almost doubled in the last three years. Just wanted to understand is there an element of factory overheads not being absorbed properly, given that we are still in the ramp up phase? Or is it just a function of us doing more business in-house and therefore gross margins correspondingly increasing but associated costs now getting recorded in staff expenses and other expenses?

Mithun K. Chittilappilly: Okay. So I do not think the employee expenses have doubled over the last year.

Sudarshan Kasturi: Not doubled in three years, but against the published numbers, when we look at it's showing about a 26%, 28% growth. And the increase is basically because there were some writebacks last year. P PhillipCapital
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Mithun K. Chittilappilly: Okay. So if you look at Q4, I think there was some writebacks

in the previous year of ESOP and stuff like that.

Sudarshan Kasturi: ESOP and variable pay some writebacks were there, this year the full provision is there.

Aditya Bhartia: No, sir I was looking from a three-year perspective that on a three-year basis, let's say, in FY '22 we used to have roughly ₹ 270-odd crores of per employee expenses which now are ₹ 520 crores.

Other expenses used to be ₹ 470 crores, ₹ 480 crores, which are now almost ₹ 1,000 crores. So, from that perspective I was saying that is it also because of the change in mix or procurement wherein we are doing a lot more in-house?

Sudarshan Kasturi: So if you take employee expenses, the underlying growth rate of for the last three years was about 15% to 16%, which is really the routine increments, and some headcount increases and so on. The rest of it, as explained, when new factories come up there are people getting added there.

Mithun K. Chittilappilly: The other expenditure?

Sudarshan Kasturi: Even people cost. Similarly, on other expenses, there are manufacturing expenses going in where the new factories start coming in and then we see that the growth rate is higher. Once all the factories are set up and they have had one full year of operation, then this will start getting into a normalized level of growth.

Mithun K. Chittilappilly: You can say at least maybe if you look at other expenditures and as a percentage of sales, close to 1% to 1.5% is because of factory. Employee cost is largely okay, I mean there has been addition of Sunflame's employees into our employment.

Sudarshan Kasturi: Sunflame is an addition that's come in the last three years, plus new factories.

Aditya Bhartia: Okay. And do you think some of these costs are today not being properly absorbed and there's scope of increasing capacity utilization at our facilities and therefore operating leverage benefits should be playing out? Or all that has already happened and we are at a reasonable utilization level?

Mithun K. Chittilappilly: Not the factory. So, for example, the first factory that was set up, I mean, the fan factory and the Uttarakhand factory for Electronics, they are largely stabilized and delivering the results. Even battery factories have extended and started. But the Vapi plant for kitchen is not operating at the full capacity.

Sudarshan Kasturi: Typically in the first year of operation you will find that there is under absorption, but it takes about that much time for the factory to reach its potential.

Aditya Bhartia: Sure. And sir my second question is on the outlook that you gave in the presentation wherein you have mentioned that there was strong pre-filling in the channel in anticipation of a good summer. And at the same time, you also mentioned that you are excited about the new product P PhillipCapital V-Guard Industries Limited

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launches. So just two clarifications on that, given that summer so far has been weak, does it mean that channel has much more inventory than what is required, excess inventory, and to that extent primary sales in the next few quarters could be very weak?

And the second question is, the new product launches that you are speaking about, are these usual product refreshes that we would be doing, the usual product launches that you would be doing, or is there something more to it, maybe a new product category or a complete change in product profile?

Mithun K. Chittilappilly: So, as far as the new products, I think one of the key launches we have had last month was for fans. We have launched a mid-market range of BLDC fans, which comes in various configurations. And I think this segment, so V-Guard does slightly less than indexation in BLDC was slightly less than what we would have liked to be, and this should address that. This launch should do well. I think the initial response has been great. I was there when we had the great launch with all the key retailers of the country

Yes. So I think whether there is summer or not summer, I think this product would sell. So that's point number one.

We are also having a key launch for water heaters, it's going to happen in the next couple of weeks. That is also addressing the premium end of the water heater market, and that also we are quite excited about. So, these new launches should do well because in some sense they are addressing a new pricing segment where either we were not present or our models were not very desirable. So in that sense they should do well whether the summer is good or bad.

The second thing is, in case of South India, yes, there has been strong preseason filling, and sellout has been quite weak. But I think in the other parts of the country there has been reasonably decent summer, so we will wait and see. We are not yet over, in terms of North at least till June 30th we typically get sales. So some of this issue is only related to the southern part, where last year in South India we had a very, very warm summer.

Aditya Bhartia: Understood, sir. That that's helpful. Thanks Mithun, thanks Ram.

Moderator: Thank you. Ladies and gentlemen, we take the last question from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.

Naushad Chaudhary: Yes, just one clarification on FY '26 outlook. As the summer cycle is not doing well, do we still maintain our 14%, 15% top-line growth and consistent EBITDA margin expansion for '26?

Mithun K. Chittilappilly: So I think like we said, we are really looking at one part of the country where summer has been impacted. There also we have time till May 30th, but South India typically March-April is the peak of summer. But the other parts of the country it is still warm, so we will wait and see. And like I said, last year if you look at it, only Q1 was very, very strong. After that, in fact Q2 and Q3, the performance was not that robust. So, we are not sitting on a very high base. So we could have a situation where Q1 growth could be slightly impacted, but for the full year we should still P PhillipCapital V-Guard Industries Limited

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try and hit that 14%, 15% growth. And margins, we are quite confident of maintaining the margins, we are not so far that worried.

Naushad Chaudhary: Okay. Thank you, sir. All the best.

Moderator: Thank you. Ladies and gentlemen, with that we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Mithun K. Chittilappilly: Yes. Thank you all for taking time out to join our earnings call. I would like to thank Natasha and the team at PhillipCapital for hosting this call. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

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VGUA ,,, PhillipCapital

Call: Aug 2025

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,
Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter ended June 30, 2025.
This is with reference to the intimation dated July 16, 2025, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the financial results for the quarter ended June 30, 2025, scheduled on July 30, 2025. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q1-FY26-Transcript.pdf.

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V-Guard Industries Limited

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618

Encl: As above

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"V-Guard Industries Limited
Q1 FY26 Earnings Conference Call "
July 30, 2025

MANAGEMENT :MR. MITHUN K. CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES
LIMITED

MODERATOR : MS. ARSHIA KHOSLA- NIRMAL BANG EQUITIES
PRIVATE LIMITED

V-Guard Industries Limited
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Moderator: Ladies and gentlemen, good day and welcome to V -Guard Industries Limited Q1 FY '26 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Arshia Khosla from Nirmal Bang Institutional Equities. Thank you, and over to you, ma'am.

Arshia Khosla : Than k you, Palak, I, Arshia Khosla, on behalf of Nirmal Bang Institutional Equities, welcome all of you for the first quarter FY '26 earnings call for V -Guard Industries Limited. From the management today, we have Mr. Mithun K Chittilappilly , Managing Director; Mr. Ramachandran V , Director and Chief Operating Officer and Mr. Sudarshan Kasturi , Senior VP and Chief Financial Officer.

I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you and over to you, sir.

Mithun K. Chittilappilly : Thank you, Arshia and the team at Nirmal Bang for hosting today's call. A very warm welcome to everyone joining us to discuss our company's operating and financial performance for the first quarter of FY ' 25-26. I trust that all of you have had the opportunity to review the investor presentation we had shared earlier.

Top line growth for the first quarter FY '26 was subdued due to weak summer season and the high base of last year. Consolidated net revenue from operations for the quarter is INR 1,466 crores, a marginal decline of 0.7% over the revenue recorded in the corresponding period of the previous financial year.

The Electronic s segment comprising of Stabilizers , Inverter System s, UPS System s and Solar System s delivered moderate revenue growth at 4.5% Y -o-Y in the first quarter. Demand for Stabilizer s was subdued in line with the overall demand trends for cooling products. But this is offset by good growth for other products within the segment.

The Electrical segment, which remains our largest revenue contributor that includes Wire s, Pump s, Switchgear and Modular Switches, registered a Y -o-Y growth of 7.6%. Hence, the performance was steady, both from a top line and margin perspective.

In the Consumer Durable s segment, covering Fan s, Water Heater s, Kitchen Appliances and Air Coolers, we reported a revenue de growth of 16.3% Y -o-Y. Growth was impacted by early onset of monsoon, which curtailed the summer season and caused a sharp drop in demand for cooling products.

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Sunflame reported top line de -growth of negative 5.4% on a Y -o-Y basis in Q1. There has been some improvement in light of interventions undertaken earlier. And the business has done well in general trade, but continues t o face softness in the CSD channel.

We have also initiated actions to merge Sunflame operations with V -Guard, which will fast track a realization of th e synergy benefits. Since the merger is with the wholly owned subsidiary, there will not be any share exchange ratio or change in the shareholding pattern of the company.

In Q1 FY '26, revenues from non-South markets grew by 2.1% Y -o-Y now contributing 52.3% of the total revenues, while South market degrew by negative 3.3% Y -o-Y. Our strong market s, that is the Southern and Eastern regions were relatively more impacted by the weak summer.

We reported a gross margin of 36.7% this quarter compared to 36.6% in Q1 last year . On a sequential basis , the gross margin improve d by around 110 basis points from 35.5% in Q4 FY '25. As we had indi cated last quarter, margin recovery is ne

arly complete and we are back to the pre-COVID margin level.

EBITDA, excluding other income, for Q1 stood at INR 124 crores, declining 20.7% on a Y-o-Y basis. The EBITDA margin was 8.4%, a reduction of 210 basis points from 10.5% recorded in Q1 FY '25.

Consolidated profit after tax for the quarter was INR 74 crores compared to INR 99 crores in the same period last year. The decline is due to the operating deleverage on account of flattish revenues. We expect the demand to normalize in the coming quarters and continue to invest in brand building and capacity enhancement.

With that, I conclude my opening comments, I would like to thank Arshia and the team at Nirmal Bang for hosting this call and I would like to request the moderator to open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal: Hi, good afternoon. This is Rahul from Ikigai Asset. Mithun, three questions. Firstly, you are entering into Lighting, just to understand what are you thinking about it, what are the products, which segment are we talking about?

Second question was on ECD. I understand Fans and coolers would have seen a very large impact. But when I look at the company history, first quarter has never been, has never seen EBIT loss, right, except if I remove the COVID period '21-'22? So is it more of a function of -- I understand operating deleverage; but because of newer plants, is there more opex sitting there, which is why this is impacted or the ad expenses, which have been a bit higher Y-o-Y, is that impacted for a specific campaign?

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Thirdly, some comments on Inverter sales and Wires? That would help.

Mithun K. Chittilappilly: Yes. So I'll start with the Lighting. So as you know that we are having a portfolio of categories in the Electricals space, and Lighting is the largest sub segment within the Electricals space. I mean Lighting and Wires are the two large categories. We were present in Wires and Fans, which are the two other large segments, but Lighting was absent.

And we have been getting a lot of feedback from the channel that there is a huge white space, then we are not present and this is creating some gap in the product portfolio. So this is point number one. Point number two is we are already having a very, very good network of Electricals' retailers across the country.

A good part of the 100,000 retailers we have is from the Electrical segment. And Lighting has almost 95% overlap with the Wires retailers. So this is the second point that we have the channel. So I think it's also; now we believe that we are having enough bandwidth to start creating a new category and this is the thought behind it. Ram, do you want to add anything about the Lighting category?

Ramachandran V: As you already said, I think it's mainly that we have been under a bit of pressure from our trade partners to expand our portfolio and to include Lighting because this company has a bouquet of offerings on the Electricals side, and that has been the primary driver for that; and it is to complete our basket of offerings. There are a lot of synergies, both on the channel side and even on the GTM side. So, the effort required for us to get into Lighting is very, very minimal, and that's why we decided to go for it.

Mithun K. Chittilappilly: Yes. On the ECD side, the ECD has got Fans and Air Coolers. Within Fans, there is a segment called TPW. TPW business has significantly been lower and so have been the Air Coolers. So I think both these have pulled out a good percentage. As far as loss is concerned, we don't think it's a huge issue. It is a transient issue.

And yes, there would be some advertisement expenditure that

was booked in both Fans and

Air Coolers. So it is very much possible that is also one of the reasons that we are hitting a loss. But I think this time, we had an extremely cool summer. So last year, we had a very, very massively hot summer, which propelled demand for a lot of categories, especially cooling products.

This year, we had the reverse where we hardly had any kind of summer, especially in the Southern part of the country and the Eastern part. So, these two being our core markets, we faced the headwinds. Wires has done well, because there is a favorable raw material price situation in which there were some step-by-step increases of copper prices over the quarter, which meant the demand situation was good.

We were also having inventory to supply. So Wires, in fact, has done well. Switches & Switchgear also have done well. They have also grown well. That's not because of any price increase. So just so you get, I think we have made some corrections in the team and channel

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and all that, and that's beginning to deliver fruit s. So that's the scenario , as far as your question is concerned.

Rahul Agarwal : Just a follow -up. So on Light ing, what kind of products are we talking about? And is it that we are also going to get into manufacturing of this?

Mithun K. Chittilappilly : Initially, we are not looking at manufacturing. I think with regards to most of our categories that we have entered , they have been seeded by the outsourcing model. Initially, we will not be manufactur ing, but I think once we get a certain scale, definitely, we will look at manufacturing and bringing in efficiency.

We are looking at the consumer part of the Light ing and the residential part of the Light ing. So this is the initial focus. Anything that is going into consumer and residential Light ing is what we would look at.

Rahul Agarwal : Got it. And a follow -up on ECD, then maybe I'll back in the queue . Was the primary sale for fourth quarter very high and hence channel inventory was high and hence, our performance on Fans and coolers was a bit subdued versus peers because when I benchmark other listed companies, it looks like our degrowth is much higher. Any thoughts on this?

Mithun K. Chittilappilly : So I think it's more than pre -selling it. It's more of a geographical issue. So South India has a much higher share of TPW sales in summer than other parts of the country. And V -Guard is one of the largest seller s of TPW Fans in South India. So for us, it's got to do more with ; rather than selling it in March, most of the degrowth has come from the TPW segment.

In fact, the Ceiling Fan sales have not grown much. The second is Air Coolers . Air Cooler also, beyond a point, we are not able to sell the product because we sell on advance. So we sell with a similar kind of terms at the market leader, which is an advanced payment. So even in Air Coolers, there is no question of channel being staffed too much because the credit partners have to pay advance. So hope it's clear.

Rahul Agarwal : Perfe ct, Than ks for answering the questions.

Moderator: Thank You Sir, The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi : Two questions. So now we are merging the acquired entity with ourselves. So what are the synergy benefits by merging the Kitchen Appliance s business? I guess most of the operational synergy benefits are already there, but still, there will be some benefits in terms of reduction in the number of invoices or double billing to the trade, et cetera. So what are the total synergy benefits that we can look at? That is question number one.

And question number two, in case of Light ing, no, obviously, this segment, we have seen the technology changes are so ramping that even most of the larger players are also finding it difficult

to , in a way, generate value. So what will be V -Guard's right to win in this segment?

This obviously, we have the brand as well as the distribution network also, but what will be the focus area.

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I mean, whether it will be B2C more, B2B more and even the distribution network for many players is also separate from the ECD or rest of the distribution networks. So how are we thinking on these lines? Ya these are the two questions .

Ramachandran V : Yes. I think fundamentally, we're going to be leveraging the brand and the channel and our channel relationships. I think that's going to be our fundamental focus. I think initially, our strong focus is going to be in our core markets, which is South primarily had to start with, which is where we will focus already, and we are pretty confident that we can get some good and quick early wins in that area.

Yes, I think there are challenges. There are different challenges with different categories, I think the challenges with Light ing that are different in nature from other categories. But I think as an organization over a period of time, we have significantly matured in both our sourcing capability and development capability. And we have very strong Electronic s capability in the company also.

And so we are pretty confident that we can navigate this. Of course, there will be a learning period as with any business, and there will be a learning curve that we will observe in our case also. So I think that is on Light ing and the question on Sunflame. So I think more than synergy benefit , it is a question of bringing V-Guard 's capability into Sunflame for driving growth in Sunflame. Initially, Sunflame is a small entity , which was managed by the promoter. It was thinly staffed , it was run in a very, very agile manner, and we had challenges to quickly move in our capabilities before understanding the business. I think that we've taken 18, 24 months to understand the business, and we are now moving fast with the quick integration.

To give you an idea, I mean, synergy benefits, financial benefits apart, I mean, that's not the focus of why we are doing this. I think I'll give you some sense of ; for example, we have about 70 days , we have integrated the customer service nationally. And what I would say, the call resolution rates, 24- hour call resolution rates have gone up to almost 60%. And this will progressively get better. So that's one example. So we just want to bring the functional strengths of V -Guard into Sunflame, which we believe will significantly empower Sunflame's growth. That, of course, includes also our channel partners and our business system s where we have a very strong nationwide sales infrastructure and a very aggressive sales infrastructure, which is extremely capable to scale up businesses in shorter period of time. So I think thus far, we have been keeping Sunflame away from V -Guard's capabilities , to see what will happen to Sunflame. Our capabilities are growing faster, primarily our focus is going to be on R&D and NPD and go- to-market. So , we believe we should be able to significantly strengthen Sunflame going forward.

Aniruddha Joshi : Okay. Sure. Sir, this is very helpful. Thanks for the explanation. Just one last thing. Will Sunflame be rebranded under the V-Guard umbrella? I mean like Sunflame by V -Guard?

Ramachandran V : I think as we have said the last time in the previous call, so we have something where we have a project for the long-term strategy , for Sunflame, yes? I think once we conclude that, maybe V-Guard Industries Limited
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you'll have a point of view , in maybe a couple of months , on that side. So, we will come back. We haven't made a determination in terms of how we will treat that. But of course, I mean the moment there is integration of Sunflame and V -Guard. V -G

uard's name will be carried by every Sunflame pack , as the manufacturer. But that a part, how to position Sunflame whether as a sub -brand or as an independent brand, I think there is work happening in that area. We are doing some work with consumers and we are also internally doing some work to understand what are the best ways to go forward. We have some proposals and a point of view, but we have not firmed it up yet.

Aniruddha Joshi : Okay. Sir, just one bookkeeping question. Lighting, are you looking at any revenue targets, let's say, over the next 2 years or 3 years?

Mithun K. Chittilappilly : No, we wouldn't like to give out any projections as of now. We will update in the next call. I don't think we'll be giving more projections anyway. But our first 6 months to 12 months, we'll be setting up capability and systems and then only we will look at launching.

Aniruddha Joshi : Okay. Sure Sir and many thanks.

Moderator: Thank You Sir. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya : Sir, first, on the Lighting side. So you talked about the synergies of, say, cross -selling , GTM distribution, et cetera. In general, we are seeing that because of the price deflation, I mean, very few brands have been able to grow their Lighting sales in terms of value and also a lot of competition from the smaller brands – value conscious brands. So any specific reason? I mean, from that perspective, why you would want to enter the segment where growth is not there either because of the I mean, technology change or price cuts, but the value growth has not been there? That is first point.

Second question, on the overall margin side, I can see that the employee costs have grown at a faster pace, that you earlier explained , that as you grow in- house manufacturing, some of the overheads move in -house. So if I look at slightly longer -term data, your EBIT margins, EBIT margins are more or less similar . So your gross margin has gone up, but depreciation, employee costs and overheads have also gone up and EBIT margin are more or less in the range of 7.5%.

So just to understand, are we yet to see any benefits of in- house manufacturing or why they are not yet visible since that EBIT level margins are more or less similar levels? These two are the questions, and then we will get back in the queue.

Mithun K. Chittilappilly : Yes. So regarding the second part, which is EBIT margins, I've said this in earlier calls. So if you look at 2019, our larger two competitors, they used to have EBITDA of about 14%.

Today, both of them are at 10%, whereas we are still having a similar EBITDA of about 9% to 10%. So you can see that the competition intensity, competitive intensity in the sector has gone up and margins have come down for most companies . Whereas we have maintained margins if V-Guard Industries Limited
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we look at last 6 years. So , I hope that answers your second point. The first point is on

Lighting, Ram, you want to take this?

Ramachandran V : Yes, I think you're right. I think the Lighting as a sector has not seen value growth and fundamentally because of price erosion. That part is true. But I think that every business has a different dynamic and a different challenge and that needs to be managed independently and separately and appropriately.

Fundamentally, yes, not having Lighting and having Lighting has its own advantages and disadvantages as part of playing in the portfolio. But I think it's important because we have partners and our partners have businesses. We have a gap in our portfolio and we believe that incrementally for us, at least for the next 7, 8 years, I think this is not going to be a challenge. Although it can be a challenge for an incumbent player who's been in the industry for many years, as well.

The other part of it

It is also that, yes, I mean, even though there is not value growth, but I think that these businesses are profitable. And they are able to do that by managing different cost elements differently. So I think at least for us, I mean, next 7, 8 years, I don't see this question being a challenge for us, while it may be a challenge for the industry. But I think what it will do, it will strengthen our partner's capability and it will help us to, what I would say, expand our network faster and it will also help existing categories to travel more deeper and wider. I think in the past, we had multiple challenges. But we believe many of our challenges for some of the categories that we had integrated, in the past, are slowly and progressively getting out of the way. We now have room to nurture and support one more category.

Keyur Pandya : Understood, sir. Sir, just one small question on the Electronics side. So relatively weaker quarter. And despite that, you have maintained margins up of 19%. So barring for seasonality versus Q1, Q2, Q3, which are relatively smaller, should we assume that, I mean, annualized margin of higher than 18%, 19% are sustainable margins? You have earlier talked

about some strategic initiatives as well. So in that backdrop, what are the sustainable margins in Electronics?

Mithun K. Chittilappilly : Yes. Sudarshan, do you want to take this?

Sudarshan Kasturi : Yes. Okay. On Electronics, yes, I mean the Stabilizers did see a decline in line with air conditioner and other cooling products. But then that was made up by a strong performance in other products. The Inverter Battery business did well, Solar did well, so that's sort of made up. Margin wise, it's been good, but I don't think we should take 18%, 19% as a steady state margin. So there are some quarters where we get better margins than usual. Something like 17% should be okay.

Keyur Pandya : No, sir, on an annual basis?

Sudarshan Kasturi : Yes, so 19% is a bit; it's a good number for that category. That may not remain at that level all the time.

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Keyur Pandya : Okay Sir. Thanks a lot.

Moderator: Thank You Sir. The next question is from the line of Raman KV from Sequent Investments. Please go ahead.

Raman : I just wanted to understand that there has been a degrowth in Q1, which you already suggested in your previous call. The original guidance of 14% to 15% revenue growth, is it still doable? And with respect to the margin, can we expect margin to improve going forward?

Mithun K. Chittilappilly : So I think how we look at it is when we have a good year, like last year, we grew by about 17%-odd. So in a challenging year, the growth could come down to 12% to 13%. So I think about 11% to 12%; 11% to 13% is what we'll be aiming for this current financial year because first quarter has been extremely challenging.

So what happens with that is almost 60% of our products, 55% to 60% of our products are dependent on summer. So when you start with a very, very adverse weather. It is very difficult for these categories for then to perform till Q4. So Q4 will determine now how the growth will shape out. But typically, we have seen that if we have a good year, we'll grow at 17% and a challenging year at 11% to 12%. So that's what this year looks like.

Raman : And sir, on the margins part?

Mithun K. Chittilappilly : Margins, I think we should be between 8.5% to 9.5% in this financial year. So let's see how it goes.

Raman : And sir, my next question is with respect to the Lighting segment, you did like earlier; sir also suggested that there has been value degrowth. So I just wanted to understand how much value creation do you think this segment will do in terms of your entire business?

Mithun K. Chittilappilly : So I think when we did some research on the industry, we found that players like Signif

y, which is the largest player with trade brand, Philip's, Havells, Crompton and Surya Roshni. All these four players are making healthy EBIT margins in the business. Now the question is on the value growth.

We found that there are sub segments which are growing, for example, Down Lighters and Premium Architecture Lighting for residential is growing whereas the growth in lamps, etcetera, may be slightly plateaued. So there are sub-segments which are growing. It's not that like the entire industry is de-growing.

And the third thing is we are present in categories like Solar Roof top where there is a value degrowth of 20%, 25% every year for the last 3 years. So it's not something that cannot be managed. It is something like Ram said, every category has its own challenges. We don't foresee any growth challenges in the first 7-8 years. But once we become larger, we'll have to see.

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But I don't think that this category will remain like this forever. I think there are some tailwinds, especially on people migrating from tubes and lamps to more expensive luminaries as the houses become more premium and as people start to spend more on interiors. This is

something that is ongoing. So I think within this particular, Lighting is a very large category. I think it's close to INR1 lakh crore or something like that. If you look at the entire Lighting in the country, including institutional and all that. So there are sub-segments within the Lighting, that are growing. So yes, there are the Lamps; the prices of lamps, the LED lamps are coming down, primarily due to efficiency in design of the PCB boards and all that.

But I don't think it will keep going on every year. I think a lot of the value decline is probably close to the bottom as far as that is concerned. But we are more interested to sell a bouquet of products, not just lamps, which will make sure that we make money.

Raman : And sir, my final question is with respect to the factories, Indian factories for in-house manufacturing that are coming. So what is the current percentage of in-house manufacturing?

And when will the new factories be coming to online?

Mithun K. Chittilappilly : So currently, we're at 65%. We have 1 factory, which is 1 more plant for Fans, which is undergoing development. We expect that to be operational in 18 months' time. That will make Table, Pedestal, Wall – Fans and Ceiling Fans as well. We will have both the TPW as well as Ceiling Fans. And yes, we are also setting up one more – that is more of an expansion of the existing Battery unit. That, I think, will take about 24 months time.

Raman: Ok. Thank you sir.

Moderator: Thank You Sir. The next question is from the line of Sonali Salgoankar from Jefferies India.

Please go ahead.

Sonali Salgoankar : Thank you sir for the opportunity. Sir, I again have question on Fans. Sir, correct me if I'm wrong, but is Fans as seasonal product or it is all the year around product. So I was just trying to understand it better. Why would unseasonal rains or a disrupted summer lead to such a big decline in the sales and also a negative EBIT?

Mithun K. Chittilappilly : Okay. So I think in Fans, we have three categories: Ceiling Fans, TPW and Exhausts. The Ceiling Fan business has pretty much throughout the year kind of sales, but there will be maybe like a 10% - 20% variation between in-season and off season. But the TPW business, especially the pedestal Fans, it is an extremely; the pedestal Fan is the largest part of TPW and is an extremely seasonal business because what happens, especially in South India, where especially markets like Andhra, Telangana, Tamil Nadu, even Kerala. It gets so hot that the Ceiling Fan is not able to really cool because it's really, really hot. So people put a second Fan in the bedroom, which can force

air from the side through the windows, which is cooler than the roof which is already hot. So a lot of the purchase Fans, at least in South India and East India goes for this reason and they are extremely seasonal.

So I hope this is clear. So if you look at the pan-India sales, 70% is Ceiling and 30% is TPW whereas if you look at South India for us, this drops down to almost 60: 40. So in South India,

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the share of TPW sales is high. And V-Guard traditionally has been more stronger in TPW. Of course, recently, we are also getting good traction in Ceiling.

So please understand that you will find that players with a South skew will have this kind of a challenge. And secondly, there is one more category with Air Coolers. So Air Cooler is also our large, it's about INR 140-odd crores. So a large decline in Air Coolers also brings down the

Consumer Durable s' sales in first quarter and Air Cooler s is also a high gross margin category for us.

Ramachandran V: Just one more point I want to add. See, this year, last year, the summer was exceptionally strong. And this year's rains have been exceptionally heavy, and I was just looking at some long period average data , in the initial months that I saw long period average is nationally almost in double digits and more, yes. And in fact, in the Southern states, it's more than 30% up.

And besides what Mithun talked about, we are a company which is over indexed in terms of sales in South and East, right, which have received very, very heavy rains . So the pressure is further getting amplified in our numbers, yes. But as Mithun has already said, Ceiling Fan sales are flat for us, and the drop is in this particular category is because Southern market has seen very, very heavy rain.

Sonali Salgo ankar : Understood. Sir, so would you ascribe that majority of , or rather the main reason for the drop in your EBIT margin is because of loss of operating leverage on the general volumes? Or is there any further reason to that?

Mithun K. Chittilappilly : I think it's majorly operating leverage. There would be some A&P expenditure on Fan s and Air Cooler s that would have happened. But I think it's mostly operating leverage.

Sonali Salgo ankar : Sir, your A&P spend as per your presentation are almost flattish year -on-year. So your overall is 3% so...

Mithun K. Chittilappilly : Sonali , it may not be spent on the same categories, right? So there could be changes within the category here.

Sonali Salgo ankar : Understood. Got it. Sir, just one last question from my side about the merger of Sunflame. Sir, you did mention certain points on that, but exactly what is the difference post -merger versus being a 100% subsidiary, wherein we are expecting a faster p ace of synergies right now?

Mithun K. Chittilappilly : Yes. Ram, do you want to take this?

Ramachandran V : Yes, Sonali, I explained this earlier, right? So let me again explain to you the same, I mean clarify the same observation. See, for example, earlier, Sunflame and V -Guard used to operate as separate entities. The operational bandwidth inside Sunflame w as very, very narrow. So it was very difficult for us to replicate our understanding and know how to run some processes systems more efficiently than the way that it is running at Sunflame.

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So that was the reason, initially, we wanted to keep these two separate so that we are able to preserve the ag ility. We are a much larger company work through multiple functions, right? And it would have been very difficult to integrate Sunflame at that stage. But after about 18 to 24 months, the knowledge is in place. And V -Guard's internal stakeholders have understanding and exposure to Sunflame. And we have, as part of our integration projects defined a governance framework. We are able to move f

ast. Now what difference will it make

I think as I explained to you, giving an example of service earlier in about – it's about 70 days now since the systems are coming together. They have come together progressively. We are now and we have completed the service integration. We expect in 3 months, right, to reach a similar level of customer service TAT – turnaround time. Same is the thing with quality, the kind of systems that we have in managing quality and the kind of process we have for qualifying vendors.

All of this is very different, right? S o this all activities and capabilities will flow , yes. We have maybe 1,500-odd feet on street , we have 1 lakh -plus customers. Many of them are in Kitchen . Now it's a lot more easier for us, right, to land the Sunflame offering into many of our customers and channels , if it is managed througho ut the same sales system.

So these are the kind of advantages that we will get. So I think it's fundamentally going to make Sunflame stronger in its ability to realize outcomes, positive outcomes, right, be it on service, be it on quality, be on MPB, or be it on sales, yes?

Sonali Salgo ankar : Understood. Thank you sir.

Moderator: Thank you Ma'am . The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors. Please go ahead.

Shivkumar Prajapati : My first question is regarding the competition density versus the rising private label players, say, Amazon B asics ? And what differentiates V -Guard's products in price -sensitive markets?

Mithun K. Chittilappilly : I think the hyper competition today is among our various brands. I don't think private label is such a big worry, at least in India. What we're seeing is even globally, private label usually works in categories which can't be differentiated like chips or flo ur or food products and stuff like that or something like generic items like maybe lamp s and those kind of things, bulbs or something like that.

But as soon as there is design involved as soon as there are features involved, private label s

usually don't have a chance because they are not coming as they are not having that kind of sophisticated capability to make products. So, for example, if you asked me, V -Guard has about 4,000 SKUs today. I don't know any retailer who has the wherewithal to even manage an additional 500 SKUs. So that is the kind of variety that brands offer vis -a-vis a private label. So we have seen that the larger chains, they have time and time and again tried to do this, but it has not really made any much dent , as you would have seen, right. I mean there was a time when Big Bazaar brought out a lot of private labels. The n Reliance keeps trying to do it so. It happens, but I don't think in our kind of categories, it has really made much of a dent as yet.

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So the hyper competition is between existing players getting into adjacent categories. It is also certain new brands that are coming up are disrupting the existing categories, maybe using new lines of sales like B2C or e -commerce and stuff like that.

So I wouldn't say private label s, but definitely competitive intensity is up. It's primarily also because many companies are not growing and they are thinking that the grass is greener on the other side and are entering new categories. So that's the thing.

I think we have also seen a lot of exits for the last 1 or 2 years, we've seen many companies refocusing or removing themselves from the marketplace. So I think it's a natural process of cleansing. I think whenever we have something like a slowdown and stuff like that or COVID also was a big shock. Whenever we have these kinds of shocks , people tend to exit and go back to their core because they have to protect their core business.

Shivkumar Prajapati : Understood, sir. And sir, would you please be able to help me with two d

ata points. Number

one is now like more than 50% of our revenue is from non- South market. So how many states will be contributing around INR 500 crores plus of top line for the full year? And going forward, what do you see that which reason or state will be able to touch this market?

Mithun K. Chittilappilly : So I think we don't like to give out these numbers, but we have to understand that we also are in a country where you have something like a Maharashtra, which is like almost 10%, 15% of India's GDP and then you also have small states. So we have big states and small states. And we have states which are geographically larger. So like UP is a very large state. It's a large contributor to the GDP, but it i s also very large. So we require more than multi ple branches. In

fact, we have three branches in UP alone . Whereas in a state like Kerala we're able to manage with one. So I don't think it's right.

I think we are slowly getting indexed to how the national market is indexed. I think earlier, we had a very, very high South skew . Now it has dropped below 50 %. I think East has done well

for us and the other markets are also responding. W ith the passage of time, we will hit that 65% of sales from the non-South markets, we are quite confident of that trajectory.

Shivkumar Prajapati : Got it, sir. And sir, is there any way or metric that you guys track for productivity of active dealer in S outh versus non- South region, something like average revenue per dealer?

Mithun K. Chittilappilly : See, again, it's not very easy just to see, we are not dealing with homogeneous crowd. For example, we will have a Wire dealer who will be doing INR 1 crore s a month, whereas it will be very hard to find a guy selling Switch es for about INR 1 crore s. So it's not very, very; I mean, it's not very easy to do that. Ram, you want to talk a little bit about our sales?

Ramachandran V : Yes. I think Mithun saying this is correct . I think it's very difficult to ha ve a thumb rule. But there are two issues with that. And at least as far as V -Guard is concerned, our GTM is category -based rather than company based. So we might have like many times, partners who are doing Switchgear , for example, right? And they may or may not be doing other product categories of V -Guard 's. So some of those kinds of challenges we have.

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So I think that may not be the right metric to look at as far as V -Guard is concerned. Also, again, as Mithun talked about, there are large states and there are smaller states. There are states by town class. I mean there are cities by town class. And also our entry into different states or even in different geographies is at different stages. So even as we speak, there are new markets we are entering, right, because we still have a lot of room to cover in non-South. So I think it's a bit hard to measure ; so we don't try to measure on that attribute. So we don't have a perspective like that for this reason.

Mithun K. Chittilappilly : So I think how we like to do is that more than in average revenue per dealer. We look at maybe average revenue per sales executive and those kind of metrics, that makes more sense. And in that sense, we find that Eastern markets since are quite close to the maturity as similar to our

South market. And the other two zones are slightly behind in that sense. Other than that, it's very difficult.

I mean, it's going to be very, very difficult to have a single view to see. So what we look at is counter share, for example, if a retailer is selling 100 units and its split between 3 or 4 brands. There, we look at what was our ability to gain more share. This is one part. Second is on influencers. So, for example, electrician, plumber, other kind of influencers. We also try to see how many of them we are able to cover in each zone. And again, it's very difficult because we don't

have the market data. We are not sure that if someone asks you how many electricians and plumbers are there in India, you will get five different answers. So this is the kind of issue we are having. But if you look at it maturity-wise, we would say the Eastern markets we are almost there in terms of the maturity, in terms of the average throughput per employee and those kind of metrics. The other two markets are slightly behind. Shivkumar Prajapati : Thank you sir. Thank you so much and best of luck.

Moderator: Thank you sir. The next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.

Manoj Gori : Sir, Manoj Gori here from Equirus. I have one question. See, if we look at the Electronic segment, where we have reported 5% growth. So my question here is, if you look at your comment also sounded like South and East were very much impacted because of the poor season this year. And we have a lot of exposure to Stabilizers etc this year, the power shortages or power cuts were relatively lower. So in fact, that would have impacted our UPS and Batteries business as well. Can you throw some like the quality of this 5% growth given the current environment?

Mithun K. Chittilappilly : No. I think Stabilizers sale is directly linked to weather and the other one is linked to the occurrence of power cuts. So they may not; yes, you're right, it should go hand-in-hand, but I can tell you that we have had severe power outages in the Southern part of the country because of very, very strong winds and rains. So it may not be right to correlate, but we are seeing a healthy demand for Inverters and Batteries, and we are also seeing very good demand for Solar Rooftops. So that is kind of offset. And we also have to understand that air V-Guard Industries Limited
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conditioner stabilizer is about 50% of the total sale of Stabilizers or 50% or 55% of current. It is not 100%. So the decline of whatever happens in that stabilizer to overall stabilizer may not; it will be half of that. So that is also one reason. It's not like 100% of what we sell is for air conditioning.

Ramachandran V : Yes. One more point. Actually, what has happened is we have gone deeper into the value chain in Inverters & Batteries, right? So consequently, our competitiveness in that category has improved, right? So that is also aiding the business on top of what Mithun has talked about, right?

Manoj Gori : Thank you sir. Wish you all the very best.

Moderator: Thank you sir. The next question is from the line of Abhijit Mitra from Aionios Alpha Investment Management. Please go ahead.

Abhijit Mitra : So regarding this sudden spate of announcements, coming on capacity cuts on your cells and modules. I mean, what do you think can be the supply chain impact for Inverters and Batteries? And how do you think this will sort of impact the unorganized sector in this space? Any thoughts on this?

Mithun K. Chittilappilly : So you're talking about the Solar PV modules, right?

Abhijit Mitra : Yes, not only that but I mean, all sorts of cells, even for lithium carbonate, which goes into Batteries, they are talking of, cuts and all?

Mithun K. Chittilappilly : So I think definitely it is a supply and demand issue. So we'll wait and see. So for example, if suddenly U.S. is going to ban or slap antidumping duty for Indian PV manufacturers or cell manufacturers, definitely, that would mean lower prices in India. Because so far, we were not able to; because India has a huge anti-import duty against China. So the Indian players were protected and they were enjoying better prices and stuff like that. So we'll wait and see. Regardless of that, there has been a decrease in prices year-on-year. So because there is obviously a glut of supply and also the technology is getting better. In terms

of lithium, I think

I'll ask Ram. Ram, do you want to comment on this?

Ramachandran V : Yes. I think yes, what you're saying is correct. There is a lot of uncertainty around this entire space. Naturally, I mean, right now, we know lithium is the primary, what I would say, alternate energy chemistry although we have investment in a company called Gegadyne which does not have lithium in it, but they are still not at commercial stage.

So I think, yes, I think it is going to be a big challenge for expanding energy storage. But we'll see, I think this is more ; again, there has been a lot of uncertainty around some of these things, right? And I think what part of what is happening is basically about negotiating better outcomes for each other and what part is about protecting and guarding, I think we'll have to wait and see. I would say right now is uncertain . We would be speculating an outcome ahead

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of something that is firmly announced, right? But yes, I mean, that naturally will be a challenge. I think on the Battery part, definitely, it will be a significant challenge, right?

Abhijit Mitra : And for Inverters and Batteries, what percentage of your ; I mean, would there be imports from China as of now? I mean, are there any direct imports from China, which you'd be doing now?

Mithun K. Chittilappilly : Only the Solar Inverter is imported. So Solar business is about 20% of the overall Inverter business. Only that is imported. The rest of the products are all made in India. Only these small, that is up to 10KVA, of the Inverter s are imported. The rest of the products in the large Solar Inverter s and the regular Inverter s are all made in India.

Abhijit Mitra : Okay. So you are importing the entire box, you're not importing to a PCB or NPCB separately?

Mithun K. Chittilappilly : So no one is ; there is no technology in India that is available for small Inverter s that is up to 5 KV. Almost 99% is imported.

Abhijit Mitra : Understood. String Inverter s are all imported essentially.

Mithun K. Chittilappilly : Yes. Anyway, Electronic s everything and anything is imported. So whether it's China, Taiwan or Singapore or South Korea, Electronic s are anyway imported unless India start s making them .

Abhijit Mitra : Got it. Thanks for the clarity.

Moderator: Thank you sir. The next question is from the line of Anshul Jethi from LKP Securities Limited. Please go ahead.

Anshul Jethi : Thanks for the opportunity. So most of my questions have been answered. Just one last bookkeeping question. Just going through your segmental reporting in Electronic s segment, there has been a decrease in the assets part. So has there been a significant reclassification in the assets? Or any major asset being divested?

Mithun K. Chittilappilly : One minute.

Anshul Jethi : Sure.

Sudarshan Kasturi: So, I think it's just normal business variations .

Anshul Jethi : No major divestment, right?

Mithun K. Chittilappilly : No.

Moderator: Thank you sir. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

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Mithun K. Chittilappilly : Yes. So I think we can close today's call. Thank you all for taking time to join our earnings call. I would like to thank Arshia and the team at Nirmal Bang for hosting this call. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: Thank you, sir. On behalf of Nirmal Bang Institutional Equities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company take

s no responsibility of such errors.

Call: Nov 2025

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November 7, 2025

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G Block, Bandra- Kurla Complex,

Bandra- East,

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter and half year ended September 30, 2025 .

This is with reference to the intimation dated October 21, 2025, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the financial results for the quarter and half year ended September 30, 2025, scheduled on October 30, 2025. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at the below link:

https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q2-FY26-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,

Yours Sincerely,

For V-Guard Industries Limited

Vikas Kumar Tak

Company Secretary & Compliance Officer

Membership No. FCS 6618

Encl: As above

Page 1 of 16

"V-Guard Industries Limited

Q2 & H1 FY '26 Earnings Conference Call "

October 30, 2025

MANAGEMENT :MR. MITHUN K. CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND CHIEF
OPERATING OFFICER – V-GUARD INDUSTRIES
LIMITED

MR. SUDARSHAN KASTURI –SENIOR VP & CHIEF
FINANCIAL OFFICER – V-GUARD INDUSTRIES

LIMITED

MODERATOR : MR. DEEPAK AGARWAL – AXIS CAPITAL LIMITED

■ "AXIS CAPITAL C M O R L L"

V-Guard Industries Limited

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Moderator: Ladies and gentlemen, good day, and welcome to V-Guard 's Q2 and H1 FY '26 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from Axis Capital Limited . Thank you, and over to you, sir.

Deepak Agarwal: Thanks. Good afternoon, everyone. On behalf of Axis Capital Limited, I welcome you all to V - Guard Industries Limited 's Q2 FY '26 Earnings Conference Call. Today, we have with us the senior management represented by Mr. Mithun K. Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Without taking much of time, I will hand over the floor to the management for their opening remarks, post which we'll open the floor for Q&A. Thanks. Over to you, sir. Thank you.

Mithun K. Chittilappilly: Yes. Thank you. Good afternoon, everyone, and welcome to this earnings call. On behalf of the team at V -Guard, we would like to convey best wishes for the festive season and wish all of you a prosperous year ahead. I would like to thank Deepak Agarwal and the team at Axis Capital for hosting today's call.

We will be discussing the operating and financial performance for the second quarter and half year of FY '26. I trust that all of you have had the opportunity to review the investor presentation shared earlier.

We witnessed a modest top line growth across segments during the second quarter of FY '26 due to headwinds such as higher -than -average rainfall, weak demand and the GST transition.

Consolidated net revenue from operations for the quarter was INR1,340 crores, an increase of 3.6% over the revenue recorded in the corresponding period of the previous quarter .

The Electronics segment comprising of Stabilizers, Inverter Systems, UPS Systems and Solar Systems delivered a growth of 5.3% Y -o-Y in the second quarter. The prolonged and intense monsoon impacted the demand for Stabilizers and Inverters.

The Electrical s segment, which remains our largest revenue contributor and includes Wires, Pumps, Switchgears and Modular Switches, registered a growth, revenue growth of 4.7%. ■

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In the Consumer Durables segment, covering Fans, Water Heaters, Kitchen Appliances and Air Coolers, we reported a revenue growth of 1% Y -o-Y. Here again, the unseasonal rain impacted demand for Fans and Air Coolers.

Sunflame reported top line growth of 3.4% on a Y -o-Y basis in Q2. General trade and modern trade channels delivered growth, while CSD business continued its decline. We believe the progress of the integration and the eventual merger of Sunflame will help to accelerate growth and unlock efficiencies.

Gross margin continues to be healthy, sustaining the progress made in the recent years. In Q2, we reported a gross margin of 37.6% compared to 36.2% in Q2 last year, an increase of 140 b

asis points. On a sequential quarter basis, the gross margin has improved by around 70 bps from 36.9% in Q1 FY '26.

EBITDA, excluding other income for Q2 stood at INR109 crores, declining marginally by about 1% Y -o-Y basis. Given the low top line growth, the EBITDA margin reduced by 40 basis points to 8.1% compared to 8.5% in Q2 of FY '25.

Consolidated PAT for the quarter was INR65 crores compared to INR63 crores in the same period of last year, an increase of 3%. Reforms introduced as part of GST 2.0 are a welcome step in simplifying the tax structure and boosting consumption. We expect the improvement in demand to start reflecting in the coming quarters.

With that, I conclude my opening comments. I would like to thank Deepak Agarwal and the team at Axis Capital for hosting this call and would like to request the moderator to open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Hi and thanks for taking my questions. My first question is with respect to the Electronics segment. If you can give more color on the kind of growth that the Stabilizer and the Inverter segments would have seen. So my question is would the Stabilizer category have seen a decline this quarter because of A C season, A C sales also not doing that great.

And any color on how the Inverter segment would have grown, including the Solar Inverter category? And also in this quarter, the margins in the Electronics segment had dipped. Was it purely because of the mix being slightly inferior and lack of operating leverage?

Mithun K. Chittilappilly: Yes. As a policy, we don't give out product-wise numbers, but I can definitely say that the Stabilizer product as a whole has declined in revenues, largely led by the decline in Air Conditioner Stabilizers, as last year, we had a very good Q1, extremely good Q1 and followed

by a good Q2. The Inverter and Solar Business have grown well. The Inverter business has grown decently well. Solar Business is a new business, so it has grown at a higher rate. So what you see is a blended number. ■

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Yes, gross margin difference is due to, mainly due to the product mix. And yes, to some degree, like the factories were operating at higher capacity, especially our Pantnagar plant was operating at a higher capacity last year compared to this year. So all this would have played a part.

Ravi Swaminathan: Understood. And with respect to the backward integration efforts in terms of extending our Battery manufacturing facility for the Inverters, what is the status of that? And how much margin improvement should we expect for the Inverter category because of this? Need not quantify, but if you can directionally give an answer also?

Mithun K. Chittilappilly: Yes. So, we have already started on Phase 1 of Battery manufacturing. So today, our capacity is roughly about 40% to 50% of our total sales. We have a plan to actually increase capacity and then probably take this to at least 70% to 80%, over the next 2 years.

Ravi Swaminathan: Understood.

Mithun K. Chittilappilly: I mean, there is already some improvement that has happened. When we had done the investment, we had envisaged improvement in margins, and they are delivering as per our expectations. And with the expansion, we could see some more improvement because of further operating leverage.

Ravi Swaminathan: Understood. And my second question is with respect to the Electricals segment. So essentially, other players in the Wires category have seen double-digit growth. And for us, Switches and Switchgears is a relatively smaller business. So from a low base, it should be growing. But in spite of that, we would have delivered only mid-single-digit growth there. So did the Pump category see a decline during this quarter?

Mithun K. C

hittilappilly: Yes. Ram, do you want to take this?

Ramachandran V: Yes. So I think basically, as far as the Electricals segment is concerned, I think some of our competitors have definitely grown well. But I think a good part of it has actually come from the Cable business. So we are basically in House Wiring Cables business, right? So Domestic House Wiring, right? So I think that's one dimension to that.

Otherwise, yes, I think also this quarter, I think the monsoon has been very, very strong. I think we've had like the highest monsoon in the last 15 years, and this affects construction activity also. It will affect the sellout from the trade also. So which is why the Electrical category has seen a bit of, what I would say, lower single-digit kind of a growth here.

The Pump business has been flat. Yes, the monsoon is good. So water table is good. So Pump replacements have not happened. So Pump is flat for the quarter, yes. It has not declined.

Ravi Swaminathan: Understood

Moderator: Thank You. The next question is from the line of Natasha Jain from Phillip Capital. Please go ahead.

Natasha Jain: Thank you for the opportunity. Good afternoon, Sir. My first question is a follow-up on the last one. So, if Pumps have been flat and Switchgear is pretty much a very small contributor in the ■

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Electricals overall, so margin improvement has been extremely sharp given top line has been quite moderate. So, any one-offs in terms of margins?

Mithun K. Chittilappilly: No. I think see, what has happened is we had a quarter where there were sharp increases in

copper prices. So although the Wire business growth has been muted, there has been a good improvement in the gross margin for Wires because by the time we purchase Copper, we process it and when we sell it, the price is going up. So you get that benefit of inventory. We are basically selling inventory produced at lower cost at higher prices. So that effect plays out a little bit.

Natasha Jain: Okay. Understood. But then by that logic, if I see fourth quarter of last year, fourth quarter of last year was a super strong quarter, again, mainly because of Copper rising. And in that quarter, you grew by 15%, but the margin was still at 11.5%.

Mithun K. Chittilappilly : I think a lot of things are there. There is the timing of the price increases, the quantum of price increases and all that. I think this quarter, there is, I'm not sure about the velocity, but I think this quarter, definitely, there was

Sudarshan Kasturi : See some normal range of fluctuations will always be there. The Electricals, the midpoint margin, we can take it about 10.5%, 1% here and there quarter -to-quarter, we have to expect some variations. Within that, there can be many reasons.

Ramachandran V : See, it can also happen that, see, the Wire business is a commodity business and prices go up and prices go down.

I think maybe last year 's factors which would have impacted the Wire would have been different and what would have impacted this year would have been different.

Mithun K. Chittilappilly: I think primary margin difference is what you are seeing is coming from the Wire itself because the other categories are all pretty much in the stable state.

Natasha Jain: Understood, sir. That's helpful. And my second question is on Sunflame. Now if I compare your numbers with peers, definitely, we might have underperformed slightly compared to peers. Now even at that moderate top line, again, margin expansion is sharp even if I take a sequential look at the margins. So assuming even you are indexed to Cooker, Cookware, where there was a GST rate cut, but that's again hardly 10 to 11 days in the quarter. So what again has led to such strong improvement in margins in Sunflame ?

Ramachandran V : No, no. Our Sunflame margins are significantly depressed , and they

have to only get better over

a period of time. I think last year numbers are not reflective of the long -term margin of Sunflame business . So I think Sunflame performance is not extraordinary.

Mithun K. Chittilappilly: See, last year numbers were extremely low because of a lot of transition issues and transition costs and everything. So it's slowly coming back to the normal.

Natasha Jain: So sir, what should we assume a normalized range here going forward for Sunflame?

Mithun K. Chittilappilly: Yes. So I think in 2 years, we are expecting to hit about 12%; our 12% EBIT is what we should expect in 2 to 3 years' time. It'll go up in phases. ■

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Natasha Jain: Understood. And sir, just one last question on Consumer Durables. How has the winter portfolio started picking up?

Mithun K. Chittilappilly: So just like the factors that are affecting summer products that are bad for them , definitely, the heating categories like Water Heaters should do well. We also have a significant new launch this year that's doing well. So we'll come back and update after Q3. I think the expectation is to have a good sale for Water Heaters this year.

Natasha Jain: And sir, any pricing pressure you're seeing on Water Heaters?

Mithun K. Chittilappilly: The Water Heaters is a very competitive category. It has been competitive for the last 6, 7 years. There are close to 20, 30 brands and every year, 2, 3 brands enter. Pretty much anyone in Sanitary today is having Water Heaters. Anyone who's selling Tiles also will sell Water Heaters. So there are all kinds of people in the industry today. But we have some differentiated product offerings that we have this year, so we should be okay. But yes, it remains ultracompetitive.

Natasha Jain: Thank you so much sir and all the very best.

Moderator: Thank you. The next question is from the line of Shivkumar Prajapati from Ambit Investment Management Advisors. Please go ahead.

Shivkumar Prajapati: Hi thanks for taking my question. So my first question is, would you be able to give the breakup within this Consumer Durables segment, I mean, which forms around 30% of our top line, I mean, the breakup between Heaters, Fans, Kitchen Appliances and Coolers?

Mithun K. Chittilappilly: No. As I said before, as a policy, we don't give out category-wise numbers. But I can tell you the bulk of the Consumer Durable is driven by Fans and Water Heaters. That forms the majority .

Shivkumar Prajapati: Understood. And sir, how was the demand for Fans during this quarter? Or do you see any uptick so far 30 days of this October month?

Mithun K. Chittilappilly: Yes. Ram, do you want to take this?

Ramachandran V: Yes. The Fan business is still coming out of the challenges of, let's say, strong monsoon and its impact on Fan demand. So we continue to remain in a challenging ; I think for us, I think Ceiling Fans would have been flat to maybe low single -digit growth. And TPW would have been still having double -digit degrowth.

Shivkumar Prajapati: Understood, sir. And sir, my next question is on Solar Pumps. I mean, I believe this forms really very small part of our business so far. So just wanted to understand what your take on this boost that we are seeing in the Solar Pumps demand these days? And how bullish are we to develop this segment going forward?

Mithun K. Chittilappilly: So V -Guard is not present in the Solar Pump business. So we are in the Solar Rooftop Inverter and Panel s business. So they are 2 different segments. And we are present in Solar Water Heating business. But I think by next year, we are hoping to enter Solar Pump business. We have so far stayed away because it's a government and tendering -based business. It is a large business, and we are exploring opportunities to enter. ■

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Shivkumar Prajapati: Ok great sir. Thank you.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Limited. Please go ahead.

Keyur Pandya: Thank you. Sir, two questions. First on the Electronics side. So in quarter 2, which was relatively weaker, we have seen 17% plus kind of margin and the initiatives that you have taken, whether backward integration or some other efforts, should we assume the annual margins steady state should be upwards of 17%? Or what should be the margin range for Electronics segment? That is first question.

Mithun K. Chittilappilly: No, I think Electronics segment.

Sudarshan Kasturi : 17% to 18% is the normative margin for the segment. When you go into H2, there will be other factors, the mix will change and all that. But you can assume 17% to 18% range.

Mithun K. Chittilappilly: It should hover between 17% to 18%.

Keyur Pandya: Okay. Generally, Q4 and Q1 margins are relatively higher. Despite that, you're guiding 17 %-18%. Are you keeping some margin of safety or we should assume 17 %- 18%? There were some one-offs in these higher margins.

Mithun K. Chittilappilly: If you look at a very long- term number, like 5 years back, our in -house manufacturing for Electronics was close to like 20%-odd . And now it has gone to something like 50%- 60% or even 60%. So that definitely that backward integration has played a role. The new normative margin is what we are saying could be between 17% to 18%. The thing is the mix changes every quarter as well.

Keyur Pandya: Understood. Sir, second question is on the lower growth in Stabilizers because of the AC. You earlier talked about two important categories for Stabilizers which are AC s and TV s. So are you seeing any TV -led demand in Stabilizers post cut in GST rates or even otherwise, with normalization in say, AC inventory or Stabilizer inventory, how should we see some normalization or growth, say, over the next 2, 3 quarters?

Mithun K. Chittilappilly: So ex of AC Stabilizers, the Stabilizer business has done well, both Refrigerator and Television business has done well. The cut on GST, for that, it is still very early days because it is effective from 22nd of September. I think this quarter will determine that. But having said that, the weightage of Air Conditioner Stabilizers is very high. It is still very, very big part of the Stabilizer business. So even if the other segment grows, it may not be enough to offset the decline.

Keyur Pandya: Understood. Just last question on the capex side. So capex number for this year or this year and next year and the areas where we are spending capex on?

Mithun K. Chittilappilly: So capex will be between INR120 crores to INR130 crores in the current year and next year.

Areas will be, there is capex going in for a new Research and Innovation Centre . There is capex ■

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going for 2 factories, Fan factory this year and maybe Battery factory next year. And then balance will be for ; a lot of it is also going for moulds and dyes.

Keyur Pandya: Understood Sir and Thanks a lot.

Moderator: Thank You. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead .

Keshav Lahoti: Thank you for the opportunity. As Q2 has been slightly muted quarter, any change in guidance on the top line growth and margin what you have given earlier ?

Mithun K. Chittilappilly: No, I think when we started the year, we said that we hope to grow by 15 %-odd, but that definitely looks unlikely. We wouldn't like to give any guidance at this time. We'll wait and see.

I think once we finish Q3, and we'll have a better sense of how we'll end the year.

Definitely, this year has been very, very challenging. And we also have to remember that last year, H1, we had a very high base. We grew by almost

t 18%- odd in the first half. So we hope to

do better in H2 and, but it's too early to say. So once we complete Q3, we'll say. But definitely, achieving 15% growth this year wouldn't be possible.

Keshav Lahoti: Understood. Got it. And sir, in Sunflame, can you give us some sense how each channel has done this time? And lastly, how you see the Sunflame growth going forward on the margin side?

Mithun K. Chittilappilly: Ram, you want to take it?

Ramachandran V: Yes, yes. So I think traction on Sunflame is good as far as general trade and modern trade is concerned, which is organized retail. So these are good. And we are integrating the GTM for general trade as we speak.

And so it should favorably support Sunflame. I think the challenge on CSD remains as far as we are concerned. And I think it's going to take us some more time before the e-commerce is going to fire for us. So that's where we are. E-commerce and CSD are the two areas where we still have work to do. e-commerce should, in 3 to 6 months' time, pick up.

Some of the categories; see, our operating model is slightly different from Sunflame. So we directly sell on the platforms and listing the SKUs and getting them through the process is a time-consuming process. And I think things will get better once our foundation that is stabilized

as far as e-commerce is concerned. CSD, I think we'll have to wait and watch and see how that entire environment develops.

Keshav Lahoti: Got it. One last follow-up on this. So what kind of synergy benefits do you expect from Sunflame? What will be the key benefits?

Mithun K. Chittilappilly: We will not give any quantitative way. We'll talk a little qualitatively.

Ramachandran V: Yes. So mainly synergy will come in areas like customer service, quality and logistics. Also in the front end, right, in terms of go-to-market, where, we will have significant ability to get Sunflame to reach more counters in South and East. So where we are strong. So I think these are ■

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the benefits that we are talking about. And I think maybe in a 2 - to 3-year time frame, the benefits will also be visible in areas like e-commerce and organized retail, where we have strong strengths.

Keshav Lahoti: What I'm trying to understand, it's already a wholly owned subsidiary. Anyway, this benefit can be done earlier also. Are there any major benefits, any cost rationalization or making side?

Ramachandran V: No, we kept the entities separate, and we were running the two businesses separately. The integration is happening as we speak, this year. So service integration is complete. We are already seeing some financial benefits there from customer service. And integration in other areas is underway as we speak.

Keshav Lahoti: Got it. So will there be any saving in manpower cost and other expenses, anything on cards?

Ramachandran V: There will obviously be...

Mithun K. Chittilappilly: For example, Sunflame is operating warehouses and all that, which will be eventually merged into V-Guard. So we will save a lot on the back-end logistics. We will save a lot on sourcing because instead of a INR300 crores company, now it will have the might of INR6,000 crores company doing the purchases. So those kind of benefits will come. We just don't want to talk about any quantitative numbers as of yet. But definitely.

Ramachandran V: That's baked into what Mithun has already said, right, where he said that the Sunflame margin in 2 to 3 years will get to 12%. That's baked into that outlook.

Keshav Lahoti: Understood, Alright and thank you.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Ya thanks for the opportunity. Sir, two questions. Now considering the GST cut on Stabilizer as well as some of the Cooking Products like

Cooker, Cookware, etcetera, what will be the overall GST cut? And I guess some of the benefit may get nullified by price hikes in Fans when the

BEE norms change in January. So what will be net-net benefit to us considering both the things?

That is question number one.

And then secondly, in terms of just, how do we see that whether distribution expansion will also be a key driver for growth because I guess we are having fairly high market shares in the key regions in Southern India. So what will be the strategy? Because whatever we understand in Maharashtra for that matter, the market shares are materially lower.

So how do you see this as the products or the brands are very well known, but somehow the reach is very limited. So is that missing right now in terms of driving the growth also further? Yes, that's it from my side.

Mithun K. Chittilappilly: So regarding GST, see, for our categories, we have primarily had GST cut into two areas. One is for Battery. Lead Acid Battery has come down from 28% to 18%. We have pretty much passed on everything to the consumer as required by the government. The second is on the Solar ■

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business, which has come down from 12% to 5%. And again, everything here also pretty much has been passed on. I don't think because of GST, you will see any benefit, point number one. Regarding market expansion, Ram, do you want to take this?

Ramachandran V: Yes. So yes, you're right. I think we are underpenetrated in terms of reach in non-South, including Maharashtra. That's a correct observation. Just for, we went out of South into non-South somewhere around 2009, and we are about maybe 15 years outside of South.

And we have progressively expanded our distribution, and we still look to add about 5,000 counters, 5,000 partners every year. I think that goal remains. And we look forward. I think right now, the contribution of non-South to our revenue is roughly in the region of around 50%-odd. And we look to expand this to 60% by, in another 4 years' time, which would be roughly about, let's say, about 17, 18 years from the time that we got out of South.

I think that's a fairly decent achievement. The contribution of non-South for our portfolio of business is about 63%, 64%. So we can't hit 60% contribution unless we are able to achieve a similar reach in non-South that we have in South. So I think we definitely can do better than what we are doing. But I think that we have made the decent progress, and we continue to expand our reach in non-South market.

Aniruddha Joshi: Okay. Sure, sir. And just on the Fans' price hikes, how much of a price hike we may need to take once we move to the new norms in Jan?

Mithun K. Chittilappilly: So, I think the price hike will basically happen in the 1- and 2-star categories. The current 5-star will become 4-star. And for the new 5-star, new products will have to be launched. I think the increase is going to happen in the economy segment. And what I am told is it's between 5% to 8% to make it compliant. So, the current 1-star we will have to redesign and add a cost of about 5% to 8% to make it 1-star for the new regime after Jan 1.

Aniruddha Joshi: So that's a fairly steep price hike.

Mithun K. Chittilappilly: Yes, it is a steep price hike, and it is going to hit the value segment. So as far as we are concerned, we are not a huge player in the economy segment.

Aniruddha Joshi: Ok. Sure, that's very helpful. Many thanks.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal: Hi very good evening and thanks for the opportunity. Mithun, just two questions. Just wanted to get your thoughts on all these new business categories which V-Guard is venturing into. 5 years out, what kind of potential revenue business do we look for Solar - Rooftop

and Pumps? You

talked about Inverter Batteries, of course, it is growing faster. Lighting is going to be a new addition. So that's one question. And would those revenue sizes be higher than the company level margins? How do you think about that? ■

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And secondly, traditionally, V-Guard has always been a B2C company. Your thoughts on B2B opportunities? It looks like B2C will pick up with the improving in macro and income levels and whatever government has done. But B2B continues to deliver a lot of growth across other categories. Your thoughts on where can we contribute, and can we take some share on the B2B side? So just these two things.

Mithun K. Chittilappilly: Yes. So, I'll answer the first part on the Solar. So, the Solar business is a reasonably new initiative.

We started focusing on the Solar Inverter and Panel. Rooftop Panel business was started about 4 years back. It's scaling up really fast. Parallely, the Inverter and Battery business, which is an older business for V-Guard, is where we have been able to work on cost improvements by backward integration and making our products more competitive, and that's also delivering growth. I think put together, these both can deliver company average margins. Solar is a new business, and it's also highly competitive. So, the business in Solar is; the margin in Solar is slightly lower than the Inverter Battery compared to the Inverter Battery segment, but I think that will change. And in Solar also, we are right now only selling to the B2C part of Solar.

We are not participating in any government tenders and stuff like that.

Yes, so what has happened is that in the last 3-4 years, the government has significantly increased its spending and capex. And a lot of it is flowing in through areas like Solar, Solar Pumps, Large Solar Rooftop and also Wires and Cables, especially LT, HT and EHP Cables, which you are able to see the results for many of our competitors. So, Ram, you want to add?

Ramachandran V: So a couple of things. If you look at the long-term growth in our industry, I think we have performed fairly well with the comparable peers. The challenge that has been is from those that have participated in the Cable industry and the opportunity on the Cable side, which has been driven by significant increase in the federal capex. So that opportunity has benefited some of

these players. And yes, that is B2B.

And you're right, I think Solar Rooftops, Solar Pumps also represent significant B2B -driven opportunities. Our current GTM, and our current capabilities are all driven and focused around B2C. So that's why we have continued to stay there. We recognize that there are significant opportunities in the B2B space. And this is something that we are internally in a dialogue with. And yes, I mean, if we believe that the product capability is what we share to be able to leverage this, but the GTM capabilities are not present for now.

The second point, the question that you talked about is Lighting. Yes, in the Lighting space, I think we will obviously be focused on driving a Lighting mix, which is healthy and profitable. As you already know, barring 1 or 2 categories, for most of the categories, we are the challengers, right? And we are acutely conscious and we try to manage our business in a healthy and profitable manner. So selling the right product mix is at the heart of how we will run the Lighting business.

Rahul Agarwal: Right. So let's say, for these all -new categories put together, cumulatively 5 years out, what kind of business can we have? Lighting, Solar Pumps put together, these are all new categories, right? V-Guard has never done this. Solar Rooftop, you already have some revenue. Inverter Batteries, ■

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you obviously have some kind of run rates. In terms

of addressable market, top line, incremental

top line, which V -Guard can generate 5 years out, how much would that be?

Mithun K. Chittilappilly: See, I think we don't like to give out these kind of numbers. And one problem is this business like Solar Pumps; it's going to be lumpy. It is going to be project to project, tender to tender state to state. And today, we believe that government is paying up and there are no bad debts and all that. But we are watching this space closely. So we've always said that we would like to grow 14% to 15% annually, and that's what we will look at. And all this will be part of that.

Rahul Agarwal: Right. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Nikhat Koor from Dolat Capital. Please go ahead.

Nikhat Koor: Hello, thank you for taking my question. So sir, we have reached 37.6% gross margin, which is quite healthy. So do we expect further improvement in gross margin from here on?

Mithun K. Chittilappilly: I think more or less, we have completed a lot of our capex, which was driving for backward integration and improvement of margins, thereby making us more competitive. I think largely, it is done. We are always looking at cost-out projects and cost improvement and all that. But I think from here on, the delta will be very less.

Nikhat Koor: Okay. And for the EBITDA margin, can we assume around 9.5% to 10% for FY '27?

Mithun K. Chittilappilly: FY '27, yes. Yes. We should hope to get a decent top line growth.

Ramachandran V: See, actually, if we had a decent top line growth, we would have done even better than that, right? So it's basically the summer products have not performed. So there has been a top line shortfall. So the gross margin structure is fine.

Nikhat Koor: Thank you sir and all the best.

Moderator: Thank you. The next question is from the line of Archit Shah from B&K Securities. Please go ahead.

Archit Shah: Thank you for the opportunity. My first question is regarding Sunflame. We saw good margin improvement at 6.5% and also we saw growth. One of the competitors who earlier gave results also saw margin improvement and growth. Is there any fundamental change or improvement in the demand environment or, let's say, on the premium side of the portfolio or is it because the festive season was earlier this year, because of which we are seeing such improvement?

Ramachandran V: The gross margin in the business has only marginally improved. The increase in overall margin is fundamentally where, as we said earlier, last year a lot of transition-related expenses and other activities were involved. They will get progressively lesser as we go forward.

Archit Shah: Okay. So I think sequentially also, we should see the margin at least at this level or to at least keep improving Y-o-Y, right, if I'm not wrong? ■

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Ramachandran V: We should, as I think Mithun has already said, we will be looking at about 12 %-odd in the next 2 to 3 years.

Archit Shah: My second question is, regarding Gegadyne, any update or progress about how that partnership is going?

Ramachandran V: Yes. Gegadyne is progressing well and they continue to work on commercializing the

technology. So Gegadyne is working well.

Mithun K. Chittilappilly: Just one more point, maybe by Q4 of this year or Q1 of next year, we are looking to launch the V-Guard -Gegadyne Batteries with V -Guard Inverters. So that will start this process. And I think Gegadyne also has one more customer where they will be starting to sell Batteries maybe.

Archit Shah: So, what kind of benefits will that be getting , selling Gegadyne Battery with V-Guard Inverter? Will it increase realization or will it be cost accretive?

Ramachandran V: Look, I think I can tell you about consumer benefit

t s. As far as business benefit is concerned; I

think it will take some time. We'll have to commercialize this. We'll have to have the ability to make it on scale and drive it on scale.

So, it may be wiser to answer that in phases and not right now. But as far as the consumer benefit is concerned, yes, it will give a far superior performance compared to Lead Acid and probably better performance compared to even Lithium.

Archit Shah: So basically, it means those batteries will have better pricing ?

Ramachandran V: They will have a longer life, right? So that the replacement cycles will be longer.

Mithun K. Chittilappilly: Longer life, less temperature.

Ramachandran V: And safer Batteries.

Mithun K. Chittilappilly: Less increase in temperature and much more safer batteries.

Archit Shah: Ok Sir. Thank You.

Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Hi Sir. Can you give me some sense how has been, what is the summer product mix in each of your segments in this quarter because that has been a drag for you? And lastly, on Consumer Durable margin, which has always been more like a sub -5%. Is there any scope to improve this margin materially in the next 2- 3 years?

Mithun K. Chittilappilly: So, regarding summer categories, bulk of our underperformance has come from Air Conditioner Stabilizers, Air Coolers and TPW Fans. And these three categories have not sold much, and we are having a little bit of extra inventory, which in the next 2 to 3 quarters should get flushed out. ■

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As far as CD is concerned, the largest category within Consumer Durable s is Fans. So I think once we start ; we are going to start working on the improvement of margins in Fans, and I think that has improved, but I think further improvements are required. I think in the next 2 to 3 years, we should start to see it go to like the 5% to 6% level from the current 1 % level.

Keshav Lahoti: Got it. Last question from my side. How is the Fan s channel inventory at Q2 end?

Mithun K. Chittilappilly: So ceiling Fan is fine. Like I said, ceiling Fan sales are not that impacted. But TPW, there is huge inventory. There is inventory with trade and there is inventory with us also. So I think we are, as we speak, slowly clearing out this inventory. But as yo u can see, rains have been very heavy in the last 6 months, 6, 7 months. So we are hoping by, I think, Q4, mid of Q4, we should come back to normalized inventory as far as TPW is concerned. Ceiling Fan inventory is not very high for us.

Keshav Lahoti: Got it. How much is TPW Fan mix in overall Fan portfolio?

Mithun K. Chittilappilly: For us, it's about 25%; 25% to 30% depending on the quarter.

Keshav Lahoti: Thank you. That's it.

Moderator: Thank you. The next question is from the line of Tanay Shah from DAM Capital. Please go ahead.

Tanay Shah: Sir, I just wanted to understand how has the Wires and Cables performance been for us this quarter, given that we've seen only a 5% growth in the segment. So just wanted to understand in terms of value, how it's grown given that Copper prices have seen an uptrend this quarter? And if you could just give some split between volume and value for Wires and Cables, please?

Ramachandran V: Yes. So , the growth that you're seeing has fundamentally come from value growth and volume growth, I think, has been below last year. That's the first observation. Second observation to tell you, I think this quarter also had a couple of rounds of price increase. And I think we also had some challenges in being able to feed the market towards the end of the quarter.

So I think, but then that would not have made a material difference for the quarter, but would definitely have supported the underperformance vis -a-vis last year

. The main challenge with

Wire is, see, we only sell the House Wiring Cables, whereas the other companies whose growth you may be able to refer to publicly, they sell a wide range of Cable s and Wires for a wide range of applications.

House Wiring Cable, also ours is fundamentally a B2C business, and we don't sell Project Wires also, or rather we are insignificant in that space. What that basically means is that in a situation like what we went through

where we had monsoon, which was at a 15-year high, naturally, it affects the construction activity and the sellout of Cable from retail outlets .

So that's one of the factors which has put stress on our Wire business. Yes, we are almost entirely selling domestic Wires, which are sold through retail for domestic consumption. Even Projects, we don't sell. ■

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Tanay Shah: So a couple of factors. One is obviously lower construction activity. And second is just some bit of internal issues on our side in terms of clearing our inventory to our dealer network because of which we saw a challenge in terms of volume growth, right?

Mithun K. Chittilappilly: Yes. Like we had some stock -out situations in, because the quantum and the pace of price increases was pretty sharp.

Tanay Shah: Got that, sir. Got that. And secondly, have you seen any sort of, sorry, if I've missed this in the start, but have you seen any sort of improvement in stocking for Water Heaters, et cetera?

Mithun K. Chittilappilly: So typically, Q3 is the biggest quarter. There are various reports which are suggesting that this year, we are supposed to have a winter that is colder than last year. If that happens, definitely, there will be a lot of sellout. So we are hopeful. But like I said, these things, you can never predict.

It's better to talk about it after it happens rather than trying to predict it. But we are hopeful. Definitely, if there is like a cold wave and stuff like that, definitely, it should help water heating part of the business. And we are hopeful of that. And we are, we have, I mean, like I read some reports suggesting that may happen, but let's see what happens in Q3.

Tanay Shah: And sir, just lastly, how has the festive season been for us? How did it go by? And how do we sort of expect demand for, across our portfolio to sort of scale up now in the second half, right?

I just wanted to understand and get some flavour on that from your end.

Mithun K. Chittilappilly: Ram, do you want to take this ?

Ramachandran V: Festive season has been tepid for us. I mean that's visible in our numbers also. I think what part of it is because of the weather impact and what part of it is related to the festive is a moot question. Because primarily, you will see the reflection of festive for us primarily in Kitchen appliances . Most of the other categories are connected also.

Kerala has done a bit better compared to the other states. If that is any indication because in Kerala, the September quarter had the benefit of Onam in August. But otherwise, we have not seen any, in our categories, it can also be because the trade inventory in many of the summer categories is already high. And they may be running down some of these inventories. So , it's a bit difficult to judge at this stage based on this.

Tanay Shah: Thank you sir.

Moderator: Thank you. The next question is from the line of Prasheel Gandhi from Anand Rathi . Please go ahead.

Prasheel Gandhi: Thank you, sir. Thank you for the opportunity. I just had one question. Sir, continuing from the previous participant, how should we look at complete Kitchen portfolio going ahead, given that Kitchen across has generally seen a muted demand over last 3, 4 years. So how should we think of the Kitchen business? ■

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Ramachandran V: You need to prob

ably see this in the background of two events . So, if you really look at it in the last 5 years, the early part of the 5 -year period was COVID and, in that period, a lot of investment inside the home has happened as people were not stepping out and as all of us know, the Kitchen industry was one of the biggest beneficiaries.

I think the later part of it, we also need to keep in context the fact that Kitchen, among all the categories, like Electrical s or Consumer Durables or fast -moving Electrical goods, Kitchen is the category that has categories which have the deepest penetration . So a Gas Stove or a Mixer Grinder, or even Cookware has much higher ; because see, when you are talking about large Consumer Durables, we are still talking about penetration to the top 10% or 15% of the households . For some of the larger appliances it is not even 2%, 3% or 5%. Cars, again, the penetration is very low. But Kitchen is an item which has the highest penetration. And you should read this together with what is happening to FMCG companies .

So, this is how we would look at it. Yes. And I think that you will see a common theme ; categories which are having deep penetration, right, have similarly performed, have seen challenging performance . So there may be an underlying challenge in consumption. But hopefully, I think a lot of favourable steps have been taken by the government, and I do hope things will get better .

Prasheel Gandhi: Thank you, sir. Thank you for the detailed answer.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Mithun K. Chittilappilly: Thank you all for taking time to join our earnings call. I would like to thank Deepak Agarwal and the team at Axis Capital for hosting this call. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: Thank you, sir. On behalf of V -Guard, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors. ■

Call: Feb 2026

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Unaudited Financial Results for the quarter and nine months ended December 31, 2025.

This is with reference to the intimation dated January 13, 2026, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulation, 2015, regarding the earnings call to discuss the financial results for the quarter and nine months ended December 31, 2025, scheduled on January 29, 2026. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at the below link:

https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q3-FY26-Transcript.pdf

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V-Guard Industries Limited

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above

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"V-Guard Industries Limited
Q3 FY '26 Earnings Conference Call "
January 29, 2026

MANAGEMENT : MR. MITHUN K. CHITILAPPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND
CHIEF OPERATING OFFICER – V-GUARD
INDUSTRIES LIMITED
MR.
SUDARSHAN KASTURI – SENIOR VP &
CHIEF FINANCIAL OFFICER – V-GUARD

INDUSTRIES LIMITED
MODERATOR: MR.
ANIRUDDHA JOSHI – ICICI SECURITIES
LIMITED
V-Guard Industries Limited
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Moderator: Ladies and gentlemen, good day, and welcome to V -Guard 's Q3 FY '26 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Aniruddha Joshi from ICICI Securities. Please go ahead, sir.

Aniruddha Joshi: Yes. Thanks, Nysa . On behalf of ICICI Securities, we welcome you all to Q3 FY '26 and 9 months FY '26 Results Conference Call of V -Guard Industries Limited. We have with us today the senior management , represented by Mr. Mithun K Chittilappilly, Managing Director; Mr. Ramachandran V, Director and Chief Operating Officer; and Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Now I hand over the call to the senior management for their initial comments on the quarterly performance, and then we will open the floor for a question-and -answer session. Thanks, and over to you, Mithun sir.

Mithun K Chittilappilly: Thank you. Good afternoon, everyone and welcome to the earnings call. I would also like to thank Aniruddha Joshi and the team at ICICI Securities for hosting today's call.

We will be discussing the operating and financial performance for the third quarter and nine months of FY 25- 26. I trust that all of you have had the opportunity to review the investor presentation shared earlier.

The business delivered double -digit topline growth in the third quarter, primarily driven by the Electricals segment. Consolidated net revenue from operations for Q3 FY26 stood at INR 1,404 crore, reflecting a YoY growth of 10.6%.

The Electricals segment – our largest revenue contributor, comprising of Wires, Pumps, Switchgears, and Modular Switches – reported robust YoY revenue growth of 26% which was led by volume expansion and also supported by higher copper prices.

The Electronics segment, which includes Stabilizers, UPS systems, and Inverters, reported largely flat revenues of INR 286 crore in Q3 FY26. While some summer -led categories

continued to witness muted demand, this decline was offset by growth in other categories.

In the Consumer Durables segment – comprising of Fans, Water Heaters, Kitchen Appliances, and Air Coolers – revenues grew by 4.6% YoY. Water heaters performed well during the quarter, even as demand for fans and cooling products remained subdued.

Sunflame reported a YoY revenue decline of 9.9% in Q3 FY26, reflecting continued softness in the kitchen appliances category. Demand in the CSD channel continued to be weak. The

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operational integration of Sunflame has been completed, and the sales integration is currently underway, which is expected to support growth and acceleration for the brand, going forward.

Gross margin for the quarter stood at 35.7%, compared to 36.7% in Q3 FY25, reflecting a contraction of 100 basis points, largely arising from the mix impact. Margins have remained resilient during the quarter. We foresee some input cost increases

coming up and the Company

plans to undertake calibrated pricing actions across the product portfolio in the coming quarter.

EBITDA (excluding other income) for Q3 FY26 stood at INR 123 crore, representing a YoY increase of 18.3%. EBITDA margin improved to 8.8% from 8.2% in Q3 FY25, an expansion of 60 basis points.

Pursuant to the notification issued by the Ministry of Labour and Employment regarding the New Labour Codes, the Company reassessed its employee benefit obligations. Accordingly, an incremental charge of INR 22.11 crore, towards gratuity and leave encashment provision, has been recognised as an exceptional item during the quarter.

As a result of this one -time impact, the consolidated PAT (Profit After Tax) for Q3 FY26 stood at INR 57 crore, compared to INR 60 crore in Q3 FY25, representing a YoY decline of 5.2%.

On an underlying basis consolidated PAT improved by 22% YoY.

Our working capital position remains healthy, which led to strong cash flows during the quarter. In terms of capex, the fan manufacturing facility and the second battery facility, both in Hyderabad, are the two key projects in the pipeline. These will further increase the share of in-house manufacturing. We look forward to the upcoming summer season with the expectation to deliver strong results. With that, I conclude my opening comments. I would like to thank Aniruddha Joshi and the team at ICICI Securities for hosting this call and would like to request the moderator to open the floor for Q&A.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Hi, Good afternoon Mithun, my first question is on the performance of South versus non-South, where in this particular quarter, we have seen fairly strong growth in South while non-South appears to be a bit muted. Is there any particular reason behind that? And is there any change in competitive intensity in either of these regions?

Mithun K Chittilappilly: No, I don't think there is any change in competitive intensity. I think it's just that last year, in Q3, the non-South region, especially East had a very strong performance for summer categories. So last financial year, we had a very, very strong performance from certain parts of non-South especially, the East, for summer categories. And this year, I think they have degrown. So that's V-Guard Industries Limited
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primarily pulling down the non-South performance. But otherwise, we are not seeing any major change in the intensity of competition. So it's a base effect issue.

Aditya Bhartia: Understood. And secondly, in this particular quarter, we have seen employee expenses going down. So is there some reversal of provision or something that we should be aware of? There's a fairly sharp reduction both on a year-on-year as well as quarter-on-quarter basis.

Mithun K Chittilappilly: Yes. Sudarshan, you want to take this?

Sudarshan Kasturi: Yes. So there's been a reversal of some variable pay provisions, so which is why it goes down. It's something we review in Q3 every year depending on how the 9-month results look, we then take a call whether payout is likely or not.

Aditya Bhartia: Understood, Thank you so much.

Moderator: Thank You. The next question is from the line of Rahul Agarwal from IKIGAI Asset Managers. Please go ahead.

Rahul Agarwal: Hi, good evening everyone. Just one question on the downside risk in terms of this entire inflation on commodities, except plastic, I think a lot of metals are seeing very substantial hikes. Is the market ready enough to take or absorb these price hikes, which we're planning to do? And I'm sure everybody else is also planning the same thing. And would you agree that temporarily these gross margins might come under pressure?

Any thoughts around this?

Mithun K Chittilappilly: We see some risk in the Fans' category where this impact is very severe, coupled with new energy rating norms kicking in on 1st of Jan. So, there has to be significant price hikes in the Fans' category. We have already taken some increases and I think another 2- or 3-odd percent of increase is required before March. In the other categories, the impact is not so high because the usage of copper and aluminium is not so much. Steel and some of the crude derivatives like plastics have actually softened a little bit, which are making the impact a little lesser. In Wires, as we have mentioned before, there is dynamic pricing. So, all the price increases and decreases are passed on to the market with a short lag. So really, I think the Consumer Durables' segment is where we feel there could be some challenge. Other categories, we don't; at this point, we don't feel it so much. Yes, there is a price increase that is required but the quantum is not that high, but for the Fans' category, it is.

Rahul Agarwal: And for Stabilizers, how does it work from a raw material perspective?

Mithun K Chittilappilly: On Stabilizers, I think, Ram, do you want to take this?

Ramachandran V: Yes, for Stabilizers it will be about maybe 1.5% to 2%. So generally, in most; I think even in Fans, the problem is for the copper models. For BLDC, or aluminium-based models, the increases are lower. And if you have high performance-based fans where the copper content is high, there is an issue. As the extent of price increase required is larger.

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Rahul Agarwal: Thank you for that. Got it. So basically, what you're saying is in case this inflation continues, the Company will take price hikes and that should take care of margins. Is that right to understand?

Ramachandran V : Yes. We have started to initiate price increases. I think we have passed on some price increase in Fans. We have passed on ; we have taken some price increase in Pumps in Jan and in some categories we are doing in Feb and some we will be doing towards the end of March. And we will be landing all of these things. Typically, in some of the categories, it's about 2% - 3% and Fans is one that is fairly significant, if it is a copper-based model.

Rahul Agarwal: Got it. And on the Company's salience to a copper-based kind of Fan mix, what would that be, overall?

Ramachandran V : We should maybe about 20%- 25%.

Mithun K Chittilappilly: Yes. About 25% - 30% would be copper i.e., copper-based. Others are all either aluminium or BLDC and aluminium models.

Rahul Agarwal: Got it. And secondly, on Wires, what was the volume and value growth separately within Electricals? And how has been Jan so far? Is the momentum sustaining on volume growth?

Mithun K Chittilappilly : In Wires right now, there is a significant increase in copper prices. So the trade is also incentivized to upstock. January also, we have seen continued increases in copper prices, and we are also in the process of revising prices. So Jan also, there has been decent offtake. Volume growth is muted, but value growth will be there because it's almost, I think, now 30 . If you look at Jan over Jan , it's almost 30% increase in prices. So volume growth could be muted, but value growth is definitely there because the ability for retailers to invest does not increase so much as with the increase in prices. And we are also seeing some softening of demand from Project s' customers who are, at this price, not too confident to buy in large quantities.

Rahul Agarwal: Got it.

Sudarshan Kasturi: For December quarter on your question, the price growth was about 20%, volume growth was 10%.

Mithun K Chittilappilly: So, 10% and 20% for December.

Rahul Agarwal: Got it. Thanks Sudarshan, thanks Mithun and thanks Ram. All t

he best.

Moderator: Thank You. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Sir, regarding the Fans, now we will see material price hikes in the copper-based fans or aluminium fans also. And the gap between induction fans versus the BLDC fans may come down. So do you see the BLDC Fans as a category or the attractiveness of BLDC Fans as a category itself may go up materially, and that might be impacting , largely , the induction Fans' players and some of the new age players or e-commerce players who were largely focusing on V-Guard Industries Limited

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BLDC , that tend to be at a slight advantage? Or in such a scenario, what will be strategy of V - Guard as far as the BLDC Fans are concerned?

And then one important question. Do you see a threat to induction as a technology itself the way it happened in case of CRT televisions or bulbs , like that?

Mithun K Chittilappilly: So definitely, the delta, that means the difference between BLDC and Non-BLDC is shrinking because BLDC Fans require less ; the motor design is very different and it requires less content.

And most of the motors are made out of aluminium. So in that sense, BLDC Fans' price inflation will be relatively low, and the induction copper motors will be the highest. So definitely, like today , for V-Guard, maybe the BLDC sales may be 25 -odd-percent of total sales.

We will see that steadily increasing, but I don't think 100% will move to BLDC because BLDC still has some challenges or some acceptance ' issues. For example, up country markets, where there is violent voltage fluctuation and all that, not all the BLDC fans are working properly there. We have certain models which are able to work in low-voltage and high-voltage conditions. But not all the companies have such models.

So, among the trade and among the customers, there is a general pushback for BLDC in certain markets. So we'll probably see induction motor fans still selling, but the percentage of induction

motor fans is steadily coming down, maybe we can see 5% to 10% reduction in the size of the induction motor fans towards BLDC , in favour of BLDC every year, and that's what we expect.

V-Guard is well equipped. We caught this trend at least 3 - 4 years back, and we have very good offerings in the BLDC segment, and we continue to have products in the pipeline to launch. We have the right models to attract customers to the segment.

So definitely, yes BLDC segment will grow. But I don't see it becoming 100% soon. Maybe , after a few years, we'll see because as of now, we still have certain markets where customers are not fully accepting BLDC.

Aniruddha Joshi: Okay. Sure, sir. Just last two questions before I get into the queue. You indicated there is high channel inventory of Wires. So if you can indicate the quantum compared to the normal inventory level, what is currently, the excess inventory? That is point number one .

And point number two, how do we read butterfly numbers because now profitability has improved. But again, revenue dip continues to be there. And again, profitability may get under

stress with the increase in commodity prices. So how should we see or model the numbers of Sunflame over next, let's say, 3 to 4 quarters? Yes, that's it from my side.

Mithun K Chittilappilly: In Wires, yes, there has been some upstocking by retailers, but it's not that a lot of them are holding that inventory. Many of them have ; when you're looking at inventory levels of distributors , they have sold out. But definitely, they are holding more inventory in a price deflationary environment. Ram, you want to take this question about Sunflame 's margins?

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Ramachandran V : Yes. We are right now in the process of Sunflame 's sales integration, which started actually

about 2 months back. When I'm talking about sales integration , we are talking about integrating the sales force and the go -to-market system between Sunflame and V -Guard. So this quarter is the quarter when the transition ; I mean it started somewhere around November of this financial year.

When you look at a full year basis, we will have a decent growth, both in GT and also in, I would say, organized retail. It is taking time for us. I mean we have lost some ground in CSD, CPC on challenges that we have already discussed earlier. And that's the segment which is under pressure. E-commerce is also taking a bit of time because we need to refresh the product portfolio. So that work is underway.

We have been working on the product refresh road map of Sunflame. Starting now , over the next 1 year ; and already some newer models have landed also and some more or landing , in the next 12 months. So I would say that in Sunflame, more or less the challenges are behind us, and we look forward very optimistically.

We have completed the customer service integration and our service levels have significantly gone up. That was a huge pain point because the cycle times were long, and we also had issues with spares and all of those things. So those are all behind us now. The new customer service system is now 3 - 4 months old.

Supply side integration is also underway in parallel. And this quarter and next quarter, I think the integration will get completed there. I think we should be able to perform much better going forward.

Landing pricing has not been a challenge as far as Sunflame is concerned, I think we have been able to hold our gross margins. We have been able to transmit pricing. So that has not been a challenge at all at any point in time. Mainly the stress has been because we have not been able to; the product refresh cycle is long because it takes about 18 months to refresh the portfolio, So those actions were late to start for various reasons and the impact of that will be felt as we go through the coming year.

Aniruddha Joshi: Sure, sir. This is very helpful. Many thanks.

Moderator: Thank You. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.

Naushad Chaudhary: Sir, hope I am audible. first thing, I wanted to understand on the Gegadyne battery start -up, how is that doing? And how can that help our base business in the future? And is there any scope for emergence of any new category with the help of that start up?

Mithun K Chittilappilly: Ram, do you want to take it?

Ramachandran V : Yes. Gegadyne is a technology company, and the technology evolution has shaped well. They have now , with the limited ability at this stage, been able to start making supplies for a couple

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of local players, in small quantities , as a proof of concept and so on. And as also, they will be supplying to us in some time. Maybe over the next 3 months or 4 months, I think they will start supplies to us also, in small quantities.

They are now moving from technology development phase to commercialization phase, at this point in time. They are evaluating and exploring how to set up a supply chain that can be scaled up to address business and market opportunities. So that's where we are. We continue to support them in technology development and in helping them to find the pathway for building supply capabilities.

Naushad Chaudhary: Assuming it goes well, how will this benefit or strengthen your base business in the future?

Ramachandran V : No, it will give us a vehicle to participate in the opportunity that will come by way of energy storage . So we'll see how that market develops and it will be possible for us to participate in that opportunity. The scope of that opportunity will depend around how the market looks for the new

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rgy offerings.

Naushad Chaudhary: Okay. And second, on the competition side, especially in the Southern market, we have been hearing that the intensity in that market is increasing, just wanted to qualitatively set in terms of market share, especially in your core categories. Are we holding up in the Southern market? Are we gaining or are we finding it difficult to hold on to the market share in the Southern market?

Ramachandran V : Mithun, do you want me to take that?

Mithun K Chittilappilly: Yes.

Ramachandran V : No. competitive intensity has been expanding from somewhere around 2016 or 2017. So it's been a continuing process. So to that extent, I think there's nothing different. I wouldn't say that there is a particularly a strong increase in competitive intensity.

What happens is, in Southern markets, the trade structure is better organized. Organized retail is well developed in the South and e-commerce is also well developed in the South. And because of these two factors, market entry is easy, relatively. We are able to reach a larger portion of the market through these two vehicles.

That being said, the consumers in the Southern markets are quite discerning. It's not that easy to build a healthy franchise – you could make an entry by way of maybe aggressive pricing or something like that, but it would be very difficult to sustainably run business because these channels also have very high cost of doing business and all are also competitive.

At this point in time, I wouldn't say in any of the categories we are losing ground. In fact, in some of the core markets we have had strong growth also, where we may have some problems from time to time in one or the other market, which may be related to, let's say, talent attrition or something like that. Those kind of sporadic things will be there, but nothing fundamentally.

I wouldn't say that there is fundamentally any loss of ground from an overall perspective.

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And generally, there are some years; because lot of our categories are also connected to, let's say, weather and those kind of challenges. In a country like ours, this is not uniform across every part of the country. But generally, we have found that if okay, one year we do not do well, next year we do very strongly. When you look at a 3-year growth or 5-year growth, we are fine. So, I would not say that there is a systemic issue at this stage.

Naushad Chaudhary: Sir, one more question, sir, on the margin side – just wanted the rebate on commission, as we have expanded the gross margin, though, this year's cycle was not in our favour. But assuming if growth comes back in double digit, should we expect the Company's EBITDA margin to grow double digit in within two years?

Mithun K Chittilappilly: I think so. I think if our growth does come back, we should be expecting double-digit EBITDA margins, yes.

Naushad Chaudhary: By FY '27 -end?

Mithun K Chittilappilly: It will depend on a couple of things. One is the raw material inflationary environment. I'm hoping that by that time, the sudden spike and all that is going to get normalized. Then in that case, we should be able to come back to the double-digit mark.

Naushad Chaudhary: Sure. And last one, we have done amazingly well in terms of our Stabilizers, UPS, Water Heaters, but in the newer categories, we have been slightly struggling. So in terms of strategy, our playbook, is there any differentiation we are trying to bring on the table which might be slow in terms of ramping up this category, but once you reach the size as you have reached in the base business, would be very difficult for the competition to challenge?

So just trying to understand, are we just trying to play like any other leading player in these new categories to get the growth and a little bit of TAM from here and there? Or is there a

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differentiation we are trying to bring to these categories, which can help you to be a better player in next couple of years, in the newer categories?

Mithun K Chittilappilly: As far as Kitchen is concerned, once the integration with Sunflame is complete, we expect a very strong both product portfolio as well as the sales team and a sales system to enable us to grow faster than the market. And we are putting all the building blocks in place for that.

Some of the other categories that we are working on, there we are also doing some work on Modular Switches, where we are, again, working on some product refreshment and all that.

Some of the other categories have already done well, for example, both in the case of Inverters – Solar Rooftop and Fans, we have had a very decent growth in the last 6 to 7 years.

Our current focus is to improve sales of Kitchen and Modular Switches. These two segments have not done as well as we hoped. So definitely, we are doing some work, and we hope to see some results.

Ramachandran V : Yes. Mithun, I'll just add two more points. See, fundamentally, our gross margins are decent in all of these categories. So we are comparable with market leaders. So I think the acceptability

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of the brand and the acceptability of the offering and the willingness of consumers to pay the price, all that is fine.

The other part then is that why is it not reflecting in EBITDA ? Because these businesses have to scale up and they will take their time to scale up, and as each of these businesses scale up, they will become profitable. So then it's more of a scale issue, even though we mostly are referring to Consumer Durable categories and even though we have scaled lately, but still pre-COVID, post-COVID it has gone up. But at the same time, there are challenges. These categories are also strongly influenced by weather.

So you have a good year, a bad year. That is one issue that is there in these categories also. And since it's a seasonal category, the significant window is like a 4-month, 5-month window as opposed to some of the other categories where we have a 12-month window. So these are some of the challenges. So fundamentally, I think it's not an issue of the margin or pricing or positioning. It's a matter of scale up. And once the business acquires certain scale, I think the health will fall in place.

Naushad Chaudhary: Just a follow-up on that – I was just trying to understand whether your new categories offer similar kind of scope or opportunity to bring differentiation to the market, which may help you to dominate the market share as you have done in your past few products? Or would it remain a very competitive market and you have to operate at a par with what peers are operating? So on that aspect, I was trying to understand, is there any space for an edge that you see to dominate the newer categories as well?

Ramachandran V : No. So we have an active product pipeline. Of course, we continuously try to strengthen our product pipeline and improve our refresh rates. So that's a continuous exercise. You would have seen that we launched Luxecube (Electric and Smart Water Heaters) right now.

We also launched a popular, not popular, I would say, mid-premium platform in BLDC Fans.

Both of them were launched this season, and they have done exceedingly well. They have exceeded our plans for the year. This is a continuous exercise.

And as you can see, this year, summer was not great. So summer categories, including Fans were impacted. So although the underlying movements are good in some of the categories, the overall maybe dampened.

Also, what is happening is that we are, as the time is progressing, looking at the future opportunities, we are also investing in those businesses. We are putting people on the ground. We are making investments in retail.

So, all of those things are happening. If we were to hold the business static, then whatever improvements we make, we can show in the bottom line. But we continue to invest in those businesses. And when we invest in the businesses, that impact of that has to be absorbed on a smaller business.

That's the thing, that's why I said fundamentally not a problem of margin. It's a problem of scale.

So when we hit the right scale, like in Inverter Battery – now we made good money because we

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hit that scale. In Fans too, we will hit the scale maybe in a couple of years and when we do that, we will make money in Fans, just as others do. Like that is how it will go.

Those categories that we make money, we have the scale in relation to the category size. So we'll have to hit those numbers. Of course, we can force the pace by putting more money. But in our experience, we found it a lot more easier to balance and take time to build the category so that the fundamentals are strong.

Naushad Chaudhary: Sure sir. Thank you, so much. All the best.

Moderator: Thank You. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Hi, sir. Good afternoon and thanks for your time as always. First question was on the overall demand over the next 2 to 3 quarters. And the context being you have given that we are in a fairly inflationary RM environment and as you mentioned, both for Fans and for Wires that's a contiguous process that you are taking significant price hike. Would you believe that volume growth also may start coming down something we saw post-COVID as well when we had this highly inflationary environment and where companies were resorting to price hikes and for quite some time, in fact, volume growth started to kind of suffer. So would that be the same kind of environment in the next few quarters as well?

Mithun K Chittilappilly: So definitely, in the case of Wires, there has been a significant increase in prices to the tune of close to 30-odd percent. So definitely, there this argument that volumes for the product demand could take a hit, is true. But for the other 75% of categories, the price inflation is not that high.

So we don't expect any much impact on the volume growth going forward.

And the second thing is the next big trigger is the onset of summer. So by February, we have a decent start to summer in South India and if we have a continued warm temperature across, during the summer, we should be largely okay. The expectation as it stands today from IMD, the Meteorology Department is that we will have a fairly warm summer this year. So that's what we are expecting.

In Wire s, yes, because there has been significant price inflation, volume growth could be a challenge. But then this is a product that is required and it is not a V-Guard-only problem – all copper wire manufacturers too have to increase prices. So finally, people who are constructing something and building, wiring something, will have to purchase it. But yes, there is a fear because the quantum of increase is very high.

Ankur Sharma: And just to kind of follow on that one. So even on Fans with the 8%- 10% price hike assuming a normal summer, do you think that can be easily passed on and volume growth should continue.

Mithun K Chittilappilly: So in Fans, the major price hike is happening for copper models and models where we are using only copper and high-performance models. So we see a shift for demand from those models to BLDC, where the price increases are much lower. So in Fans, at least, we will see more movement to BLDC from the traditional induction copper-based models. For Fans, like I said, V-Guard Industries Limited
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for all the SKUs, it is not going up at the same rate. It is only in certain SKUs where this kind of

inflation is there.

Ankur Sharma: Fair. And just on Stabilizers, could you talk about the inventory there within the system given I believe more than half of the inventory, sorry, Stabilizer sales is for AC. So how is the inventory there? And any initial feelers that you're getting for the Southern markets in terms of how the coming summer could be, as typically by the end of Jan, we start hearing initial trends. So anything you can highlight would be helpful.

Mithun K Chittilappilly: Stabilizers' inventory is largely normalized, you would have seen that our working capital management in Q3 has been fairly good. So a lot of the inventory that we had produced last summer, a lot of them have started to get liquidated. The preliminary report from the ground is that in Kerala, at least, we have started to see warm temperatures. We are hitting like 32 - 33 degrees in the daytime, which is pretty warm for January.

So the expectation is this will continue, and this is fairly good news as we speak. But then again, we have to wait and see till we complete the quarter. But yes, we have started to experience warmer weather down South.

Ankur Sharma: Great. all the best, very helpful.

Moderator: Thank You. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Thank you for the opportunity. Actually, the question is again on the demand side. So specifically on two segments – Electronics and Consumer Durables. Probably because of the low base of last year in both the categories, for some of the products like Stabilizers, Coolers and Fans, is it logical to believe that the growth should be easily in the double digits at least for the next financial year and is in the backdrop of a low base, plus newer categories like Solar Inverters, et cetera? So that is first question on the growth side for both of the segments.

Mithun K Chittilappilly: Yes. So in the Electronics' segment within that, the Air Conditioner Stabilizers category has sharply degrown this year, the same as for Air Coolers. For both these products we are expecting a very strong rebound in the current year. The base is already low.

As far as Solar Rooftops is concerned, they continue to do well. I mean we have not had a big slowdown in the sales of that category because that is not fully dependent on summer. So that will continue its regular trajectory. It is a category that's growing fast. The entire category in the country is also growing fast. So, we are very bullish about the Solar Rooftops business. So this is what I can say about the demand side.

Keyur Pandya: Understood. And second on the profitability for both of the segments, I mean, as you mentioned, the Fans and specific categories of Fans have high inflation. The rest of the portfolio has manageable inflation, plus in Electronics, I mean in a weak year like FY '26, whatever margins that you have mentioned, so is it fair to believe that whatever margin we see for, say, FY '26, V-Guard Industries Limited
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FY '27 should be either similar to that or better margins than that FY '26, just because of the operating leverage in both of the segments?

Mithun K Chittilappilly: So that is our expectation, but one caveat is there. I mean, today, we are in a fairly uncertain environment as far as commodity prices are concerned. We have not seen this kind of an increase in copper in a single year, going up by 40%. We have not experienced something like that at least, I have not experienced this in the last 17 years. So, we are talking about a very, very volatile commodity environment.

So if the commodity doesn't violently go up from these levels, whatever you are saying is possible. But that's one caveat we have to hold because we had that issue in 2023 when the Russia-Ukraine war broke out and commodity prices sky-rocketed. So in that kind of a situation.

Today, it is mainly copper that is going up and aluminium, other commodities have not still gone up. So, we'll wait and see. So, but I think in my sense is we should do better in FY '27, better than FY '26 is what we feel because of the better summer categories' contribution and operating leverage.

Keyur Pandya: In terms of profitability, right?

Mithun K Chittilappilly: Yes.

Keyur Pandya: For profit margins?

Mithun K Chittilappilly: Yes.

Keyur Pandya: Thanks a lot. Thank you.

Moderator: Thank You. The next question is from the line of Ankit Soni from Mirae Asset Sharekhan. Please go ahead.

Ankit Soni: Hi, sir. Thanks for taking my question. Just one question on the Solar business side. Since we have a Solar Inverter, Rooftop Inverter business and the Panels business, you also mentioned that V-Guard is more looking into entering into Solar Pumps business. So any forward move over there?

Mithun K Chittilappilly: So we have started to participate in the tenders for Solar Pumps. And I think we have got our first order, and we are in the process of completing it. It is not a very large order, but we tend to, in the next 12-18 months, scale it up meaningfully. So we have already started to supply to I think Maharashtra State Government for Solar Pumps, and we intend to scale up this business going forward. We have already started and we are already processing the order.

Ankit Soni: Can you please let me know the quantum of the order once, please?

Mithun K Chittilappilly: It's not very large in my view. It was some INR 4 crores or INR 5 crores.

Sudarshan Kasturi: INR 4-5 crores.

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Mithun K Chittilappilly: INR 4-5 crores. It is a small order. It's not a very large order. Yes, from INR 4 crores to INR 5 crores.

Ankit Soni: Fine, sir. But you look on for visible green shoots for the Company to expand in that particular segment?

Mithun K Chittilappilly: Our acceptance has been very good. I think we have just put in baby steps today. But I think in the next 12-18 months, we hope to build a solid business in this category.

Moderator: Thank You. The next question is from the line of Natasha Jain from PhillipCapital. Please go ahead.

Natasha Jain: Thank you for the opportunity. My first question is on Stabilizers. Could you tell us what is your market share in that category? And who are your exact peers here? Also, we observed that in calendar year '25, a lot of newer brands had come in. I mean I even saw Volt as for that matter coming up with Stabilizers. So how do you see competition in that segment? That's my first question.

Mithun K Chittilappilly: We estimate that we have a market share of about 40% - 45%. This category is fairly niche in that sense. The only serious competitor we have today is a company called Microtech, which is into Inverters and Batteries, based in Delhi. They are probably our closest peer and maybe doing about INR 150 crores - INR 180-odd crores. Almost all the Air Conditioner companies have Stabilizers.

At some point, they will launch and then they will stop, then they will launch again and then they will stop. So, I am pretty sure this is not Volta's first time that they are launching. They have launched in the past also. Yes. So the thing is this is more of an ancillary income, so probably it is not; so all the Air Conditioner companies have Stabilizers, but usually, they tend to lose focus a few years down the line.

So that's what we've seen in the past. But as far as serious competitors are concerned, we have one brand, which is called Microtech. Then we have a lot of regional brands in each state, but I would say nationally, maybe one brand is there.

Natasha Jain: Got it. And sir, one related question to this, on a little bit longer term. So nowadays, we see that ACs come with a

n inbuilt stabilizers. And I have also heard a lot of influencers trying to educate people on this that you do not need to buy an extra stabilizer. So do you think is that a risk? And if so, by when will it start impacting us on a larger scale?

Mithun K Chittilappilly: So this is a debate that's been going on for 15 years. This is not a new thing. And to put it in perspective, last 7 - 8 years, we have had a volume CAGR of 7% - 8%. So even last 5 years, we've had a volume CAGR of 10%. So we still very strongly track the Air Conditioner sales.

We are selling more in up country markets and that's where more of the growth is coming from. So the newly electrified villages, the hinterlands of North and East where electrification is new, where also power issues are more. So these are high -growth markets for us.

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So I mean, like, your guess is as good as mine. So we have reduced dependence on this category significantly. So today, it's less than 15% of our sales. It used to be much higher, 10-20 years back. So we have diversified a lot away from this category.

But to your question, when it will go out of relevance, your guess is as good as mine. I mean we keep debating this, and it's been going on for more than 15 years since. All we can give you is the last 5 -year, 10 -year CAGR numbers.

Natasha Jain: Got it. Sir, just to clarify, you said less than 15% of the total sales, right, currently for stabilizers?

Mithun K Chittilappilly: Yes.

Natasha Jain: May I know what it was, say, 3 years back?

Mithun K Chittilappilly: It would have probably been the same.

Yes, like maybe 15 years back, it was about INR 50-odd crores.

Natasha Jain: Got it. And sir, one last question on Kitchen Appliances. Is there still a very severe competition coming from the unorganized or unlisted side players? Or has that eased out?

Mithun K Chittilappilly: You're talking about Kitchen Appliances?

Natasha Jain: Yes, Kitchen Appliances.

Mithun K Chittilappilly: Ram, you want to take this?

Ramachandran V : I think there is activity happening. I mean there are continuously people entering the category and exiting the category. So that action is happening. This is a complex category in terms of GTM because the revenue is coming through multiple pipes .

So I think there are people who have taken the route of trying to build and establish through brand shops. So these things are going on, but mostly people struggle beyond a point in scaling.

Natasha Jain: Understood. Thank you so much and all the best.

Moderator: Thank you. The next follow -up question is from Rahul Agarwal from IKIGAI Asset Manager . Please go ahead.

Rahul Agarwal: Thank You. Just one question, Mithun and Ram. Let's say, on a bit of a longer term, 5 years from now growing at 15%, the Company should somewhere target INR 9,000 crores to INR 10,000 crores sales. At that level, just in terms of the categories that we have, right, which are the categories which can be of INR1,000 crores kind of sales benchmark with double -digit margins? And in terms of your market share in those categories, would you visualize that you will be in top-3? If you could just talk about what categories have that kind of potential. This is excluding Wire s and where do you think you can actually play a market leadership, something like what V-Guard Industries Limited

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you have seen for stabilizers, can you create something in the other categories ? Just a longer - term thought ?

Mithun K Chittilappilly: So there are a lot of categories that are more than INR 500 crores, INR 600 odd crores for us - there is the Stabilizers category , Fans, Inverters and Batteries and Solar Rooftops, on its own. So these are all , these 4 categories are very much , and Kitchen Appliances is almost INR500 crores , if you put V -Guard plus S

unflame. So, we have at least six categories that can do more than INR1,000 crores.

Many of them are in a fairly good EBITDA margin profile already, and many of them we are working on them. So there are at least six categories that can potentially be more than INR1,000 crores , to contribute to that total as you mentioned.

Rahul Agarwal: Would that mean in terms of market share, can we claim the top-3 position? Is that something of parity in the Company? How do you think about that?

Mithun K Chittilappilly: I think we do not chase volumes. We are more chasing profitability. So if you look at the Fans segment , we do not play in the mass segment, the economy segment. And that segment is a segment that's going to get hit the hardest when inflation like this happens. So I think our focus is on building a profitable business rather than claiming a certain market share position.

But in some segments , we will be in the top -3. Like for example, we would like to be the top-3 in the Decorative and BLDC Fans categories , for example. We would like to be top- 3 in the Premium TPW Fans segment . So we may not be there in the overall scheme of things. But I think in some segments , we would like to be in the top-3.

Rahul Agarwal: Got it. Thank you so much and wish you best of luck for rest of the year.

Moderator: Thank You. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Mithun K Chittilappilly: Thank you all for taking out the time to join our earnings call. Once again, I would like to thank Aniruddha Joshi and the team at ICICI Securities for hosting this call. We look forward to interacting with all of you in the next quarter. Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: May 2026

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Scrip Code: 532953 Symbol: VGUARD

Dear Sir/Madam,

Sub: Transcript of earnings call pertaining to the Financial Results for the quarter and year ended March 31, 2026.

This is with reference to the intimation dated April 27, 2026, filed with the stock exchanges in terms of regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding the earnings call to discuss the financial results for the quarter and year ended March 31, 2026, scheduled on May 12, 2026. The audio recording was filed with the stock exchange. We are enclosing the transcript of the Earnings call. The same is also being uploaded on the website of the Company at https://www.vguard.in/uploads/investor_relations/V-Guard-Industries-Q4-FY26-Transcript.pdf.

We request you to kindly take the above information on record.

Thanking You,
Yours Sincerely,
For V-Guard Industries Limited

Vikas Kumar Tak
Company Secretary & Compliance Officer
Membership No. FCS 6618
Encl: As above

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"V-Guard Industries Limited
Q4 and FY26 Earnings Conference Call "
May 12, 2026

MANAGEMENT : MR. MITHUN K. CHITILAPILLY – MANAGING
DIRECTOR – V-GUARD INDUSTRIES LIMITED

MR. RAMACHANDRAN V – DIRECTOR AND
CHIEF OPERATING OFFICER – V-GUARD
INDUSTRIES LIMITED
MR.
SUDARSHAN KASTURI – SENIOR VP &
CHIEF FINANCIAL OFFICER – V-GUARD

INDUSTRIES LIMITED

MODERATOR: MR. VINEET PRASAD- INVESTEC CAPITAL
SERVICES PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day , and welcome to the V -Guard Industries Limited's Q4 and FY26 Earnings Conference Call , hosted by Investec Capital Services Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vineet Prasad from Investec Capital. Thank you, and over to you, sir.

Vineet Prasad : Thank you, Yusuf. Good evening, everyone. A warm welcome on behalf of Investec India to Q4 FY26 earnings call of V -Guard Industries Limited. We have with us the senior management team of V -Guard represented by Mr. Mithun K. Chittilappilly, Managing Director; Mr. Ramachandran V ., Director and Chief Operating Officer; Mr. Sudarshan Kasturi, Senior Vice President and Chief Financial Officer.

Now I'll hand over the call to the senior management for their initial remarks, post which we'll open the floor for Q&A. Thank you. Over to you, sir.

Mithun K. Chittilappilly: Thank you, Vineet , and the Investec team for hosting today's call. A very warm welcome to everyone joining us today to discuss the company's operating and financial performance for the fourth quarter of FY 26. I trust that all of you had the opportunity to review the investor presentation shared earlier.

We delivered a robust performance in Q4 marked by strong growth in both revenue and profitability. Consolidated revenue for Q4 FY 26 stood at INR1,755 crores, a Y -o-Y increase of 14.1%. For the full year, we achieved a top line growth of 7% with almost all growth coming from the second half.

The Electronics segment comprising of S tabilizers, UPS systems, Inverters and Batteries , delivered a strong growth of 22.3% Y -o-Y. All categories delivered growth during the quarter. The Electrical segment; which is our largest revenue contributor and includes W ires, Pumps, Switchgears and M odular Switches , registered a Y -o-Y growth of 15.9%.

In the Consumer Durables segment covering F ans, Water Heaters, Kitchen Appliances and A ir Coolers; we reported a 4.1% Y -o-Y revenue growth. Fans and A ir Coolers witnessed a decline while Water Heaters and K itchen categories grew strongly.

Sunflame reported a Y -o-Y top line growth of 8.6% in Q4. The slowdown in the CSD business continues, but the non-CSD business grew by about 16%. The GTM integration has been completed and the business is experiencing strong traction.

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In Q4 FY 26, the revenue from South markets grew by 16.2% while non-South market grew at 11.8% Y -o-Y. For the full year, non-South market contribution is at 48%.

The gross margin remains healthy. We have maintained gross margins at 35.3% this quarter, which is at similar levels of Q4 of last year. This is on the back of significant improvements achieved in the last 3 to 4 years.

EBITDA, excluding other income, for Q4 stood at INR171 crores reflecting a Y -o-Y growth of 19.3%. For the full year, we reported EBITDA of INR527 crores, an increase of 2.6%. EBITDA margin for the full year was 8.8% compared to 9.2% previously.

Consolidated PAT for the quarter was INR112 crores, up 23% Y -o-Y compared to PAT of INR91 crores in the previous year. For the full year, consolidated PAT was INR308 crores, lower by 1.7% Y -o-Y. In Q3 , we recognized an exceptional one- off charge of INR22 crores towards gratuity and leave encashment arising out of the new Labor Code. Without this impact , the underlying PAT growth for the full year would have been 3.6%.

Working capital management continues to be efficient leading to strong cash flow generation.

We have a net cash of INR231 crores as on March 2026 as compared to INR64 crores in the previous financial year. Considering the financial performance and healthy cash position, the Board of Directors has

recommended a final dividend of 150% equating to INR1.5 per equity share.

The West Asia war has created challenges in terms of commodity inflation and supply uncertainty. So far we have navigated these challenges well, which reflects the inherent resilience of the business. We continue to monitor these risks and we have mechanisms in place to take appropriate and timely actions.

Overall, FY26 was a challenging year with the first half experiencing weak summer and tepid demand. The business performed much better in the second half. With the momentum of Q4 and indications of a supportive summer, we are hopeful for a strong start to FY27.

With that, I conclude my opening comments and I would like to thank Vineet and the team at Investec for hosting this call. And would like to request the moderator to open the floor for Q&A. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. First question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Thanks for the opportunity and Congrats for a great set of numbers. Sir, in terms of the price hikes if you can indicate because all commodity prices have increased materially. So what will be the price hikes across segments or at the aggregate portfolio level? Have we passed on the entire impact of increasing cost to the consumers or do we need another round of price hikes, and what will be the quantum? That is question number one.

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Question number two, whether the Kitchen Appliances segment has now really come out of, in a way, the bear phase and now we should see pretty healthy growth in the segment considering the strong numbers posted by Sunflame also? How should we think about for FY27 for Kitchen Appliances as a category itself?

And three, how is the Fan market shaping up post March? Because we had understood that Kerala as a market had seen some amount of softness, Kerala and Karnataka. How are we looking at the Fan and Cooler market post March?

Mithun K. Chittilappilly: Yes. I'll take up the second part, which is on Kitchen Appliances. Yes, we do believe that there seems to be some improvement in demand for Kitchen. So we are seeing traction both for V-Guard as well as Sunflame and I think the GT business of Sunflame is growing well. But we have also taken some actions in terms of business integration, which is also helping.

We have more boots on the ground as far as selling Sunflame is concerned and now Sunflame has access to all the networks and capabilities of the sales system of V-Guard. So that's definitely helping there. But yes, we do also believe that Kitchen business is slowly coming out of the woods after the lull, which happened post COVID. The third part, okay, now we'll go for the first part. So, Sudarshan, on price hikes, what is the quantum?

Sudarshan Kasturi : Yes, there have been some significant increases in input cost. Across representative categories, typically, we are seeing in a range of somewhere between 8% to 13% kind of cost increase. This has happened over a period of time and what that translates into is eventually when the high cost inventory comes in, a 13% price hike would be required. At the moment prices are getting passed on. We have probably landed about 75% of what price increases are required so far and that's something we would like to watch in future.

Mithun K. Chittilappilly: Yes. We have landed most of the pricing action and I think most companies have announced and taken pricing action and the balance 25% should happen as and when the high cost inventory starts hitting in the month of May and

June is what we feel.

The third is on the Fans. So the Fan business, has degrown in Q4. I don't think it's been Kerala.

I think for us the Eastern market especially the summer products have not grown in Q4. So part of that is also pulling down Fans. Maybe in the South markets including Kerala, Fans would have been a flattish kind of number for Q4. However, in April, the summer sales have been reasonably good in South India, but we'll wait and see what happens for the full quarter.

Aniruddha Joshi : Okay. Very helpful. Just one last question. V-Guard has high revenue salience from state of Kerala and post the war in West Asia, we believe some of the remittances, etcetera, there might see some disturbances to that. So is there a possibility of some impact on the overall economy at Kerala level? So how do we see that impacting, let's say, FY27? Because probably so far, there was no impact considering it's just two months only. So do you see any impact and what will be the strategy to mitigate the impact, if any?

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Mithun K. Chittilappilly: Okay. So far we have not seen any special impact in Kerala. In fact the summer in Kerala has been pretty supportive so the Kerala numbers are pretty good. Kerala today is not that large like

it used to be so it's about 15%, 16%- odd. So it may not impact the overall company that much as it used to do earlier. So far we are not seeing an impact.

Even when we talk to real estate companies, they are actually still seeing traction happening because we also will see some improvement in demand because people are evaluating to relocate, only the earning members staying back in those countries and sending their families back home. So all these things are going on. But having said that, Q1 is not about that. Q1 is primarily going to be summer and Kerala as a state has done well as far as summer is concerned.

Aniruddha Joshi : Ok sure sir. Many thanks and very helpful.

Moderator: Next question is from the line of Vineet Prasad from Investec. Please go ahead.

Vineet Prasad : Hi Sir. I have a couple of questions. One is from FY 27 perspective, how do you see demand shaping up considering one, the summer season; number two, possible inflationary pressures and its impact on consumer sentiment? That's my first question.

And second is from the next couple of years' perspective, how do we see margins trending given bulk of the investments in the new capacity is already done, ramp-up as we speak is on its way?

So if demand momentum is conducive, do you think we are heading towards double-digit EBITDA margin over the next year or two?

Mithun K. Chittilappilly: Yes. I think if you look at FY 27, we just completed one month and South India has done well.

In the South, the temperatures were warm in most parts and in South India, the summer has started. Non-South, it was raining in many parts of the geography, but non-South also has a longer window at least till June 30 so we are expecting the demand to pick up. The expectation and the prediction from the IMD as well as Skymet and other agencies are for a pretty warm summer. So that is hopeful. In South India, it has already started and the numbers are pretty decent.

As far as the medium term is concerned, yes. So if you can see after even having such an adverse year, we had a very bad Q1 in the first quarter in FY 26. We have come back strongly and our

H2 EBITDA is in the region of around 9.5%. So we are already close to double-digit numbers.

Yes, there are some concerns because the cost inflation is very high; across categories, across raw materials, prices have gone up. Even metals, the metal prices are also going up. So because we have to also understand that West Asia also produces a lot of aluminium. They have a lot of aluminium smelters, which are out of action now because of the blockade.

We'll wait

and see. But I think the inflationary trend is pretty severe and weak. It is as bad or a little worse than the Ukraine war inflationary trend what we experienced. But the good news is this time we are ahead of the curve in terms of pricing and if you see, our margins are fairly protected in Q4 and we hope to do that. But in the medium term, I think yes. So once this is over

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and raw material prices come back to normal, we are pretty confident of hitting double-digit EBITDA.

Vineet Prasad : Just a follow-up to the question and your earlier response. What I understand is this time around, industry has been lot more proactive and margins to that extent could remain resilient. Has this been a case across players wherein most players have taken price increase or it is us and couple of maybe the larger ones who have been proactive or it's the industry?

Mithun K. Chittilappilly: No, I think we have seen a pretty much broad-based reaction by the industry to increase prices.

But in seasonal categories like summer categories, this action is getting delayed. For example in South India, a lot of this pricing is getting passed on whereas non-South where summer is yet to start or is starting slowly, some of it is getting slightly pushed. But I think the intent is pretty strong. We are seeing this across industry because the quantum of price increase is high. This is not only about price increase, but in some cases there is genuine shortage of raw materials.

We are all scrambling to secure raw material supply. You could see some of the smaller players not even being able to produce products. So, we are in a state of supply shock and that's also another reason why there has been a very strong, almost cohesive action by all players to increase prices and the quantum is very large. There's no way that most; in almost all the categories the cost hike is, I mean the quantum is so large that you can't absorb the shock.

Vineet Prasad : Understood, thank you so much sir.

Moderator: Thank You. Next question is from the line of Rachna Kukreja from Scil Ventures. Please go ahead.

Rachna Kukreja : Thank you for the opportunity. My questions are on Sunflame. My first question would be, have we incurred most of the transition and integration-related cost for Sunflame? And going forward, what could be the expected benefit from these initiatives taken?

Mithun K. Chittilappilly: Okay. Ram, you want to take this on Sunflame integration?

Ramachandran V.: The Sunflame integration is progressing well. In functions like service and quality, we have fairly progressed with integration and we are seeing results also. There are improvements in cost and there is improvement in

performance and customer satisfaction. In sales, the integration happened over November, December and it's still underway. We are seeing early results in terms of being able to place Sunflame into stronger counters where we enjoy traditionally good relationship. So I think that's encouraging.

On the supply side in terms of planning, sourcing; this integration has happened over last quarter.

In general, of course, there will be some benefits in indirect costs, warranty charges and even cost of quality. So those are areas where we expect to see some benefit. The most significant benefit will come from the sales integration and this is something that we should expect over the next three quarters into the subsequent year, because I think the initial benefit will come as we spread Sunflame into our network.

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But I think deeper benefits will come from second half of this year as progressively as our NPDP pipeline starts to hit the market over the subsequent 3 or 4 quarters. So I think progressively, we should see better outcomes because the actions are underway. And we are already

seeing these benefits in functional domains like service and quality, as I already spoke to you about or even warehousing and logistics.

Rachna Kukreja : Sir, just wanted to know about the initiatives taken for the GT and the e-com channel for Sunflame?

Ramachandran V.: GT is fundamentally in terms of sales integration and branch integration, sales force integration and branch integration and integration of sellout management capabilities. That's as far as GT is concerned. E-com integration is fundamentally; so we are having the same team and the same systems driving Sunflame. It's taking a longer time because I think we are also working on the offerings on the platform and we had some challenges with listing some categories, volume in those categories.

So, GT I think we are seeing traction already. I think we had some decent growth for full year and I think Q4 was better and we expect Q1 to be also reinforcing the direction of growth.

Rachna Kukreja : Okay. My second question would be given that the innovation cycle in the Kitchen Appliance industry is very fast paced and we too have refreshed our portfolio and the benefit of this portfolio would be visible after a year. So will we be able to sustain or improve our profit margins and how is this new portfolio different both in terms of industry-led innovations and our previous portfolio? And how would this redefine our position in the industry?

Ramachandran V.: I think 2, 3 things. See, we are refreshing products as we speak. It's just that the significant part of our refresh will land towards later half of this year. That being said, already portfolio enhancements are happening. Now there are multiple layers here. One layer is where some of our offerings are dated and they are being upgraded. Some of it is about addressing white spaces. Some of it is about getting the lineup to reflect emerging technology trends like BLDC. So these are the kind of things.

So fundamentally the addressability of the market and the freshness of the offering. And wherever particularly, like we have Fans in CSD or what I would say, we had gaps built-in and we had gaps in BLDC-based offerings in hobs – these are getting addressed. As I said, right now, this year you will start to see benefit as we strengthen the reach with the help of our branch and our sales force.

And also as we strengthen the sellout capability for Sunflame. So that's our focus. The larger benefit of product rollout will be more visible in second half of this year and also going into next year.

Rachna Kukreja : Ok understood. Thank You.

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Moderator: Thank You. Next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Just two questions. Now with integration of Sunflame largely done and debt repayment also over so the cash accumulation should start on the balance sheet. Just some of the capex may take some cash, but still there might be cash accumulation. So what will be the strategy with the cash? Is the management or the company looking at another inorganic growth opportunity or how should we think about that? That is question number one.

And question number two, we see BLDC, as a technology, is making rapid inroads even in Kitchen Appliances like mixers also. So how does the management see Sunflame prepared for that kind of product innovation? And overall, how do we see the BLDC fans' market share shaping up for V-Guard? That's it from my side.

Mithun K. Chittilappilly: Yes. as far as the cash is concerned, we are done with debt repayments and yes, barring capex,

we should be having a reasonably good free cash flow. We have not taken any call of making any acquisitions or anything like that. If we get an opportunity at a good value, we will look at it and it will be a case -to-case basis. So nothing to re

port on that.

The other part is on BLDC. I think already if you look at ceiling fans, V -Guard's BLDC is contributing roughly 40%- odd of the ceiling fans sales, which is pretty good. Our growth in BLDC has been very, very good. Our complaint rates, reliability and offerings are very, very competitive and we are continuing to launch as we go forward.

As far as the BLDC in Kitchen Appliances is concerned, there are two areas. One is on mixer grinder and second is on chimney. Chimney, I think we have already launched BLDC chimneys. But in mixer grinder, I think this is a device that is used for half an hour, 40 minutes daily. So it's not a device that is running constantly like a fan or an AC or something like that. So there I think we have not yet launched. I think it's more difficult to explain to customers the rationale of payback when something is running only for half an hour or 45 minutes every day. But in the other two cases like chimney as well as ; chimney the running time is longer, it will be a few hours every day so there seems to be some traction. But I still don't think it will be as much as the Fan because in the case of ceiling fans, it's running for almost 8, 9 hours a day I mean assuming that you're putting fan through the night in your bedroom and thus the payback hypothesis is very strong there.

Aniruddha Joshi : Sure sir. Thank you

Moderator: Thank you. Next question is from the line of Deepak Lalwani from Unifi Capital. Please proceed.

Deepak Lalwani : Hello sir thanks for the opportunity. Congrats on good set of numbers. I have a few questions on the revenue side. I'll ask all of them together. So firstly on the Electronics division, we've seen good growth this quarter. So if you can break up this into volume and value split and if you can help us how the secondary growth that is the channel growth in April has been? That's one.

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The second question, the Durable segment I understand has been hit this year because of bad summers. So what is our strategy to revive growth again in this segment? So if you can share your product and channel level strategy?

And third, sir, Wires, we understand that the competitive intensity has increased and one more big player is entering this segment end of this year. So how should V -Guard be able to tackle this and be able to grow?

And at an overall level, Mithun, if you can share what kind of growth rates one should envisage for your company going forward because you've had a bad year and looks like summers have been good and with recovery. So overall, what kind of growth should you aspire?

Mithun K. Chittilappilly: Yes. I'll start with the second part. So if you look at the Consumer Durable segment, both air coolers and fans have performed badly especially TPW fans. That's primarily related a lot of the impact of Q1 where we had extremely poor summer and TPW is a very, very seasonal business.

So if it does not get sold in the summer window, then the inventory typically sits with the trade and continues so on and so forth. Having said that, as we speak currently, we are having shortage of TPW fans because, like I said, the South in this summer has been very decent and sellout has been good. So that's as far as Consumer Durables is concerned.

So I think this year we should have a good growth in Consumer Durables because of the low base effect. The third part is on wire. Wires, we are cognizant of the fact that large player is entering plus some of our peer companies from Lighting are also entering wires. So wire's competitive intensity is expected to be more than what is there. But it's a very peculiar category.

It's a category with low gross margin and you need a scale of at least INR1,000-odd crores to make money in this business and there is also fluctuation of raw material prices upwards and downwards. And when it goes

downwards, you have to also write off your inventory.

So I think for the new players, it will take some time to figure out the mechanics on how to crack this industry. It's not an easy industry to break into. We have also had entrants before who have entered and left. But yes, we are cognizant of this and we have also taken some measures to strengthen the sale system. On the volume and value growth of Electronics, Sudarshan, do you have a number, roughly, for Q4?

Sudarshan Kasturi : Roughly speaking, about 3% is price growth and the balance is volume.

Mithun K. Chittilappilly: So in Q4, about 3% would be the price growth; because you have to understand the pricing and the actions would have started towards the later part of the quarter.

Ramachandran V. : It's mostly volume growth. It's mostly volume growth. I think price growth is about 2% to 3%.

Deepak Lalwani : That was very clear. Mithun, if you could share your view on the overall growth rate of the company for the next year?

Mithun K. Chittilappilly: As a company, we strive to grow between 10% to 12% in volume and there is a 1% to 2% price growth culminating into 15% growth, which is what we aim to do. But in the current year, the price growth could be higher because, like I said, we are seeing significant cost inflation. So we will wait and see what happens. But so far we are confident of holding our volume growth. So like I said, if we have a reasonably good summer, the summer category should perform well. We have to also be cognizant that Q1 of FY '26, we had a degrowth in some of the summer categories. So we should have a healthy volume growth this year because the base is on a lower side.

Deepak Lalwani : Sure. My next question was on margins. So if you can help me understand, see, we have been talking about double -digit EBITDA margins and we have done well on the gross margin side. So for the next year if you can break this double -digit EBITDA margin, how should we look at it segment -wise? How should it play out in the Consumer Durables, which has seen a very sharp deterioration in margins? How should we look at the recovery in Electronics? And by double digit, are we targeting somewhere around 11%, 12% or 10% is our broad guidance?

Mithun K. Chittilappilly: So ideally, this year we would have loved to claim that we will hit 10% EBITDA margins , that's double digit. But we are going through a fairly significant cost inflationary period so things are quite volatile. And there is no ; it doesn't look like the conflict in West Asia is going to end any time soon, right? So we're probably going to have a prolonged period of high cost going forward. But if it was a normal kind of inflation, we could have been much more confident to say that . So in this case, we probably would like to finish a couple of quarters and then come back and comment on the margins. But so far, like I said, we have been proactive to sense this and start pricing actions early and lot of our peers or companies have also announced pricing actions as they've come to realize the quantum and size of the price increases are high. Now I think for a company like us, I think we also need to have a good summer to help us. So in South India, pretty much we have had a decent start to summer. And in non-South, if we also have good traction for summer, I think we should be confidently hitting that number. But I wouldn't say 11%, 12%, I would say at least 10% is what we would like to expect there. But like I said, inflation is still something that is going to be a challenge.

Deepak Lalwani : So what we see this year is that apart from the summer challenge like you've controlled your expenses quite well like the employee cost is flat and the other expenses has not gone up much. So should we see the same trend playing out even in FY '27, which could provide you some buffer in terms

of cost management, etcetera?

Mithun K. Chittilappilly: So yes, some part of the employee cost is variable pay. So definitely as a company if we don't achieve the top line and bottom line numbers, the variable payout also comes down. So that's there. We also are not expecting any huge increases in manpower this year. So like I said, we are watchful. We have taken actions to control some cost. And we will , like I said, if we get a good Q1 and good summer, then we would be more confident to spend in the following quarters. So that's the way we look at it.

Deepak Lalwani : Understood, sir. Sir, last question. Since you said April was good, any qualitative feedback that you could give us in terms of how the secondaries have been in terms of the growth rate and in terms of the channel demand?

Mithun K. Chittilappilly: You are also following the same news articles and predictions by the meteorological department as we are. But I can say that South India usually the summer starts early March, April and that has been on track largely. Non-South, it's been a mixed bag. There are rains in some parts of non-South. If you look at non- South, East is a big market for V -Guard so East also has to fire for the company to do well.

So I think we still have time. I think we still have another more than 1.5 months left for the quarter so it will be too early to comment on this. But just keep in mind, the base is already on the lower side because last year we had a decline in some of the categories.

Deepak Lalwani : And sir, how is the channel inventory in all these categories?

Mithun K. Chittilappilly: Like I said, it's a mixed bag. So if you look at TPW fan, neither we have inventory nor our partners have inventory and we are having stockouts. So it's a mixed bag. It's not the same for everything. So certain categories, we are having supply challenges. So like I said, in South India I don't think there will be any inventory issue with any trade partner. But non-South the summer is yet to start so the summer sales have yet to fully start.

Deepak Lalwani : ok. Thank you. All the best.

Moderator: Thank you. Next question is from the line of Natasha Jain from PhillipCapital.

Natasha Jain : Thank you for the opportunity sir. Two questions. So one, broadly across categories be it your Stabilizer s, Wires or F ans. When I've gone on the ground, what I've understood is there was a lot of inventory that got pushed in 4Q because of cheaper raw material cost and therefore, cheaper product prices. But 1Q has been broadly disappointing in terms of the start for summer . You also pointed East and North was also a little bit of slip here and there.

And South also what I've heard is the channel was stocked with inventory for more than what's usually required. So on this backdrop while secondaries have moved faster across cooling products, can you throw some light how is the selling or the primaries ha ppening against the secondaries? And the second question is if you could also point out in case you do channel financing, for which product categories?

Mithun K. Chittilappilly : Okay. So if you look at F ans, the star rating change happened primarily for ceiling fans . So the sales for ceiling fans is very high in December because all the brands had to sell all the ceiling fans before 31 st December 2025. Because of that, there was a lot of fan inventory as we entered, okay? But this doesn't hold true for TPW because TPW BEE star rating norms are yet to start. It's expected to start the next year. Okay?

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So when I said that TPW inventory is not there, this is the reason. Ceiling fans, we don't have any inventory issue. There is substant inventory with us and with the trade. Also, TPW fans, most of it is made out of plastic and there is a challenge

in procuring that particular type of plastic in India as we understand. This is the reason. There is a raw material shortage for that

particular type of plastic that is most widely used to make TPW fans and many of our vendors are not having requisite inventory. So that's one reason.

Channel financing, I think on the whole, it's about 10% of the retailers. If you look at the debtor book, 10%.

Sudarshan Kasturi: Retail finance, we don't.

Mithun K. Chittilappilly : Retail finance, we don't. We do channel financing. You're talking about channel finance, right?

Natasha Jain: Yes, channel financing.

Sudarshan Kasturi : Yes, yes. So , channel finance is for our primary customer. So approximately 35% of our business goes through channel financing arrangement. It's not category linked, it is customer linked.

Mithun K. Chittilappilly : So it is not a category linked, it is a customer. So, for example if are have a distributor for a bunch of products like water heaters, fans and air coolers and all; the entire customer is under channel finance. It's not a category thing. It's more of a distributor level arrangement. And if you look at the entire portfolio of debtors, 35% of the portfolio is under channel finance.

Natasha Jain : Understood. Sir, could you throw some colo ur in terms of are the Grade B, Grade C dealer , distributors facing any problem in terms of working capital management and therefore, slower salience to the brand? Is that something that you're observing?

Mithun K. Chittilappilly : No, I don't think so. In fact, our collections have been pretty strong in the March quarter. We are not facing any. So, we have a pretty strong commercial team which independent of the sales team , actually tracks and manages the credit limit of each of our customers and decides which customers should be increased credit limit, which customers should get reduced, which customer should be offered channel financing and which customers should not be. So, we don't have this problem. And we also have a tool wherein which we also are able to see the inventory of our partners wherein which we know whether they are sitting with inventory or they have diverted money from the business and so on and so forth.

So as far as V -Guard is concerned, we don't have this issue of ; so whatever sales we typically do, these are usually real sales and it's not just ; we don't encourage and we don't allow dumping.

So, we have mechanisms to stop that practice. There is a tendency by sales guys to dump stuff.

So, we have an independent way to try make sure that doesn't happen.

Natasha Jain : Sir, one last question. This is more longer term in nature than near term so for the longest time across cooling products, we've been hearing that there will be consolidation be it cooling on the AC side or coolers or fans, a lot of competition that's come in. And right now, the situation is

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such that cost has increased multiple times and the price hikes are not enough to offset that cost.

So, do you think now is the right time when you could see consolidation happening or industry is going to remain fragmented and therefore, competition probably will be the same in terms of

intensity?

Mithun K. Chittilappilly : See, what is happening is the core growth in the country is not that high. So, what is happening is every company in every category is thinking like okay, maybe if I get into this category, growth will happen. So that is why you see everyone in the Lighting business trying to enter into Wires. There are companies which are in the Water Purification business that have entered into Fans. So, I think everyone is entering everything, okay? So, it's not that brand and this process has not stopped. It is an ongoing process. It's something that has been going on since 2016, '17. So, it's an almost 8 year, 9-year phenomenon.

So we at V-Guard, we have p

egged our growth and we have to grow despite all these macro headwinds and that's what we aim to do. We have done this by integrating our manufacturing. So, for example from a sourcing company, we are now a completely integrated manufacturing company, which allows us to build products which are sufficiently differentiated. So, we are not selling your "me-too" economy and subeconomy model kind of products. We want to build and sell premium and masstige products for which you need to own as much of the supply chain as possible.

And that's why we spent like close to INR 300 crores, INR 400 crores last 8 years to build so many plants and to get into the manufacturing. It is an incredibly tough thing to do, but we have done it because this is the only way we can fight this overcrowded market. I don't see consolidation happening.

But one thing is sure when such shocks happen so when you have an environment where you have to take 15%, 20% price increases and when you have an environment where lot of the raw materials are under shortage or you're not getting raw materials, that's when the better more organized companies, companies which have better supply chain capabilities will probably do better than some of the other players. So that's the broad thing. So far, I've not seen any move for consolidation because we are still seeing ev eryone trying to get into every other category.

Natasha Jain : Sir, a follow -up on that. When you say everyone trying to get into every category so again a broader longer -term question. We've seen a lot of brands entering across electrical space, right?

Some of your peers who were predominantly a F ans player have now entered Wires and vice versa, predominantly W ire and C able player try to enter F ans market in the last couple of years.

Just want to understand your view what is the strategy that works here? I mean is it that if you have a fantastic cash flo w, you can push anything?

Mithun K. Chittilappilly : No, it is not. So for example if you want to profitably build a business, you have to take 15, 20 years, build it SKU by SKU, you can start with sourcing, but unless you are really investing in the R&D, unless you're really investing in the manufacturing; I don't think many of these companies have any hope to make money out of it. I mean they can show revenue, but making

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money is different. Barring the Top 4, 5 brands in each of these markets, most of them will not end up making money. That much I can guarantee.

So, at V-Guard for example, we have always remained a multiproduct company. It's not that we have got into multiple categories for the sake of getting into it. We have always been organized as a multiple product company and we have a very long-term view. We are okay to see the category for 10, 15, 20 years. And I don't know how many of the companies you spoke about are able to do it. Like I said like Wire is a completely different category and when they enter Wires, they'll understand that winning in W ires is very, very different.

The skills required is probably very different from what is required to win in Fans. And similar, a Wire company may not be able to be successful in F ans. So, everyone will not be able to do everything. And we have given up a lot of for example our cost structure; as a multiproduct company, our cost structures are fairly high because we have to carry people for all our categories and these are some of t he trade-offs we do. So good news is like a company like us, we are more; the risk is very less because all the categories will not get into trouble at the same time.

So, we will see lesser impact on fluctuations in each category. But I can say that I've seen the cycle like for example 8 years back everyone wanted to get into K itchen Appliances space and now we don't have them, like there is Eveready which is out of kitchen. A lot

of the other brands

that have got into K itchen have got out. So now only the core companies are still remaining. So we'll have a similar kind of a cleanup after 4, 5 years.

Natasha Jain : Understood, sir. And sir, just one last observation I'd leave with. I'm actually on the ground right now to get some channel feedback and I came across a lot of players who've been keeping solar inverters and I got fantastic feedback on the product and the support from brand was also very

positive. So just wanted to drop that for you. Thank you so much and all the very best.

Moderator: Thank you. Next question is from the line of Vineet Prasad from Investec. Please go ahead.

Vineet Prasad: Thank you for the opportunity. Just a couple of things. We've realized solar business for you has been grown extremely fast. Can you give some idea about what the size of that business could be, number one? What I understand is it could be more than INR 500 crores in terms of top line now. And how do we see it growing? Are there further legs to growth as in can it grow very high double digits for another few years?

Mithun K. Chittilappilly: So, I think we don't like to give out numbers, but it has not reached the INR 500 crores mark. We only ventured into this business fairly recently like about 36 months back, but it's growing very fast. If you ask me, this business has potential to become very, very large, but we have been very careful and choosy. So, for example we are primarily selling solar inverters for residential users and small institutions. So, we have not got into the very large institutional orders and such like that because there are associated risks along with it.

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But we are very confident that pretty soon maybe in 3 to 4 years, this will become one of the larger categories for V-Guard as we have an inverter battery business today which is quite large, similar size or it can be even more than that. But as on today, we have tried to sell to customers where it is more of a B2C kind of a play and it is not an institutional sales. I mean we do institutions, but it's very small. It's mostly residential consumers where we have equity and where we have pricing power and where our sales and service network have a differentiating factor of institutional sales where it's most of a price base.

So, we are very bullish on this category and we do believe given the recent challenges with fuel and all that, Government is under huge pressure to diversify away from fossil fuels in one way or the other. And this has already had good traction in India and I think it will continue. And one more thing is I think West Bengal and Tamil Nadu are two markets which were till now not encouraging this adoption of rooftop solar because it was a BJP Government initiative. And both these states, we hope definitely West Bengal will open up and Tamil Nadu also; the new Government policy will be able to definitely push for cleaner energy.

Vineet Prasad: Understood. And lastly, on the Lighting foray, where are we? If you can give some timelines, how are we progressing in terms of product, distribution, sales? Any colour on that?

Ramachandran V.: It's still work in progress for us. I think sometime towards early next quarter, we look forward to bringing it into market.

Vineet Prasad: Understood. Thank you so much.

Moderator: Thank you. Next follow-up question is from the line of Deepak Lalwani from Unifi Capital.

Please go ahead.

Deepak Lalwani: Hello Sir. Thank you again. I just wanted to check how many months of inventory of each raw material do we maintain at the factory level aluminium, copper, plastic, et cetera? And this availability issue that you mentioned, so how are we sourcing our materials from different channels if you could explain? And if there is an issue, is it a big issue that will possibly lead

to

lower production? If you can just highlight that. These two are my questions.

Mithun K. Chittilappilly: So, I think as far as availability is concerned, it's primarily on the polymer or crude derivatives where there are availability issues. So, for example our batteries require sulfuric acid. Sulfuric acid is also used for production of pesticides. So that is a controlled substance now because the Government is rationing it, but we are still okay. We have tied up and locked up supplies for the next one month or more than that. The same is the case with certain type of raw material. Like I mentioned TPW fans, there seems to be some shortage.

But I think as soon as the war broke out, we had set up a war room and we identified these sensitive items very well in advance. And because we are a fairly cash-rich company, we have gone and secured supplies from wherever we could. So, we are pretty much okay. I think till end of June, I don't think we'll have any issue and I think largely we should be fine. There is

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definitely; so for example if the demand is 110 units, the supply will be like 105 units. So, there will be some bit of shortage here and there.

But I think a company like us will be largely okay because we have a diversified supplier base and we have gone and secured supplies for most of our production. Sulfuric acid is still challenging because we cannot store a lot of that material. We don't have the capability to store it. It's an acid. So, our ability to store is very low. But wherever we can store, we have tried to

store or we have stored it in our vendors' places.

So, we don't foresee any supply-related challenges at least for Q1. We are largely covered. But this is a potential issue for many; could be for smaller brands, regional brands who don't have the kind of clout we have, a company like V-Guard will have over supply.

Deepak Lalwani : Understood. Sir, last question, you mentioned that we've taken a bulk of our price hikes. So, has there been any resistance that you have seen in demand falling off for our categories or any loss of market share that you have seen, if you can highlight?

Mithun K. Chittilappilly: So, with any price hike for this much of a quantum, this is not a natural price hike, right? Usual price hikes our retailers are used to is for 2%, 3%. So, when it's 10% and 12%, definitely there is going to be some negotiation, pushback and all. But like I said, but as far as we see it, I think by the time this kind of the high-cost raw material starts hitting in, we are fairly confident they will get passed on because a lot of it has been accepted.

But wherever there are some challenges, for example if it's a summer category and it's in a geography where summer has not started yet or there are some rains and stuff like that, we have

given case-to-case support for our distributors and retailers. But largely, it's looking okay

because I don't think any company can absorb the quantum.

So, I think everyone has announced and there is definitely an intention to pass on these prices.

And like I said, only in cases where the weather is not supporting, only those places we have given case to case. But largely it has been passed on.

Deepak Lalwani : Sure. Sir, if you can share what's your raw material mix for the whole company; copper, plastic and aluminium roughly?

Sudarshan Kasturi : Copper is the biggest versus second biggest is aluminium or steel?

Mithun K. Chittilappilly: It will be copper will be the largest followed by polymers.

Sudarshan Kasturi : Followed by polymer, then aluminium, then steel.

Mithun K. Chittilappilly: I don't have an exact number for that because it's not a single category, right? It's multi; each category has got a different mix. But everything has gone up, right? It's not that anything has not gone up, right?

Deepak Lalwani :

Ok. Got it . Thanks.

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Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for the closing comments.

Mithun K. Chittilappilly: Thank you all for taking time to join our earnings call. I would like to thank Vineet and the team at Investec for hosting this call. We look forward to interacting with all of you in the next quarter.

Thank you.

Moderator: Thank you, sir. On behalf of Investec Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

The transcript has been edited for clarity and it may contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.